

Bajaj Finserv Ltd. (BAJAJFINSV)

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Call: Feb 2023

7 February 2023

To

Corporate Relations Department

BSE Limited 1

st Floor, New Trading Ring,

Rotunda Building, P J Tower, Dalal Street, Mumbai 400 001 To

Corporate Listing Department

National Stock Exchange of India Ltd Exchange Plaza, 5

th Floor

Plot No.C-1, G Block Bandra-Kurla Complex

Bandra (East), MUMBAI 400 051

BSE CODE: 532978 NSE CODE: BAJAJFINSV

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ar Sir/Madam,

Subject: Transcript of Conference Call held in respect of the Financial Results for the quarter and nine months ended 31 December 2022

Ref:

Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations')

r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letters dated 25 January 2023 and 31 January 2023, the transcript of the investors conference call held on Tuesday, 31 January 2023 in respect of Financial Results for the quarter and nine months ended 31 December 2022 has been hosted on the website of the Company and is available at 'QUARTERLY EARNINGS CONFERENCE CALL RECORDING & TRANSCRIPTS' drop down available at <https://www.bajajfinserv.in/finserv-investor-presentation>.

Fu

rther, for ease of reference, we have enclosed the transcript(pdf) as attachment.

Kindly take this on record.

Thanking you,

Yours faithfully,

For Bajaj Finserv Limited

Uma Shende

Company Secretary

Email ID: investors@bajajfinserv.in

Encl: as

above

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"Bajaj Finserv Limited

3Q FY23 Earnings Conference Call"

January 31, 2023

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MANAGEMENT : MR. S. SREENIVASAN – CHIEF FINANCIAL OFFICER –
BAJAJ FINSERV LIMITED

MR. TAPAN SINGHEL – CHIEF EXECUTIVE OFFICER –
BAJAJ ALLIANZ GENERAL INSURANCE

MR. TARUN CHUGH – CHIEF EXECUTIVE OFFICER –
BAJAJ ALLIANZ LIFE INSURANCE

MR. RAMANDEEP SAHNI – CHIEF FINANCIAL OFFICER
–BAJAJ ALLIANZ GENERAL INSURANCE

MR. BHARAT KALSI – CHIEF FINANCIAL OFFICER –
BAJAJ ALLIANZ LIFE INSURANCE

MODERATOR : MR. SAMEER BHISE – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the 3Q FY 2022 -2023 Earnings Conference Call of Bajaj Finserv Limited, hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Bhise from JM Financial. Thank you, and over to you, sir.

Sameer Bhise: Thank you, Rutuja. Good morning, everyone, and welcome to the 3Q FY23 earnings conference call of Bajaj Finserv. I would like to take this opportunity to thank the management of Bajaj Finserv for allowing us to host this call for yet another quarter.

From the management team, we have Mr. S. Sreenivasan (CFO, Bajaj Finserv), Mr. Tapan Singhel (CEO, Bajaj Allianz General Insurance), Mr. Tarun Chugh (CEO, Bajaj Allianz Life Insurance), Mr. Ramandeep Sahni (CFO, Bajaj Allianz General Insurance), and Mr. Bharat Kalsi (CFO, Bajaj Allianz Life Insurance). We will open the call with opening comments from Sreenivasan sir, post which we'll move to Q&A.

Over to you, sir. Thank you so much.

S. Sreenivasan: Thank you. Good morning, everyone. Welcome to the conference call to discuss the results of Bajaj Finserv Limited for Q3 of FY '22-'23. Before I get into the performance, let me just make some standard hygiene announcements.

As before, in this call, we will largely be concentrating on the consolidated results, as well as the results of our insurance operations through Bajaj Allianz General Insurance (BAGIC) and Bajaj Allianz Life Insurance (BALIC), and where material, the standalone results of our company Bajaj Finserv Limited (BFS).

Bajaj Finance Limited (BFL), which is another major subsidiary of ours, has already had its conference call. However, if there are any high-level questions on BFL, we'll be glad to take that as well. We will not be taking any questions on the status of Allianz's stake in our insurance companies. The status has remained the same as at the end of the previous quarter, and there is no change there. Any statements that may look like forward-looking statements are just estimates and do not constitute an assurance or indication of any future performance result.

A brief remark on Ind AS – as required by regulation, BFS prepares its financials in compliance with Indian Accounting Standards or Ind AS. The insurance companies are not yet covered under Ind AS. They have prepared the Ind AS financials only for the purpose of consolidation.

Accordingly, for BAGIC and BALIC, the standalone numbers reported in our investor presentation, and which will be discussed below, are based on the non-Ind AS accounting

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standards, or Indian -GAAP as applicable to insurance companies. Our results, the press release accompanying the results, and our investor presentation have been uploaded on our website yesterday.

Let me now come to the performance for Q3 FY23 and 9M FY23.

Let me start with BAGIC.

For the quarter, BAGIC reported a growth of 28.6% in gross domestic premium income as against the private sector growth of 22.3% and the industry growth of 18.5%. Even if we exclude the tender-driven volatile businesses (basically Crop and General health businesses), BAGIC has grown at a fairly healthy 12.8% in Q3 FY23 and 14.6% in 9M FY23. In the intensely competitive motor segment, BAGIC has been selective, seeking to grow in counters with high profitability.

To add some more, the growth in GDPI was attributable to Retail and Group Health which grew at 11.2% and 41.2%, respectively, commercial

lines (fire, engineering, marine and liability) at

14.9% and overseas medical (travel insurance) at 44%. Overall, in Q3 FY23, BAGIC had a motor growth of 6% - the two-wheeler segment growing 24%, while the four-wheeler segment grew 8%, and the CV segment degrew by 5%. Specifically, BAGIC chose to give up business

in larger cities where price competition was more intense.

The growth in commercial lines were aided by BAGIC's strong bancassurance network and multiline agency channel, supported by strong underwriting and large reinsurance capacity for covering large risks. BAGIC continued its robust performance across retail, commercial and industrial risk categories. Fire and Marine segments continued their growth momentum.

Engineering and liability lines have also shown strong growth, continuing their momentum from the previous quarter. Overall, commercial lines continue to do well with Q3 FY23 and 9M FY23 growth of 14.9% and 15.2% respectively, against the industry growth of just 8.3% and 14.4%. Health insurance performance has improved in Q3 as compared to previous quarters of FY23. Overseas Medical or travel insurance continued its momentum, growing at 44%. BAGIC growth in retail health 11.2% was better than the overall market (Pvt + PSU players) growth of 10.1%. In Group Health, BAGIC witnessed strong growth of 41.2% in Q3 FY23 vs industry (Pvt + PSU players) growth of 30.6%. For the industry, overall retail health growth, including standalone health insurers or SAHI was 32% in Q3 and 25.2% in 9M FY23.

A positive feature in Q3 of FY23 was on the claims front, where sequentially from Q1 FY23 the claim ratio has improved. It first improved by 2.4% in Q2, and then it has further improved by 3.4% in Q3. This was due to better selection of business, and normalization of aberration such as high motor own damage loss ratios. If you recall in Q1, when we had a spike in our loss ratios, we had said that we will be taking corrective action to bring down the loss ratios. And typically, Bajaj Finserv Limited
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in the general insurance business, these take six to nine months to play out because the existing book will continue to have higher losses, while the new book will be written with stronger underwriting. And the results of that are already visible.

For Q3 FY23, the loss ratio stood at 72.1%, as against 69.6% of Q3 FY22. The increase was attributable to high inflation in Motor and Health segments, partially offset by lower commercial claims. Moreover, BAGIC has also taken additional net impact of Rs. 9 crores on account of the adverse court order with respect to Osmanabad Kharif 2020 crop season. At this stage, we do not have any information, which makes us believe that any further provision is required in respect of the kharif 2020 crop season.

The combined ratio for Q3 FY23 stood at 100.3% versus 98.9% in Q3 FY22. Nevertheless, higher frequency in Motor and Health ex-COVID and the impact of inflation on costs are expected to remain. BAGIC will monitor these developments closely and endeavor to initiate corrective action as required.

In a market where most companies are reporting large underwriting losses, this result, we believe, displays BAGIC's commitment to a balanced and profitable growth on the back of strong underwriting and selection.

The profit after tax was Rs. 278 crores in Q3 FY23 and Rs. 1,026 crores in nine months FY23. The AUM grew by 8% to Rs. 25,977 crores for the nine months ended 31st December 2022. The lower PAT was mainly attributable to higher combined ratio and lower realized gains on investments. Clearly, the realized gains on investments quarter-on-quarter can be volatile. And this quarter, it was a bit lower than the same quarter of last year.

In summary, for the quarter with strong external headwinds in the form of price competition in motor segment, and BAGIC has chosen

to hold its own with a satisfactory combined ratio.

I will move to Life Insurance next.

Overall, the Life Insurance industry saw momentum pick up in Q3 after a muted Q2. During the quarter, while few private players saw a slowdown in their growth as compared to the previous year, BALIC continued its month-on-month growth trajectory and reported an industry-beating individual rated premium growth of 22%, against the industry and private player growth of 12% and 16%, respectively.

Similarly in the nine months of FY23, BALIC IRNB or Individual Rated New Business grew 38% as against the industry growth of 16%, and private players growth of 19%. In fact, in the nine months FY23, BALIC was the second fastest-growing life insurer among the top 10 private players on an IRNB basis. And on a three-year CAGR of 35% on IRNB basis, BALIC remains the fastest-growing life insurer in the industry. This compares with the pre-COVID base.

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BALIC improved its market share of IRNB from 6.4% to 7.4% among private players in 9M

FY23 . Total number of new business policies for BALIC also grew 24% to 1.52 Lakhs in Q3 FY23 , while for the nine months ended 31, December 2022 the total number of new business policies issued grew by 33% to 4.09 Lakhs .

Overall IRNB mix for Q3 stood at par 19%, non -par savings 37%, term 4%, annuity 7% and ULIP 33%. As we have mentioned before, BALIC's primary differentiator in the market is balance - a balance across products, a balance across distribution and a balance between growth and profitability. Most lines have shown growth in absolute terms. The business mix changes reflect relative differences in growth , and hence are not a matter we are concerned about in the short run. During the quarter, growth was driven by all our main channels with Agency , Institutional Business and BALIC Direct growing at 28%, 18% and 15%, respectively.

Another point I would like to highlight here is the strong year -on-year increase in persistency across vintages, especially in the later buckets, where 49th month persistency increased by 4% to 63% and 61st month persistency improved by a further 3% to 49%. As a result of the actions taken on persistency over the last few years, our renewal book is looking quite solid, and we were able to record a 30% growth in renewal premiums in Q3 FY23 .

New Business Value net of expense overrun, the key metric of profitability , increased by 38% from Rs. 152 crores in Q3 FY22 to Rs. 210 crores in Q3 FY23 . For the nine months under 31, December 2022, the NBV was Rs. 535 crores as against Rs. 314 crores for the nine months ended 31, December 2021. This is a growth of 71% in the nine months.

BALIC Profit After Tax (PAT) for Q3 FY23 de-grew by 8% to Rs. 81 crores as against Rs. 88 crores in Q3 FY22, mainly on account of the higher new business strain, given the higher growth in new business , and was partially offset by lower death claims .

Overall, a relatively strong quarter for BALIC.

Finally, both the insurance companies are financially among the most solvent – BALIC with 529% solvency and BAGIC with 373% . They are both well poised together any external adversity. All our businesses have further augmented their digital capabilities, which, along with greater digital acceptance by customers, should we hope, help create the foundation to deliver a strong performance in the last quarter of FY23 . Both BAGIC and BALIC have seen an increase in the utilization of the digital properties by customers and intermediaries. Further details regarding BALIC and BAGIC's digital capability are covered in the investor deck uploaded on the website. I would urge everybody to go through the same in detail.

Coming to our lending businesses, BFL and BHFL.

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BFL already had its investor call

I , and we will only broadly touch upon BFL results. Both Q3 and nine months of FY23 were excellent for BFL as the company delivered on all its long -term financial guidance metrics, AUM and profit growth, return on assets, return on equity, as well as gross and net NPA. The return on assets on an annualized basis are about 5.4% now. Continuing on its growth story. BFL acquired 3.14 million new customers in Q3 and 8.48 million new customers in nine months of FY 23. Building on this customer franchise, the number of new loans booked in Q3 FY23 increased to 7.84 million as against 7.44 million in Q3 FY22. The company's diversified business model has enabled it to record strong AUM growth , as seen from the total AUM standing at Rs. 2,30,842 crores on 31st December 2022 as against just Rs. 1,81,250 crores on 31st December 2021.

BFL continues to maintain a management overlay provision of Rs. 1,000 crores at a consolidated level for COVID and other unexpected contingencies. The gross and net NPA continued to be under control. The gross and net NPA for BFL has been 1.14% and 0.41%, respectively. BFL ended the quarter with a profit after tax of Rs. 2,973 crores on a consolidated basis, which was 40% higher than the same quarter of the previous year. The capital adequacy continues to be strong and stood at 25.14% out of which the Tier 1 capital stood at 23.28%.

One of the strong performers in the quarter has been Bajaj Housing Finance, the 100% mortgage subsidiary of BFL. It continues to do well. The AUM grew by 33% to Rs. 65,581 crores as of 31st December 2022 from Rs. 49,203 crores. Profit after tax grew by 81% to Rs. 334 crores in Q3 FY23 as against just Rs. 185 crores in Q3 FY22. For the nine months ended December 31st, the profit after tax grew 87% to Rs. 956 crores.

The capital adequacy ratio is fairly comfortable at 23% , with GNPA and NNPA continuing to be under control at 0.23% and 0.10 %.

In summary, a very strong quarter for both BFL and BHFL.

Consequently, the BFL consolidated results reflected an all-time high quarterly profit .

Now I'll give you some update on our newer companies, which is Bajaj Finserv Direct or Bajaj Market, and Bajaj Finserv Health or EBH, as we call it. During Q3 FY23, Bajaj Markets has attracted about 84 lakh consumers on its digital platform, of which about 2 lakh became customers. This is against 80 lakh consumers and 2 lakh customers in Q2 of FY23. Bajaj Markets' lending (unsecured + secured, both BFL and partnerships) disbursement for the quarter stood at Rs. 1,175 crores as against Rs. 1,052 crores in Q2 FY23. It also sourced 62,000 cards in Q3 FY23 as against 61,000 cards in Q2. In Q3 FY23, Bajaj Markets reported a total income of Rs. 104 crores versus Rs. 56 crores in Q3 of FY22. For the nine months ended 31st December 2022, the revenue was Rs. 278 crores.

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Coming to Bajaj Finserv Health - during Q3 FY23, Bajaj Finserv Health carried out 9.1 lakh health transactions, having 3.9 lakhs + monthly active users. For the quarter, EBH had 9.74 lakh paying users with 3.1 lakh users having renewable products. EBH is also managing OPD benefits for over 250 employers, covering 2.2 lakh + members under this managed care services. At the same time, EBH is powering Health Prime rider product, which is a BAGIC product, which offers OPD, teleconsultation and various other non-hospitalization benefits. I'm glad to say that this product, which was launched in January of 2022 has already crossed 10 lakh members. The company is now building wellness benefits as well as fitness, dietician, mental health. And going forward over the next two years, we will see stronger focus on those areas, moving away from illness to wellness. In Q3 of FY23, EBH reported total income of Rs. 45 crores versus Rs. 28 crores in Q3 FY22. And for the nine months, the total revenue was Rs. 117 crores versus Rs. 60 crores in nine months of FY22.

Now a brief one on our consolidated financial results, the details of which are in our press release. Consolidated total income, 23% increase to Rs. 21,755 crores. Consolidated profit after tax, 42% increase to Rs. 1,782 crores. For the nine months ended, the consolidated total income was up 18% at Rs. 58,447 crores, and consolidated profit after tax was 45% higher at Rs. 4,648 crores.

Under the Ind AS, the insurance subsidiaries have chosen to hold a part of their equity securities portfolio as fair value through profit and loss account. What this means is that the unrealized mark-to-market gains on investments included in consolidated profit tends to be volatile.

Although they are unrealized, we still need to make a provision in the books. So there were -- on account of this, there have been MTM impact. We tend to call this out separately so that investors can make an appropriate judgement of all the core results.

If one were to exclude the volatile impact of MTM losses and gains, the core profit after tax would have increased by 34% in Q3 FY23 and 57% in the nine months.

This, in short, is a brief on the results for Q3 of FY23, and I will now invite questions from the participants. Thank you.

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Moderator: First question is from the line of Avinash from Emkay Global Financial Services.

Avinash: I have a few questions. First ly, on BAGIC. In terms of commercial lines, the removal of IIB cap or the floor on pricing has, in a way, sort of opened the road for competition as far as floor pricing in commercial lines is concerned. So post that, how is the commercial line pricing environment?

Second ly on BALIC, on the group side of business, particularly protection, there is a slight decline in premium. Is it coming from the GTI or credit life and is it volume or pricing-led? And also on the fund management side, of course, that business is not profitable, still what is driving this? Like many others are you also doing less business on the group fund management side? And lastly what would be on your hedging strategy. Of course, you have FRA s and partly paid bonds. I wanted to understand how is the supply of partly paid bonds and what sort of comfort you have as of the corporate where you can subscribe to part-time also? These are my three questions.

S Sreenivasan: Yes. Thank you. I will just summarize the three questions. The first question was for BAGIC, where you want to know about commercial lines' pricing because of the removal of the IIB cap or a floor on pricing. The second question was to BALIC on the protection side, with a focus on group protection as well, and what are we doing on the fund management side. And lastly, you wanted a view on the FRA and partly paid bonds. I'll just pass it on to Tapan first to take the question on BAGIC. And thereafter, Tarun will land on the question of BALIC.

Tapan Singhel: Thank you, Sreeni. Let's understand what this IIB rate was to begin with. So GIC, our national reinsurer, had put in underwriting guidelines in terms of what to accept in its books. We said that the average claims, which is part of IIB (you can get the data from IIB) is what the minimum it will accept in terms of the reinsurance. So, it is not that the other reinsurers in the market who were free to write the risk at anything.

So everybody has their own underwriting norm. I think it's the GIC underwriting norm and in which they say, this is what they will be looking for. Now what the regulations mentioned is that you can not put in not specific like this in terms of linking into some part of it. So fundamentally, what was the weakness in the norm was that good risk would also have to be priced if we got the lower strata. They cannot go and get benefit of it.

Now with this

coming in, there would be underwriting norms in which some risks may actually get better discounts. And the earlier times also the worst of risk can be priced more aggressively. So if we look at the underwriting norms, which were set up by GIC - they are not something which is set up by everybody across the industry as it was made out to be. And as I mentioned earlier that other reinsurance do not have these kinds of norms stated there. So, in my view (let's see how the future holds up), for good risk, obviously, the pricing would get much better. And for risks which are not so good, it will remain. It has been something which is there just two three years back. That's how the pricing used to happen.

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So I do not see a very huge shift in terms of fall in prices. There would be some fall in price because the good risk would be written at a little bit better price. So that will be there, but it's not something that would be catastrophic in nature in terms of the way the prices behaved - it tumbled down completely. I don't see that happening.

Tarun Chugh: Tarun here on BALIC. So the first question is around protection. I'll basically bifurcate this into two parts. One is credit life and group protection and the other is on the retail side. On the group side, we had a very sedate kind of first nine months. Largely because the partners we've been working with haven't really grown much. It's a unique situation that the partners who contribute to our significant percentage of credit life haven't really themselves grown. Market has grown faster in credit life. But on the retail side, where a lot of our focus has been, we've grown quite well, I would say. So if I just talk about the number of customers we've added, we had a 68% growth in terms of the number of customers we've added on the retail protection and that's quite healthy and quite as per the strategy that we have.

In terms of the price, that was your second question, pricing in credit life and group term life, which is the employer/employee has now stabilized -- group term life particularly has stabilized to pre COVID level. In retail protection also, whatever price hikes we have done, we are mostly done with, and it's stabilized there as well.

On the fund management side, I presume you're asking about the group employer/employee funds. It's not a very big focus business for us because the bottom line from that isn't really significant. But still having said that, it's a profitable business for us. And we expect that to grow with every deal that keeps coming in the market. It's a very lumpy business, difficult to forecast. And typically, it's very responsive to pay hikes that we see in the market, because gratuity and superannuation contributions get linked to that. It is a line of business. But like I said, it's not something that we expect to really focus on too much.

On the FRA, that is your third question, I'm asking Bharat to just respond to you.

Bharat Kalsi: Thank you, Tarun. Thank you for the question. So, the questions, one is on the partly paid bond supply side as well as on the overall FRA. So I think FRA, as you are aware that it's an established practice, and we continue to follow that practice to hedge our portfolio. As far as partly paid bonds are concerned, we are already investing into a few top corporates only. But as a process, you are right to a good extent, that the supply side on the partly paid bond is less. But what we are trying to do is that we are trying to go to the first class or the category A manufacturing companies in terms of if they are okay to issue partly paid bonds. So this is more at a discussion stage, but we will be very calibrated in terms of taking any credit risk. And hence, partly paid bond will always remain one of our key areas of hedging, but it all depends on which kind of corpora

Avinash: Just on group fund management, do you think the competition has intensified, particularly from the large incumbent in that segment? Is it from that reason or is it that spread is compressed by the larger player in that segment?

Tarun Chugh: Yes. So that is correct. The incumbent's focus has been on this. They are quite good at this and have a very good spread of corporates. Our overall fund management base for group funds remains quite healthy – above 10,000 crores. So, the overall portfolio does make money, and this is why we focus really on the bottom line here, but not necessarily significantly growing topline. We would only like to keep profitable business on our books.

Moderator: The next question is from the line of Bhavesh Kanani from ASK Investment Managers.

Bhavesh Kanani: My question pertains to the health insurance business in BAGIC. The share of retail health has been pretty low. So just wanted to get your sense on the strategic direction for this business, how do we look at the opportunity there, the profit pool, whether it interests us? And if so, what can be expected in terms of future growth from this business?

Sreenivasan: I'll pass it on to Tapan to take that.

Tapan Singhel: If you look at retail premium for the industry also, it is not the leading business. It will be mostly Group Health, Government Health and then Retail Health - that is how it is structured as. Coming to BAGIC, in the COVID times, we had gone slow on Retail Health, because it was very uncertain. If you see the losses happening in the health portfolio, it's very high. The price corrections are not happening at the speed that it should be. But if you look at it when the market has corrected prices to a large extent on the Retail Health basis, and we also have done some correction on it, as we have mentioned last time.

And now if you look at our focus, we have been growing with Retail Health. So we would remain focused on that. It depends how the market conditions were. COVID at the time had huge uncertainty -- and that time, we preferred to go slow compared to the market, simply because it is not very clear as to how the health portfolio would play out. But now if you look at it, we are again growing in health portfolio, and we are focusing on it.

Bhavesh Kanani: Any targets or any roadmap you have in mind of what kind of contribution you would look to get from the retail health?

Tapan Singhel: For us, it's actually a very similar strategy. We are very agile. Whatever looks good to us, we grow that more than the market. And what we find is not giving us good returns, we slow down as compared to the market. And you can see in motor itself, commercial vehicle at one time was giving us good returns, and we grew over the market. Now if you look at the commercial vehicle segment, it is much lower than the market. We don't try to fix targets and just go for it without looking at how the market behaves. So that is why we're able to keep our motive very clear. Number one is customer obsession - some of the products are very customer-centric.

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And I would like to mention the product we came out with to solve the elderly care issue with respect to health. We have set up an IoT fall detection, a call center and ambulance to pick up an elderly, in case something goes wrong, from their home and take them to a hospital to be treated.

Even before the call us, on our own we get a call from the fall detection to our call center to pick them up. So we keep on pushing boundaries for customer excellence. We heard Sreeni's opening talk also, we came out with OPD, also a very strong product, in collaboration with Bajaj Finserv Health. So we keep on pushing bond in terms of customers

servicing in excellence. That's the

first thing that we keep on to and we'll keep on doing that as we progress also.

The second thing that our obsession is, as I mentioned to you, that we will go over the market if we feel the market is conducive and which is there. So we don't try to keep targets on it. The obsession with the customers or with innovative products that is useful to the society. We'll keep on doing that as we progress further.

Bhavesh Kanani: Any sense on where we are in terms of investing for expanding the retail health business? Any investment plans you can share?

Tapan Singhel: Yes. So if you look at our distribution, we are expanding to Tier 2, Tier 3, etc. - we have a plan. So as we expand distribution, predominantly the 2-3 lines of businesses get pushed, one is Motor and another one is Health. So you will see this happening with the expansion of distribution. So that is a clear investment that we are going ahead with and which we have been doing consistently.

Bhavesh Kanani: And last bit, what in your sense, is a sustainable ROE for retail health business?

Tapan Singhel: Retail health has been an interesting thing. And it's a good question. If you look at across the industry, currently, the profit in the retail health portfolio comes from new business. So any company which is growing new business aggressively has a lower loss ratio, and the old book has a pretty high loss ratio. That to me is not a business which is sustainable. All years and all books should be on a profitable basis, that's the way we look at it. And currently, that has driven a lot of the companies to grow under pressure very aggressively, because that makes books very profitable.

If we look at the loss ratio for the third or fourth year of their books, it will not be profitable with combined ratio of over 100. So fundamentally, if you look at retail health, I think the balance of pricing and underwriting, is what will give good ROE. Our obsession has always been to have a combined ratio, which should be close to 100 in a market like this. And that is what we keep on targeting for all lines of business.

S Sreenivasan: Just to add to what Tapan said, while there is a lot of focus on retail health, retail health as Tapan pointed out has a fundamental problem that everybody is depending on new customers coming in or price increases to be able to keep up with the deteriorating loss ratio as the customer profile changes.

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ages. But the group health is an important thing. And at BAGIC over the years, when we have felt that the market was not conducive, we have slowed down. But when the market is attractive, we have been more aggressive. Whenever we get business on our terms, we take it. And overall, in our group health, now we are able to operate it very profitably with a combined ratio of below 100%. And that is also growing at 40%.

So clearly, when we look at the overall health spectrum, it is about how much of the payments that you control, including group and retail - that is an important metric, and BAGIC stands fairly high in the pecking order on that. As the health insurance market evolves, I think both will have an important role to play. And in group you do have a chance that every year you get to re-underwrite the business. So it's not subject to acquiring new customers only. And it's also very service-sensitive being an employer/employee benefit. In both of these, BAGIC continues to invest and be strong. And we think that overall health business is doing quite well.

Moderator: The next question is from the line of Sanket Godha from Spark Capital.

Sanket Godha: Sreeni, I have the first question for you. Just wanted to get your view on the composite licensing, given how Bajaj has both life and general insurance and where the ownership is common. So how do you see this composite

license coming out, whether BALIC will compete with BAGIC on health, if they choose to do health? The broader idea, what you have on composite license? That's the first question. Then I have specific questions on BALIC and BAGIC, if you can respond to that?

S Sreenivasan: No, broadly, this is just a proposal now, empowering IRDA to create some classes of business and to offer licenses on a differentiated basis for people who want to do only certain class of business or more than one class of business. I believe that is now being under discussion with a large group of stakeholders. And we'll have to wait and see the final control before we take a call.

So at this stage, we cannot comment on whether it is a good thing or a bad thing. Clearly, prima facie, it looks like there are benefits of cost by sharing our branches and sharing of people. But at the operating level, at the risk level, I think the two are completely different businesses. So it's not necessarily that just by combining the two, you actually get a superior business. And there is an accumulation of risk across health and life. For example, when the person falls sick and they die, you end up paying much more than when a person's insurance is done by 2 independent companies. So there are pros and cons broadly, but we are studying this in detail, and we are studying practices across the globe. In some countries, life and health are together. In some countries like US, health companies are independent. In some countries like India, health has traditionally been for the non-life companies. So there are multiple models, and we will be studying all that and taking a view if and when it becomes law.

Sanket Godha: Now on Bajaj Life, the question which I have is that if I look at the third quarter growth, the Axis Bank as a channel has grown lower than the company average only for the third quarter. I wanted to understand that now the market share story in Axis is almost over, and the growth will

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be more in line with the channel growth. And then also just wanted to understand that whether

you are seeing some kind of a pressure with respect to deposit mobilization target by the bank, and that is getting reflected in bank channel growth. Because overall, the bank channel growth has been lower compared to the company average.

The second point which I wanted to ask is that we had a pressure in deferred annuity business in the second quarter. We see the same pressure continuing in the third quarter too. So is there anything to read here, because the other larger companies have also launched that particular product. Is it because of the competition or some other reason, that's leading to slowdown in the deferred annuity?

S Sreenivasan: Yes. I think I'll pass it on to Tarun. One question was on bancassurance and Axis and is there a slowdown in growth, and if so, what is the way forward? And second question was whether the deferred annuity business de-growth was because of competition or was it a deliberate strategy of the company.

Tarun Chugh: Sanket, thanks for the questions. The question specifically on Axis - we've maintained our market share in Axis despite not having an equity stake from there. I think that will continue.

We expect our market share to hover around the current levels. In terms of the fact that whether the growth will mellow down - yes, it will grow as per the growth now of the bank and productivity that we're able to get. Of course, we always keep pursuing other white spaces where we can help the bank grow its third-party income business, and that work will always be on. That is what will decide the growth of Axis in the future. This quarter particularly was the quarter in which the base effect kind of annulled itself. Hence, particularly in December that came back to play.

As far as the deferred a

nnuity is concerned, I know you're talking about the pressure, but honestly, as far as we're concerned, we were the market builders, we were the first ones to come up with a different equity. There is a lot of real memory about that in the market. We wanted to balance out our product mix in the quarter before. And that pressure of balancing out is now absolutely out of the window, so it's not a problem at all. And we will be back to doing as much as we possibly can in the annuity business. It's already growing at a healthy rate. And it has grown almost by 45% over the last 9 months (on New Business basis). I think it's back in action there and not an issue. The market recognizes who was being and we will keep getting that benefit. And we will be innovating further in this product.

S Sreenivasan: I think over the last 2 years, you must have seen that BALIC has expanded its bancassurance portfolio. We have IDFC First, City Union Bank, DBS, now we have added Punjab & Sind Bank, and J&K Bank. Typically, these are banks that are going to take some time to see some momentum, maybe a year or two. And we have started building a more diversified bancassurance portfolio and that effort will continue over the next few years.

Sanketh Godha: And the last one on Bajaj General, Motor TP loss ratio in third quarter has improved compared to what it was in first half. But 82 percentage seems to be still on the higher side compared to

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what we have reported in historical part. Sir, I just wanted to understand that given the competition is not reporting these kinds of numbers, do we see a release happening in fourth quarter or in subsequent year, maybe because of our conservatism?

And secondly, the motor vehicle act benefit - given the Madras high court judgment has come - if you bask in that benefit, what is the likely improvement you can expect to happen in motor TP loss ratio or overall combined ratio for the company?

S Sreenivasan: Before I pass it on to Tapan or Raman, let me just highlight that motor TP loss ratios quarter-on-quarter can be volatile. Historically, we have published our triangles, and you can see that we are generally reasonably conservative in our provisioning without being excessively prudent. And we will continue that strategy. We do not comment on what competitors are doing as a rule. Although we track them, and we know some of the numbers in greater detail than we studied from their public disclosures. But I think by end of the year, we will have a clearer picture.

We, as a rule, do not do big reversals at end of the year normally. And unless there is an actuarial reason to do so, as we build in enough margins for adverse deviation, we build in enough provisions for inflation and claims, we also build in provisions for any changes due to regulations such as the motor TP and the development thereafter.

Now I'll just hand it over to the management of BAGIC to add any other points they feel.

Tapan Singhel: Thank you Sreeni, I think you covered it. It is a very relevant question. If you look at our overall combined ratio and you look at the reserving, then you get a very good comfort that as a company, we are very well reserved. And in spite of reserving very well, our combined ratio is also among the best in the industry. That is the first statement that should clearly come out from your question that you asked.

Now coming to the point that why is it like this? Now the claim inflation that we see in TP and

then in the COVID time all of the courts were shut down. So it is not very sure in terms of how the number of cases, which we are carrying will play out. So obviously, we have to keep all that provision to perspective. One was inflationary impact. Second was the impact of court closure in the COVID times. Also, the trend that we see in terms of the loss ratios.

So it's a full science

in terms of how the reserving here would be done. But at no point in time do we want to be in a scenario where we would be under reserved. So, it's better that we take care of our reserving by taking into consideration all parameters and adding it well.

Now regarding the court cases that you're talking about, if it becomes a trend, then obviously, the long-tail TP becomes a short-tail which has 2 impacts. One impact will be in terms of your reserving, it actually becomes more clear - because in short tail, you won't have the vagaries of long-tail prediction as to how it is going to go. It will bring to the results a lot of clarity of how the loss ratios will move. That is a good part.

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The other part will be impact on the reserves that companies have for investment. That will start coming down. So while you do this calculation, you should also see that perspective that in the short tail, a lot of money which companies have is the third-party money which is there with them. So that starts coming down. So that's a very interesting play, which will happen, but we will still wait and watch how it plays out. But I think it will be very good for the customers. It will eliminate a lot of fraud, and it also will ensure speedy justice. So from a customer perspective, it is very good. We welcome this if it happens. I hope we were able to answer your question.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: I have two questions. One, on the life insurance, that's more of a suggestion. On the life insurance, if we provide complete EVOP walk on a quarterly basis, while not many do that, it will give a much better insight into the evolution of the character of the business - and how the past and the present, we can correlate a little better when the data is available. In absence of that, the data doesn't really become complete in itself.

On general insurance, when we see over the period of time that the character of the industry is much more focused on growth rather than growth along with profit and capital efficiency, how does it impact you as a player? Either it affects your growth, or it affects your capital efficiency, if you have to mimic the way industry is doing. Therefore, with the evolution of the character of the general insurance industry, it has an impact on the way you will perform. So just wanted to get your thoughts on this.

S Sreenivasan: Yes. Bharat, I will take it first half before passing on to the insurance company management. I'll take the general insurance question first. I think globally in general, insurance as you see there are 2 types of players people who seek to grow market share, and they define market share as gross written premium. And there are a few companies, maybe not more than the top decile, or top 2 deciles of companies, which actually delivered double-digit ROEs on a sustainable basis. I think in last few years, we have seen many disruptors entering the market. But if you see the combined business they have return in terms of premium, whether it is in US or China, these are a very small proportion of the market, right now will not be even 1% of the market.

So clearly, this is a business which is long term. Quarter-on-quarter, year-on-year, there can be volatility on claims. It is exposed to very large Act of God risks. And therefore, what our approach has always been to follow what is prudent, underwrite well, select business well. In terms of certain businesses, especially asset-based businesses like motor, pricing can play a big role because most of the young companies start with writing motor business. That's the easiest to write and sell. Which I think, at some point, they will run out of capital.

The point is do we want to acquire customers knowing fully well

that we will lose money, or do

we want to write business where we see a visibility of profit? It is possible that some businesses may not deliver profit in the first year, but if we see that over 3-4 years, we have a sustainable business to be delivered there of a reasonable scale, then we would go for that. I think the

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company has a very detailed long-term planning and AOP process. And it is very dynamic. What you do today and select or deselect may change, maybe 6 months down the line. If the market conditions change, as some people withdraw or some people get more aggressive. In terms of

expansion, I think Tapan can explain in better detail what the company plans to do, but this is largely my question.

On the life insurance front, yes, we have started disclosing the EV and the EV walk in great detail on half-yearly basis and not on quarter-on-quarter basis. We're also showing the 12-month rolling EV just for information. The reason we do that is because while the life business is very seasonal, with a large amount of business being written in Q4, and to some extent in Q3. But the first 2 quarters are generally very tepid. At the same time, the fixed expenses are stretched throughout the year. So quarter-on-quarter, EV will not be probably a good measure, or give an indication as to where the year might end at. Because in the last quarter, pretty much there are no extra expenses. Expense overruns are very well under control, that is the reason. However, if it is useful, we will consider publishing that from next year. We will discuss internally and take a call on that. We will do whatever the market is doing, and therefore, we will be aligned with that.

Now I'll pass it on to Tapan, and then to Bharat or Tarun to take the questions.

Tapan Singhel: I think you gave a pretty valid answer in terms of how it should be. So our philosophy from the very beginning has been a balanced growth. We would be among the large companies. Having done this also, we have sustained this over so many years. It has never been a year in which we think is very comfortable in terms of the market behaving perfectly well for you to grow. So if you see for us, this is normal business. I don't think that we worry about the market behavior in terms of sacrificing the profits for growth. I think it doesn't worry us, because we have seen this for many years. What we are obsessed about and what is our philosophy is what we continue to maintain.

As I said on philosophy, that we should be one of the most customer-centric companies in the country. We should be one of the best claim settlers in the country. And if you look at our record, with close to 13 crores customers, and with the least grievance ratio as per IRDA website consistently for quarters together for over a decade. If you see these numbers, then you see that our philosophy remains the same - that service the customer very well, in a way to the best in the market come out with very customer-centric products. And we focus about growing business, but in a balanced way where you don't lose sight, that the balance sheet gets so upset that you really cannot sustain a company.

So we are building a company for hundreds of years. We're not building a company for a short-term basis. And in that, I think the market conduct of behavior, which to us is not comfortable has no impact on our strategy in thinking. We continue doing so. We continue investing into reaching deeper routes into the country. Our obsession is that today, if I divide by a number of customers to the total population of the country, we will be present in about one in four

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households. So how can reach every household going forward in the country? How can we serve every Indian is what our philosophy is. If you

look at our philosophy they are very long-term. They're not very short term or in the next quarter philosophy that we have, and we will continue maintaining our strategy aligned to a long-term philosophy. To answer your question in short, our market will always be behaving in a certain way, and it's perfectly fine. I think that is why it's interesting for us to look at our business and continue to win, but not losing sight of our philosophies of how we want to build our business.

Bharat Shah: Yes. So in short, what you are saying is adverse or inferior behavior of some of the players in the industry will not cause damage to our long-term philosophy.

Tapan Singhel: No, sir, we should not worry about how others behave. In our personal life also and in business also, I think our obsession should be how we behave, what kind of character that we have and how do we keep on building on it. The market will keep on changing. I don't think we should be very worried about how the market plays.

Bharat Shah: Great to know that, because at times you develop a concern, whether in the quest and competitive behavior, will it alter the way we want to pursue the things that are. And on EVOP walk, the idea was not merely to get a quarter-to-quarter insight. It is basically to get insight into how the company is doing the business over the period of time. And therefore, compare the past to the present, then basically see how the future is shaping up. It's more from the perspective that when you have a series of data points of the period of time, you get a better judgment as to how the company is using its own insights appropriately.

The other question is that if we reflect over last few years, what are one or two things, both for life insurance as well as general insurance, in our opinion, that we could have done faster or better?

S. Sreenivasan: I will answer that question. In general insurance, what we have done exceptionally well is our

very strong bancassurance tie-ups. We have added more than 240 partners. Most of the bancassurance business is commercial. And we have been growing those lines much better than the market. And we believe in the long run, commercial lines are a very important component of a P&C portfolio. They give both property and casualty business, as you say. And it also gives you large exposure to MSME and SME business, which otherwise is very difficult or very expensive to acquire. That is one definite plus point.

Second is the overall balance of the portfolio. We have not shied away from any line of business or any distribution channel. We are fairly strong players in bancassurance, we have a strong multiline agency network. We have one of the strongest OEM tie-ups for new cars. We also have a strong presence in the e-commerce led businesses. We do small ticket mass business, we do large ticket corporate business. We have outstanding reinsurance network as we believe. And therefore, these are some of the very good things which have been drivers of profitability.

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What we could have done better in my view is that there could have been a little bit more traction on retail health. We still are not very clear about the profitability model for retail health because it does not generate float and you have to operate at about 92%, 93% combined ratio in order to be able to deliver a superior ROE -- that at the moment is not available in the market, and it is an aging portfolio. The prices, while not controlled, are still subject to approval by the regulators, and there is a big social impact there.

So in terms of health, as I explained before, we have done exceptionally well in group health business, which today is delivering a combined ratio below 100, and growing at more than 40% in this quarter. Overall health, both group plus retail, we have become one of the large

est players

in the market. As long as we are the strongest player, over time, we should be able to demand better terms from hospitals. At the moment in India, the insured use of hospitals is much less than the noninsured use. And therefore, insured companies tend to pay much higher than what individual pay for the same claim - that has been our experience. If you look at COVID, the average COVID claim was about Rs. 1,15,000 for the market as per IRDA's complete statistics of the market. At the same time, the non-COVID claims are hardly Rs. 60,000 to Rs. 70,000, which includes your cancer, cardiology, etc.

So clearly, there has been some aberration because of that. It is an area where we are now investing. We are now looking at continuously look at profit pools and the larger cities, we believe, is where competition is so intense that we need to use our financial strength, our balance sheet and our customer service to be able to expand our business into Tier 3, Tier 4 towns. There are a lot of regulatory changes, which may enable us to do that in terms of single composite limit for expenses.

There are going to be some digital properties like Bima Sugam, Bima Vahak, and we already are present in many of those markets - through crop insurance through our rural and other outreach businesses, etc. So we think this wind of intense price competition will correct itself over time. In the meantime, we have to continue to do what is good.

One good thing feature of us is that even in the last 4 years, our share of the industry's profit continues to be very strong. We probably deliver more than 30%, 35% of the industry's profit even today. And that is very important for us. Our solvency is very strong. Today, BAGIC itself has a surplus capital of more than Rs. 5,000 crores, and they are looking to increase dividends as we go along. So I would say retail health is an area where we want to focus and rebuild. The other areas where we want to maintain our strength are the corporate and commercial businesses. On motor business, we want to be cautious and focus more on 2-wheelers and select parts of commercial vehicle business and older private cars.

In terms of life business, I think pretty much everything has worked. We have used our surplus capital to good effect to build an industry beating performance over the last few years. We have gone from a negative margin after overruns to a significantly positive margin. Our NBV (New Business Value) has been growing for the last 4 years much faster than our premium, which itself was growing significantly above the market. We have built a strong proprietary sales

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platform. Our agency is now delivering double-digit margins. And in terms of bancassurance where we had practically nothing to speak of 5 years ago, we have now a set of partners. Clearly, what we could have done better is probably on the term life, which is a high-profit product where we could have probably done better. Unfortunately, COVID took us back, but

that is just a reason for not doing it. We could have done it maybe 2 years before or later. But now the company has a defined focus, as Tarun explained, on pushing the percentage of term into the total. There are a lot of risks associated with them, especially writing whole of life and long-term businesses, because there is always the pressure of under pricing and then the claims hit you after a number of years. But we have very strong reasons to believe that reasonable traction can be obtained on term, which can alter the market.

So in terms of balance, they have done remarkably well. In terms of building more tie-ups on the institutional side like bancassurance, it is still work in progress. I don't know whether we could have done it faster. But definitely, we will continue to focus on that. And thirdly is to improve the

efficiency of operations where we believe there are some pockets where we can further improve the efficiency and deliver a better result. So lastly, this is how we see it. Unless Tarun and Tapan want to add something to it.

Tapan Singhel: Sreeni I think you have given a very good summary.

Tarun Chugh: I agree.

Moderator: The next question is from the line of Nidhesh Jain from Investec.

Nidhesh Jain: On general Insurance, we have been doing 20% ROE in the past. Now the competitive intensity, I understand is quite intense in the motor segment. Probably because of that ROEs have now dipped to the 15%-16% for the 9 months. So in your experience for how long this competitive intensity is likely to remain, and consequently, when do we see ROE trajectory improving to 20% level that we used to see in the past?

S. Sreenivasan: I will take your question's first half. I think 20% is a number. I would not really say it is competitive pressure that has reduced the profitability. I think we have had 2 years of COVID claims in which BAGIC did very well to have lower percentage of exposure to COVID claims than their overall market share in retail and group health. And now I think as the market came back, there has been sort of pent-up demand or in terms of cars on the road are at an all-time high. The risk of driving has increased substantially. The non-COVID health inflation has got up quite a bit. And there is that nettime effect in this year that you have seen in terms of claims, as we explained very well in Q1.

This obviously cannot sustain, and we did increase price just before COVID as part of our normal actuarial increases. And we believe some of the other competitors will now be forced to look at price increases. It's what was reported in the press. As they increase the prices, that will also stabilize. So therefore, I do not see that this year it is 15% and next year it is 20%. This is a very

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volatile business. Globally, if you see, nobody makes consistent ROEs in the business unless they give up growth, there's no such profit pool available. It is a market which follows what is called the underwriting cycle.

The underwriting cycle globally is very well known of a period of high prices, and then losses mounting and then prices hardening, and therefore, companies soften on growth. In terms of the reinsurance market, you've had a lot of companies going under as well. And then the market corrects itself. It's completely different from the investment cycle or a business cycle. And this is the beauty of the insurance business.

And therefore, the cycle has to play itself out. In a retail market, where new competitors are entering, obviously, price competition will be felt in the easy to sell businesses. And therefore, one has to look for alternatives and come up with those lines in a more profitable manner and build the right skills, capabilities and risk management. Our endeavor is to do that. I do not say that we have reached where we want to, but it is work in progress.

And through our long-range planning and annual operating plan process, we continue to improve. Substantial improvements have been made in digital outreach to customers in terms of digital experience and claims, and we will see as we go along. We also are now focusing a lot on loyalty in general insurance. General insurance customers globally are very fickle - the best service does not necessarily mean that there's loyalty. There's a combination of service and price and engagement will deliver that. And that project, you will see will evolve over the next 2-3 years in a more meaningful manner to all our premium customers.

Nidhesh Jain: As a follow-up, do you see any signs of price hardening and cycle correcting over the next 12-18 months? Or still there are no signs?

Tapan Singhel: I think that we have to wait

and watch now. If you again look at the industry overall, I'll take it to year 2007 when repricing happened for most of the lines of businesses. That time the industry had been operating at a combined ratio which was not very good for years. So as I mentioned earlier, I think that there will be cycles, but it has to some way settle down. But will it happen in

the next 12 months, I cannot comment on that because you have to wait and watch how it goes. So, it depends on the appetite of people, or the capital that they have, the strategy of how they would like to behave in the market. So, it will be difficult for us to predict in terms of how the market would behave in terms of price correction in the next 6-12 months.

Nidhesh Jain : Secondly, on life insurance, we have seen pretty robust growth in retail protection in this quarter, while peers are not able to show growth. So, what have we done differently which has led to such sharp growth? And how is the growth outlook in retail protection for FY24?

Tarun Chugh : Yes. So yes, we've grown faster than peers, and I think we shall continue to do that. I think you should expect that to be bare minimum for BALIC. What has really worked for us is really the way our Agency and the BALIC Direct channel has particularly ramped up. And of course, on Institutional Business, the scale-up has been happening for a few years. And going forward,

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retail protection, which has become a strong part of our direction to move ahead with being more and more prominent. I think that's where we want to really make a difference.

Underlying all of this growth, I think the big thing, which is not getting picked up so often is the number of policy growth that we've had. That was the one question I was asked about 9 months back. It was something we wanted to correct, and that was the one thing we wanted to correct.

And while a lot of insurance companies are focusing on increasing per policy ticket size, we maintain a robust ticket size per policy. But scale of customers, the number of customers we add, is something which is critical. At the same time, keeping our ticket size growing with inflation, and that is what is more and more to expect of us in the future as well.

Nidhesh Jain : And lastly, just 2 common questions for both companies. Commission is expected to be deregulated for both general insurance and life insurance next year. So, do you see any implication for our business because of that? And lastly, Bajaj Finance has come out with long range strategy where they've shown aspiration of over 5 years. Do you have plans to share similar long-range strategy for life insurance and general insurance business?

Sreenivasan : Tapan, would you like to take that first?

Tapan Singhel : Thank you, Sreeni. So, I think it's a good move in terms of the regulation of commission. Because typically, if you look at when this commission regulations were established, it was in an era in which the only distribution was agency. So now you have different distribution like bancassurance direct to web -- some will require more commissions, some would require more expenses to be added, and that should be left to the companies to decide how to play out within the expense management limit. So, I think that's a very progressive move by the regulator, and it is going to benefit in terms of establishing different modes of distribution, put in together.

So I don't see it as a major impact coming through in terms of our strategy of lines. But I think it's a very progressive step, and we welcome that going forward. And your second question was on?

Nidhesh Jain : On the long-range 5-year strategy.

Tapan Singhel : Bajaj Finserv as a holding group, along with the group companies, engages in setting up AOP for all the group companies. I think that's a phenomenon that we do it together

. And whether to

disclose or not, that's a call we can take later. But to give you an assurance that every company in Bajaj Finserv group of companies has this long-range plan which they would be establishing every year.

Nidhesh Jain : On Life insurance, do you expect any impact because of commission regulation?

Tarun Chugh : See, I think it was quite well answered by Tapan already. I think the only added to all of this in the EoM guideline, which doesn't seem to catch people's eye is the positive. While capping the EoM very much at the current limits, there is a provision in the new EoM guidelines. Let's

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see how they come out, but that's there's a provision there, where for any reduction in EoM we have, a portion of it has to result in benefits going to the customer.

I think this is something that most people miss out on. I think it's a very forward-looking step that IRDA has taken. And so, it's not that something you want to give extra to the distributor after that matter or even the company would want to keep. But IRDA is interested that a part of that has to go to the customer. I think all of that envelope is the pretty positive progressive movement from IRDA. It will help the life insurance sector as well.

Sreenivasan : If I can just add to what Tapan and Tarun said, what will happen in the expense cap is, let's say, there are people who come into the market and who want to gain market share. Today, they

spend a lot on expenses, and try to gain market share and whatever that is easier to sell first and then they graduate on to more complex businesses. It's typically the strategy of any company that is in LI or GI.

Now with the expenses being capped they get some delay for the first 5 years. But thereafter, they will have to then focus on good underwriting. Which means that the only way they can take market share away is not by spending more money, but it is by taking more losses - either you underprice or pay higher claim ratio or take higher guarantees or whatever, depending on the type of business. That is a recipe for disaster, because that is like saying that the bank will take market share by taking a lot of credit losses, but by keeping its opex under control.

I don't think any financial institution can work like that. Similarly in insurance, it cannot be like that. And ultimately, whatever the limit is, the companies have to spend a big portion of that in customer service and managing grievances and managing third-party courts. And depending on the business, there are a variety of things that they need to do. So therefore, this will in the long run, support businesses building good brands over long run, building quality business, focusing on customer value, customer service and customer engagement. In the short run, there will be a lot of disruptors and tailwinds, and we just have to see that we tackle them properly.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today.

I would now like to hand the conference over to Mr. Sameer Bhise for closing comments.

Sameer Bhise: Thank you, everyone, for joining this call today. And also, a big thanks to the management of Bajaj Finserv Limited for giving us this opportunity to hold the call. We will end the call here.

Thank you so much.

S Sreenivasan: Thank you all. Thank you, JM.

Moderator: Thank you, on behalf of JM Financial that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

6 May 2023

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Corporate Relations Department
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st Floor, New Trading Ring,
Rotunda Building, P J Tower,
Dalal Street, Mumbai 400 001 To
Corporate Listing Department
National Stock Exchange of India Ltd Exchange Plaza, 5
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BSE CODE: 532978 NSE CODE: BAJAJFINSV

Dear Sir/Madam,

Sub: Transcript of Conference Call held in respect of the Financial Results for the quarter ended 31 March 2023

Re f : Re gul ati o n 30 of S e cu r i ti es and E xch ange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations')
r/w Clause 15 of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letters dated 27 April 2023 and 28 April 2023, the transcript of Q4 FY2023 investors conference call has been uploaded on the website of the Company and is available at 'QUARTERLY EARNINGS CONFERENCE CALL RECORDING & TRANSCRIPTS' drop down available at <https://www.bajajfinserv.in/finserv-investor-presentation> .

Kindly take the above on record.
Thanking you,

Yours faithfully,
For Bajaj Finserv Limited

Uma Shende Company Secretary
Email ID: investors@bajajfinserv.in

Encl.: As above

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"Bajaj Finserv Limited
Q4 FY '23 Earnings Conference Call"
April 28, 2023

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MANAGEMENT : MR. S. SREENIVASAN – CHIEF FINANCIAL OFFICER –
BAJAJ FINSERV LIMITED
MR. TARUN CHUGH – CHIEF EXECUTIVE OFFICER –
BAJAJ ALLIANZ LIFE INSURANCE COMPANY LIMITED
MR. RAMANDEEP SAHNI – CHIEF FINANCIAL OFFICER
– BAJAJ ALLIANZ GENERAL INSURANCE COMPANY

LIMITED

MR. BHARAT KALSI – CHIEF FINANCIAL OFFICER –
BAJAJ ALLIANZ LIFE INSURANCE COMPANY LIMITED
MR. ASHISH PANCHAL – CHIEF EXECUTIVE OFFICER –
BAJAJ FINSERV DIRECT
MR. DEVANG MODY – CHIEF EXECUTIVE OFFICER –
BAJAJ FINSERV HEALTH

MODERATOR : MR. SAMEER BHISE – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to Bajaj Finserv Limited Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sameer Bhise from JM Financial. Thank you and over to you, sir.

Sameer Bhise: Thank you, Zico. Good morning, everyone, and thank you for joining this call today. First, I would like to thank the management of Bajaj Finserv Limited for giving us the opportunity to host this call. From the management team, we have Mr. S Sreenivasan (CFO of Bajaj Finserv Limited), Mr. Tarun Chugh (CEO of Bajaj Alliance Life Insurance), Mr. Bharat Kalsi (CFO of Bajaj Allianz Life Insurance), Mr. Ramandeep Singh Sahni (CFO of Bajaj Allianz General Insurance), and we are also being joined by leadership from Bajaj Finserv Direct, Mr. Ashish Panchal, the CEO; and Bajaj Finserv Health, Mr. Devang Mody, the CEO of the company. Without much ado, I would want to hand over the floor to Mr. Sreenivasan for his opening comments, and then we open for Q&A. Over to you, sir. Thank you.

S Sreenivasan: Thank you, Sameer. Good morning, everybody. I welcome everyone to this conference call to discuss the results of Bajaj Finserv Limited for Q4 of FY23 and the full year FY23. Let me welcome my colleagues from our newer ventures, Ashish Panchal (CEO of Bajaj Finserv Direct), and Devang Mody (CEO of Bajaj Finserv Health).

As before, let me first clear up some hygiene points. In this call, we will largely be concentrating on the consolidated results, as well as the results of our insurance operations through Bajaj Alliance General Insurance (BAGIC), and Bajaj Allianz Life Insurance (BALIC), and where material, the standalone results of our company, BFS. Bajaj Finance (BFL) which is another major subsidiary of ours, has already had its conference call. However, if there are any high-level questions on BFL, we would be glad to take that as well.

We will not be taking any questions on the status of Allianz's stake in our insurance companies, except to state that the status has remained the same as at the end of the previous quarter, and there is no change.

Any statements that may look like forward-looking statements are just estimates and do not constitute an assurance or indication of any future performance result.

Remarks on Ind AS

As required by regulation, BFS prepares its financials in accordance with Indian accounting standards or Ind AS. The insurance companies, however, are not yet covered under Ind AS. They have prepared Ind AS compliant financials only for the purpose of consolidation. Accordingly, for BAGIC and BALIC, any standalone numbers reported are based on the non-Ind AS accounting standards, Indian GAAP, as applicable to insurance companies.

Our results, the press release accompanying the results, and our investor deck have been uploaded on our website yesterday evening.

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Let me now get to the main briefing on the results for the quarter and the year.

I will start with the disclosures on our investor presentation. Being the end of the year, we have enhanced the disclosures of EV, including the EV walk for BALIC and the claims reserving triangle for BAGIC. We have also increased the disclosures in respect of Bajaj Finserv Direct and Bajaj Finserv Health. As mentioned in earlier calls, we have indicated that when the new businesses have reached some level of maturity and the path is clear, we would invite the respective CEOs

to attend this call.

Bajaj Finserv Direct has started its digital technology services business, under the brand of SKALEUP. My colleague Ashish and I will be pleased to take any questions, you may have on Bajaj Markets or Bajaj Finserv Direct.

In Bajaj Finserv Health, we have added slides indicating their business model and how their network and wellness stacks are building up. My colleague Devang and I will be pleased to take any questions you may have on these.

I must caution, however, that these companies are still in startup mode, and you may see more frequent changes in business models, when scaling up as we go forward.

During this quarter, our AMC received the final approval for starting their mutual fund business.

The Bajaj Finserv AMC is expected to launch their first suite of products during Q2 of FY24.

Now, coming to the update for the performance for the quarter and the year.

Q4 of FY23 has been a very good quarter, with all our businesses performing very well. Robust discretionary spending, strong auto sales and very positive uptake of long-term savings, combined to result in our businesses doing exceptionally well.

Let me start with BAGIC.

For the quarter, BAGIC reported a growth of 14% in gross domestic premium income as against the private sector growth of 16.5% and the industry growth of 16.2%. Excluding the tender-driven businesses, which are crop insurance and government health schemes, GDPI growth for the quarter was 16.4% and for the full year was 15.1%.

During the quarter, BAGIC signed up with Axis Bank as a bancassurance partner, thereby further strengthening their bancassurance channel. BAGIC also launched Surety Bonds in the quarter, the first company to do so in the Indian market.

Looking back at the year gone by, you may recall that we had a spike earlier in the year, in the frequency and severity of claims in motor, due to post-COVID increase in traffic density; and in health claims, as customers chose to undergo elective treatments, which were postponed due to COVID. BAGIC, with its focus on strong underwriting, had reviewed these businesses in detail and taken corrective action, the results of which have started showing up in Q4. As a result of these actions, we saw sequential quarter-on-quarter reduction in claim ratios. This approach of balancing growth with profitability is at the heart of what BAGIC does.

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In Q4, BAGIC saw strong growth in both motor and retail health businesses. Growth in GDPI in Q4 was driven by motor (13.3%), retail and group health (16.4% and 29.8% respectively), commercial lines (fire, engineering, marine and liability – 15.2%) and travel or overseas mediclaim (54.5%).

Overall, in Q4 FY23, Bajaj's motor growth of 13% was driven by two-wheeler segment, growing at 26%, the private car segment growing at 18% and the CV segment growing by 1%. The growth in commercial lines was aided by BAGIC's strong bancassurance network and multi-line agency channels, supported by strong underwriting and excellent reinsurance capacity for covering large risks. BAGIC continues its robust performance across retail, commercial and industrial risk categories. Fire, marine and liability segments continued their growth momentum from the previous quarter. Overall commercial lines continue to do well with Q4 and FY23 growth of 15% and 15.2% respectively, against the industry growth of 12.3% and 13.9% respectively.

Health insurance performance has improved in Q4 as compared to the previous quarters of FY23.

Overseas medical or travel insurance continued its momentum ending the year with a 54.5% growth in Q4, while BAGIC growth in retail health at 16.4% was better than the private and PSU players' growth of 11%. Similarly, in group health, BAGIC witnessed a growth of 29.8% in Q4 versus private and PSU players' growth of 23.8%. For the

overall industry, including

standalone health insurers or SAHIs, in Q4 FY23 retail health growth was 16%, while group health growth stood at 28.1%. So, BAGIC has grown a bit faster than that.

In Q4 of FY '22, that's about a year ago, BAGIC had launched the Health Prime Rider, which is an OPD attachment to its health policies. I'm glad to report that during FY23, Bajaj sold 8.8 Lakh riders. Much of this is serviced by Bajaj Finserv health.

For Q4 FY23, the loss ratio was 66.4%, as against 68.8% in Q4 FY22. The decrease was attributable to lower claims in motor, health, and some commercial lines. The combined ratio for Q4 was a healthy 97.3% and for the full year, BAGIC ended with a combined ratio of 100.5%.

We expect this will be among the best, among the composite general insurance companies of comparable size. In a market which is intensely price competitive, this result, we believe, displays BAGIC's commitment to a balanced and profitable growth, on the back of strong sourcing and claims management.

As a result, profit after tax of BAGIC grew 30% Y-o-Y and stood at ₹ 322 crores in Q4 FY23. For the full year, BAGIC reported a slightly higher profit than FY22 at ₹ 1,348 crores. BAGIC AUM grew by 13% to ₹ 27,809 crores as of 31st March 2023. The float generated, represented by increase in AUM, was ₹ 3,176 crores, which includes advance premium of ₹ 1,448 crores. The increase in advance premium was 30% Y-o-Y. One point I would like to highlight is that BAGIC continues to contribute a significant proportion of the industry's profit. I would also like to mention that, in respect of the claims triangles, which we have uploaded like we do every year, we have seen that the revised ultimate expected losses

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for BAGIC is higher than the original expected ultimate losses by a reasonable margin of about 7.6%. This is higher than the 6.8% buffer that we had at the end of last year. Therefore, BAGIC continues to remain well-reserved in terms of its IBNR and IBNER.

In summary, it was a quarter with intense competition and BAGIC has chosen to hold its own with a very good combined ratio, not only for the quarter but also for the full year. Let me go to BALIC next.

During the quarter, BALIC continued its month-on-month growth trajectory, reporting an industry-beating Individual Rated New Business (IRNB) premium growth of 48% against industry and private players' growth of 24% and 35% respectively. Similarly, in FY '23, BALIC's IRNB grew 41% against industry growth of 19% and private players' growth of 24%. In fact, in FY '23, BALIC was the 2nd fastest growing life insurer among the top 10 private players. BALIC's three-year CAGR of 39% in FY23 is the highest in the industry. BALIC improved its market share of IRNB from 6.7% to 7.6% among the private players in FY23. The total number of policies for BALIC grew a healthy 24% to 2.05 Lakhs in Q4 FY23. The overall IRNB mix stood at PAR 15%, non-PAR savings 52%, Term 3%, Annuity 5% and ULIP 25%. So predominantly it was non-PAR savings, followed by ULIP, PAR, and then Annuity and Term. Most lines have shown growth in absolute terms. The business mix changes reflect only relative differences in growth, and hence are not a matter of concern for us in the short term. During the quarter, growth was driven by all our main channels with Agency, Institutional Business and BALIC Direct growing at 65%, 39% and 38% respectively. Another point I would like to highlight is the various initiatives undertaken by BALIC to improve persistency across most cohorts, especially in the later buckets. 13-month persistency has now increased to 83% and the 49th month and 61st month persistency have improved to 64% and 50% respectively. The increase in persistency helped deliver a strong growth of 26% in renewal premium in Q4 FY23.

The new business value

(NBV), net of expense overrun, the key metric of profitability, increased by 35% from ₹308 crores in Q4 FY22 to ₹415 crores in Q4 FY23. For the year ended 31st March 2023, the NBV was ₹950 crores, which is a growth of 53%.

Overall, a good balanced quarter for BALIC with a strong focus on growth with profitability.

Another point I want to talk about is the introduction of IRDA's revised regulations on the Expense of Management and Commission. We believe this is a welcome change for the industry. With the increased flexibility and long-term focus of these regulations, it will help improve the insurance penetration as well as improve the ease of doing business in the country. Both BAGIC and BALIC are operating well within the prescribed guidelines as of the FY23 numbers, and together with our partners, we shall continue to seek a strong balanced growth in accordance with the framework that the IRDAI has provided.

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Finally, both insurance companies are financially among the most solvent, BALIC with 516% solvency and BAGIC with 319%, and hence are well poised to weather any external adversity. Needless to say, both BAGIC and BALIC are dividend-paying companies, and both have increased their dividend payout in this year from the previous year.

All our insurance businesses have further augmented their digital capabilities, which along with greater digital acceptance by the customers, should, we hope, help create the foundation to deliver a strong performance in the coming year. Both BAGIC and BALIC have seen an increase in the utilization of the digital properties by customers and intermediaries. Further details of

BAGIC and BALIC's digital capability are covered in the investor deck uploaded on the website. A short word on our lending businesses, BFL and BHFL.

BFL, as mentioned in the conference call, had an excellent Q4 and the full year FY23 too was very good, as the company delivered on all its long-term financial guidance metrics - AUM, profit growth, return on assets, return on equity, and gross and net NPAs.

Continuing its growth story, BFL acquired 31 Lakh new customers in Q4 and 1.16 Crore new customers in FY23, which is the highest ever customer franchise addition in a year for BFL.

Building on this customer franchise, the number of new loans booked in Q4 FY23 increased 20%, from 62.8 Lakhs to 75.6 Lakhs. The company's diversified business model has enabled it to record a strong AUM growth, as seen from the total AUM standing at ₹2,47,379 crores as on 31st March 2023 versus ₹1,92,087 crores on 31st March 2022.

It continues to maintain a management overlay provision of ₹960 crores at a consolidated level as of 31st March 2023.

The gross and net NPAs have shown further improvement - the gross NPA being below 1% (at 0.94%) as against 1.6% last year and the net NPA is 0.34% as against 0.68% in the previous year.

Consequently, BFL ended the quarter with a profit after tax of ₹3,158 crores, which is 30% higher than the same quarter of the previous year. The capital adequacy remains strong with a 25% overall capital adequacy.

Bajaj Housing Finance, the 100% mortgage subsidiary of BFL, continues to do well. The AUM grew 30% to ₹69,228 crores. The profit after tax grew 52% to ₹407 crores in Q4. For the full year, the PAT grew 77% to ₹1,258 crores. So, welcome to the thousand crores club to Bajaj Housing Finance Limited. The capital adequacy ratio continues to be strong at 22.97%, ensuring a very good quarter for both BFL and BHFL.

Now, to give an update on our newer companies, Bajaj Finserv Direct or Bajaj Markets and Bajaj Finserv Health.

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During Q4 of FY23, Bajaj Markets attracted 1.06 crore consumers on its digital platform. These are people who visit our digital property, of which

2 lakhs became customers. This is a growth against last quarter's numbers of 84 lakhs and 1.9 lakhs respectively.

BFSD's lending operation (Unsecured and Secured, both BFL as well as outside partnership) disbursement stood at ₹1,313 crores as against ₹1,175 crores in Q3 FY23. It sold 65,167 cards in Q4, as against 61,027 credit cards in Q3 FY23. As of 31st March 2023, BFSD has attracted 3.4 crore consumers on its digital platform, of which 7.5 lakhs have become customers. The total revenue for FY23 stood at ₹391 crores, which grew 89% Y-o-Y over FY22.

Coming to Bajaj Finserv Health Ltd - it carried out 11.5 lakh health transactions, having 3.34 lakh+ monthly active users. For the quarter, Bajaj Finserv Health had 9.67 lakh paying users, with 3.52 lakh users having renewable products.

Bajaj Finserv Health is also expanding its provider network, which includes 1.2 lakh+ doctors, 6,000+ lab touch points and 1,800 plus hospitals and clinics. Utilizing the network's strength, Bajaj Finserv Health is powering OPD services for BAGIC as well and recorded a gross premium of ₹82 crores for BAGIC in FY23.

I would like to point out that owing to the strong performance of most of our major subsidiaries throughout the year, BFS has recorded its highest ever consolidated PAT of ₹6,417 crores in FY23, with a growth of 41% as compared to FY22.

To summarize, consolidated total income for Q4 increased 25% to ₹23,625 crores and consolidated profit after tax increased 31% to ₹1,769 crores. For the full year, the consolidated total income was up 20% to ₹82,072 crores, and the consolidated profit after tax was 41% higher at ₹6,417 crores.

Just to highlight, the consolidated profit is after absorbing mark-to-market gains and losses on the equity securities portfolio held by the insurance companies, which is required to be mark-to-market under Ind-AS to the extent they are held through profit and loss account. The total impact was a loss of ₹328 crores in FY23 and a gain of ₹2 crores in FY22. Excluding the volatile impact of MTM losses, the profit after tax would have increased by 28% in Q4 FY23 and 48% for the full year.

Before we open for questions, considering the limited amount of time, I would request the audience to kindly keep their questions brief. And I would also request, please do not ask questions which have already been covered by an earlier participant. With this, I invite questions from the audience. And we have the full management team here to take any questions you might have. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mr. Dhaval from DSP. Please go ahead.

Dhaval: Yes. Hi Sreeni. Hi everyone. Thanks for the opportunity. So, three quick questions. One is on BAGIC. So, overall, we have seen, combination ratio now settled between 99.5% to 100.5%.

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And, historically, when the environment was more favorable, it was about 95% to 97%. So, when do you think we are at the peak, and maybe in the next couple of years, do we move back in that direction? So, some sense around the landscape, and what do you think about the combined ratio?

The second question is on Finserv Direct. Last time I remember you said 80-20 is the broad split between lending and non-lending revenues. For the full year, if you could just provide a broad breakup between lending, cards, and others, that would be very useful. Also, what I observed was our visits and transacting customer base has been flattening over the last few quarters now. So, are there any changes that we are doing in the operating model?

And the final question was on the Bajaj Health side. Basically, the growth rates have started to taper down in terms of active user engagement. So, the MAU (Monthly Active Users) has

come

down and even the prime retention seems to be tapering. So, any comments around that would be useful, especially on the transacting user part.

Sreenivasan: Thank you, Dhaval. I will take the first question first, and hand it over to Raman briefly. You had a question about combined ratio and where do you think it will settle. I think the combined ratio that you see is a weighted average of multiple lines of business, done across multiple channels. The company, as you know, works on a very granular basis, and there is a continuous activity of managing combined ratio by weeding out losing relationships and looking at profit pools, etc. If you recall the first quarter, we had a pretty high combined ratio of around 105%. Then quarter-on-quarter, we went into correction mode, and we have brought it back to about 100%. Raman will add on.

Ramandeep Sahni: Yes. Thanks, Sreeni. Hi, Dhaval. So, I will just add to what Sreeni said. I think what is important here, Dhaval, is to understand there are too many moving parts at this stage. As we know, there is a big impact expected from the Motor Vehicle Act. If you're on the TP side, if we end up getting early reporting as we envisage, then things could look very different from where we stand today.

The second one is the impact of the new EoM regulation. Given that 55% to 60% of the players are above the 30% limit, and the commercials are also expected to come down. Both of these could play a big impact on how the CoR is expected to emerge going forward. So, to your point, at this stage, maybe it will be very difficult to predict, because if both of these work in the direction as we feel - early reporting starts and people start getting more rational about commercials - then maybe going back to, levels of 97% - 98% may not be a big challenge. But if things continue the way they are, then, obviously, closer to 100% is where things could emerge. But like Sreeni rightly said, our endeavor is to always be below 100%. And in the worst of the scenarios, maybe this year could be one of them, we've been able to close that close to 100%. Whereas for the entire industry for nine months it was at 122%. It's moved up in fact compared to last year. So, our endeavor will be to be less than 100%, is where we stand today.

Sreenivasan: Now, I'll ask Ashish to take the next question. Your question was on whether the number of visiting consumers and active customers are slowing down. And you mentioned that has a 80 -

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20 split of revenue. I think I would like to make a small correction. What we mentioned last time is between the Bajaj Finance business and the open access business, the split was about 80-20 across cards and loans. I'll now pass it on to Ashish.

Ashish Panchal: Thank you for the question. For Bajaj Finserv Direct, there are two lines of businesses. One is our open architecture marketplace and the other is we also are technology services provider both to some of the group companies and non-group companies. So, let's call it as technology services business. The revenue split between the marketplace and the technology services businesses was 76-24. So, out of ₹357 crores of total revenue, ₹273 crores came from marketplace businesses which are lending, cards, insurance, and investments. And ₹85 crores came from technology services business. Further splitting the marketplace revenue, out of the 76% of the total revenue

that came from marketplace, 66% came from lending, 8% from cards, and 2% from insurance and investments.

Avinash Singh: Now, I'll give it to Devang for your question on Bajaj Finserv Health.

Devang Mody: Thank you, Dhaval, for the question. And you are right that our MAU has started flattening. I'll give you the rationale of that. We set up a network of providers, which is doctors, laboratories as well as hospitals. As we set

up the network, it's imperative for us to give them transactions.

Our product sales, either through BAGIC's Health Prime Rider, or other product sales, catches up after our network is well equipped to service the transaction. And hence, if you see in quarter 4 of last financial year, quarter 1 and quarter 2 of this year, we had significantly higher traffic, primarily driven by paid traffic. That we have started winding off. Rather, we are now not spending any money in getting paid traffic. What we are focused on as far as the growth metrics are concerned, which is the very important attribute for us to build the ecosystem around OPD, is how many transactions we are doing.

And if you see most of the category of transactions which we have started publishing now, doctor transactions have become 6x, while diagnostic transactions have become 5x in last one year. So, as we go forward, our focus is to get more transactions done, rather than getting more traffic done. Most of these transactions happen from customers which are our paying users. Our level of paying user was significantly less last year, so we had to complement it with paid traffic to drive some relevance with network which we enroll. And hence, there is a drop in the MAU. I hope I have been able to answer your question, Dhaval.

Sreenivasan: Dhaval, just to add to this - for both these companies, I think there are two aspects to it. One is we continue to build capabilities, both on tech side, on people side, and network and partner side. So, that is going on. And as they grow, I think we expect more and more consumers will come to us. What is very heartening for us to see is the number of consumers who are coming and spending time in our ecosystem, which is a sort of vision that we had when we set up this open architecture business and the healthcare business. And all these are potential customers for any of our products and solutions, whether it's insurance or lending or maybe in future, the mutual fund as well.

Dhaval: Got it. Thanks, and I'll come back in the queue. Thanks.

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Moderator: Thank you. Our next question is from the line of Mr. Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity. Sir, I have a few questions on BALIC and BAGIC. So, the first one is on BALIC. Basically, if you look at high margin products, including non-par protection and annuity, which was last year 41% of the total individual AP, today it is 52%. But the margin expansion seems to be very limited from 14.2% to 15.5%. Just wanted to understand, is it that the spread in the non-par business has come up meaningfully, or has the acquisition cost been on the higher side, leading to that margin compression?

And the other question which I had was with respect to BALIC, is that if you can quantify the way you have quantified when the budget announcement came, how much high ticket non-ULIP contributed for FY23, Q4 FY23 and March 2023? If you can give the figures, it will be very useful.

And last one, there seems to be some weakness in annuity and group protection business. Despite very strong growth, these two businesses seem to be a little weak in FY23 and the fourth quarter. I just wanted to understand how you see these businesses to do going ahead. That's on BALIC.

Sreenivasan: I will let Tarun and the team take the questions. Largely, your questions were on the non-par savings segment being significantly higher than last year and being a high margin product, why have the margins not grown in proportion to business. And the second question was on why group protection and annuity you think could have done better based on what you see in the market in terms of loan growth and demand growth.

Sanketh Godha: Yes. And last one is for ₹5 lakh plus ticket size, what was the contribution?
Sreenivas

an: I don't know whether we want to disclose that or not, but I leave it to Tarun and team to take that question. Thank you, Sanketh.

Tarun Chugh: I'll ask Bharat to answer the margin question and then I'll take the rest.

Bharat Kalsi: Yes. Thank you, Tarun. See, Sanketh, there are 2-3 things. We always said that we look at NBV growth rather than the margin growth. And we have a very strong growth of NBV of 53%.

Margin is a factor of multiple things. NBV has actually reflected the change in the product mix. Specific to your question on the high ticket size in the non-par saving - if you look at ₹5 lakh

and above ticket size, the customer gets anything between 10 to 20 basis point higher IRR, which in turn means the margin on a higher ticket size per unit is lower for the insurer. In this year, our higher ticket size has actually gone up significantly, resulting in a relatively little lower margin. That is reflecting in the NBM. But as I said, NBV is still up by 53% for the year. That's the first answer.

Secondly, if you look at our group protection - that has not grown in the quarter 4, or it has only grown 4% in the full year - what has happened is we have two, three large partners whom we work with, like banks. Their disbursements have not been growing as fast as compared to the

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other industry players. And because group protection is an attachment product, when their disbursement or credit uptake doesn't go up, as a result our business also doesn't go up. And further, group protection is typically a higher margin because of the 1/10th of ANP logic. In absolute term, it may be a 6%, 7%, 8% margin. But when it comes to NBM, it goes into 60%, 70%, 80%. So, if that doesn't grow, it also gets reflected in the NBM. That was the broad insight on the overall margins. If you still have any question, I'm happy to answer.

Sanketh Godha: Maybe if you can touch upon annuity.

Bharat Kalsi: I'll touch on that also. And just to add on to my previous thing, one, I'll further update you. What has happened in that in the non-par saving in the higher ticket size. See, typically, our average PPT on a non-par saving could be range of 8 to 10 years. But in this period, people have gone for smaller tickets, smaller PPTs like five-year, six-year and seven-year. And as you know, the longer the product, the higher the margin. And because in this year, people have gone for a shorter PPT, that also reflects in the margins. Again, it is all value accretive. 53% NBV growth is what it reflects in. That's on the margin side. Can you just repeat your question on the annuity? What is exactly that you wanted to know?

Sanketh Godha: There seems to be some weakness maybe because of the competition because the regular paid deferred annuity now is launched by every insurance company. We were first to introduce it. But since then, when the competition has launched, we have seen a weakness in that particular product.

Tarun Chugh: Thanks Bharat. Bharat answered your questions on margins. Let me give you the data. I'm okay with sharing the data with you on the high ticket and the impact that goes into your Excel sheets. And Sanketh, we really value the way you look at life insurance. So just to let you know that till the last year January, our high ticket above ₹5 lakhs was about 9%. February and March for those two months, it went up to 24%. For a normal year, unlike last year, our dynamic equilibrium is in the range of 8% to 9%. Of course, we all know that last two months of the year were more because of the tax benefits and hence that's not going to be repeated. We expect this to remain in the 8% to 9% range. So, I think the abnormal growth that we had because of high ticket is something which the sector should not really be expecting any further. So that is just on the data itself. And just

to answer that we'll be in the 8% to 9%, which is what we are comfortable with. In any case, Bharat has told you that we very clearly that when we go for high value, the margins also get to be lower because this is totally a customer who's really looking at investments more than the insurance cover. So that is stabilized. Group protection, Bharat has already answered, from the past that yes, we basically have two to three very large carriers. And because of them not growing much, their asset business kind of came down and didn't really grow; 4% is hardly any growth I would say. I think we are back in expanding that business. We want to be sure on whatever is coming out in the EoM guidelines and based on that, maybe take a call for this year. And going forward, we've always been strong in the group protection. We shall go back and wrestle our market share back and that remains.

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On annuities too, you're right. We've been a leader. The first Deferred Annuity plan was ours, the GPG, and it still has a lot of traction in the market. What had happened last year was that given the ₹5 lakh and above benefit that was coming through in February and March, our share of annuities particularly has come down to near single digits during the last quarter. We remain very bullish on the annuities. In fact, now with the ₹5 lakh and above market and particularly the 45 years and above customer, we expect to start getting back into the Deferred

Annuity space. It's a very good space to be in. The product also is beneficial in various ways. It is the only product in the entire financial services business, which handles the risk of longevity. That is what India doesn't have. I think there's a natural market for it. You will see the share grow and our focus grow in that as well.

Sanketh Godha: Got it, sir. Thanks for answering. Probably if I can ask two questions on Bajaj General Insurance.

Sir on Bajaj General, the question which I had was that if you look at the exit loss ratios of Motor OD and Motor TP, which is 64% and 61% respectively, seems to be very good compared to the kind of competition that is there in the market. So do you believe that you have already made all those kind of corrective measures and expect these kinds of loss ratios to be demonstrated going ahead? Because full year numbers are very different from the fourth quarter. I just wanted to understand that part a little better, how we see FY24 with respect to Motor business.

Last one on BAGIC is that the expense of management, it is believed to have a material impact on commercial lines because many companies, as you highlighted, 60% -65% of the companies are not compliant with 30 percentage. They might try to chase commercial businesses to improve their expense ratios. And this business was the most profitable business probably in FY23. I just wanted to understand that given the EOM guidelines and reinsurance hardening, do you think commercial lines will see a huge pressure in FY24?

S Sreenivasan: I will briefly take the first question and allow Raman to expand on it and answer the second question. The loss ratio is a function of sourcing as well as pricing. Pricing is decided by the market, sourcing is controllable by the company. Now, when you do an experience-based pricing or a selection through underwriting as we see in insurance, you write a lot of business, you do it through partners. And when you write new cars, you are tied up with dealers and whatever car they write, you try to take a share out of it, depending on whether they are exclusive or not. Now, later, as you gain experience, you find out where you weed out and where you focus on. The same applies to all other channels like multiline agency or Bancassurance, which also do motor business. So, this is the factor. In Q1, we saw there was a spike in frequency and severity,

which led to high claim ratio, high combined ratio and then we announced at the time that, we are now going into correction mode. And this is not the first time, we have done it. If you go back three-four years, you will find the same commentary in our investor calls that Q1 was not good, so we have repaired it. Commercial lines are different. Commercial lines' loss ratios come from catastrophe and various other events also. But I will now let Raman expand on this as well as take the second question, which you had on the EOM.

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Ramandeep Sahni: Thanks, Sanketh. So, on the loss ratios, like Sreenivasan rightly articulated, this year has been a unique year because quarter 1, we had a big spike coming because of the re-emergence of travel, as everybody called it. And so, that really took up the loss ratios to upwards of 85% for us and similar ratios for the industry. And we know that quarter 4 is normally an aberration because a lot of changes are done in quarter 4, assumption changes and so on and so forth. So, maybe to answer your question, the levels of 63% and 61% obviously are not sustainable. But I think in the long term, OD, as we believe, 65% to 67% is what we have experienced and that's where we will probably end up.

One change, however, what we're seeing is, that our mix of two-wheeler used to be low earlier and then we are scaling up. So, the impact of that on the overall motor loss ratio, we'll have to wait and figure out. But as we stand between 65% to 67% on OD is something which is, what we can expect. On TP, like I mentioned earlier, it's a big take from what happened in the outcome of the Motor Vehicle Act. As we all know, we are expecting early reporting to start. There are some green shoots which we have seen, but nothing significant at this stage to start taking benefit of that. If that was to really come, then anywhere between 70 to 75 would be a decent number to expect. Otherwise, as an industry, we will struggle because of the impact of inflation, which we've seen in the past. That's where, I believe the loss ratios will pan out to be.

On the EOM - again, like I mentioned earlier and like you rightly articulated, 60% of the industry seems to be higher than 30%. So, obviously, there will be a lot of plays on how the commercial starts playing out year on. At this stage, maybe it's too early to predict. Maybe after the end of first quarter, there'll be more clarity. But I personally believe that, given the way the industry has been operating at 122% combined ratio and 60% of the industry being upwards of 30% of GWP on cost, it has to get normalized. So, I personally believe that the commercials will start coming down going forward. But like I said, let's wait for quarter 1 to end, and maybe we can then discuss in more detail.

S Sreenivasan: Just to add to what Raman said on the EOM, see, basically regulator has given a budget of 30% of Gross premium. Each company has to decide, how do I play 70% -30% and reach 100%

combined ratio, 70% loss ratio or expected loss ratio. You never know what the actual loss ratio is until you've actually experienced it. Or somebody might say that I will go for 40% expense ratio. They can't do that. So, they will have to either then, look at selecting customers with a higher loss ratio and say, I will run with a higher combined ratio. I think that math will play out over the next few months and let us see how it goes.

Sanketh Godha: Got it, sir. Thanks for answering my questions.

Moderator: Thank you. Our next question is from the line of Mr. Uday Pai with Investec. Please go ahead.

Uday Pai: Hello. Thank you for taking my question. Just one question from my side. What was the share of Axis Bank channel in BALIC?

Tarun Chugh: Axis share has been at 25% for us, of the entire business. And with the growth rate in other businesses

is growing faster, we expect this to remain in this broad range and not really go beyond that. And that's the way we were always comfortable. I've maintained for the last three years that

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unlike our peers, we are very clear that, there's not one bank or one distributor, who should have more than a certain percentage. And it feels healthy for the banks, honestly, if that's the way, the insurance providers are. Good thing is, we've added a lot many banks last year, and we expect them to prop up our business in the coming year.

Uday Pai: Okay, thank you.

Moderator: Thank you. Our next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Hi, thank you for giving me the opportunity. So, I have a basic question on BAGIC. I was trying to understand, while you've given us the growth in the private car, two-wheeler and CV segment, if you can help us understand, what is the mix of your motor book across these segments? And how has it moved over the years? And are you targeting one particular segment, or how are you looking at this business segment wise?

Sreenivasan: Shreya, thank you for your question. In motor, from outside it looks like one line of business, but it is many lines of businesses. There are private cars, there is own damage, TP, combination of the two. There is the two-wheeler segment, which are new two-wheelers, the older two-wheelers, which have a higher proportion of TP premium, because OD premiums are very low in two-wheelers. And there are many types of commercial vehicles. Where in some areas, BAGIC does not compete, some of them, they compete more aggressively. So, it's very difficult to put a target. If you have seen the commercial vehicle growth has been low, because we have been focused only on segments which historically have been profitable for us. Raman, would you like to expand on that?

Ramandeep Sahni: Yes, thanks. Shreya, I'll just try to summarize - see why we don't share so much of granular information, because like Sreeni said, there are too many breakdowns which are available. So, what I can summarize is, if you look at the overall motor segment, there are three large parts, two-wheeler, four-wheeler, and CV. I'll just try to give you a flavor where we stand.

So, in two-wheeler, as you know, we used to have a handicap earlier and our market share on new two-wheeler sales used to be sub 4%. As we highlighted in the recent calls, we have started tying up with the OEMs, the issue of the brand conflict seems to be behind us, except for Hero. Almost all other tie-ups like Suzuki, TVS, Royal Enfield, Yamaha, we've been able to break the ice there. And our market share has now moved up to close to 9%. Similarly, in four-wheeler, our market share on new sales is close to 9%. And these are two segments, where we really focus a lot, except Maruti, where we know that, there is this issue of open market and high amount of discounting going up. So, our endeavor is to focus more on the new two-wheeler sales, barring Maruti, where the issue is there, and try to garner a good share of the profitable business.

Just to give you a flavor, we've grown 26% on two-wheeler, which is after a very long time, we've seen, this kind of growth. And four-wheeler also, the growth is pretty healthy at about 18% for the quarter. CV is something, which we are less focused on this year. I don't know, if you've been tracking us as a company, but last few years, we've been kind of leaders on the CV space because of one of the profit pools we had identified for ourselves. And we had garnered a great share of the school bus business especially because it is highly profitable. But after seeing

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the profit pools being exploited by us, now the market has got over-crowded and that

's why we

are diversifying away from that. And hence, our growth on CV this year has been marginal for last quarter. So, that's where we stand. Any more details, maybe we can take it off-line.

Shreya Shivani: No, this is quite useful. Thank you for answer patiently.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and one. Our next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : Hi. This pertains to the claims ratio in the health business. Because there has been a fair amount of quality sale and a significant increase on a sequential basis. So, if you could help us, in understanding this jump, sir?

S Sreenivasan: One point I'd like to make is on group health. We are doing exceptionally well. We have always been saying that group health is not a business where we are either aggressive or conservative, but we do business on our own terms where we see possibility of profit. And BAGIC has a combined ratio below 100% in group health, which is maybe a multi-year best performance, despite growing at close to 30%. Raman, would you like to add on the volatility in claim ratios on health?

Ramandeep Sahni: Yes. So, this year has been a little stressful as far as the health loss ratios are concerned. Especially the first half of the year, we see a lot of increase on the severity of health claims. And a lot of these were coming because of the impact of inflation.

Now, I think it's trying to taper down. Also, we saw some amount of fraud getting reported, especially in pockets of some states in the country and that is something, which we've addressed very significantly in second half of the year. While I must admit that, while our anti-fraud controls were very good as far as motor was concerned, but we were less focused on the other lines of business, because the frauds were not as prevalent there. But recently after the pandemic, we've seen that the number of frauds now getting reported on the health lines of business - and not only retail health, even on the GMC side, have gone up significantly. Fortunately, we caught it early and we've invested a lot in that team. So, that is one reason that our loss ratios were higher for some part of the year. But year on, they will start tapering down at least for retail health.

Overall, they're looking a little higher this year also because our proportion of group health has gone up, as you would have seen (this is GMC I'm talking about) there the growth is significantly higher compared to retail health. So, that's why, overall, you're seeing that the loss ratios are looking on the higher side. But I must admit that overall GMC is looking profitable after a very long time. And you would have heard from us in the past that, we had slowed down on GMC significantly because of the impact on profitability. But now, whatever we are writing is only the profitable ones and hence the growth is pretty decent there. So, that's where we are on health. So, like this year, I believe is the aberration. Maybe quarter one onwards you'll start seeing the real loss ratios emerge for retail health, is where I will commit.

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S Sreenivasan: I'll just add to what Raman said, Nischint, is that health is a very high level of engagement business and very service oriented. It's not a business, where people change insurers every year.

And one of the things I will urge everybody to look at is the repudiation ratio, which is published every quarter in the public disclosures. For the market, this year has been varying from 5% to 20%. And we are at the lower end of that. And probably in claims servicing, we continue to take pride that, we are among the best.

There is some news that, in the industry, they have collaborated, and the indications are that the incidence of frauds could be in double digits

for the industry. These are suspected frauds and through the Information Bureau, further work will be done. But one of the downsides of the pandemic was that suddenly the fraudsters have also realized that this is one more area where we can now make a bit of money through reimbursement claims. Various types of frauds have been noticed there, across the industry. You can check with many other participants also, they will also confirm this. But the industry is very seriously addressing this. The regulator is very much on top of it. And we think that within a year or two, this will get sorted out.

Nischint Chawathe : Someone mentioned that inflation is controlled now. So, does it mean that the cost is going down, or does it mean that you're being balanced?

Ramandeep Singh : I think the impact of inflation was that as you know, during the pandemic, everybody was charging much higher for not only the COVID related treatments, but otherwise also. And that sustained for a period of time after the pandemic also. But we've gone back to the hospitals, renegotiated quite a few of the rates, and put pressure on them to rationalize the rates. And because of that, we've seen that the severity has started coming down a little compared to what we had seen in the earlier part of the year.

One more thing I didn't mention earlier, is the other reason for volatility in our retail health loss

ratio also, is the fact of the proportion of fresh health business. As we know that in the first half of the year, we were not doing that well. And specifically, we had a discussion, and I told you that we will focus a lot more on retail health. And you would have seen that now, for the last quarter, our retail health growth is higher than the rest of the industry. So, with the proportion of retail health also going up, you will start seeing that the loss ratios will normalize further, compared to some of the other players in the market.

Nischint Chawathe : Have you taken a tariff hike on the retail side?

Ramandeep Singh : So, we did it immediately before the pandemic, as you would remember. And normally, our experience has been that once in three years is what is largely acceptable to the public at large.

And hence, we end up following that rate. So, maybe sometime during the year or towards the end of the year is what we expect the next round of hikes to happen.

Nischint Chawathe : Thank you.

Moderator: Thank you. Our next question is from the line of Mr. Dhaval from DSP. Please go ahead.

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Dhaval: Yes. Thanks for the opportunity again. Just quickly on the return ratios for BAGIC. So, maybe question for Raman. Overall, when do you see the business move back to 17%, 18% full-year ROE? And is that a sustainable level of return that we are targeting, or is there a possibility we move back to 19%, 20%, ROE as well? Any thoughts and broad sort of timeline that would be very useful.

S Sreenivasan: Okay. I will take that Dhaval. I think, it used to be 20% + for several years. Thereafter, what we have seen is because of focus on profitability, we are generating capital over the last few years.

Although we are paying dividends, our solvency margin is increasing quarter-on-quarter. So, to that extent, the equity is somewhat high. And therefore, the ROEs have come down. Secondly, the business mix has also changed, more commercial business, expensive price discounting in motor, the real float generators are only from motor third party. To that extent, the investment leverage has come down a little bit.

So, if you ask me today, we would be more comfortable with the 15% to 18% ROE range as compared to, say, the earlier range of maybe 18% to 22%. The other point is, the way we do accounting here on standalone Indian GAAP, is we do not defer acquisition costs. So, there is a big impact of that, as your premium gets earned

over time, but your costs are written off upfront.

And secondly, we also have seen that, we are somewhat conservative on reserving.

If you look at our ULR triangles, it's pretty clear that our original ULR is about 7.5% higher than our revised ultimate loss ratios. So, overall, these are some hidden things if you want to compare this to another company internationally. If you adjust for these, ROE will probably be closer to 20%, I presume. I have not done the math, but it will be higher than where it is anyway.

Dhaval: Sure. And, Sreenivasan, you expect this business to move to higher ROEs, let's say, 16%, 17%, 18%, from here upon?

S Sreenivasan: See we have to make investments in business also. There are a lot of regulatory changes happening. There is BIMA Sugam, BIMA Vistar - all these require investments. We're also investing into what we call our GEO framework. And we are investing in a lot of tier 3, tier 4 towns, because we see that we have the brand strength, we have the expense allowance, and we have the capability to deliver.

We started that last year, and this year, we expect that to grow very well as well. So, there are investments required. We need to continue to invest in capability on the health side, whereas on the commercial and other lines, we have been doing very well, but there is an element of the catastrophes and other sources of volatility in those businesses. Having said that, the reinsurance market is a bit hard this year. We still have come out with pretty good terms for the rest of the year. So FY24 at least looks reasonable for the commercial side, in terms of opportunity.

Dhaval: Got it. Thanks, and all the best.

Moderator: Thank you. Our next question is from the line of Mr. Anand Bhavnani from White Oak Capital. Please go ahead.

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Anand Bhavnani: Thank you for the opportunity. On Finserv health, I see losses widened, in this year, to ₹188 crores versus ₹129 crores. So, if you can give us a broad sense, three years to five years out, how we are thinking of this business? What's the potential here, and is there a thought process on

breakeven here?

S Sreenivasan: You see, last time, I think I mentioned that we had invested about ₹450 crores by end of the year. Because this is a new business, and we will have to continue to invest, we will make an equal investment over the next 3-4 years. Devang, would you like to add to that?

Devang Mody: See, at this point of time, our focus is to get more health transactions done. So, as you are seeing, what we have started publishing is cohort-wise transactions. Priority for the company, at this point of time is to build out more and more service. Like we are investing deeply in technology as well as network as far as dental network is concerned. And that's where, you will see transactions going up in coming years and to create a product framework. And after that, we have lined up more services, to be covered.

So, at this point of time, our priority is to get more and more health transactions done and to play a larger role in consumers' health care management. That is how, we define success at this point of time. Obviously, we will refine the spend as one of the participants asked in their question.

Now, we are not spending in getting traffic. We are just servicing our customers and getting transaction done. So, we believe we will invest where it is required, which is to build out network and to build out technology services.

S Sreenivasan: Let me give you one view from BFS side. If you see our record profit is after absorbing 100% of these losses because they are wholly owned subsidiary. Therefore, we have businesses, which have multiple levers. They behaved differently under, say, high inflation. Inflation is bad for BAGIC. With a bit of lag, it is generally good for BFL. And it's pretty good for BALIC because

the guaranteed rates increase with a lag. We also have this ecosystem which has multiple components - we have open architecture under Finserv markets, we have the health care ecosystem which is a population business.

So, if I look at say 10-15 years, it's a business where you have to hang on and create the capability and become a player with some large brand, which can operate all over India with operational excellence. That's what this business is about. And we have to get more and more customers to use our products and services and keep expanding the network and the products and services.

So, when you add up all these together is what you have as BFS.

So, it is not an investing holding company, that we put in financial markets and carry huge amount of surplus. It's a company where we continue to invest in the ecosystem of our customers, which today is largely middle class, mass affluent and above. But over time, some of the businesses like insurance and health will also go into the mass markets in a bigger way, because the businesses are like that and that's where the market is.

Anand Bhavnani: Got it. And second question is on the Bajaj markets. There we see a lot of traffic. In terms of monetizing that traffic, particularly on the insurance side, which is a push product, how are you thinking? Like there are dedicated players, who have this pricing discovery platform, and then

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they call the customers and push the insurance product. Do you think, you would explore that kind of option, having a dedicated call center to push through the insurance product from the leads, on Bajaj Markets app?

S Sreenivasan: Let me first take that and then hand over to Ashish. If you look at insurance, both insurance companies have very solid distribution, very broad and deep distribution across channels - whether it is individual agents, whether it is banks, whether it is brokers, etc. And Finserv Markets is an open architecture platform, and to start with in the first few years the focus will always be on loans. Therefore, as a group distribution, we are much bigger and better than what we were last year. Now, in terms of products that they will sell, Ashish will expand on how they want to look at it.

Ashish Panchal: Sure. So, answering specifically for insurance. While as I mentioned, loans and cards are the bigger revenue generators on the marketplace for us; as far as insurance is concerned - we have a corporate agency license as an entity and therefore, we have tied up with insurance manufacturers on life, general and health side, to offer their products.

We have an insurance marketplace that is embedded inside the overall app and web digital properties that we have, where customers can choose products, they can compare and they can do end-to-end buying journey, either assisted or unassisted in a DIY format. In addition, we have about 400 innovative asset products, which are insurance/value-added products which cover various aspects of life, both arising out of insurance needs, as well as otherwise. And that is the entry point for the customer, into the insurance pool.

S Sreenivasan: Let me just add one more point here. When you look at Bajaj Finserv Markets, it works under an open architecture, and over time we have now been able to demonstrate neutrality. So, they will have multiple partners. The customer will make a choice, so it's a customer-centric

organization. In that BAGIC and BALIC will participate in such of those businesses, which as a manufacturer, given their risk profile and their profitability needs, they feel they need to compete. But the other partners will also compete , and so we have the distribution revenue pool from all the partners . And our own companies, may compete on certa in segments of the manufacturing profit pool, where they feel comfortable.

But in the

process, there is a multi -stage thing. The first is to acquire customers, the pocket products that Ashish talked about, will bring us a lot of customers - many customers will buy it, they will use the app, they will find the value in the app , and they will also take other products from our ecosystem. Because they are in the ecosystem, next time they want to buy something, they will come and check us out. That is the first step. Once they do that, over time we will be able to grow the market.

Anand Bhavnani: Sure. Thank you and all the best.

Moderator: Thank you. That was the end of our question -and-answer session. I now hand the conference over to Mr. Akshay Jain from JM Fi nancial for closing comments. Over to you.

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Akshay Jain: Thank you all for joining the call and thank you to the management of Bajaj Finserv Limited, for giving us the opportunity to host this call. Thank you.

S Sreenivasan: Thank you.

Moderator: On behalf of JM Financial , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Aug 2024

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"Bajaj Finserv Limited
Q1 FY'25 Earnings Conference Call"
July 25, 2024

MANAGEMENT : MR. S. SREENIVASAN – CHIEF FINANCIAL OFFICER –
BAJAJ FINSERV LIMITED
M R. TAPAN SINGHEL – CHIEF EXECUTIVE OFFICER –
BAJAJ ALLIANZ GENERAL INSURANCE COMPANY
M R. TARUN CHUGH – CHIEF EXECUTIVE OFFICER –
BAJAJ ALLIANZ LIFE INSURANCE
M R. RAMANDEEP SAHNI – CHIEF FINANCIAL OFFICER
– BAJAJ ALLIANZ GENERAL INSURANCE
M R. VIPIN BANSAL – CHIEF FINANCIAL OFFICER –
LIFE INSURANCE
M R. ASHISH PANCHAL – CHIEF EXECUTIVE OFFICER –
BAJAJ FINSERV DIRECT
M R. DEVANG MODY – CHIEF EXECUTIVE OFFICER –
BAJAJ FINSERV HEALTH

MODERATOR : MR. RAGHVESH – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Earnings Conference Call for Bajaj Finserv Limited, hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghvesh. Thank you, and over to you, sir.

Raghvesh: Thank you. Good afternoon, everyone, and welcome to the Q1 FY '25 earnings conference call for Bajaj Finserv Limited. First of all, I would like to thank the management of Bajaj Finserv for giving us this opportunity to host the call. As always, we'll have opening comments from the management team, post which we'll open the floor for Q&A.

From the management side today, we have Mr. S. Sreenivasan, CFO, Bajaj Finserv; Mr. Tapan Singhel, CEO, Bajaj Allianz General Insurance Company; Mr. Tarun Chugh, CEO of Bajaj Allianz Life Insurance; Mr. Ramandeep Singh Sahni, CFO of the General Insurance Business; Mr. Vipin Bansal, CFO of the Life Insurance business; Mr. Ashish Panchal, CEO of Bajaj Finserv Direct; and Mr. Devang Mody, CEO of Bajaj Finserv Health.

With that, I would like to hand over the floor to Mr. Sreenivasan for his opening comments.

Over to you, sir. Thank you.

S. Sreenivasan: Thank you. Welcome, everybody, to the conference call to discuss the results of Bajaj Finserv Limited for Q1 of FY '25. As before in this call, we will largely be concentrating on the consolidated results as well as the results of our insurance operations to Bajaj Allianz General Insurance BAGIC and Bajaj Allianz Life Insurance BALIC, and where material, the standalone results of our company, BFS.

We'll also be covering our emerging businesses, which include Bajaj Finserv Direct, Bajaj Finserv Health and Bajaj AMC. Bajaj Finance (BFL), which is another major subsidiary of ours, has already had its Conference Call on 23/07/2024. However, if there are any high-level questions on BFL, we would be glad to take that as well. We will not be taking any questions on the status of Allianz's stake in our insurance companies. Any statements that may look like forward-looking statements are just estimates and do not constitute an assurance or indication of any future performance result.

A word on IndAS. As required by regulation, BFS prepares its financials in compliance with Indian Accounting Standards (Ind AS). The insurance companies are not yet fully covered under

IndAS, particularly IndAS 117, once applicable it will change the way insurance results are measured by both Life and General Insurance businesses.

However, for the purpose of consolidation, both BAGIC and BALIC provides IndAS compliant financial statements, largely focusing on the rest of the IndAS. Accordingly, for BAGIC and BALIC, standalone numbers reported are based on non-Ind AS accounting standards (Indian)

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GAAP) as applicable to insurance companies. Our results, the press release accompanying the results and our investor deck have been uploaded on our website today morning.

I would like to draw your attention to the newly revamped investor deck with more disclosures.

We do hope you appreciate this and look forward to your feedback.

Let me start with the key highlights of Q1 FY '25.

Q1 FY '25 was a strong quarter for growth across all our major businesses. Risk metrics, however, varied across segments and our company's focused on balancing risk with growth.

Overall, I would say it was a mixed quarter.

Bajaj Finserv's consolidated profit after tax for Q1 FY '25 was INR2,138 crores, which is 10% higher than the previous quarter. Excluding the

volatile unrealized mark-to-market gains of

BAGIC and BALIC, the consolidated profit after tax was INR2,122 crores, which is up 8% over the same quarter of the previous year.

The lower growth impact in the current quarter at a consolidated basis is on account of the following items. In the previous year, Bajaj Finance had raised capital through qualified institutional placement post this, the BFS shareholding in BFL is reduced to 51.34% from 52.49%. This has impacted consolidated profit by INR45 crores.

You may recall that Bajaj Finserv has also subscribed in the form of a preferential issue, which is to be converted into shares by May 2025. At which time, the share should further go up by about 12basis points.

Cumulative losses from emerging businesses of Bajaj Finserv Health, Bajaj Finserv Direct and Bajaj AMC were INR119 crores as against INR82 crores in Q1 FY '24 as the businesses are trying to achieve scale. These are within our annual operating plan. And as you know, we continue to invest in these businesses for achieving scale and to achieve the objectives for which they are set out.

As mentioned in the BFL's investor call in Q1 FY '24, Bajaj Housing Finance had a onetime deferred tax liability reversal of INR73 crores. This impacted consolidated profit by INR38 crores. Together, these items reduced YoY % change in the consolidated profit after tax by 7% for Q1 FY25. And it is our hope that some of these items will not recur being of a onetime nature.

Coming to BAGIC. BAGIC recorded market-leading growth of 24% in gross written premium touching INR4,761 crores. And even excluding the bulky tender-driven crop and government health business growth was strong at 22%. Its profit after tax increased by 39%.

BALIC continues to record market-leading growth of 26% in individual rated new business (IRNB) and its net new business value grew by 11% in the quarter.

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BFL resumed sanction and disbursal of loans under 'eCOM' and 'Insta EMI Card' and issuance of EMI cards after the RBI removed the restrictions on these businesses on 2 May 2024. Its quarterly consolidated profit after tax increased by 14%

BHFL has filed Draft Red Herring Prospectus ("DRHP") on 8 June 2024, with the SEBI and stock exchanges for potential IPO of equity shares and awaits clearance. We would not, therefore, be able to take some questions on BHFL.

Bajaj Finserv Health successfully completed acquisition of Vidal Healthcare, along with all necessary approvals. The capital has been infused in the first quarter and the post-acquisition integration work has commenced.

Now coming to the highlights of our consolidated financial results and performance of our businesses, which have been put up in our press release .

Consolidated total income was up 35% at INR31,480 crores, consolidated profit after tax is up 10% to INR2,138 crores.

BAGIC recorded top line growth of 24% at INR4,761 crores. Profit after tax increased by 39% to INR576 crores and the ROE on an annualized basis was 21.3%. The combined ratio, as reported under the IRDA's guidelines is 103.7% versus 100.7%, largely because of some large liability claims. However, on the basis of net earned premium, the company had an underwriting

profit of INR16 crores and a combined ratio below 100%.

BALIC recorded top line growth of 24% at INR5,018 crores of gross written premium. And the individual rated new business, as I mentioned earlier, was again up significantly above market and the private sector. The profit after tax saw a 37% decrease at INR97 crores versus INR155 crores. And as you are aware, in the life insurance business, higher growth results in a higher new business trend, and therefore, there will be a strain on the profit. The new business value is INR104 crores versus INR94 crores in the previous year's first quarter, which is an 11% increase.

BFL recorded a 24% increase in consolidated

net total income at INR 10,418 crore and a 14%

increase in consolidated profit after tax at INR 3,912 crores with an ROE of 19.86%.

Let me start with BAGIC now.

BAGIC continues to balance growth with profitability and consistently delivers a superior overall performance versus the industry. BAGIC continued its growth momentum, recording above market growth in Q1 FY '25, growing at double the pace of the industry, 24% as against 12%. Its market share increased to 6.5% from 6% in Q1 of FY '24.

Even excluding tender-driven Government health and crop business, the GDPI growth for BAGIC is at 22% as compared to industry growth of 13.5% (Private+PSU).

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The growth is largely attributable to commercial lines at 19%, health at 48%, personal accident at 25% and miscellaneous at 73%. The combined ratio was 103.7% on account of higher claim ratio. There is also an element of higher reinsurance ceding, including ceding of a past book, which has reduced the net return premium for the quarter. This is a one-off adjustment, which is not expected to occur at the same level in the subsequent quarters.

The underwriting profit was INR16 crores. And for your information, for the year FY '24, the underwriting losses for the industry were INR29,620 crores. And for the private sector, it was INR10,760 crores as per the public disclosures. So, it is in the context of this that the underwriting profit of BAGIC has to be seen.

Aided by better underwriting result and higher profit on sale of investment, the profit after tax for Q1 FY '25 increased by 39% to INR576 crores versus INR415 crores in Q1 FY '24. Motor insurance business growth was muted due to BAGIC's tight focus on writing only preferred categories of business, particularly in the case of commercial vehicles, BAGIC continues to take a cautious stance and is not growing that line of business, lower new vehicle registrations in Q1 and the base impact of Q1 FY '24 also contributed to some extent for the muted growth of motor insurance.

The subsequent quarters as the BAGIC continues to balance growth and profitability, it will continue to seek opportunities to grow.

In the case of the 2-wheelers, BAGIC has signed up with Hero Motors in Q1 of FY '25, which as you know, over the last 20 years had no tie-up with BAGIC. We believe this can add significant value going forward. While motor still continues to dominate the business, the other significant improvements in movements in Q1 FY '25 includes increasing the health portfolio mix by 5%.

Overall claim ratio increased to 77.1% versus 74.3%. The increase in claim ratio is mainly attributable to a few large property and liability claims. We do not believe such claims are recurring in nature, but as it happened in the Q1 of the year, hopefully, they will not recur in the next remaining 3 quarters.

BAGIC's AUM, including cash increased by 11% to INR31,651 crores as on June 30, 2024, versus INR28,611 crores. On the customer front, BAGIC relentlessly drives the theme of "Caringly yours" on the foundation of customer obsession through innovations in customer experience. Accordingly, we continue to have lowest grievance ratio in the industry consistently year-on-year.

As we mentioned before many of the new initiatives which BAGIC invested in over the last 18-24 months including focus on smaller tier towns, distribution expansion, doing more with bancassurance partners and strong presence in the large ticket corporate segment has resulted in this performance and will continue to contribute to coming quarters. This is a longer-term initiative and BAGIC has calibrated growth in this for the quarter especially in the motor segment.

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In a market where asset insurance is intensely price competitive, where incidents of frauds are high, and where the market often goes into irrational p

ricing, this operating result, we believe,

displays BAGIC's commitment to a balanced, profitable and sustainable growth on the back of a deep and broad distribution and prudent underwriting while focusing on best-in-class customer service.

In summary, a solid result from BAGIC in terms of top line growth and strong profitability metrics, I must reiterate that insurance is a long-term business, and we remain steadfast in our commitment to drive profitable growth, create sustainable value and always prioritize the interest of our policyholders.

Let me move to BALIC next.

BALIC continued its strong market-beating growth trajectory and reported an individual rated new business premium growth of 26% against the industry growth of 20% and the private industry growth of 24%. Its market share in IRNB terms increased from 8.9% to 9% in Q1 FY '25 among private players. BALIC ranked fifth among private players on IRNB basis; and fourth on retail regular new business policies in Q1.

The company's growth was secular and driven by all key channels with agency growing 15%, institutional business growing 27% and BALIC Direct growing 75% during the quarter. On the back of continued strong renewal premium growth of 30%, BALIC GWP grew 24% during the quarter. The consistent growth in renewal premium reflects the improvement in persistency year-on-year that BALIC has been displaying over the last 5 years.

In terms of new policies, BALIC grew 8%, and the number of policies in Q1 FY '25 was 1.55 lakhs. During the current quarter, BALIC's NBV, as I mentioned earlier, grew by 11% from Rs 94Cr to 104Cr and the growth in NBV is mainly due to high business growth and change in the channel/distribution mix.

Overall, in terms of product mix based on IRNB, it was 23% Par, 19% non-Par savings, 6% term, 5% annuity and 47% from ULIP. We have seen across the market, all companies showing a higher proportion of ULIP because of the strong performance of equity markets. And therefore, this quarter we have seen a higher proportion of ULIP for us as well. BALIC has been increasing its focus on protection business with 5-year CAGR of group protection business at 10% and retail protection at 91%. During the quarter, the Retail Protection business grew 30% on a Q-o-Q basis.

BALIC has been scaling up agency in the direct channel through investing in people, processes and deepening existing channels. It has led to BALIC building up one of the largest agency channels in the private life insurance space with 1.5 lakh agents. BALIC is also building on the data and analytics for the direct sales through upsell and cross-sell initiatives. It has led to BALIC presence in 342 towns with dedicated verticals for different customer segments within the direct space.

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On the institutional business side, the company continues to expand its network of partners and grow existing partnerships. BALIC now has a reasonably large number of bancassurance ties, which should help it reduce any concentration risk. During the quarter, BALIC has further tied up with Federal Bank and Yes Bank as a bancassurance provider.

On the persistency front, there has been improvement across most cohorts with 13-month persistency at 85% and 65-month persistency at 52%. If you do see a small blip in the 37-month persistency is largely because last year's 25th month persistency was affected due to a certain book of business that we had written a few years earlier and which we have since degrow.

The profit after tax was lower by 37% from ■ 155 crore in Q1 FY24 to ■ 97 crore in Q1 FY25, mainly account of higher new business strain due to business growth and product mix partially offset by higher profit release from past business, shareholders' investment income and ULIP charges.

BALIC ended the quarter with an AUM of INR116,966 crores.

One of the questions investors may be wanting to know is t

he impact of the new surrender

regulations. The changes in the product regulations require surrender values to be paid from year 1 and also define the method of calculating special surrender values. We welcome the new regulation from IRDA as it enhances the product proposition and customer point of view, and it's positive for the industry in the long run.

BALIC margins have been consistently expanding over the last 4 to 5 years from 7% in FY '19 to 15% in FY '24. The changes in regulation in the short-term may temporarily impact the margin expansion. However, given our overall growth trajectory and focus on sustainable growth, we

expect to see our margins continuing to expand in the medium term. To mitigate the impact of this change, we are proactively implementing various measures, including, but not limited to product filings, cost optimization and productivity improvement.

Overall, rather balanced quarter for BALIC with top line increasing at a higher rate than the market.

Finally, both insurance companies are among the most solvent in the industry with very strong solvency ratios.

Coming to our lending businesses, BFL and BHFL,

A mixed quarter, good quarter on volumes, AUM, operating efficiencies, portfolio metrics and ROE, loan losses were elevated in Q1, the company resumed sanction and disbursal of loans under e-com and insta EMI card, and issuance of EMI cards after the RBI removed the restrictions on these businesses on May 2.

Profit after tax grew 14% from INR3,437 crores to INR3,912 crores. BFL acquired 44.7 lakh new customers in Q1 FY '25. BFL disbursed INR1.1 crores loans and added 45 lakh new Bajaj Finserv Limited

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customers in Q1 FY '25 as against just INR0.1 crores new loans in Q1 FY '23, registering a growth of about 10%.

Total customer franchise as on 30 June 2024, stood at 8.81 Cr while cross-sell franchise crossed a milestone of INR5 crores and stood at INR5.51 crores. The Bajaj Finserv app now has 5.6 crores net users as on 30th June, '24.

The Company's diversified business model has enabled it to record a strong AUM growth as seen from the total AUM standing at ₹ 3,54,192 crore as on 30 June 2024 (31% Y-o-Y growth as compared to ₹ 2,70,097 crore on 30 June 2023). Net interest income grew by 25% to INR8,365 crores. NIM compression in Q1 FY25 over Q4 FY24 was 23 bps. 13 bps movement was due to cost of funds and 10 bps movement was due to AUM composition. The gross NPA, net NPA at 0.86% and 0.38% were in line with the previous year and among the best in the NBFC industry. The loan losses and provisions in Q1 were elevated primarily on account of muted collection efficiencies and Stage 2 asset in Q1 went up by INR864 crores over Q4. We have a taken steps to strengthen collection efficiencies, slowing down rural B2C business and other steps, which we expect will yield results in H2.

The company remains watchful across portfolios and also proactively pruning segments. BFL's capital adequacy remained strong at 21.65%. Tier-1 capital was 20.73%.

Bajaj Housing Finance, BHFL, the 100% mortgage subsidiary BFL continues to do well. It has filed a DRHP on 8 June 2024. Its AUM grew 31% to INR97,0071 crores as of 30th June 2024, from INR74,124 crores.

The profit after tax was INR483 crores, which is 5% higher. BHFL's capital adequacy ratio was 23.82% with Tier 1 capital at 23.2%. It continues to track excellent loan loss metrics with GNPA and NPA at 0.28% and 0.11%. In summary, another very strong quarter for BFL and BHFL.

Now, to give some update on our emerging companies – Bajaj Finserv Health Limited (eBH), Bajaj Finserv Direct (Bajaj markets) and Bajaj AMC:

Bajaj Finserv Health carried out 26.6 lakh health transactions versus 10 lakhs in Q1 FY '23, having 3.08 lakh monthly active users. Obviously, this quarter, the transactions can be also attributed to the acquisition of Vidal Healthcare during the quarter, which now a

t 26.6, stands

about 9 lakh transactions a month. Bajaj Finserv Health is also expanding its provider network, which includes 107,918 doctors, 5,838 lab touch points and 16,813 hospitals. The acquisition of Vidal gave access to a substantial number of hospitals to Bajaj Finserv Health.

Utilizing the network strength, eBH is now able to offer and service differentiated product plans, both for retail as well as to corporates for employee health benefits management.

Bajaj Finserv Direct (Bajaj Markets), our other subsidiary attracted 72 lakh consumers on its digital platform, of which 1.7 lakh became customers.

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BFSD lending, (unsecured, secured, BFL and partnership) disbursement for the quarter stood at 1,789 crores as opposed to 1,636 crores. It sourced 42,294 cards (against 20,673 cards in Q1 FY24). It has also started selling the cards of BFL again, which were temporally restricted by the RBI on BFL.

Bajaj Finserv AMC, has crossed an AUM of INR12,000 crores as of 30th June up by 26% Q-o-Q. It is ranked 27th out of 43 on 30th June 2024.

I will now hand over the call for the questions from the audience. But before we open for questions, concerning the paucity of time, may I request the audience to keep the questions brief so that we can cover more queries during the call. And please avoid asking questions which have already been answered. Thank you very much.

Moderator: The first question is from the line of Supratim Datta from AMBIT.

Supratim Datta: Now my first question is on the BAGIC business. I just wanted to understand what you are seeing in motor TP, that you have allowed to decline during 1Q. Is it higher commission? Is it higher loss ratio? What is exactly the concern here that you are taking?

Secondly, is more of an accounting question of what I see is that the NEP this quarter has been higher than the NWP, just wanted to understand what is driving that, if you could explain that. I have 2 more questions for the BALIC and Bajaj Health business, but I'll go after this.

S. Sreenivasan: Okay. So, the first question was on TP, what are we seeing in terms of losses? And why are we cautious on some segments of TP? And the second question was on the NWP, NEP is there a one-time adjustment? So, I'll now ask Tapan to take over the first question, and Raman can follow it up with the second. Over to you, Tapan.

Tapan Singhel: Sure. Thank you, Sreeni. If you look at the pricing of overall GI business, the pricing is free or left to the companies. But for motor third party, it is controlled by the government, more besides based on recommendations sent by IRDA in terms of the pricing.

For the past couple of years, there has been no price revision for motor TP. But the inflation under claim keeps on happening every year. You have to keep on recalibrating your business and how it moves. For others, you can reprice depending on how the business is moving. But for TP, you can't, you don't have the price control.

So, there's been no price hike for a couple of years, then some businesses which would have been good, let's say, 2 years back, will not be so good today because the inflation under claims is happening every year. That's the reason why you heard the statement Sreeni made in terms of recalibrating our business in the motor business, looking at how it's going. I hope it answered your question.

Raman, do you like to take the NWP one or the reinsurance part?

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Ramandeep Sahni: Yes. Sure. So, like Sreeni highlighted in the opening remarks, during the quarter, we've actually done a new seeding on a treaty, which actually covers a book of the past. So, this is actually some of our rural business, which we were trying to seed, but it didn't happen before the year-end last year, but we were able to do it this year. And it included the past book as well. And that's w

hy you see that our NWP growth is actually negative compared to the NEP growth. If I actually exclude this one-off impact, my NWP growth would have been close to 16.5%. So that's abnormality, which is being caused only for the quarter's results.

Tapan Singhel: So, let me explain it a bit further, why and how it gets done. In our business, when we write a large chunk of business, it's always good to have good reinsurance support because that is where the collaboration also happens to, and you build experiences on that. And that is why this treaty got done.

But if you look at this quarter result, we have underwriting profit. So technically, if you look at the combined ratio on NEP, which is the way when you calculate underwriting profit, our combined ratio is below 100.

Supratim Datta: Got it. But if I do not consider this one-off impact, then you will not have an underwriting profit as well, right? Because you would have gotten commission inwards due to the seeding, which would not just that.

Tapan Singhel: Would be to a certain extent but you're seeing a large portfolio, the combined ratio would be for complete portfolio. It will not be that high impact.

S. Sreenivasan: Let me just add one more point to this. Supratim, if you know, in the end of the year, we do publish our claims triangles and now under the public disclosures, they are available for all the peer group companies for the current year as well as for the previous year.

And when we check that, we found that the paid claims to the ultimate loss expenses provided initially, even after 6 or 7 years, we are the lowest in the market. Though we are prudent, we believe, in reserving for claims at the point of accident year and we will continue to maintain a prudent stance. This obviously, you have seen some companies having to strengthen their reserves or have large items on P&L, we do not anticipate that kind of situation for BAGIC in the near term.

Supratim Datta: Understood. That's very clear. Now coming to BALIC, on the margin, last year, first quarter, you had indicated that the margin was lower due to launch of a low-margin product and the growth being slower. Now this quarter, the growth has been strong at 18%. While there is a product mix shift. However, despite this the margin appears to be very soft. So just wanted to

understand why this has been the case. And is there something beyond the product mix shift that is there?

S. Sreenivasan: Yes. Broadly, before I hand it over to Tarun and Vipin, let me just highlight this that Q1 is the softest quarter for life insurance business. Last year, we did launch a unit-linked low-margin product. This year, for the market as a whole, we have seen a shifted towards lower margin

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products because of consumer demand. We have seen, results have come down, margins softening across the companies that have already reported results. And it will be for this quarter and possibly next quarter as an industry phenomenon.

Tarun Chugh: So, I think it's on the same line that Sreeni mentioned. I think it's largely driven out of the mix that you spoke about. And it is also important that there is a mix coming from into ULIP. So, you see the bulk of that mix coming from the savings side, and that's where the delta is. And first quarter is always a small quarter. You still continue to run the fixed cost, and that's why there is shrink can be very significant in the first quarter. I think as we go through the year, the year normalizes, and there is better absorption of cost. So, I think that is what the normalization. Supratim Datta: One last question on the Bajaj Health business. So, the Bajaj Health business, now have Vidal in that business. Just wanted to understand what kind of deal do you think is required in this business to turn profitable? Do you have a certain target, a business plan at which this business turns profitable?

And what would help you to reach that scale?

S. Sreenivasan: Let me just take a bit before I pass it on to Devang. I think the acquisition of Vidal now gives us the complete toolkit required to operate across the health care spectrum in terms of services, products, platform provision and management of claims, apart from managed care services. We already have OPD and wellness, which we have invested in.

Now with the acquisition of Vidal, the integration is going on, and we will eventually come out within the next 6 to 9 months, complete long-term plan, which will give us the visibility on the breakeven. Devang, would you like to supplement?

Devang Mody: Yes, it's a valid question. And of course, operating leverage is going to be the largest trigger, but at this point of time, where we are focused on is TPA industry. It is highly commoditized, and there is not material difference besides stickiness of existing clients of employer-employee group that employees used to working with certain TPA. I think that's the only point for choice of TPA in industry in our view.

What we are focused on today is, how do we create value proposition for our customers, which is differentiated. So, we are focused on a few things, which is highly propagated by regulator as well as government that how do we make health care transactions more digital. To answer your point, once the integration is underway in terms of improving Vidal's platform capability, creating differentiated products for their customers, these are the 2 important tasks of integration. And as Sreeni answered that in the next 3 months, now that we have visibility and thought process of what together we can take to market. We will do the long-range plan, which would mean also running the excel numbers. Most important thing we are focused on currently is that how do we differentiate in the market.

Another very important lever for P&L for health business is as we create meaningful products for our customers, like now with Vidal acquisition, we can also offer hospitalization as a service. Similarly, we have lined up for our self-services, which we can offer to our same customers. So

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last quarter, we have launched Diabetes Care as a Service, which is a fully managed package-which our customers, employers or insurers can offer to their customers. Similarly, we have a plan to launch 1 or 2 services every year. Now that requires investment. For example, in H2, we will be focused on providing Maternity as a Service. Now that requires a completely new dimension of network providers to be enrolled.

Every year, we'll try to roll out 2 services, that's another trigger for us to do investment on and rest of the business will continue to drive operating leverage. Our quarterly loss rates are reducing Y-o-Y by at least 20% to 30% and that trajectory will continue. But we are focused on launching more services and creating differentiated products. So that's the focus of the organization at this point of time. Hope I'm answering your question. I'm shall not be able to give you revenue number at which we will break even. The reason is it will depend on our investment horizon rather than just optimization of our operating leverage.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: First, I think on the life side, we're trying to sort of translate the margins and looking at a reasonably high increase in unit-linked and Par business, taking away from non-Par. Just curious how the margin stacks up, given the fact that there was a pretty small compression in margins on a year-on-year basis. So, is it something that margins at product levels have changed?

Vipin Bansal: So, Nischint, I think margins are a function of a lot of things, including what are the current interest rates, what we are able to own, what do we offer to cu

stomers. It's a function of all of it.

However, we will also have the distribution mix that plays a lot of functions. I think at a broader level, like we answered to Supratim earlier, we do believe that quarter 1 is too early to react on any impact on margins because this is the very smallest quarter for our business. And there will be a huge impact on the fixed costs. So, I think as it gets as we go through the year, that's the time we should lead too much into margins.

Just specifically to your question, have our product margins changed very significantly?

Probably not, but we do keep taking price corrections reacting to what competition is doing and what is happening in terms of the yields that we have.

Tarun Chugh: And let me just add on to this. There are 2 other elements that become critical. One is the productivity, there is a 24% increase in top line which denotes there is an increase in productivity other is the channel mix. So, if our proprietary sales channel does better, previously, that's a lot more profitable than a few others. So, I think those things also play in other than product structures.

Nischint Chawathe: Sir, just a related question. On the agency side, growth this time was around 15%. I guess we have been stepping up a little bit more now. So, is this kind of a mid-teens agency growth that we're looking at?

Tarun Chugh: We don't make a projection on growth of channels and otherwise, don't talk about forward-looking statements. But having said that, yes, the CAGR on agency has been at 15%. Our focus

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is always to ensure that, despite being now one of the largest agencies, look at the base effect, get into more cities, run multiple agencies. We don't run one. So, a lot of these will play out over a period of time. But I don't think I can make a statement on growth rates like this.

S. Sreenivasan: Nischint, just to add to that, what Tarun said, I think Agency has these multiple channels with different economics on growth and profitability. And depending on how the overall requirement of the company is in terms of balancing the product mix, I think the levers will be used differently.

So more than the overall growth, it's a balance between growth and profitability that you should see. It was a channel which was said to be across the industry, not possible to make money, but I think now we are into double-digit margin territory there and we would like to keep it growing in that space.

Nischint Chawathe: And Axis Bank seems to have stepped up this quarter.

Tarun Chugh: Yes. So, is that a question or statement?

Nischint Chawathe: No, no. It's a question.

Tarun Chugh: So, Axis Bank, we are where we are. We usually tend to keep our market share between 25% to 30%. And as Sreeni, mentioned upfront in the call, we are very clear that we do not want to be one bank channel-led unlike our peers who are largely skewed and that brings a lot of risk to the business mix and kind of, it is better to be distributed always. And that's how we are going. And I think Axis has been keeping instead.

Nischint Chawathe: One is on health insurance. If you could kind of help us understand the trend in health loss ratios. Is it a mix-change? Or is it something that we are able to see some deterioration or improvement in the retail loss ratios?

And on Bajaj markets, we're looking at organic visits and transacting customers sort of slowing down. So how should one look at this and whether we'll be doing further investments on this?

S. Sreenivasan: Right. Tapan, would you like to take them?

Tapan Singhel: Can we just get the question again?

Nischint Chawathe: Yes. Sorry, on the health side, if you could break the loss ratios between retail and group and the change in loss ratio this quarter? On the retail side, have we seen an improvement or deterioration in the loss ratio, if possible, you could break it between retail and gro

up?

Tapan Singhel: So, if you look at the retail loss ratios, it is a combination of the year of policies, and that is across the industry, your first-year policies have a lower loss ratio. Second year goes up, third a bit more and fourth goes up for it. So, depending on how you acquire fresh and business, the loss ratio moves on that basis. That is one way to look at loss ratio, which predominantly happens in the industry.

The other way to look at the loss ratios, how do you redefine your business mix and acquire customers at what age and where do you put it on. So, if you look at our average age of customers, it now has gone down in retail health, which shows that overall, this would be a better book as it progresses further. The loss ratio movement has not been very significant in terms of that compared to the last time i.e., we have not moved up or down significantly, but we are in the process of correcting the book so that it gets better over time.

S. Sreenivasan: So, to add to Tapan's, if you look at FY '22 onwards, the market as a whole, the number of policies hasn't grown at all. It's fairly flat. Most of the increase in premium for companies is majorly on account of the increase in the prices by them. The number of new people coming into the market is not growing as fast.

Given our position, we have also now located that there are many pockets in the country where we need to do more health business, where traditionally, we were doing more and more other businesses. Over the next 2 to 3 years, we will focus a lot more effort on to that. This is very clear from our side.

Ramandeep Sahni: Nischint, I'll just add to the loss ratio. See, I think what you rightly highlighted is while there is an increase in the loss ratio, but it's a result of the increase in the proportion of government and GMC business, which is causing a minor increase in the loss ratios.

Also, like we have mentioned earlier, if you recall in the last call, I think we had highlighted that we will be repricing our products because I think on that front, we are lagging versus the market. And some amount of repricing has gone into play late during this quarter. And I think about 50% of the book on the retail side will get repriced in quarter 2. So, you will hopefully see some impact of that coming in, in the coming quarters.

Nischint Chawathe: Bajaj markets?

S. Sreenivasan: Yes. Ashish.

Ashish Panchal: The question has 2 parts.

The first one was on Organic traffic going down. The overall traffic has gone up QoQ. Organic, Direct and Social are zero-cost channels. While at a split-level, Organic has decreased by ~12%, sum of all zero-cost channels have increased by ~7% from Q4 FY24 to Q1 FY25 (2.40 Cr. To 2.57 Cr.) Organic traffic has momentarily gone down for the quarter due to some changes in Google algorithm, but if you look at our direct channels for which we have zero cost - these are Organic, Direct and Social - the sum total of these 3 has gone up for us, which means our free channels have higher traffic. And therefore, while Organic has gone down, total traffic and traffic from free channels has gone up and has not affected us economically.

As for the trend of transacting customers, our transacting customer count in Q1 FY25, has decreased by 71,000 against Q4 FY24, but 90% of this reduction is only on account of mutual funds. And in mutual funds, we are in the process of migrating from offering direct mutual funds

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to regular mutual funds. And in turn, we are moving from RIA to ARN. Therefore, this change of strategy caused us this decrease in transacting customers. I hope that's answers the questions.

Moderator: The next question is from the line of Dhaval from DSP.

Dhaval Gada: There is one question on the general business, BAGIC. Could you talk a little bit around these few liabil

ity claims that came during the quarter? Second, on the Bajaj Life business, the rolling 12-month margin is about 14.3% and initial comments that I think Sreeni made were that this year, the margin is expected to be more consolidating given the surrender impact, but over medium term, the margin continues to expand that sort of our aspiration was earlier. So, could you talk a little bit around near-term margins in the context of the last 12-month margin? And what should one expect over the next 2, 3 years in terms of margin expansion?

The third question is on Bajaj Health. On Slide 51, you have the business model. I understand you haven't yet made the proper LRS for this business, but could you give some perspective around what will be the biggest driver of operating leverage that Devang talked about earlier?

And just a data giving question on Bajaj Health is this quarter, the revenue includes Vidal. If you ex out Vidal, would the revenues be close to INR160 crores, INR165 crores. That's just a data-keeping question. Yes. So those are the questions from my side.

S. Sreenivasan: Dhaval, the first question was on liability claims. While we can't give out the exactly what kind of claims they were, I can only tell you that in the P&C business, P&C, this is the C part of P&C, claims tend to be large, but infrequent especially with respect to corporate liability claims,

whereas in the terms of asset insurances, you will find a large number of claims are more frequent and low severity.

I'll then hand over to Raman or Tapan to explain.

Ramandeep Sahni: I think, Sreeni, you rightly highlighted while we can't take names of the clients and the nature of claims, but there are basically 2-3 claims, which are large in nature and fortunately, see, this liability business is largely managed amongst the top 5 private players. And there, all the 3 claims which I spoke about are coinsured, and you'll hopefully see a similar impact either in this quarter or next quarter in most of the other private players accounts also, but like we said, there seem to be one-offs and hence don't seem to be an area of worry at this stage for us.

S. Sreenivasan: And usually, they take time to settle. So eventual settlement depending on how the company is reserving could be less as well, but that takes time because these are all matters of their own liability and contracts. The second question was on life. We can't give any picture on margin, but if Vipin or Tarun would like to highlight that.

Tarun Chugh: Yes, Sreeni, I'll take that. Yes, you're right. We can't talk about numbers, but see, I understand that there is a concern on the surrender charges that is coming in. So, what we're doing is a little conservative in the way we are talking about this year. A lot of this is yet to pan out, which is why the statement from Sreeni where there could be lesser of an expansion, let me put it this way.

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See, as a company, if you look at our motion of the movement on our NBV, we've only been going up. And the last 5 years, our margins have grown significantly in terms of share percentages. And although we largely look at NBFC. What you will find is that our expansion of margin shall continue. But maybe for the short term this year, we'll wait and watch, and we are not making any significantly optimistic forward-looking statements even directionally for this year. Maybe there will be a little bit of pause before it starts expanding this again. That's the way I'd like to answer.

S. Sreenivasan: And the third question was on Bajaj Finserv Health. You want to understand that the operating leverage will come and whether ex Vidal, what would have been the revenue growth. I will only add one thing before I hand it over to Devang is that the business that Bajaj Finserv had built was basically a capability on OPD, wellness and networks, mostly smaller ticket riders

and products sold. Vidal is a different stream of revenue. I'll hand over to Devang to explain that one.

Devang Mody: Yes. So, I think let me take the revenue number question out first. So, the stand-alone revenue is INR 167.65 crores. So that answers your question on that. I must also mention that this quarter has decent amount of acquisition-related expenses because as transaction gets consumed, we have to pay the bankers fees, etc. So that is passed through both P&Ls.

On Slide number 51, where operating leverage would come from? See, practically, we are too small a business at this point of time. And hence, all the pieces of payer stack should add to operating leverage to explain you. I think every quarter, we are adding one more nonlife insurer and one life insurer to our payers who are offering OPD services to their customers. Now these contracts take time because they formulate the product, they file the product, they do the technology integration with us. And after that, they roll out in the market, and that's when our revenue clock starts.

So, I think that addition of non-life insurance and life insurance will be continuous. And these are fairly sticky business unless we falter on services tremendously. It will keep adding value. Most of these products on life as well as nonlife side are renewable, and that's what should provide kicker to revenue without having to spend on business development, initial integration, product launch time etc. So, I have a business development team, which is knocking doors and product launch takes anywhere from 3 to 6 to sometimes 9 months with an insurance company. So, there is no revenue which fits in.

So that's what will add to our operating leverage, which is normalized, more partnerships, life insurance more partnerships. In those partnerships, more products and more penetration. But I think as a company, do you see largest trigger to come from corporates. Vidal in the market is heavily skewed towards corporate as payer, the percentage of premium under management, they would be amongst highest corporate for the share of total premium under management.

And we believe that our digital experience as well as OPD capabilities are much more suited for corporate as a payer. Since we are a small business, all the payer sectors should grow, but corporates will find much quicker revert as there is an existing demand, which is not getting met.

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And we have what it takes, but it requires a little bit of solutioning because insurers have to be brought on board, etc. So as all those things we complete, corporate will give immediate revenue increase and hence operating leverage. Insurers is a longer walk, but much more sticky business. I hope I have answered your question.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, my question is largely related to motor OD. Our growth on OD is strong around 22 percentage. By any challenge, this growth includes Hero, I say OEM addition? Or we expect that Hero addition will come in subsequent quarters?

And second thing, with respect to OD was to understand the claims because last year, we ended at 63.6. Today, it is at 69.4, it's a meaningful deterioration around 600 basis points. So just wanted to understand any specific reason why this motor OD loss ratios have increased compared to last April. That is the question on BAGIC I have, then I'll ask on BALIC.

S. Sreenivasan: Yes. Raman, would you like to take it?

Ramandeep Sahni: Yes, I'll take it. So, Sanketh, Hero has not yet started firing guns. I think it'll take a few more weeks. Business has started. But in Q1, it was not material enough to talk about. Your second question on OD. I think to understand that better, if you just look at our OD loss ratios, they move quarter-on-quarter. If you see the trend for last 3 years, every year, you will

see in quarter

1, there is a spike. And by year-end, from quarter 2, actually, it starts normalizing.

So, I think that's a trend we've seen reoccur every year. Having said that, at least what we believe seeing the trend for last month and so on, we believe that the trend for full last year is close to where we should end this year at on ages basis.

Now obviously, like Tapan has been reiterating now and then, it all depends on the quality of the portfolio, you're right. But if I were to just look at the past trends and answer your question, you'll see that this normalizes over the balance 3 quarters, and we, on ages basis should settle at close to 65%.

Sanketh Godha: Got it. Perfect. And Hero, you might have assessed it internally. How big is the potential? I mean if it starts firing from second quarter, how much extra layer it can add to the growth?

Ramandeep Sahni: Like I think we all have said in the past, we'll not make any forward-looking statements. So, let's wait and watch how the numbers shape up because it's also a matter of how much commission we want to pay, right? It's very easy, like we've been saying every now and then it's very easy to buy a business in the motor segment. So, it will all depend on what the discounting is, what the commercials are depending on that. So, let's wait and watch, hopefully in the second quarter onwards, you'll start seeing the result.

Sanketh Godha: Okay. On BALIC, if you can break up that growth of Bancassurance of 27 percentage into Axis and non-Axis. I just wanted to understand where the growth has come from compared to the

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large bank channel we have. And the next one was, again, with respect to growth, if something a little different have we done in direct channel, which led to such a strong growth?

Anything which you want to highlight, the 75% growth, how is it sustainable for the full year because that's probably one of the ways to recruit margins if surrender norms impact, as you rightly highlighted that the direct channel will be a little mitigant on product mix to protect the margin. Sir, if you can give a little more colour on that that will be very useful.

Tarun Chugh: Okay. See, we can't be so transparent, we tell you exact percentages of all our banks. And honestly, its keep changing. But I mean, broadly speaking, Axis is, of course, our largest contributor. And I mean, a little less than all our other banks. For banca business, half of that comes from Axis Bank. But we do have partners in aggregator space, in the broking spaces, etc, which we're not adding up to that.

On an overall basis, Axis will be under 23%, which is what we've always been saying. And Banca would be Banca broking, everything would be close to about 45% to 50%. It varies, like for this quarter was 45%.

Now on the Direct business, see, Direct is something we've been working on for quite some time, and we've been actually quite positive in making a lot of investments, I think a lot many verticals. We started a defense channel. These are customers who are existing with us. And we have to get more and more efficient about servicing them and upselling them new products. And as our product mining has been going on, we've been able to decipher where there are more possibilities of developing efficiencies in this channel. We do expect this channel to remain relatively faster growing versus the rest of the other businesses, namely agency and institutional business. But yes, these are exceptional growth rates we've been able to get this quarter. I don't think that kind of level will be sustainable further.

Sanketh Godha: Got it. Just is it fair to assume that if direct growth at a faster rate than the other channel, then any margin loss because of the surrender loans can play a role in reconning a bit from the surrender loans?

Tarun Chugh: To an extent, you're right. But it's not entirely that story be

cause it's also a product mix play that

is there, direct sells lot more ULIPs. And then plus, there is no commission payout there. And usually, surrender commissions, costs, it's a very complicated trade in the way things will pan out after H1. Among all of these, yes, Direct say tends to get a positive benefit of all of these 3.

Sanketh Godha: And lastly if I can squeeze one. I'm trying my luck if you want to answer, you can answer.

Tarun Chugh: So, you thought say you're lucky anyway.

Sanketh Godha: If you can quantify by any chance, the impact of surrender loans on your margins. So that means on FY '24, the 14.6% margin, assuming you don't do anything with respect to payouts and all those things? What's the number you could, see?

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Tarun Chugh: Sanketh, to correct you sorry, you're trying luck too hard. There could be a slight pause in the growth, but the expansion is going to be back. A lot has yet to be seen in the way commission span out, productivity span out, product mixes span out, there is this huge underlying surge in the market given the fact that the Sensex is at the top. So topline, it's going to be a combination of a lot of factors. Even if I also make a statement, I would be 100% sure it won't be correct.

S. Sreenivasan: Sanketh, the only limited point there is that a lot of the surrender is based on surrender values and so these are all actuarial reserving that needs to be adjusted now. As the business builds over the next few years, if there are no actual surrenders, which are much higher than where we are today, then that amount is going to get paid out only at maturity, which is already built in, okay?

So, this is a game of actuarial reserving and actual results demonstrating that for the industry as a whole for this particular product lines, which are affected, will play out over the next few years.

Like all industry specific things, it is not one company which is getting affected. And we'll all adjust. Last year, there was a big thing about tax on traditional products. In reality, I think you can see in hindsight, we all adapted. So how margins will evolve is, we will adapt, and how we will adapt will vary from company to company, but eventually the focus will be in improving the margin while continuing to grow better than market. That remains, rather, the NBV, should grow faster than where we are today. That is our primary objective.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: Most of my questions have been answered. Just a couple of ones which are left. One on the Vidal acquisition, now that you've acquired Vidal, are you seeing other insurance companies associated with Vidal withdrawing business from there because that was one of the fears that the market and I also had.

Second, you've done a pretty large government health transaction last year, the Gujarat government transaction and you would be competing about a year. So maybe you could talk a little bit about your experience and your learnings? And how would you sort of see that business in terms of whether you would still like to continue or what sort of changes that you would like to add in terms of making that business more profitable. Yes, any comments and colour around that would be helpful. These would be my 2 questions.

S. Sreenivasan: The first question is for Devang. As a policy, we have a Board approved policy that not more than 10% of our TPA business from Bajaj Finserv will be done with our insurance companies. So, we don't see that as a particular block. But Devang, can you add flavour to that?

Devang Mody: Yes. I think, as soon as we announced the transaction, as it is required, and desired, we informed to all the insurance companies with whom Vidal was working. And post that, we engage with them. Obviously, they had this question that you are now becoming part of the

group, which

owns an insurance company, what does it mean for a conflict of interest.

So, we explained it to them, which are all packed that Vidal is a regulated entity, regulated by IRDAI and open for inspection of IRDAI. And there are regulations around use of data etc. So

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IRDAI has approved the transaction with caveats and reasons. And hence, they should have that as mitigant that there is a regulator in picture. Besides that, there is DPDP law, it has become a law now, though the fine prints of what are the bylaws, etc, are yet to be released, but it's at. So, nobody can just misuse the data for any other purpose than as required.

Third thing, our Vidal customer had these questions, we had answered them. We are on continuing business. Vidal is continuing the same premium under management. And hence, there will be some reluctance on some of the customers for the time being. The key question is what is the value add we are putting on trigger?

And this risk in our mind was thought out risk because even for OPD services, while we started our business with BAGIC because we co-created a product, every quarter, we are adding one non-BAGIC health insurance company and non-BALIC life insurance companies, they have same questions. And if you are able to add value, people will work quickly. That is our experience from last 4, 5 quarters that we are adding one health insurance company and one life insurance company.

Obviously, they also have, in competition, our group companies. And I think market is becoming mature that we are a listed company with Nifty 50 presence, fact that group has impeccable brand imagery. So, it should be mitigated. When I approach any insurance company, this is the first question they asked over a period of time with 3 to 6 months of business development, they come on Board.

So yes, it's a legitimate question, which customers will have. But if we are able to add value, people will work with that. In our group, in lending business, we bank all the checks of customer EMI into some bank only, and those same banks we compete for our loans business. Since there is no group having services business in the market, that's why it is a legitimate question from customers as well as the question you are asking. If you are able to add value, they will work with us, and that has been our observation till now. I hope I've answered the question you asked.

Madhukar Ladha: Got it. And the next one on the...

Tapan Singhel: On the Government group, if you look at our company's philosophy and over time, we have said it also. We are into all lines of businesses. And you've never seen us say that we are walking out of our business or we're entering again, and I've seen a lot of peers do that, but we consistently stay in all lines of businesses. And we learn from it, and we keep on looking at what to do next.

That is how we also do in government held business. Gujarat is not the first one. We have done Jammu & Kashmir before, Maharashtra State also. It's a continuous process of doing business.

Madhukar Ladha: Sure, sir. Any comments qualitatively on the loss ratios or what needs to be done.

Tapan Singhel: That I don't give. I think I mentioned that last time also because see, this is our hard work that we do to figure out businesses and do that. So obviously, we'll not be giving details on our individual businesses and LOB.

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Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Raghvesh for closing comments.

Raghvesh: Thank you to all the participants for joining on the call and a special thanks to the management of Bajaj Finserv for giving us the opportunity to host the call. Thank you.

S. Sreenivasan: Thank you, everybody.

Tapan Singhel: Thank you, everybody.

Ramandeep Sahni: Thank you.

Moderator: On

behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q2 FY '25 Earnings Conference Call "
October 25, 2024

MANAGEMENT : MR. S. SREENIVASAN – CHIEF FINANCIAL OFFICER –
BAJAJ FINSERV LIMITED
MR. TAPAN SINGHEL – CHIEF EXECUTIVE OFFICER –
BAJAJ ALLIANZ GENERAL INSURANCE COMPANY
MR. TARUN CHUGH – CHIEF EXECUTIVE OFFICER –
BAJAJ ALLIANZ LIFE INSURANCE
MR. RAMANDEEP SINGH SAHNI – CHIEF FINANCIAL
OFFICER – BAJAJ ALLIANZ GENERAL INSURANCE
MR. VIPIN BANSAL – CHIEF FINANCIAL OFFICER –
LIFE INSURANCE BUSINESS
MR. ASHISH PANCHAL – CHIEF EXECUTIVE OFFICER –
BAJAJ FINSERV DIRECT
MR. DEVANG MODY – CHIEF EXECUTIVE OFFICER –
BAJAJ FINSERV HEALTH

MODERATOR : MR. RAGHVESH – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Bajaj Finserv Limited Q2 FY '25 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghvesh from JM Financial. Thank you, and over to you, sir.

Raghvesh: Thank you. Good morning, everyone, and welcome to the 2Q FY '25 Earnings Conference Call for Bajaj Finserv Limited. First of all, I would like to thank the management of Bajaj Finserv Limited for giving us this opportunity to host the call. As always, we'll have opening comments from the management team, post which we'll open the floor for Q&A.

From the management side today, we have Mr. S. Sreenivasan; CFO, Bajaj Finserv; Mr. Tapan Singhel, CEO, Bajaj Allianz General Insurance Company; Mr. Tarun Chugh, CEO of Bajaj Allianz Life Insurance; Mr. Ramandeep Singh Sahni, CFO of the General Insurance Business; Mr. Vipin Bansal, CFO of the Life Insurance business; Mr. Ashish Panchal, CEO of Bajaj Finserv Direct; and Mr. Devang Mody, CEO of Bajaj Finserv Health.

With that, I would hand over the floor to Mr. Sreenivasan for his opening comments. Over to you, sir. Thank you.

S. Sreenivasan: Thank you very much. Good morning, everybody. I welcome everyone to the conference call to discuss the results of Bajaj Finserv Limited for Q2 of FY '25. As before, in this call, we will largely be concentrating on the consolidated results as well as the results of our insurance operations for BAGIC and BALIC and where material, the stand-alone results of your company, BFS, Bajaj Finance, which is another major subsidiary of ours, has already had its conference call or if there are any high-level questions on BFL, we're glad to take that as well. I will also take you through some of the key developments in our other subsidiaries, including our AMC, our marketplace business as well as our health care business.

Before we proceed with the results, with respect to the news article published in the mainstream media on 22nd October and the disclosure that we made regarding the intimation by Allianz to us that they are considering an exit the insurance joint ventures, there is no significant additional information that I can provide you at this stage. We will make the disclosures as and when things evolve and as required under the applicable law. Therefore, I would request you in this call to

focus on the operations of our companies, and we will be glad to provide any clarification that you need in those aspects .

The only thing I would say that in the last several years, we have built 2 solid businesses in Life and General Insurance business, and we have always had 74% equity stake. And this will continue to be there. Bajaj will continue to be the dominant shareholder in these business in the times to come.

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Any statements that may look like forward -looking statements are just estimates and do not constitute an assurance or indication of any future performance result. As required by the regulation , as you are aware, BFS prepares its financials in compliance with Indian Accounting Standards or Ind AS. The insurance companies are not yet covered under Ind AS. They have prepared Ind AS financials only for the purpose of consolidation. Accordingly, for BAGIC and BALIC, the stand -alone numbers reported are based on non -Ind AS accounting standards or Indian GAAP, as we call it, as applicable to insurance companies.

Our results, the press release accompanyi

ng the results and our investor deck have been uploaded on our website.

I will now start with the results.

It has been a very good quarter for growth across all our businesses. Our consolidated revenue grew 30% for the quarter. And for the half year, it is 32% Y -o-Y. We ended the quarter with INR33,703 crores of total revenue. The profit after tax was up 8% Y -o-Y for Q2 and 9% Y -o-Y for H1. Further, we have a surplus funds in Bajaj Finserv of INR3,546 crores, which is 28% higher than last year.

Coming to the individual businesses. BAGIC 's gross written premium for the quarter - , the headline number is down 20%, - but it is predominantly because of spill over of a large order of Govt. health business, from Q2 to Q3. We hope this will get stabilized in Q3. Nevertheless, the underlying growth for BAGIC is still significantly above market. BAGIC had a profit after tax of INR494 crores, which is 6% higher as compared to previous quarter and a combined ratio of 101.4 %.

The life insurance continues to deliver market -leading growth , growing the individual rated new business at 34% Y -o-Y. The NBV or the new business value was higher by 3% Y -o-Y, and NBM or New Business margin is down by 3.8% . NBMs have dropped across the industry, and we will explain the reasons soon. Gross written premium was higher by 23% Y-o-Y and our AUM stood at INR123,178 crores which is higher by 25%

Coming to the consolidated results of BFL, strong growth was seen -at 29% on AUM. Total income up 24%, 13% growth in profit after tax . The gross NPA 1.06% and net NPA 0.46% continue to be among the best in the industry . And with a ROTA (Return on total assets) of 4.48%, which translates into an ROE of 19.08% annualized.

Our newly listed subsidiary, Bajaj Housing Finance ended with 26% growth in AUM at 102,569 crores and 18% growth in net total income while the profit after tax of INR546 crores was higher by 21% .The credit performance continues to be exceptional at just 12 basis points of net NPA and 29 basis points of gross NPA. The ROTA of 2.5% given that it is low risk, low margin business is quite satisfactory, and it translates into an ROE of 13.03%.

Coming to some of our smaller businesses, the stock broking business, which is under Bajaj Finance had a very good quarter again, 78% growth in revenue from operations at INR121

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crores. The profit after tax is up by 185% at INR37 crores. The AUM at INR5,430 crores denote largely the margin trade finance AUM . Our stock broking business has registered an ROE of 12.03%. This emerging start -up company of ours has already reached a level of profitability we are comfortable with the same , we'll see good run rate of growth in the coming years.

The marketplace and tech services business – Bajaj Finserv Direct again registered 30% growth in the revenue from operations. The profit after tax is down to a loss of just INR 6 crores for the quarter as against INR18 crores in the same quarter of the previous year . And the Healthtech and TPA services has revenue from operations stood at INR233 crores for the quarter . We are not comparing the previous year because of the acquisition of Vidal and therefore the year -on-year growth is high, but it's not comparable.

The profit after tax of the Healthtech business was negative INR32 crores which is well within our plan. And the cumulative capital we have infused in the business is INR1,086 crores. The

asset management business again had an AUM close at about INR1 6,000 crores. It had a revenue from operations of INR10 crores. And as you may be aware, in the asset management business, the revenue comes over time as the asset build gradually over time.

Coming to the highlights for each of the individual businesses, BAGIC

General Insurance has seen muted industry growth across various segments. Given

that,

excluding crop and government health, which are more volatile, and particularly with the crop insurance that's been subject to significant price compression as well with a new 80 -110 and 60 -130 schemes, BAGIC's gross written premium actually increased 11% in this core business, which is higher than the industry growth of just 4%.

Combined ratio continues to be good, but it has been affected by NATCAT claims during the quarter. COR is at 101.4 % as against 95.3% during the previous period. Excluding that, the combined ratio would have been below 100 % at 99.7 %. On account of the NATCAT claims, there is an underwriting loss of INR48 crores during the quarter versus an underwriting profit of INR37 crores, and we hope by the second half we do get an opportunity to recover that. The solvency margin is very strong at 312% as against the regulatory norm of 150%.

BALIC registered market beating growth. Market share has increased to almost 9% of the private sector as compared to a little over 8% in Q2 FY2024. In Q2, FY 2025 BAGIC ranked 6th among private players and 3rd on Retail NOPs. I think this is a very significant move over the last couple of years where BALIC has been acquiring new customers and growth in the number of policies in new business ranks at number 3 in the market for the quarter.

The new business value grew by 3%, notwithstanding the margin pressures. And predominantly, the margins were down across the industry because of the significant increase in the sales of ULIP's, which are lower-margin business for the industry as a whole. And we have seen from some of the other companies that publish their results that is an industry phenomenon. But given that the growth in NBV with these tailwinds is actually quite reasonable.

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Coming to Bajaj Finserv Health, the integration work has commenced post-acquisition of Vidal Health and the consolidated revenue for the quarter is INR233 crores. Clearly, as a pure healthtech start-up, the amount of revenue is very encouraging and as we continue to integrate Vidal, we see lot of runways for growth for Bajaj Finserv Health.

Bajaj Finserv Direct, had just INR6 crore loss in the quarter. We do see very good visibility in the business for the next couple of quarters, we might actually breakeven. On a cash basis, we may breakeven a bit earlier as well.

Bajaj Finance's capital adequacy remained strong, 21.69% with Tier 1 capital at 20.9%. In respect of Housing finance, the IPO during the quarter was one of the most successful in the history of the Indian Equity market. We are now sitting on significant capital adequacy at 28.98%, which will help us play the emerging growth in the housing market well in the quarters to come.

With that, I hand over the mic to you for Q&A, and we look forward to questions on our businesses.

Moderator: The first question is from the line of Prakash Kapadia from Spark PMS.

Prakash Kapadia: A couple of questions from my end. On the health side, typically, when we are looking to scale up, what are the combined ratios on the retail and group side or what are thresholds for scaling that business, what has been your experience on the government side of the health business? Because if I try and look at our GDPI growth, in the first 6 months, it's degrown partly due to health TP and crop business not growing. So what will bring back GDPI growth in the medium term for us?

S. Sreenivasan: Before I hand it over to Tapan, I think if you look at BAGIC's history over the last 20 years, when we started business, people said don't do motor business. Everybody was very interested in the very attractive corporate business, which was under the tariff, very cushy tariffs in hindsight. But from the first year, we started making profit.

Similarly, over time, we have entered crop businesses, rural

markets, government health etc.

We have a very clear focus on underwriting profit through our combined ratio and risk management. This business is not just about GDPI growth. It is a combination of growth and how you maintain profitability. Further, risk is more critical to this business.

Now I hand over to Tapan to take on the question on the crop and the retail health business.

Tapan Singhel: As you look at our core growth excluding the bulky business it is much over the market which has grown by just 4%, and we have growth by 11% which is almost 3 times of the industry growth. So I think it is wrong to see that de-growth is happening. Further, if you look at it, the

government health business has shifted to October, which was last year booked in this quarter. If you add that up, our growth, again, is very comfortable for the half year and for the quarter.
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Further, if you're seeing at a micro level degrowth it is mostly what we are doing willingly. If you look at the TP de-growth – commercial vehicles lines of businesses, there's has been no TP price hike for the past 3 years and the combined ratio is shooting up. So we have voluntarily reduced our exposure there. If you look at, let's say, the retail health, we're growing at market rate because again the retail health combined ratio for the industry is under stress. So we are not really getting very aggressive there on that basis. Under Crop, there has been 40% - 50% fall in prices in crop for the market. So we have reduced exposure there also.

This has been a strategy for 23 years. It's nothing new or surprising. We've been consistent with it. Where we see stress in the markets, we reduce exposure. Where we see opportunity, we'll increase the exposure. That is why if you look at our combined ratio, it has always been among the best in the industry.

If you look at our return on equity (ROE) in the business, we have excess capital. Our solvency is highest at 312%. If we remove the excess capital, @150%, our ROE would be closer 30%. At 200% of solvency, our ROE is clearly over 20% consistently still better than most of the peers. So we have a business which is delivering an ROE, which is clearly on the higher side of 20% consistently without the excess capital.

It is a business, which has been able to manage in terms of opportunities still growing at a higher rate than the market. I hope that will answer your question.

Prakash Kapadia: Are we comfortable with the government health side of the business, what has been our experience?

Tapan Singhel: As I said, we never give any micro numbers. But broadly, as I said, if you look at the combined ratios as a company, it will still be among the lowest in the industry and the ROE over 20%. So as a company, we do a business that we feel has strategic importance for long-term growth of the company and we will look into that.

S. Sreenivasan: Just to add on what Tapan said, I think for the risk of repetition on previous calls, the P&C business is a business of how you manage your risk across P&C. And within that, in India, particularly, we have different types of businesses. There is retail business, there are government subsidized businesses, there are group businesses, there is a big tactical element as well because the market is very dynamic, the pricing changes very dynamically. And therefore, how fast you adjust and how you hold on to your basic risk parameters is what defines a good company, and that is what we try to do all the time.

Prakash Kapadia: Right. And any sense on the TP price hike? I know it's been almost the third year now, no hike from the government. So any sense what and when is there any possibility of TP price hikes?

Tapan Singhel: We should not be blaming the government; I don't think that's the right thing. See, the process of

TP price hike is data is sent from the industry to the regulator. Regulator looks at it. And if the regulator feels that there's merit and they look at the micro level of the increase in certain section and decrease also in certain section, and they recommend it to the Ministry and on that,

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the Ministry looks at the merit and then takes the call. I mean this is the process. It's a really transparent process. The industry has represented to the regulator. The regulator would be seeing. If they find merit in it, they will push it. So that is how the process gets done. From an industry perspective, there'll always be representation, but the regulator will look at the overall environment of the price of the commission, of the combined ratio and then see where the merit would be. And then they'll recommend on that basis. It's a process. As of now, I think for the past few years, they did not see merit in the increase. Let's see how it goes.

Moderator: The next question is from the line of Mahek from Emkay Global.

Mahek: So two questions. First, on the motor side. Motor business has been growing at a slow rate, any outlook on the second half of the year? And any change in strategy, which would be in the motor segment going forward? And secondly, I mean, how are the trends in the motor OD in terms of renewals versus the new auto sales, which is being done?

And my second question would be for BALIC. So in BALIC, the group protection segment has grown by 25%. So just wanted some color on how the credit life and GTI businesses are performing for the H1?

Tapan Singhel: So if you look at the motor business group, see, as I mentioned previously, the commercial

vehicle segment is where there is a slowdown with stagnation in TP price hike and if you look at the frequency of accidents happening, has moved up in terms of the TP accidents compared to the time when COVID was there. And in fact, pre-COVID also it's higher. With the frequency going up, this severity moving up on commercial vehicle space, that's why we have, as I mentioned earlier, slowed down our exposure in that line of business.

Now if you see a price hike coming in, then obviously, our strategy will change. If we don't see, then we would be cautious in that business. And that's why you see our growth lower than the market growth in motor. But as I said, this is fine with us. We do it for so many years. If we find some business doesn't make economic sense, then we slow it down. And if makes, then we increase it. So the future statements depend on do we see a price hike, or we don't see a price hike in terms of what we should be doing in motor. Over to you Tarun for the life question.

Tarun Chugh: So the question is around the group term side, the credit life side, particularly. I think directionally, we have been commenting on this every quarter, particularly last year, we were focused on derisking ourselves because we largely used to work with 2, 3 partners, and they used to consume a big part of our share. That head the task for us this year, we get on to more lines of credit life business and get more and more partners onboarded such that we can diversify ourselves. As a result, I'm happy to say that today we have about 80 partners. And within this, about 22 banks with who we already on the credit life side.

But having said that, while we've grown because of a smaller base last year, the color is different shades within this business. Some of the profitable parts of the businesses have degrown and

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some of the businesses which consume a little bit more time in growing and of course may not be as profitable as the rest are growing faster. Hence, this balancing act will emerge as we go. As you may be aware that the credit life businesses for most insurers have slowed down, but I

won't really jump in joy for the growth that we've shown yet, because of the base effect. I think we are just getting back to where we ought to be. On the whole, there is a lot more competition emerging in the credit life side. And as a result, margins for credit life will remain to date as we go by.

Mahek: Just a follow-up for Tapan. Just wanted to know how are we doing in the motor OD segment, the renewals versus the new car segment?

Tapan Singhel: It has been consistent. I think we improved on that. But again, if I look at the numbers from an industry perspective, we would be among the best.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first questions are on the BAGIC business. So, Tapan, you highlighted the challenges in the retail health segment. Just wanted to understand if you could elaborate that what are the real challenges in this industry, and how do you see these challenges being resolved going forward? That would be my first question. And a second part of this would be if you could split the loss ratios in the health segment between retail group and government, that would give us some clarity about how things are moving in the segment.

Now the second question on the BAGIC business was, again, on the motor side. I understand that you have done fairly well on the motor business. You were early in the EV business and now you are slowing down there. But overall, the outlook for the EV segment as well seems to be weak based on commentary from some of the OEMs in the second half of this year.

So in this scenario, how do you see this book growing going forward? And what could you do to offset the slowdown? Are there any opportunities for market share gains or some of the share gain in certain OEMs? If you could give some color on that, that would be very helpful. I have a few questions on BALIC, but I'll get to that after this.

Tapan Singhel: I'll explain the different portfolios and the strategy behind that. But my humble request, and I have said this on the previous calls also and this call also, is that don't ask questions on micro level of claim ratio bifurcations. I would restrain my comment on those because the business is strategic. When you start giving micro level claims ratio, it opens up to the entire market. And that's what I have never done in the past also nor would I do that. Whatever is available in terms of the loss ratio, the intent is public disclosure of the GI business I think if you look at it, you can go to the website and get that.

But now let me come to the retail health and the challenges in retail health. So if you look at health, this is globally a phenomenon of the health business and India specifically, so the outgo happens at hospitals, and hospitals are not regulated in the Indian context. The inflation on the

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expenses at a hospital level, medical inflation and moves up much faster than the price which gets built in, in the retail health portfolio. And they're also quite a bit broad, which keeps on happening in this space.

Now if you increase the price too dramatically, then it hurts the end consumer because unlike motor, whereas a vehicle ages, your insured value comes on. So the price actually comes on. In health, as a person ages, the price starts moving up and the inflation also happening, starts moving up. So the price is a very sensitive part of the health portfolio from a customer perspective and rightfully so. While the problem in outgo is that you have a medical inflation, which keeps on moving much faster than the pricing which gets done and you also have products happening.

So the way the industry is trying to handle this is two-phased. One, a health exchange is being set up with the government, NHS in process. Every insurance company has plugged into that health

exchange. And hospitals are a bit reluctant to plug in as yet, but talks are with them because that will bring in transparency in terms of claims. So the industry wants to pay claims as soon as possible, immediately, but the transparency of the documents or the procedures, we put on exchange, so there's a flow of claims happening. But there's reluctance from the hospital as of now, but conversations are on to see how we get them on board. So that would, one, bring in more transparency to the system, which would be better in terms of overall seeing how things move.

The other issue would be if you look at in terms of the expectation from the customers and the regulator to the industry is that you should be covering everything, every possible means of treatment. Any means of different segments of the society, and nothing should be missed out. You should be serving the customer in a way that they have the least of difficulty, which is a very fair ask from the regulator. But even if you put all that together, there's also cost of servicing to the customer, and that also moves up in terms of costs that the companies bear.

So when we put all this together, it is not something which you can easily say that it will, at any point in time, be able to generate a substantial amount of profit in terms of the business, which has to be. But it is a substantial amount of business, so you have to be there, and you have to make yourself more efficient, much better in terms of servicing a customer and build a good brand. So overall, this is a summary of the retail health that you asked me in terms of how it is and the challenges, which is there, and how the companies have to keep on overcoming at a company level, at an industry level and to be able to provide very good service to the customers. This is a very sensitive portfolio. It affects the individual in terms of their own health and also you have to be very sensitive toward that and provide the best to them.

If you look at Bajaj, we're the first to set up RMs at hospitals, people standing there for a customer to take care of them. We're also looking at the full RM servicing the customers. We also came out with very interesting products for senior citizens, which actually has a provision that there's a variable pay. If somebody falls ill or very emergency cases, press that, we send ambulances over, get them picked up, take them to hospital, get them treated and get them back.

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We also came out with global health cover that, it is not that if you are getting treated in India, we will restrain this only to India. You can get treated anywhere in the world. So we have done a lot of innovation, and we're trying to bring the best product. And look at interesting businesses, models in which we try to see that it is not only just pure paying claims, but also ensuring that we are able to take care of the customers. So it's a constant improvement and a constant push, but this is, in short, is the retail health. On the motor, your question was, sorry, I missed that.

Supratim Datta : So, I was asking about the second half, how are you looking at growth given the commentary from OEM.

Tapan Singhel : That is why if you look at motor growth, overall, the industry has come down. So you have rightly seen. The sale of the vehicles has been down, and that has impact in terms of the growth of motor business. If

Right now, there is a stress on the sale of new vehicles happening. But as a company, we have a substantial share in the new vehicle sales. So I don't think I would see a huge difference from the current level of growth, which is happening, either plus or minus. But that is a forward-looking statement. It depends on how things move for TP price hike; how does the sale of vehicle move up. It is subject to sort of these parameters for the second half of the year.

Su

pratim Datta : Tapan, thanks a lot for the detailed explanation on the retail health side. If I could just ask two follow-ups here. So one is, do you see a need for different structures to emerge on the retailing

side in terms of products, maybe something like a Kaiser Permanente, which is there in the U.S., some kind, that kind of a model to get better value distribution between the insurance company and the hospital? And two would be, do you see GST, there is talk around GST rates coming down. Would that be a relief enough to really drive growth or make this product a bit more attractive for insurance companies as such?

Tapan Singhel : GST will play a role and that has been the demand for the ministry a long time. And we're actually seeing positive feelers at least on the senior citizen and on the low sum insured coming right now, but let's see how it emerges, which I believe is good, at least for seniors, it really is good. It gets more expensive as you age. So GST relief at the senior citizen would actually make a huge difference because that is where the health requirement is very high also, and we are focusing on that.

And to your point, health business will emerge. It is in a constant state of churn, and we are seeing some good models of either Discovery in South Africa or to some extent, part of the US models you said. This churning will keep on happening and evolution will happen in the health portfolio, but one has to build it in a very long-term basis. In motor business, you can say no to renewals. In health, by regulation, you can't say no to a renewal. So you have to be very cautious of building a very good book, which sustains and stays like forever with you kind of stuff.

Supratim Datta : Got it. Just one question on the BALIC business, I understand ULIP's have grown very strongly this quarter. But given how the markets have been over the last 15 days and considering that some of the commentary from some of the consumer companies suggested there is steps building

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in the middle-income households. How do you see this ULIP growth sustaining going forward?

And if it does not sustain, then how comfortable are you that to shift this growth to other products, if you could give some color on that, that would be really helpful.

Tarun Chugh : That's a good question. Yes, last quarter has been an abnormally good month in terms of top line. And hence, when top line comes with easier selling products, they do lead to a bottom line hit. So I'd be happier if we got a more balanced product. What you see is that we've been working on our product mix, trying to get it balanced all the way through.

Broadly, if I was to indicate the ballpark of ULIP, the way it has changed the market, so in the markets, the BSE Sensex crossed 82,000, our ULIPs were moving closer to a very high level of almost 16% of our product mix. And this, then we retrained our teams, got them focused on a broader set of customer needs. And we were able to actually control it, if I can use the word control, but I believe, balance is the best word here, through what remains our usual mix.

And if you go back and look at how are quarters were moved or how the years land up ending, we land up balancing a product mix over a period of four quarters in a year, but we do let customers and distributors tell the flavor of the month. And as markets are now cooling off a little bit, we will be back to a predominantly traditional product mix. That's where BALIC has always been. BALIC is largely a market leader in the mid-segments already.

Yes, I have been listening to the commentaries that there is an issue around the mid-segment. But at the same time, if you look at the way people have money in hand to spend, the way other indicators are moving, it's a mixed bag.

I don't think it's a clear indication that people are kind of cash trapped

because spending on

homes has gone up. Stamp duties have been higher. You see middle class coming out and spending a lot more on travel. So, it's not that, we are seeing any significant risk there. And our products usually are well-thought through.

It's a very high evolving product and do remain resilient to minor volatility of such bits. This would largely spin out more from the credit life business, but not necessarily in the long-term saving plans. Hence, we don't see an issue there. I think what you will see is our mix, getting more and more balanced to what we are usually accustomed to have.

And last year this quarter, where we had a significant ULIP, this time it's been quarter 2, but good thing is the best quarters of the year are yet to be kind of pronounced in the coming year.

And as our mix balances out here, overall, I think the year should be a lot more comfortable.

Now we don't have an issue on demand on longer-term traditional plans because traditionally, that is what the BALIC has been known for anyways.

Supratim Datta: Got it. Thanks a lot for this answer. Just one question, although by these additional products will become larger in the second half is what I understand. So there is also an impact from surrender charge, higher surrender charge and renegotiation of some of the commission contracts with your partners. So if you could give some color on that, how do you see that play out? What

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would be the impact on the higher surrender value? And how are negotiations with your partners going ahead, that would be helpful. So that's last one ?

Tarun Chugh: That's a fair question to ask at this juncture. See, surrender value, yes, did put us in a d dizzy, I'd admit it and has also put distributors in a d dizzy because it's more than anything else because of surrender value, the cost of distribution, the cost of commissions has to come down. They have to plateau out in such a way that the first sales commissions have to come down.

I think the distributors have been quite in sync with manufacturers and they realize this and the fact that this was going on for almost like 6 months of discussion. This has already seeped into the bloodstream of the sector, and it had its time. So while there are some small aberrations here and there, but largely most distributors have either taken a commission cut or deferral. And I'm not just saying it for BALIC. I'm saying it for the entire sector. BALIC, of course, has led also from the front as always. And it is kind of getting shared.

And as we go ahead now, we will see more and more I'd say, plateauing out of commissions relatively and that should help persistency because you get your second year, third year higher commissions versus what they used to be earlier, only if you are more persistent. The more persistent you are, the lesser the probability of surrender. Hence, I think it has relatively been a very well-informed date. I'd also like to thank the regulator that they could come up with this. And because it was largely publicized, distributors have basically been in sync with the manufacturers as well.

Supratim Datta: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Dhaval from DSP Mutual Funds. Please go ahead.

Dhaval: Thanks for the opportunity. I had couple of questions. Sorry, I missed the opening few minutes of S. Sreeni's commentary, but just on this news flow around Allianz looking at exit. Just I wanted to understand how we are thinking about sort of this event in terms of, let's say, if we were to buy funding of this event. I mean some perspective around that would be useful. How are we thinking about it?

And then the other question was relating to the Life Insurance business. Directionally, not maybe near term, we wanted to get closer to the listed peer group in terms of V

NB margins. I just want

to get some perspective that maybe our pace of change may have got derailed in the current year with the product mix and the regulatory changes, etc. So is that still on track in the next 2 years or so FY '27? Do you think we will be getting there or there is any change to that thought process? Those are two questions.

S. Sreenivasan: I'll take the first question. I think as you actually correctly said, you missed my opening remark in which I had said that we have made an announcement. It is Allianz's that is considering an exit. They have informed us. Beyond that, we have nothing more to communicate at this stage.

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So there are no further questions that we'll take in this call as well. Your second question, I think Tarun will take it.

Tarun Chugh: Yes. So another good question. I'd say that, yes, some derailing for a quarter or two here and there should be the only outcome of this because like I was answering the previous one, distributors have realized that this is a situation where they'll have to bear as much of the burn of the manufacturers are and there has been multiple actions we've taken. So that should ease the impact.

Yes, directionally, we are committed to moving our NBM margins. We normally look at VNB, because NBM margins do not capture within as such. The NBV is what we look at and that is what you will see pulling in direction. A slight, I'd say, aberration for the quarter because -- more because of ULIP, not because of surrender value piece last quarter, but the trajectory remains up and we should be -- we are in shape to start moving in the direction of the rest of the companies among the top three or five companies that have been.

And you'll see us getting there because traditionally, as you may have seen, BALIC is a turnaround case. We have moved in from single digits to double digits already and now we are in the mid-teens. And nobody is keener than the team and me to ensure we get to where the rest of the players among the top cohorts that we have. The one we compare ourselves with, we are committed to getting there.

Dhaval: And sorry, Tarun, just if I may take a follow-up on this one. So like the market share change that has happened over the last few years, now we've got to a particular size, I mean, in terms of like a rolling 12-month AP market we share would be about 5% plus. So from that perspective, the incremental pace of market share change may moderate, and we are seeing that in terms of the

steepness of the market share gain has started more moderating.

So how do you insulate the current position and then ensure that the gains still continue because historically, we've seen in case of some of the other companies like Tata AIA or Kotak and even in Max, they get to this point and then they start sort of losing ground and then again, there is 1, 2 years of correction. So just on growth to ensure that this VNB margin comes through, how are we sort of looking at navigating this size and ensuring that we don't falter on that?

Tarun Chugh: First of all, I must comment that I think you've done your homework quite well. And yes, other companies would have moved laterally and not necessarily the steepness would have continued.

One needs to understand that steepness is also a base impact. So when we were small, it was steeper. If you look at the number of thousands of crores we had, possibly that would remain similar. And hence percentages growth may not always remain the same as the size gets to be larger and larger.

What we are committed to is how is this market share coming? Is it coming from the more profitable products and more customer-friendly products? And are we growing our base of customers? Is our distributor capability enhancement in the right trajectory? We have all these input parameters that if we monitor, directionally, we shall remain only positive. The pace of

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growth of top line is essentially an outcome of all these things taken in conjunction and you shall see that.

Like for example, The numbers say what they say. I'm particularly very happy to let you guys know that we are now the third largest company in the life sector in terms of the number of policies we sell in the private sector. So we are punching way above our weight class there. And that gives us capability to upsell. As you know, Bajaj Finserv group is particularly known for such capability. And this is what we are always enhancing, we are getting into more households, are we getting into more cities.

Are we adding more distributors who are active? How does the quality of sale go? Because all of these, if they are there, directionally, the growth shall remain. Trajectory will be positive.

We've always committed that we'll be twice the growth rate of the industry, and which is what we've always been mostly more than that. But it is important that with that the bottom line also moves faster, not the way it has gone this quarter, but faster than the top line.

Dhaval: Thanks and all the best.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: So firstly, on BAGIC, we've seen the motor TP loss ratio for you and one of your core competitors, a significant improvement in loss ratios over the last couple of years. And so in that sense, what are the reasons that is kind of driving this loss ratio improvement? And secondly, when the regulator or the government kind of decides the tariff hike, is it more specifically linked to loss ratios or because of acquisition cost strategies for all companies, rather than driven by anything else?

In that sense, does the loss ratio play a meaningful role and the probability of price hike goes down, given the trajectory that we've seen? That's a question on BAGIC?

On BALIC, if you look at the industry where we are getting more granular with the agency channel and direct channel reporting very strong growth for even in your counterparts on the private side, how does the kind of structure with respect to the infrastructure capacity that the companies would have or the industry would have will have to change and the investments will continue over a longer period of time, keeping the costs elevated and the margins possibly could be restricted? Those would be my questions.

S. Sreenivasan: Tapan, would you like to take the first one on TP rate, how important loss ratio is and do you see it will trend and that evolving?

Tapan Singhel: Yes. So if you look at it, and I mentioned earlier in the call also, that it is a balancing of portfolios. I did mention that commercial vehicle, we have been kind of conservative on that line of business. If the mix changes, then losses should be changed. What we see is an overall loss ratio.

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So if you are changing the mix of business, which is a higher loss driven to the mix of businesses which has lower losses, then overall, your loss ratio will improve. Like we said, if we don't see the price to be appropriate for certain class of business, we will become underweight. And the ones which are better, we keep on moving that mix accordingly, you see the change in the loss

ratio also.

Secondly, if you see COVID times, actually, the frequency had dropped but was very unpredictable. So quite a few companies had dropped the ratio, looking at the frequency while we have still held it because of the unpredictability. Then the reserving can also put the unpredictability part to account overtime. So mostly, loss ratio movement will happen with your selection of business happening. I think that is how it reflects on the business.

Now another point on overall loss ratio, again, segment-wise, it's different for motorbikes. Some do require a price hike, some require a price decrease also, which have improved over time. And that is what the industry has recommended. Currently, if you extrapolate, then maybe six months from now, with all the cases coming in a year from now, it is going to move up.

So if the price hike has to happen, then you will take also into consideration the future movement based on the experiences currently. This is what the industry puts forward as their logic in terms of why the price at certain segments is not sustainable. And in certain segments, they should come down. So industry recommends both. I think the regulator has a view on how they look at it. So I hope this answers your question.

Prayesh Jain: Yes. So life insurance?

Tarun Chugh: Again, another good question. There was a time when we had more new verticals coming, more bank partners getting tied up with us. I mean literally in the last 6, 7 years, from near 3 or 4 banks, now we have close to 34 - 35 banks with us. So investment phase was significantly higher and usually it takes a little time to get to productivity levels. And we have been pretty much transparent in telling you that. We were setting up more new verticals than we were, repaying from these at that time. But as we are now stabilizing at least in terms of the amount of new businesses that need to set up, which tend to put a new hierarchy, new vertical, higher costs, higher systems. That is now not such a significant part of the growth.

Now where we expect the growth to come is as we read these relationships which have come with us, and it's more a horizontal investment now. So while we've added 40 branches this year, and we are now about 562 branches, the growth shall come in. Incrementally this is about 9% more branches that we used to have earlier. But these are horizontals. So these don't require new verticals, new hierarchy, new non-production costs and no new significant systems to be added on this. So we will be starting to see the cost ratios getting better as we go ahead.

And the other is, of course, more productivity is coming in. And we call it smart productivity where we are doing a balanced product mix that is going through with customers. Hence, you are not at risk of market volatility which is what you will see as we go ahead. And hence, the

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answer to the earlier question that come up, positive impact on VNB growth will start coming in because the scale will be there, but it doesn't need to be built from scratch anymore.

Prayesh Jain: Sir, it was more specific to agency and direct channels, while on the institutional side, I understand you would have built in a lot of capacity with respect to infrastructure, like the agency and direct channel where you will need to add manpower for servicing for major other elements of the business. Do you think by another 1 or 2 years, would we need further investment in manpower?

Tarun Chugh: Yes. See further investment in manpower is horses, of course, that will be required. I'm not saying it won't be required. But I think given the sanity around the product mix, given the fact that we are already scaled up, we don't need to invest in convincing people to become our distributors, it is more adding lesser non-productive costs. So if you're adding producers, that is the good investment too, right, than adding support staff to make it happen you do need a basic amount of actuaries, a basic amount of finance people, a basic amount of admin people when you're starting off.

But once you are adding distributors or you're adding or reducing part of manpower, that's only positive. In fact, I would say agency and direct channels are now getting to be a lot more profitable as we are seeing year-on-year with the product mix

getting stabilized and not swinging

to one direction. That is what is going to help us grow our VNB more and more.

Prayesh Jain: Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: On general insurance, I have a question. See, you highlighted in the call that you are seeing pricing pressure in crop and maybe in commercial lines like fire. So will you attribute this largely to EOM? So this will continue till next year because even compliance needs to be compliant by next year. So the pricing and the profitability of this segment might be under pressure for the sector as a whole, is the first question.

And counter question to the same is that if EOM is point which is leading to the pricing pressure

in the commercial line, then it should have been ideally delayed in the favor of motor business because the payouts are higher. So naturally, the price war or at least payout war would have moderated in that business. But what we understand from you is that we are seeing a different trend there. So I just wanted to understand how you are looking at this space. That's on general insurance.

One thing on general insurance, if you can quantify non-motor long-term business in our portfolio in GDPI. On Life, I know you indirectly answered that question on the VNB margin. But given we ended first half at 9.2% and are now going through the surrender rule, what kind of an NBV margin should we see, reportedly last year, it was at 14.6%. Whether is it possible to get closer to that number or we will be off, given we have a product mix challenge and then also the regulatory headwinds.

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So if you can give a bit of color on the margins would be useful. And second data-keeping question is the negative operating variance in the EV. It is related to what?

S. Sreenivasan: Yes. I think the first question was on crop insurance, the EOM and others, I think Tapan or Raman can take it. And the second was a little bit more technical question on Life, I think Tarun can take that.

Tapan Singhel: Thank you. Now if you look at the first statement is, we don't feel any pressure on anything, I think, because we are growing much over the market and we have a combined ratio, which is among the best in the market. In terms of number of policies last year, we sold 3.60 crores policies, which should be good. So I don't think we'll feel pressure on anything. It is business, strategic and it will move well.

If I take you back to a couple of years, back in the call, the question that I would always get asked is nobody is doing crop business. You're doing crop business. It doesn't make sense for others. Then I would keep on saying, no, we will see that. And if you look at the results in crop, we did phenomenally well. And then obviously the results are good. Everybody jumped into the business there. And then the results, the margins get narrowed. It's a natural part of any business across the globe. It is not only insurance, but any business also where people would see margins, they would come in.

EOM does play a role because it is very clear. The EOM has to be. But for Bajaj Allianz, I think we have been safely under the EOM norms and still are very comfortable. So we are among one of the well-run companies.

So I don't think there's any pressure on EOM to make decisions from our perspective. Some players in the market may have, that is their outlook, their call. They would figure out what is good for them and what is best for them. And accordingly, they will strategize and try to acquire business. But business movements happen based on how people see where the profit margins are, what is the competence, service the customer, what they can deliver based on that. And that moves.

But if you look at the GI business globally

also, there's nothing which remains permanent forever. It's cyclic. Some part of the business will have discounting happening. Some part of business will have hardening of rates happening. And it happens cyclically. If you look at GE insurance market also, they have softening and hardening. It's part of our business. So I think these circumstances do not put pressure on us because it's a part of the business. And how do you be agile to figure out and have the vision to see what would be the right business mix to have, and you keep on making those business mixes and growing your business. And ensuring that you serve your customers well, develop good ROE, innovate and do that. So that's part of business. I don't think we should read too much or see permanency in any part or any strategy.

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Sanketh Godha: Tapan, the reason I was asking that question was that whether this, other than the cyclicity, has EOM has also played a role in pricing pressure?

Tapan Singhel: Let's say, I can't talk for other companies. For us, EOM has no pressure as I told you. And you would be knowing that since you have studied it so well. We are much below 30%, and we're comfortable. And we don't have any breach. So our decision making will have nothing to do with the pressure of the EOM. Now for me to comment on somebody else's strategy is not fair because they would be using the best strategy for their company, and I respect all my friends in different companies.

I'm sure they are thinking through what is best for them. But if you ask me, if I had to do a strategy in terms of making, business call just to correct EOM, that, in my view, would be a very short-term strategy. I would not do that. I would make strategies to run my business well for a very long term. The insurance is a long-term business. It is not fly by the night business. If you enter the insurance business, have a vision for 100 years, minimum, when you're thinking on doing something.

So just making a strategy to correct EOM in short term cannot play out. It will always be very short term. It will always hit you again on a very short-term basis. So, I would personally not do things just to correct EOM on a short-term basis.

Sanketh Godha: Raman, if you can answer the long-term non-motor business to our GWP contribution?

Ramandeep Sahni: So I'll answer that indirectly. See, while we don't disclose such granular numbers like Tapan said, but I'll give you an indicative number. If you look at our advanced premium growth, which is largely driven by the long-term businesses, that has grown at 20%. So that indicates that we are still growing in those lines of business at a healthy pace.

Sanketh Godha: My question was not with respect to motor. I was keener to understand non-motor long-term business.

Ramandeep Sahni: Okay. That will be closer to, I remember the number was closer to INR1,000 crores, but for this year, some of the businesses has slowed down in that segment. So I'm assuming you're asking in context of the new regulation. So for H2, I think that number for us will be closer to about INR 500 crores.

Sanketh Godha: On Life ...

Tarun Chugh: So I'll just get it on the life bit, Sanketh. So there are two questions. I'll answer the first, and Vipin will take on the next one, on the EV. But just on the VNB margin, directionally, I have in a way, already answered it. But just to be a little bit more specific, within a year, you would see that we have a higher swing within our peer set. And usually, the first 2 quarters are more sedate. And Q3, Q4 tend to be getting better because second half is usually skewed towards better product, better product mixes as well sometimes.

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As well as a lot of the hiring that we do, usually happens in Q1 and Q2, and the productivity really

start kicking in only Q3, Q4. So I don't have any major concerns on the exact numbers.

The team is committed to delivering better than this. But as we are closing out on all negotiations and discussions around the deferrals, commission reductions, I think we'll be a little better placed to put a kind of a broad theme that is it going to be better.

Because everything is now getting discussed and closed at the stage, we remain positive is all I'll say because you asked a question on the regulatory bit and the direction of the NBM.

Sanketh Godha: Right. But is it fair to assume that this could be potentially 100 to 150 basis points lower compared to what we reported last year, given the product mix and the regulatory challenge?

Tarun Chugh: See, if I was a scaled-up company with margins having peaked out, yes, I would be concerned. But our margins are only just popping up in the last 2, 3 years. So I don't think for us to beat this number is tough despite because our trajectory was a lot steeper versus our peer set. So our aim is to get to that direction. Let me just say that to you at this juncture. I'll ask Vipin to comment on the technical piece. Vipin?

Vipin Bansal: So Sanketh, your question was on operating variance. I think there are no major items. I think on a Value IN force (VIF) of close to about INR9,300 crores, an amount of INR50 crores variance to explain some of it is purely the way your persistency moves. Some of it is there and unit cut goes I feel for some products. Better persistency can cut both sides. It's a very small variance. And I don't think that worries us, honestly, on this side at this point of time.

Sanketh Godha: The reason I was asking, Vipin, was that given our persistency has improved across the whole, and we are at a better scale, operating leverage should also play out. Is it largely related to mortality was my concern.

Vipin R. Bansal: If your question is mortality, that's not the reason for this variance.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: This is essentially on a little bit understanding of the surplus capital or surplus cash that we have versus the deployment that we are looking at over the next couple of quarters, so if you could just help us sort of understand that. I believe you said somewhere closer to around INR3,500 crores of surplus cash are what we are sitting with, and maybe if you could help in terms of how that is getting deployed in various business?

S. Sreenivasan: This is at the BFS level. And as you know, the last few years, depending on the solvency increase, of both BAGIC and BALIC, they have been paying out dividends. BFL also now has been a consistent dividend payer for the last few decades. So that is the primary source of cash flow. And however, we'll continue to build on that as we go along. We have demand primarily

from the mutual fund business and from our health care business for some amount of capital.
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At the moment, we are not envisaging capital requirements for our marketplace business. As we go into the future plans over the next few quarters, we will give you that situation, but we are not seeing that at the moment. And if we have any surplus capital, we may put a bit into our venture funds as well. So this continues to be our plan. But over time, we should see the cash surplus grow.

We also have a commitment over the next 7 or 8 months to contribute to the draft issue warrants for BFL, the balance 75% is due. We would be investing in that, that's about INR900 crores.

Nischint Chawathe: And very rough ballpark, the investments that we're looking at in health and AMC, I mean, if any number that you could give?

S. Sreenivasan: As of now, we are not looking at more than about of INR500 crores to INR600 crores over the next 1.5 years until March '26 but we will know more clearly by February.

Nischint Chawathe: Both the companies together?

S. Sreenivasan: Yes, yes.

S. Sreenivasan: This is based on the last year's AOP, current is due in February, so I cannot give a commitment now, but this is what it looks like based on the industry margins.

Moderator: Ladies and gentlemen, this was the last question for today's conference call. I would now like to hand the conference over to Mr. Shreyas.

Shreyas Pimple: Thank you to all the participants for joining the call. And a special thanks to the Management team of Bajaj Finserv for giving us the opportunity to host the call. Thank you.

Moderator: On behalf of JM Financial, we conclude this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

S. Sreenivasan: Thank you.

Tapan Singhel: Thank you. Thank you, everybody.

Call: Feb 2025

<https://www.aboutbajajfinserv.com/about-us>

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6 February 2025

To

Corporate Relations Department.

BSE Limited

1st Floor, New Trading Ring,

Rotunda Building, P J Tower,

Dalal Street, Fort,

Mumbai 400 001 To

Corporate Listing Department.

National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor

Plot No. C -1, G Block,

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

BSE Code: 532978 NSE Code: BAJAJFINSV

Dear Sir/Madam,

Sub: Transcript of Conference Call in respect of financial results for the quarter ended 31 December 2024

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Para A of Part A of Schedule III to the SEBI Listing Regulations

In furtherance to our letter dated 5 February 2025, this is to inform that the transcript of the investors conference call held on Friday, 31 January 2025, is enclosed below.

The same is also available on the Company's website at Microsoft Word - Bajaj Finserv transcript.docx

We request you to kindly take this on record.

Thanking you.

Yours faithfully

For BAJAJ FINSERV LIMITED

UMA SHENDE

COMPANY SECRETARY

Email ID: investors@bajajfinserv.in

Encl: as above

MANAGEMENT : MR. S SREENIVASAN – CHIEF FINANCIAL OFFICER – BAJAJ FINSERV LIMITED

M R. TAPAN SINGHEL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ ALLIANZ GENERAL INSURANCE COMPANY

M R. TARUN CHUGH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ ALLIANZ LIFE INSURANCE COMPANY

M R. RAMANDEEP SINGH SAHNI – CHIEF FINANCIAL OFFICER – BAJAJ ALLIANZ GENERAL INSURANCE COMPANY

M R. VIPIN BANSAL – CHIEF FINANCIAL OFFICER – BAJAJ ALLIANZ LIFE INSURANCE COMPANY

M R. ASHISH PANCHAL – WHOLE TIME DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ FINSERV DIRECT LIMITED

M R. DEVANG MODY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ FINSERV HEALTH LIMITED

M R. ANCKUR ANIL KANWAR – CHIEF FINANCIAL OFFICER DESIGNATE – BAJAJ ALLIANZ GENERAL INSURANCE COMPANY LIMITED

MODERATOR : MR. RAGHVESH – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Bajaj Finserv Limited Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghvesh from JM Financial Institutional Securities Limited. Thank you, and over to you, sir.

Raghvesh: Thank you, Sajal. Good morning, everyone and welcome to the 3Q '25 Earnings Conference Call for Bajaj Finserv Limited. First of all, I would like to thank the management of Bajaj Finserv Limited for giving us the opportunity to host the call. As always, we'll have the opening comments from the management team, post which we'll open the floor for Q&A.

From the management side today, we have Mr. S Sreenivasan, CFO, Bajaj Finserv Limited; Mr. Tapan Singhel, MD and CEO, Bajaj Allianz General Insurance Company; Mr. Tarun Chugh, MD and CEO, Bajaj Allianz Life Insurance Company; Mr. Ramandeep Singh Sahni, CFO, Bajaj Allianz General Insurance Company; Mr. Vipin Bansal, CFO, Bajaj Allianz Life Insurance Company; Mr. Ashish Panchal, WTD and CEO, Bajaj Finserv Direct Limited; Mr. Devang Mody, MD and CEO, Bajaj Finserv Health Limited and Mr. Anckur Anil Kanwar, CFO Designate, Bajaj Allianz General Insurance Company Limited.

With that, I would like to hand over the floor to Mr. Sreenivasan for his opening comments. Over to you, sir. Thank you.

S Sreenivasan: Thank you Raghvesh and good morning, everybody. I welcome everyone to the conference call to discuss the results of Bajaj Finserv Limited for the third quarter ended 31st December 2024, let me first welcome Mr. Anckur Kanwar, who is taking over as CFO of Bajaj Allianz General Insurance Company from tomorrow. He has been with us for over 6 months now as a CFO Designate and he will officially take over as a CFO from tomorrow.

As per the press release published yesterday, I would also like to inform that I would be handing over the reins of the CFO position to Ramandeep from 1st February. Ramandeep is a familiar face to all of you. He has been a part of this call for several years. I would continue to be in a leadership role in BFS as President Insurance and Special Projects.

I would like to thank all of you who have participated in the quarterly calls moderated by me for the last several years, for the support, encouragement and valuable queries that has kept us on

our toes. And my congratulations to Raman for the CFO position. So I request you to join me in wishing Anckur and Raman all success in their new assignments.
As before in this call, we will largely be concentrating on the consolidated results as well as the results of our insurance operations through BAGIC and BALIC and where material the
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standalone results of our company BFS. Bajaj Finance has already had its conference call on 30th. However, if there are any high-level questions on BFL, we would be glad to take that as well.

Before we proceed with the results, in regarding to the intimation by Allianz to us that they are considering an exit from the insurance joint ventures, there is no significant additional information that I can provide you at this stage as all the discussions are still at a preliminary stage and not yet finalized. We will make the disclosures as and when things evolve and as required under the applicable law. Therefore, I would request you in this call to focus on the operations of our companies, and we will be glad to provide any clarification that you need in those aspects.

Any statements that

may look like forward-looking statements are just estimates and do not constitute an assurance or indication of any future performance result.

As required by regulation, while BFS prepares its consolidated financials in compliance with IndAS, the insurance companies are not yet covered under IndAS. They have prepared IndAS financials only for the purpose of consolidation. Accordingly, for BAGIC and BALIC, the stand-alone numbers reported are based on non-Ind AS accounting standards or Indian GAAP, as we call it, as applicable to insurance companies.

Our results, the press release accompanying the results and our investor deck have been uploaded on our website yesterday.

Let me now move on to the highlights for Q3 FY '25. Our consolidated total income was up 10% at INR32,042 crores as against 29,028 Crores and the consolidated profit after tax showed a 3% increase at INR2,231 crores as against INR2,158 crores in the same quarter of the previous year. However, under the IndAS, the insurance subsidiaries have chosen to hold a large part of the equity securities portfolio at fair value through profit and loss account and also a certain amount at fair value of other comprehensive income.

Therefore, the growth of the profit after tax excluding the unrealized mark-to-market gain and loss and including the realized equity gains booked under OCI for the quarter was 23% and for the 9 months was 13%. So overall, the core operating results of our company, we believe, have been very satisfactory for the quarter.

During the quarter, BAGIC recorded a top line growth of 46%. However, if we were to exclude the volatile crop and government health, there has been a degrowth of 2%.

Previously, all long-term policies, which includes certain types of health policies, some long-term dwelling policies and certain other types of policies that BAGIC writes were accounted as premium on the assumption of the risk. However, from this quarter, these gross premiums are to be deferred over the life of the policy. This shall have an impact on top line numbers for the Company. This shall also impact Combined ratio for the Companies. But in terms of the underwriting results and profit after tax, this is profit neutral.

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Excluding the impact of the above accounting regulation and the volatile business, BAGIC has registered growth of 6% for the quarter.

Further, BAGIC recorded a profit after tax increase of 39% at INR400 crores versus INR287 crores and the ROE stands at 14% versus 11.1%. The combined ratio for the quarter is 101.1% versus 102.9%. Overall, BAGIC's combined ratio performance continues to be satisfactory, and the profit growth is also quite strong.

BALIC's growth in terms of individual rated new business premium was quite muted in the quarter, mainly because of the change in the product mix and the change in the distribution arrangements that the company is making on account of the new surrender regulations.

The company is focusing now on creating a sustainable product mix over the years. And if there are any questions on that, the BALIC team will be pleased to add on that. Overall, the gross written premium increased by 16% at INR6,361 crores. The profit after tax was higher by 106% at INR222 crores versus INR108 crores, which was also aided by a tax reversal of about INR67 crores. Even excluding that, there has been a healthy increase in profit after tax. The new

business value, increased by 1% from INR251 crores to INR254 crores, reflecting the efforts to adjust the product mix as well as the impact of the new surrender charges, which kicked in from 1st October of this year.

BFL had a very good quarter this time. Consolidated net income was up 26% at INR11,673 crores. The consolidated profit after tax was up by 18% at INR4,300 crores with an ROE of 19.08%. Given the general muted performance by the lending sector across banks and NBFCs

, this result is very, very healthy.

Now coming to BAGIC.

The growth for general insurance industry during the quarter is 7.3% with private sector growing at 5% and public sector at 11%. The growth has increased slightly from the previous quarter, largely driven by the public sector players. Further as we spoke about the change in regulations, it is causing a bit of distortion in apples-to-apples comparison. So as we go forward, we'll continue to call that out for at least another couple of quarters.

The gross premium for BAGIC grew 46% to Rs. 6,626 crore v/s Rs. 4,536 crores in Q3 FY24 and excluding tender-driven crop business and the 1/n basis impacts, BAGIC's GWP grew by 6%. Hence, on top line, BAGIC continued its outperformance to the market.

COR stood at 101.1% in Q3 FY2025 v/s 102.9% in Q3 FY2024. Excluding 1/n impact, COR stood at 100.2% in Q3 FY2025

Underwriting loss stood at ■ 43 crore for Q3 FY2025 v/s underwriting loss of ■ 85 crore in Q3 FY2024

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The investment income and other income for Q3 FY '25 increased 23% to INR577 crores v/s Rs. 470 crore in Q3 FY24. Assets Under Management (AUM), represented by cash and investments as on 30st Dec 2024 stood at Rs. 32,633 crore v/s Rs. 30,296 crore as on 31st Dec 2023 an increase of 8%. This includes this after paying a fairly healthy dividend of INR662 crores for FY '24. The company continues to generate good float, and this shall continue well for the future as well.

Our objective in BAGIC, again will continue to grow top line on the segments that we prefer, continue to focus on maintaining a quality insurance book with a combined ratio, which is better than market, with superior risk selection, balanced business mix by balancing profitability and growth at all times.

On the customer front, BAGIC relentlessly drives the theme of caringly yours and we continue to remain focused on customer obsession and in the investor deck you'll find several metrics related to NPS as well as our digital initiatives for improving customer experience. In a market which is intensely price competitive, we believe this displays BAGIC's commitment to a balanced and profitable growth on the back of broad distribution and prudent underwriting while focusing on best-in-class service.

Again, a solid result from BAGIC in terms of strong profitability and growth better than industry. We will again reiterate that this is a long-term business and a single quarter result because of the volatility in claims cannot be taken as an indicator of the future. So we continue to remain focused as long-term investors in the business and long-term value creation for shareholders.

Moving to BALIC. As I mentioned earlier, the overall growth in IRNB was less than the industry, and the muted growth can be attributed to recalibration of business, what we call BALIC Version 2, which started last year, but has actually undergone some changes due to the surrender charges regulations with focus on profitability. Our retail protection continues to grow strongly at 96% growth.

Withing the growing share of ULIPs, we are focussing on ULIPs, which have a higher margin with higher protection and rider attachments. We have made some changes on product regulations in line with what some of the major competitors are doing as well.

Further, we have to see in terms of group credit life protection business, that is a temporary fall because of the pressures on lending by the banking and NBFC sectors.

The renewal performance continues to be strong. BALIC's renewal premium grew 24%, resulting in GWP growth of 16%. And we are also heartened to see the number of new policies for BALIC growing by 13% to 5.56 lakhs in the 9 months of FY '25.

The NBV growth was lowered by the higher proportion of lower-margin unit-linked business, which we are consciously trying to bring down, it also had the effect of surrender charges

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egulation and the new non-par savings and traditional products that we sold in the quarter.

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Retail Protection grew by 54% to Rs. 264 Crore in 9M FY25 vs Rs. 171 Crore in 9M FY24. For FY24 it stood at Rs 241 Crore, growth of 43% compared to Rs 168 Crore in FY23. We continue to be focused on data-led decision-making. Significant investments are being made on data and analytics through our direct sales, through upsell and cross-sell initiatives. We now have a presence in 330 cities for our proprietary sales channels. And on the institutional business side, we continue to expand our network of partners and grow business with the newer partners we have acquired over the last 2-3 years. BALIC ended the quarter with an AUM of INR122,000 crores. Overall, while there have been pressures on top line, it is the start of a multiyear journey of improved profitability for BALIC. Again, both the insurance companies are among the most solvent in the industry with solvency in excess of 300% for both. In terms of BFL and BHFL, since they both are listed and have had their calls. I would just briefly touch upon the results. A good quarter on volumes, AUM, Opex. Loan losses seem to have stabilized, and I think you'll get better flavour from the investor call that Rajeev had, and the company is committed to bringing down the loan losses in the next year. The ROA was steady at around 4.5%. The company booked the highest ever new loans of 12 million, adding 5.03 million new customers in the quarter. And during this quarter, in November, we also announced the BFS 3.0, a Fin AI company, the details of which are available on our website. Strong growth on customer franchise and AUM growth. In terms of Bajaj Housing Finance, the 100% mortgage subsidy of BFL, it continues to do well in a market where housing finance companies are always under pressure for margins. They have recorded a 25% increase in profit growth, a 26% increase in AUM, both solid results. And the capital adequacy ratio is very strong post the IPO at 27.86%, and GNPA and NNPA continued to be very low at 0.29% and 0.13%, respectively. Overall, for the lending businesses, BFL and BHFL, a very strong quarter. Update on our platform companies. Bajaj Finserv Health. The numbers for the previous year are not comparable because of the acquisition of Vidal Healthcare and which is included in the results for the current year. In Q3 FY '25, Bajaj Finserv Health carried out approximately 2.3 million health transactions. The provider network continues to expand. It now includes 86,000 doctors, 4,000 lab touch points and 15,000 hospitals. However, going forward, the focus will be a lot more on the payer network, which includes insurance companies, governments and employers. Bajaj Finserv Limited
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Bajaj Markets attracted 8.2 million customers on its digital platform out of which approximately 0.98 lakh customers became customers. The disbursement for the quarter stood at a little under INR2,000 crores and it sourced 58,000 cards in the period. The major achievement for BFS Direct in this quarter, a marketplace business is that the loss for the quarter is just INR3 crores, and we are seeing a very clear visibility on cash breakeven for the marketplace business of Bajaj Finserv Markets. Bajaj Finserv Asset Management, notwithstanding the volatility in the markets, ended with an AUM of INR17,433 crores, which is about 8% higher than September 2024. And during the quarter, they launched 2 funds recording an AUM of INR818 crores. The non-group share of AUM has reduced to 86% from 93% in Q3 FY '25, it signifies the dependence on the group for liquid funds has reduced substantially. Before we open for questions, considering the paucity of time, I would request the audience to keep their questions brief so that we can cover more queries during the ca

II. With this, I invite

the question from the audience. And over to you, Sejal.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handsets while asking a question. We will now begin the question-and-answer session.

The first question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek: First of all, congratulations to Ramandeep sir. My first question would be regarding BAGIC. Wanted to know what has driven the increase in the loss ratios for the motor TP segment? And if you could give us any color on the reserving experience. Secondly, other question would be on retail health side. IRDAI had kind of published a circular capping the price hikes in the health products to 10% for senior citizens. Wanted to know your comments on how this impacts your

business and overall how you look it for the industry as well.

And my third question would be for BALIC. Can you give us some more details on how you have changed the product mix strategy post the implementation of the new surrender regulations?

S Sreenivasan: Yes. Tapan, would you like to take the first two questions and then Tarun.

Tapan Singhel: I think let me answer the health part and the loss ratio, I'll ask Raman to take that one on the TP part. IRDAI regulation on capping of price hikes to 10% for senior citizens, we welcome that regulation because if you look at the principle of insurance, it is to take care of societal need which is there, that's why insurance industry got created.

Now on senior citizens, if the price goes up substantially, it becomes unviable for them to insure, and they get left out on this basis. The way insurance operates is that you collect money from

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many to pay to a few. And that is why the regulator has given you an option that you can do price correction at all levels so that your overall portfolio looks good.

That is how the balancing has to happen. So it is not that if they do senior citizens, then you are stuck there because you have other cohort of book. If you look at the circular carefully, it also states that the insurance industry should collectively look at negotiation rates with the hospital. It's a very balanced circular, which is very customer focused on perspective of the senior citizens. So I think it will be good for the industry. And the industry will balance pricing in a way that the senior citizens don't get marginalized and left out from the benefit of the insurance, that is the point of the circular if you look at it in totality.

Coming to the TP reserves, and if you look at the reserves, I've said this in earlier calls also. The best way to look at is that what are the release, in respect of reserves and the claim settlement ratio. Bajaj Allianz always had a very positive release in terms of the reserving and the settlement. The delta has always been very positive on that basis.

And the correction keeps on happening as we progress. So at no point of time will you have seen in 23 years of Bajaj Allianz that there would be a situation in which the reserving was less than the claim settlement. So it has always been adequately reserved, and it had always been done well. Now I'll hand over to Raman if you want to add something to this?

Ramandeep Singh Sahni: Yes. So, Mahek, if you recall Sreeni's comment in the opening speech itself, which said that ideally, from a GI perspective, we should not look at quarterly loss ratios, right measure is to look at this on a longer-term basis. If you look at some aberrations, which are there in the quarter, essentially it comes because there is a lag in the time of reporting claims and when the IBNR gets adjusted by the actuary. And he

nce, we often make this comment.

But if you look at it on a 9-month basis, our actual loss ratios are lower than what it was in 9 months last year. It's actually down from 79.5% to 77%. So it's just the aberration of the quarter, which gets settled in the subsequent quarters.

Mahek: Lastly on the BALIC?

Tarun Chugh: Yes. So on the product mix strategy, that is a very specific question you asked. What we've done is, unlike the rest of the sector, which has changed largely the traditional plans only, we've gone ahead and relooked at the entire product mix. We looked at the entire product structures that we have.

We've gone ahead and changed practically all our products, including ULIP, par and non-par. As a result, what we've started doing in ULIPs is that a significant percentage of our ULIPs now are with built-in riders and higher protection. That is a significant change that we've brought in. And, of course, the traditional plans changes have been significant as well.

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If you see all product mix of the previous quarters, we've have brought down our product mix in ULIP because while the rest of the sector has actually taken it up, which to an extent also contributes to our muted growth.

Mahek: Got it. Thanks so much.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha: First question on BALIC. So we see the growth has obviously come off significantly in this quarter and the mix has also changed as against the significant growth in the last few quarters.

So I wanted to get a sense of what the growth trajectory in the near term would shape up like.

Should we take this quarter as an aberration with sort of growth returning back to the 20%, 25%

sort of level. What should we expect on the product mix then?

And then on the health side, I think there is a significant confusion in terms of what sort of and the way commission payout should happen. While I think GI Council & IRDAI want commissions to be paid out on a yearly basis. And if payments are made upfront then that is not allowed. I think a large part of the distribution community is still sort of not in favour of this. So how do you see this progressing? What approach have we taken and so some sort of colour around that will be useful. Those would be my two questions?

Tarun Chugh: So maybe I'll take the first one on BALIC and Tapan can step in for the health question.

We had indicated very clearly during our Investor Day that while we've had a, I'd use the word trailblazing growth, in the last 7 years. And particularly, if you look at the last 3 years, we've been the fastest growing across the sector with a CAGR of 27%. This quarter, while the changes were happening, we purposely took a pause and relooked at our entire product structures. With this change happening, it was obvious that the focus now is on profitability and profitable growth. And given the heft that the company now already has in terms of the size, it could be meaningful numbers. This is something I have kind of indicated in an earlier call as well. In terms of how I see this going ahead, we did have a tough month in November, I think, purposely so because we had planned it like that after September. And the sector also had a tough month in November, but I think we had a tougher one largely because of our agency business, which is 150,000 agents getting retrained, getting reoriented to these kinds of products. And of course, the fact that there was a surrender value impact on commissions, the sector on the agency side, particularly had an impact all through. Good news is that December, we are back to a slight mild growth. January also, we are broadly in sync with a lot of companies that we compare ourselves with. Agency, though, is still going to take some more time to settle into the new product mix

and may take a few quarters before it starts coming back to its earlier growth trajectory.

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Bancassurance and the PSF are largely getting back, but mostly in sync with the rest of the sector. I hope that answers your question. I'm not going to give any clear numbers because as Sreeni made it clear, we do not make any forward-looking statements.

Madhukar Ladha: And just on the VNB trajectory, so margins have improved sharply in this quarter, I'm guessing obviously because protection growth has been very strong. And any sense of what sort of a VNB growth target we can see over the next 3 years that could also be helpful or how much improvement could we see in VNB margins?

Tarun Chugh: Yes. Fundamentally, we've started looking at VNB and not necessarily VNB margins because VNB margins have some noise from the group credit life business, particularly. So when we are looking at VNB, you will see two things happening. One, of course, margins itself will start growing faster than what we see in terms of growth.

Rather VNB would start growing faster than what you see in top line growth because that is the way we have planned our product structures and not just a mix mind, its due to structures, which is a significant overhaul. And each of the products now, whether it's in the ULIP bucket, or others, all buckets they are profitable, and each will contribute to margins, which was not the case earlier, where usually the traditional plans are aimed to giving more margins, and ULIPs used to be a drag on margins.

Fundamentally, that is a big change we brought in, which basically with growth coming in will result in the trajectory of VNB being higher than the trajectory of growth. On the margins, although as I said, it has some noise, and I don't really track that as much. But I know a lot of you track. The BALIC is, of course, currently, as per plan, planned at a lower margin for the current year.

There's been a slight increase in margin versus last year. But you will see us going up higher because of the lower base. So I would rather say that we're not get any leeway because of the margin growth, but more because of the fact that we are focusing on the VNB growth. That's what we are more interested in.

Madhukar Ladha: Got it. Very clear. Thank you.

Moderator: Sorry to interrupt, Mr. Madhukar. I would request you to repeat your question regarding BAGIC. It was not clear.

Madhukar Ladha: Sure. So I wanted to get a sense of how distributor commission pay-outs are working in this new sort of scenario 1/n. I believe a lot of the large distributors still want upfront payment whereas IRDAI and GI Council are not in favour of this. And also it would adversely affect our EoM ratios.

So in this context, how do you see the sort of industry moving? And finally, given that EoM ratios are very high for a large part of the competition, so are we seeing any let down in

competitive intensity? Do we thought of foresee that? Any sort of early signs on the health side, in particular?

Tapan Singhel: Thank you for the question. So I think in your question lies the answer. The regulations have been very simplified, be it product regulations, be it commission regulations. The commission regulations stipulate EoM, expense of management. Well-run companies who have EoM less than 30%, which is what they have to be there.

I don't think they have any stress in terms of how they look at commission pay-outs. The regulator does not stipulate how you pay commissions. It stipulates that you should be under the EoM, nor does the council stipulate how do you pay commission. So for Bajaj Allianz General Insurance company, the EoM is well below 30%. It's one of the well-run companies with an EoM well below 30%.

So I think the question is more relevant to companies who have EoM over 30%. I don't think

it's a good practice because at the end of the day, the policyholder also has a determination in terms of how your expense of management plays out. At Bajaj Allianz, as we see it's been one of the lowest Company in terms of expense ratios. So from that perspective, I don't think this has any impact on the Company.

If I look at the industry, the overall numbers for businesses which is long term is not so significant in the overall industry. Having said that, even there, I don't see much fall in terms of the business falling or the distributor not selling for overall industry.

So I would think for Bajaj Allianz is positive. And for the industry also, I don't see any negative happening overall.

S Sreenivasan: I'll just add something to what Tarun said on the life side. I think in the past, you have seen, as a company, we are very, very focused on being profitable while seeking to grow. And there have been many instances even in 2018-19, I think we took a call to bring down ULIP from 70% to 40% in order to stabilize our profitability and margins.

In the same way, you will find in BAGIC also quarter-on-quarter, year-on-year, there have been many changes that we made as we see the market economics develop. So clearly, the actions that life company is taking, Tarun and team are taking, are predominantly to weed out those segments of business, which are not likely to give us profit, at the same time, focusing also on rebuilding the right product mix, a more sustainable product mix.

We believe in the long run; the life business is all about balance. Balance across distribution, channels, products, risk between par, non-par, savings, term and ULIP and balance between profitability and growth. That will give us a longer roadway of consistent performance.

So I think as a general message, I'm saying this as this question will keep coming up because there is a temporary headwind because of the surrender regulations. And of course, at the current

time, there are also cyclical headwinds in the form of lower disbursement. So aggregate margins may not reflect the actions that the company is taking.

So the next few quarters, you will see this evolve into, hopefully, a leaner, fitter, meaner BALIC, and that is the direction that the company we think will take.

Madhukar Ladha: Sure, sir.

Sir, just on the health insurance question, sir. My question was more with respect to sort of competitive intensity because a lot of these smaller players are running at EoM levels which are above sort of 30%, 35% for private and SAHI's. So in this context, paying upfront commission further increases those ratios. And loss ratios have also remained quite elevated on the health side.

In that context, do we see some sort of corrective action in terms of pricing, or some competitive intensity let down? Any early signs of that or your thoughts on that if you would expect anything like that. Plus now senior citizens pricing is also capped, if those cohorts age, you'll not be able to increase pricing beyond 10%.

So does that mean that pricing at an entry level also increases? So on the health context, some sort of understanding and clarity over here, I'd appreciate?

Tapan Singhel: Yes. So again, I think the question is a broad question for the industry. It's not specific to the company. I said for Bajaj Allianz General Insurance Company, it is positive. Whatever you have said, this company operates well below the EoM limit of 30%. So obviously, this doesn't have an impact for us.

For smaller companies, if they are over 35%, they have to correct themselves at 30%. They have to have a clear glide path and they have to deliver on that basis. The regulator is very clear on that. So obviously, they have to decide their strategy. I can't speak for them. In terms of senior citizen cap at 10% movement, it is that any increase in price should not be above 10%, and

if

you look at the overall portfolio, what percentage is senior citizen.

What percentage is the normal increase in price that should happen. And it spreads across the entire cohort. And then in that circular, you should also read the other part, the regulator clearly says the industry should come forward with an agreement with hospitals in terms of standardized rates and procedures. That will also have impact on the overall loss ratio. When you put all these things together, I don't think there's any apprehension in terms of business. I think it is good for the industry.

And the industry will come together to deliver on those parameters and bring it together. So I don't think it's something which is so off the mark, which is going to have an impact in industry in terms of getting negative or not going the right ratio. All of what you see in here is moving in the right direction.

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And 30% EoM is a good limit to have, companies above that will have to correct themselves and bring to that.

So it's how you run a company, how disciplined you are, which really matters. So if you look at it from a skeptic perspective, it looks a bit odd. If you look at the overall picture, it's a very good thing for the industry. I don't think there's any negative in this.

Madhukar Ladha: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Nischint from Kotak Institutional Equities. Please go ahead.

Nischint: First of all, congrats, Sreeni, Ramandeep and best wishes to Anckur. I think, firstly, on the life side, you seem to be making significant changes or probably overhauling the entire business. So just curious, does it mean that we sort of have a low probably maybe a single digit or lower than industry growth going forward in the next couple of quarters, probably the next year as well. I'm just trying to understand the intensity of the change that you are making. And just on the surrender value guidelines, if you could quantify the change, some of your peers have done that. I mean the impact.

Tarun Chugh: No, that's a very good question. As far as the changes, yes, there are substantial that we've done. In terms of growth, there is enough and more for us to take. I will not get on to which digits, single, double. I don't think we're used to single-digit kind of growth, so don't worry about that. We've always maintained a stand that we'll be growing far faster than the rest industry. And you'll see that happening. It's a temporary blip. And while I would say that the base effect for a few quarters will play out, but overall for the year as we see, growth will quite visibly be back. So while the changes are substantial, and the rest of the sector has made changes because of surrender value only in traditional products. For them, traditional remains still the heavy lifter on profits. What we've done is we've changed the entire range of products that we have, including ULIPs and also gotten the kind of riders adding significantly, different to what BALIC has ever done earlier in life. So that is an additional change, which will take time to set in. But at the same time, whatever we get of that is only positive in terms of a trajectory on growth and profitable growth. So that's why we are a little different from the rest of the sector. In terms of growth, it doesn't worry me much.

Nischint: Got it. Just if you would quantify the impact of surrender value guidelines as some of your peers have done it?

Tarun Chugh: See, whatever the peers do it's not necessary that we have to follow. If you look at what we've - in Q3, in fact, our entire margin has gone up slightly, but yes effect is there and particularly, we're seeing it in December. Hence, the impact we've now after discussions with all our bank

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partners, agents, deferral of commission, bringing com

missions down in most cases, we've been

able to get to a situation where this should be largely neutralized.

I think the rest of the sector has done just that. And we still have a lower margin. So you'll see a margin going up in any case.

Nischint: Got it. Just on BAGIC side. If I look at the long-term policies, what was the ceding policy over here? And how is the inward commission for long-term policies treated in the P&L?

Ramandeep Singh Sahni: So see, what we've tried to do is we've matched the outgo of commission with the inflow of commission. So because we were paying commissions upfront in most of the cases, our income also in terms of commission inflow is being received upfront so that there is a complete matching happening. If obviously, we were to defer it, then we will have to change the accounting practice, but we will always try to maintain the balance between the inflow and outflow.

Nischint: So as we speak in terms of payout have, we deferred it, or payout remain as it is? And in terms of accounting, we have deferred both the sites?

Ramandeep Singh Sahni: See, like the rest of the industry, we obviously contemplated and reached out to the distributors. While our need is very, very less like Tapan rightly highlighted, somebody running at a 23% EoM versus 60% of the industry running ahead of 30%, our need was far less. So we actually had an advantage versus the other.

But we did have conversations with the partners. But see, the reality of life was on one side where you're doing long-term motor business, market practice is you're paying commissions upfront. And hence, it was next to impossible for distributors to agree that we would end up deferring commissions on a certain line of products, while on the other you don't end up deferring it.

So the success rate for the industry has been very low on that. And hence, for us also, we've been largely paying upfront only. And against that, the commission is also on the RI side being recognized upfront.

Nischint: And just one final one for Tapan is, do you really see the non-life players coming together and negotiating with the hospitals the way, let's say, IRDAI is asking the industry to do? I mean, have you already seen any discussions on this in the IRDAI forums?

Tapan Singhel: Do you want me to answer the question as MD Bajaj Allianz or as Chairman General Council?

Nischint: Whichever way it is, I mean, I guess...

Tapan Singhel: So as a Chairman General Council, it will definitely happen.

Nischint: Sure. But it's something that the industry will look forward to is what you see?

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Tapan Singhel: It has to. You have to understand one thing. See, what is the problem? Look at the media, in spite of the industry is doing so much and in fact, on the health portfolio, overall industry is not making money. If we look at the media news, it is so negative at times.

But what is the problem for health insurance? It is the medical inflation and no regulations on hospitals coming into place. And that is what the industry has been asking for that there's a 3-pronged approach on health. One is the premium. Other is the tax, which is GST. And third is the outgo in terms of hospital charges which is happening.

No hospital is regulated. And GST the industry has been asking for reduction in GST. So the entire onus comes on the industry then to take care of the whole portfolio and do the societal need of serving the society and putting it together. Because the other 2, the industry is demanding. Hopefully, they should, at some point of time, be considered.

Now if it is on the industry, then the industry has no option then to consider this as it pays the hospital close to INR1 lakh crores. It is necessary that the industry comes together and at least there's some correction on that basis to be able to deliver to society the requirement of a good health cover for the citizen

of India. So from that perspective there's no other option, but for the industry to come together and do this.

Nischint: Got it. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Just two questions. The first one is we have a business LINE the health card that we have. How is that progressing, if one can speak on the MAU and DAU for the health app. Second is any management transition we are expecting in the fourth quarter, any move from Bajaj Finance senior management personnel to Bajaj Finserv?

Sreenivasan: I'll take the second question first. Immediately, we are not looking at it. I think Rajeev has put in a very clear message. But as a general rule, we do have across the group, a very strong platform for nurturing and developing talent. And we do have about 200 people across the group of the top three, four levels whom we constantly monitor.

We have talent cards for each of them. We map all our positions, the current ones and the ones coming out of LRS. And in the process people are identified and prepared to take on new roles. And if you see the transitions that have happened in the last few years on the finance side, for example, Vipin Bansal, who was with BFL moved as CFO of Life. Raman, who was in Life moved to General and now he is moving into Bajaj Finserv. I think over time, you will see more

of these. This is the way we build our businesses. And we believe that as we go forward with the confluence of data, technology and regulation. And therefore, we would want people with multiple business experiences to be able to take on the challenges of the future.

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So over the next 5 years, 7 years you will see this play out a bit more. So we become a more agile organization with a very strong core team of people across all our businesses, whether it is the investing business, whether it is the lending business, where it is the protection business or whether it's our platform businesses. I'll now hand over to Devang for the question on Bajaj Finserv Health app.

Devang Mody: I think your question was twofold. Number one, we have around 180,000 transacting users coming every month on app and around 450,000 transacting users coming on our web assets.

Now why web asset is significantly higher because the way we have staged our business, our primary go-to-market is to be app in app within insurers app or seamless product experience because we power not IPD benefit for all insurers, but we power a lot of OPD benefit for insurers. And hence numbers are significantly larger on web, which gets manifested as app in app, which is counted as web traffic on PWA framework. So those are slightly technical details. So to answer your point, that number is 171,000 per month in app and 450,000 per month on web. What we are more focused on is how many health transactions we are transacting because equally important is to deliver health experience digitally, where I've given you the numbers around 600,000 is the number per month.

Last quarter, we have done around 22 lakh transactions. So I think that's where our main focus for future growth is. And we would want to move as many as possible on our digital assets, and we would be outlier in the industry, to be able to do transactions digitally. When I'm saying digitally, the consumer contacts us before contacting the provider i.e. hospital or laboratory touch point. That is what our digital transaction numbers are all about. I hope I have answered your question.

Shubhranshu Mishra: Understood. If I can just squeeze in one last question. So the answer to the first question is a yes that Rajeev would make a move to Bajaj Finserv in the near term?

S Sreenivasan: So as of now, we have not taken a decision and Rajeev will continue with BFL. He has given a 15-month

road map out of which 12 months are over. We will see that as time goes by.

Shubhranshu Mishra: Sure. Thanks.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec Capital Services. Please go ahead.

Nidhesh Jain: The first question is on BALIC. What is the rationale of reducing the share of ULIP as you've articulated the focus is on VNB growth and not on VNB margins. So why are we reducing the share of ULIP in the product mix consciously?

Tarun Chugh: I think it's an obvious answer, ULIPs do have a lower VNB margin than traditional plans, hence we are reducing focus on ULIPs.

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Nidhesh Jain: Sure. I thought the focus is on VNB growth and not VNB margin. That's why I asked this question.

Tarun Chugh: Yes. Okay. So you want to now ask a question on VNB and not VNB margin. VNB, of course, has a few components and so does the generation of the margin. The cost absorption capability of ULIP is far lower. And hence, it does take time to be able to bear itself out in lean months and while it does give benefits on the gross margins as the months get a little bit bulkier like you see in JFM.

So we basically have to balance, as you heard Sreeni as well saying, we are getting on the product mix and the structures, which are attuned to be sold in the Indian market. Being at a 29-year median age, there is a certain amount of products that would, of course, sell more because of economic growth.

People will want to participate in the growth through equities and some who would want to save more. So when we play through those customer segments, that is not a simple equation, it does require you to work on one and not work on the other.

Nidhesh Jain: Sure. Second question is on BAGIC. So if you look at BAGIC, we have done quite well on profitability vis-a-vis sector. We are very well capitalized and customer metrics are quite positive in terms of customer satisfaction and have a very strong distribution. But if you look at last 4 years, 5 years, despite a lot of these strengths that we have, we have not been able to gain

market share.

With the customer obsession that we have been displaying and the customer metrics are issuing, ideally, such kind of business should see a rapid market share gain in the retail segment. If you look at the float growth in last 5 years, the float has grown at 12% CAGR. So why, is the market share trend and float growth trend broadly in line with market and not significantly ahead of market?

Tapan Singhel: Okay. So I would like to look at it in a different way. First, if you look at BAGIC, it's in a top three company of India and organically grown. It has not acquired any company or done any merger acquisitions. In spite of that, it's organically grown. It has moved up organically in 23 years' time, brick by brick to become a top three company, first point.

Second point, at all points of time, the margin to the market in terms of combined ratio has always been over 15%. It is not a 15% profit percentage. It's a full 15% combined ratio perspective, which means that if the industry is at about 117%, BAGIC has been close to 100%. At times, industry is 120%, BAGIC has been at 98%, 99%.

So you give me any business in the world, which for decades has beaten the combined ratio by such huge margin and organically reached the top 3 position consistently moving up in terms of ranking in the market. Second point is you look at number of policies issued last year of all companies. You will see BAGIC issued close to 3.6 crores. I don't remember the complete number right now, but if Raman can correct me if I'm wrong. And even the larger in terms of Bajaj Finserv Limited

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top line, New India had issued 2.67 crores or 2.7 crores policies. In terms of number of policies issued, BAGIC was the highest in the Indian market.

So fundamentally, I think w

hen you look at the positioning, and where it stands over a long period of time. Consistently to the difference of profit to the market that it has made in terms of combined ratio, the gap that it has kept at all point of time, to the expense ratio, and you heard Raman mentioned EoM of 23% whereas 60% of the industry is over 30%. The kind of discipline is maintained.

I think it was fundamental thing. It is balancing of all 3, it is not only about just pushing your weight and acquiring rapid in terms of position and moving up the market to one. It is doing right thing consistently over a long period of time, which delivers a good insurance company. This is how it has to be. Raman were my numbers wrong in terms of number of policies or they were close to right.

Ramandeep Singh Sahni: So very close to the exact numbers. I'll just add to this based on advanced premium, while you're taking a 5-year CAGR, I think the big issue for us, as you know in the past was the handicap on the 2-wheeler business, which is where the largest advanced premium or the float was getting generated.

Our market share on new sales in 2-wheeler, if I go just 3.5 years back, used to be close to 3.5%, 4%. And in this quarter, if you see that same number is close to 12%. So I think what you are referring to is the past. If you look at actually the advance premium growth for last 3 years, let's take this year, 9 months, it's 24%.

Last year was 26%. The year before that was 19%. So I think that handicap which was there earlier is now behind us. And if you see the recent trend of advanced premium growth has been very, very healthy and that trajectory continues.

Nidhesh Jain: Sure. That's it from my side.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: See, I have two questions on BAGIC. Both are related to third-party. See, if I look at other players in motor TP, the loss ratios are meaningfully very low compared to what you guys are reporting. I just wanted to understand that is it to conservatism we are following. And therefore, likelihood of a release is very high going ahead or is it the product mix incrementally have changed in the favour of products where the claims are a little higher than normal. That is leading to the higher TP loss ratio?

And second, the point I wanted to ask is that you seem to be growing very well in OD and probably gaining market share also at least in the current year. But TP seems to be off compared to market share gain point of view. So any specific reason for the divergence in the growth trend?

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Or is it largely hero tie-up is playing out in OD as a strong growth on a low base. That's my

question on OD basically.

And second on general insurance, have you seen pricing improving in commercial lines already? And if that is the case, then likely benefit of it coming in FY '26 or calendar '25, how do you see it?

S Sreenivasan: Sanketh, before I pass it on to Raman and Tapan, broadly, I'll tell you how our TP reserves work. Because of the long-tail nature of the claims, the year in which you write TP, very few claims are reported and the reporting peaks probably at the end of the third year. And there will be some more claims reported maybe a little bit after that because there's no limitation of time for reporting third-party claims.

But by the fifth year, I think almost all of the claims have been reported. And after that, the reserving is largely to cover inflation or any other court judgments and tail factors. The tail is pretty long. I think 10, 12 years back, even then the claims are not fully closed, though substantially, the claims have been settled.

And therefore, one of the best ways, which we track and which I would think is most appropriate as all the loss triangles now are published by the companies under the public disclosures, is

to

look at the paid to ultimate. What did you reserve in the beginning? And how much have you paid after year 3, 4, 5?

And that gives a good flavour as to what is the amount of conservatism or aggression that one is building into the reserve. Roughly, when we checked last time in terms of 7 years, our ratios were compared to the market significantly below. That means a very much smaller proportion of claims had actually been paid by the end of the sixth and seventh years and even after the fourth year.

Therefore, the actuarial release process also will follow that, and you would find that it plays out. Net-net, if you see the cumulative reserves with the revised ultimate losses, you will still find that there is surplus for us across almost all the vintages. So on a quarter-on-quarter basis, clearly, there will be variations as we find more things reported and IBNR estimates being adjusted, but the real true-up happens only by the end of the year when you have all the year's data in.

Now I'll hand over to Raman and Tapan to take on other flavour on that. And the other question was on TP rate increase and how will it impact commercial vehicles, I think.

Sanketh Godha: Okay. No, it was on commercial lines fire segment, the...

Tapan Singhel: Okay. So let me answer the question. See, first and foremost, as a GI company, it's always better to be conservative than to be reckless on reserving, to answer your question. And Bajaj Allianz has always been conservative and never been reckless on reserving. And that's the point I made
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earlier also that if you look at our release to reserving has always been there. But that is how a good GI company runs.

On the part of increase of price for the commercial lines of businesses, yes, we see the trend happening there. And obviously, in my view, again, I've always mentioned this, it is the market forces that determine the right price for the right risk. That is what it should always be there.

Right now, we see an increase in price happening, which is positive for the industry. And Bajaj Allianz being a large player in the commercial lines of businesses also, it will be good for Bajaj Allianz Insurance Company if this sustains and this carries on, which is there. But the likelihood of sustenance as of now, it looks high, which should be the way to move forward. Have I missed any question of yours or we have covered all.

Sanketh Godha: No, sir, two points. One was that what is the weighted average price hike you are seeing in commercial lines for things like you said. And then second, the divergence with respect to OD and TP growth because you seem to be gaining market share in OD but losing in TP. Is it largely a hero phenomenon or something else?

Tapan Singhel: So the first point is you will see about a growth of 10% to 15% in terms of the hike happening in commercial lines of businesses on account of price hike, weighted average, the point you said. Second point in terms of OD, TP and different lines, I've been asked this question many times. See, a good company is like a good orchestra. The right kind of instruments should be playing at the right time for good music to come.

So you will keep on seeing shifts happening. In some places, we'll gain market share, some we will let go. Then at the right time, we'll again gain market share again, some we'll let go. It is an orchestra. It is not that it is always consistent. And that's why you require a good management team, which is a good conductor to play this orchestra.

Wherever it does well is fine. If you look at GI business, the amount of product the GI business has and sub products, it crosses 300 kinds of thing. A lot of people don't realize the complexity. And I'm very happy to see the level of understanding of the analysts and all of you now. Earlier,

it used to be at a very superficial level. But now you get down to the very good

basics. I'm happy
to hear your questions.

But as you see this, the play out of all this is where you run a good company. So sometimes you'll see us increase in OD, sometimes you will see us increase TP. Sometimes you'll see us increase commercial lines. Sometimes you will see us increase crop. Sometimes you will see us decrease crop, like that. It's a combination of all the products, sub products mixture that the way it gets played out delivers good music, if what I may say so.

Sanketh Godha: Sir, my next question is on BALIC. Third quarter, as you highlighted, the growth was pretty muted compared to what we have been delivering in the past. So just to clarify again, is it largely because you were trying to realign the channels with the new norms that led to the moderation

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of the growth or it was more conscious decision to slow down ULIP, which played the major role.

And if realignment of the channels is the major reason, what -- how much more time you will take to see that realignment happens and the growth will come back to the company. So that's one thing. And the second is just on credit life business, it seems to be bottoming out because we did the same amount of business, what we did in second quarter. So sir, just wondering whether we can see a positive outlook in credit life incrementally going ahead.

Tarun Chugh: Yes. So see, the changes that we've done this quarter have been substantially on the product and the product structures. The mix tweak has been there. So you asked about ULIP. And are we steering away from ULIP? No, we are not steering away from ULIP. Some customer segments will be very prone to ULIPs, and some distributors will be very prone to ULIP as well.

But on the whole, we are working more on the back end where we've tweaked our structures. To the earlier question that had come, tweaked the ability to take more expenses. At the same time, structure them in such a way that customers get their bit as well. This quarter has been tough because we've had to do this on the fly all across, and we took a call that we've had a significant growth. We've reached a certain level of size.

Now it's time that we start looking at our overall VNB growth, and that is what you will start seeing in the future. Whether specifically we will grow in every channel significantly, I think our agency will take a little bit more time to settle in because agency is far more dispersed. Our institutional business and the proprietary sales channels are more or less back now.

So we should start seeing too starting to clock industry-level growth while agency taking a little bit more time to come in as we reconfigure a lot many things because distributors are usually trained to sell only a few bits of products. Agency may not be very good at that. So that training is going on.

We're trying to engage with them more and trying to get them back on track. So maybe a quarter more may take before agency can start coming in. So that's on the growth and the product shifts. As far as credit life is concerned, yes, you're right. And if you can foresee the future and you're saying it's bottoming out, yes, then, of course, we'll be back. Everybody will be back in the sector.

And as far as we are concerned, we have streamlined a lot of our credit life across partners. If you remember, a few quarters back, when we were discussing, our focus used to be more based on a couple of partners. And even the mix was largely towards MFI. Now, I'm happy to say that is quite well diversified in terms of the partners we have.

One or two partners do not contribute any significant part of our credit life portfolio. So that is kind of behind us. And as growth comes in, we'll grow in sync with the industry in credit life and maybe in some situations, even better.

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Moderator: Thank you. Ladie

s and gentlemen, due to time constraints we will take this as the last question.

I would now like to hand the conference over to Mr. Shreyas for closing comments.

Management: Thank you to all the participants for joining the call and a special thanks to the management team of Bajaj Finserv for giving us the opportunity to host the call. Thank you, and good day, everyone.

S Sreenivasan: Thank you, everyone. Thank you.

Ramandeep Singh Sahni: Thank you, everybody.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

<https://www.aboutbajajfinserv.com/about-us>

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7 May 2025

Dear Sir/Madam,

Sub: Transcript of Conference Call in respect of financial results for the quarter ended
31 March 2025

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Para A of Part A of Schedule III to the SEBI Listing Regulations

In furtherance to our letter dated 22 April 2025, this is to inform that the transcript of Q4 FY2025 investors conference call held on Wednesday, 30 April 2025, has been uploaded on the website of the Company at <https://www.aboutbajajfinserv.com/investor-relations-quarterly-earnings-conference-call-recording-and-transcripts>

Also, enclosed is the transcript (pdf) as attachment for ease of reference.

Thanking you.

FOR BAJAJ FINSERV LIMITED

UMA SHENDE

COMPANY SECRETARY

Email ID: investors@bajajfinserv.in

Encl: As above

Page 1 of 1 To

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Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

BSE Code: 532978 NSE Code: BAJAJFINSV

"Bajaj Finserv Limited Q4 FY'25 Earnings Conference Call "

April 30, 2025

MANAGEMENT : MR. S. SREENIVASAN – PRESIDENT (INSURANCE AND SPECIAL PROJECTS), BAJAJ FINSERV LIMITED

MR. RAMANDEEP SINGH SAHNI – CHIEF FINANCIAL OFFICER , BAJAJ FINSERV LIMITED

MR. TAPAN SINGHEL – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , BAJAJ ALLIANZ GENERAL INSURANCE COMPANY LIMITED

MR. TARUN CHUGH – MANAGING DIRECTOR & CHIEF EXECUTIVE , BAJAJ ALLIANZ LIFE INSURANCE COMPANY LIMITED

MR. ANCKUR ANIL KANWAR – CHIEF FINANCIAL OFFICER , BAJAJ ALLIANZ GENERAL INSURANCE COMPANY LIMITED

MR. VIPIN BANSAL – CHIEF FINANCIAL OFFICER , BAJAJ ALLIANZ GENERAL INSURANCE COMPANY LIMITED

MR. ASHISH PANCHAL – WHOLE -TIME DIRECTOR & CHIEF FINANCIAL OFFICER , BAJAJ FINSERV DIRECT LIMITED

MR. DEVANG MODY – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , BAJAJ FINSERV HEALTH LIMITED

MODERATOR : MR. AJIT KUMAR – JM FINANCIAL INSTITUTIONAL SECURITIES LIMITED

Bajaj Finserv Limited

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Moderator: Ladies and gentlemen, good day and welcome to Bajaj Finserv Limited Q4 FY'25 Earnings Conference Call hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ajit Kumar from JM Financial. Thank you and over to you.

Ajit Kumar: Thank you. Good afternoon, everyone, and welcome to the Conference Call of Bajaj Finserv Limited to discuss 4Q'25 Results.

First, I would like to thank the Management of Bajaj Finserv Limited for giving us the opportunity to host the call.

As always, we will have the "Opening Comments from the Management Team," post which we will open the floor for "Q&A."

From the management side today, we have Mr. S. Sreenivasan – President, (Insurance and Special Projects), Bajaj Finserv Limited, Mr. Ramandeep Singh Sahni – CFO, Bajaj Finserv Limited, Mr. Tapan Singhel – MD and CEO, Bajaj Allianz, General Insurance Company Limited, Mr. Tarun Chugh – M.D. & CEO, Bajaj Allianz Life Insurance Company Limited. Mr. Anckur Anil Kanwar – CFO, Bajaj Allianz, General Insurance Company Limited, Mr. Vipin Bansal – CFO, Bajaj Allianz Life Insurance Company Limited, Mr. Ashish Panchal – Whole-Time Director and CEO, Bajaj Finserv Direct Limited and Mr. Devang Mody – MD and CEO, Bajaj Finserv Health Limited.

With that, I would like to hand over the floor to "Mr. S. Sreenivasan for his Opening Comments."

Thank you and over to you, sir.

S. Sreenivasan: Good morning, everyone. This is the Conference Call to discuss the Results of Bajaj Finserv Limited for Q4 FY'25 and the Year Ended FY'25.

I will now hand over the call to the "Group CFO, Ramandeep, who will take you through the "Highlights of the Performance."

Ramandeep S Sahni : Thank you, Sreeni. Good afternoon, everybody. We welcome everyone to the Conference Call to discuss the Results of Bajaj Finserv Limited (BFS) for Q4 FY'25.

As before, in this call, we will largely be concentrating on the consolidated results as well as the results of our insurance operations through Bajaj Allianz General Insurance (BAGIC) and Bajaj Finserv Limited

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Allianz Life Insurance (BALIC) and where material, the standalone results of Bajaj Finserv (BFS). Bajaj Finance (BFL) and Bajaj Housing Finance (BHFL), our other material subsidiaries have already had their conference calls and hence we would pursue only high-level questions on BFL and BHFL.

To start with some of the hygiene points, as a word of caution, we affirm that any statements that may look forward-looking statements are just estimates and do not constitute any assurance or indication on any future performance result.

Let me just start by giving a update on the Basis of Accounting -:

As required by the regulations, Bajaj Finserv prepares its financials on Ind AS basis; however, the insurance companies are currently not covered under Ind AS. So, they prepare Ind AS financials only

for the purpose of consolidation . Accordingly , BAGIC and BALIC standalone numbers reported are basis non -Ind AS accounting standards referred as Indian G AAP , as applicable to insurance companies .

I also confirm th at our press release accompanying the results and investor deck have been uploaded on our website last night.

Now let me give a brief update on the status of the Allianz's exit from the Joint Venture

Agreement : BFS and the insurance companies are currently in the process of getting regulatory approvals from both CCI and IRDAI and there is no further update on the matter as

we stand today.

Let me now give a "High -Level Update on the Consolidated Financial Results for Quarter 4 " , which we have also put in the press release issued yesterday :

To start with, the consolidated total income for BFS grew at 14% to 36,596 crores , up from 32,042 crores for the same period last year. Similarly, the consolidated P AT has also grown by 14% to Rs.2,417 crores, up from Rs.2,119 crores for the same period last year.

With respect to BAGIC :

The gross return premium de-grew by 13% to Rs.4,326 crores versus Rs.4,962 crores for the same period last year. Excluding the bulky crop and government health businesses, the GW P for BAGIC for the quarter was flat , close to Rs.3,800 crores. The profit after tax de -grew by 4% to Rs.363 crores versus Rs.380 crores for the same period last year. The R OE is at about 12 .3% versus 14 .3% for the same period last year . Combined ratio at about 104.8% versus 101.6% for the same period last year.

Moving to BALIC :

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The gross written premium grew 13% to Rs.9,237 crores, up from Rs.8,184 crores for the same period last year . For BALIC, the profit after tax de-grew by 61% to Rs.41 crores, down from Rs.106 crores last year . The value of new business , however, has grown 14% to Rs.549 crores, up from Rs.480 crores for the same period last year.

And finally, on BFL :-

The consolidated total income grew 23% to 11,917 crores, up from Rs.9,714 crores for the same period last year. The consolidated PAT grew 17% to Rs.4,480 crores from Rs.3,825 crores for the same period last year and the ROE is stable at close to 19 % . So, this is just a summary of the results which were published in the press yesterday.

Now , I will deep dive into each of the companies to give you further texture on the performance .

To start with BAGIC : Effective 1st of October '24, as was mandated by IRDA I, the premium on long-term products was to be accounted on "1/n basis " , where 'n' is considered to be the contract duration. So , as compared to the earlier philosophy of recognizing premium upfront from long term contracts perspective, the law now required us to amortize the premium over the contract duration and hence Quarter 4 and FY '25 numbers are not comparable with prior years. The change in the accounting, however, has no bearing on the underwriting profits and PAT for the year, but it impacts the gross written premium and combined ratio for the period.

As highlighted earlier, the GWP for BA GIC decreased by 13% during the quarter to Rs.4,326 crores, down from Rs.4,962 crores for the same period last year. The de growth is largely impacted by two elements ; one, being the timing variance from the booking of the bulky crop and government health business ; and the second one is what I referred earlier , the change in the accounting on long -term products. If we exclude the impact of volatility in the tender -driven crop and government health business and the impact of "1/n" regulations, the growth for BAGIC is about 8% for the quarter as compared to the reported degrowth of 13%. Similarly on a full year basis, the growth excluding crop and government health and the impact of "1/n" regulation for BAGIC is 12%, which is about 3% higher than the industry growth of 9% .

Further, it is heartening to see that the growth on core business lines of BAGIC , such as commercial lines including fire, marine , engineering and liability and on motor and retail health . The growth for BAGIC has been far better than industry for both the quarter and the full year. Group health, however, continues to be a tactical play with pricing continuously under pressure.

The underwriting loss for BAGIC for the quarter stood at a nominal Rs.3 crores as against a loss of Rs.76 crores for the same period last year. This underwriting result we believe will be by far the best in the industry. The combined ratio, however, st

ood elevated due to the accounting anomalies, which

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I explained a little while earlier at about 104.8% in Quarter 4 versus 101.6% for the same period last year. However, if we exclude the impact of '1/n' regulation, the combined ratio stood at 103.1% . The elevated combined ratio is attributable to degrowth in GW P and upt ick in the motor business during the quarter. While elevated, we believe that the combined ratio reported by BAGIC will still be

amongst the lowest in the multiline market.

The profit after tax for the quarter stood at Rs.363 crores, down from Rs.380 crores last year, a decline of 4%. But this was primarily attributable to realized gain on investments, which was lower in this quarter because of market conditions compared to the same period last year. However, if we eliminate the impact of the mark-to-market changes on investments, the PAT has grown at a healthy 21%. The AUM for BAGIC, which represents cash and investments as of 31st March '25 stood at Rs.33,115 crores as against Rs.31,196 crores for the same period last year, an increase of 6% in spite of paying a very healthy dividend for FY'24 and the market volatility.

BAGIC continues to deliver superior ROE on an annualized basis at about 16% versus 15.2% last year. And if we exclude the impact of surplus capital, which is taking solvency at 200%, the ROE is supposed to be even healthier at upwards of 22% for BAGIC.

On the customer front, BAGIC relentlessly drives the theme of "Caringly Yours" on the foundation of customer obsession through innovations in customer experience. And accordingly, BAGIC continues to have the lowest grievance ratio in the industry and the highest NPS consistently year-on-year. In a market which is intensely priced competitive, this operating result we believe displays BAGIC's commitment to a balance and profitable growth on back of deep and broad distribution and prudent underwriting while focusing on best-in-class customer service.

In summary, despite market constraints, a decent result from BAGIC in terms of growing higher than industry on core retail business and commercial lines and maintaining strong profitability metrics.

I will now move to BALIC :

During the quarter, BALIC's new business growth was muted, which is in line with the industry, largely impacted by the new surrender regulations and the stock market volatility. During the second half of the year, BALIC launched 'BALIC 2.0' with a focus on sustainable and profitable growth while restructuring products to comply with revised product regulations. Simultaneously, it restructured most of the other products as well, focused on balanced product mix and focus on cost for operating leverage.

The early results from BALIC 2.0 are visible through three outcomes for the quarter :

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The first one being the VNB growth of 14% from Rs.480 crores to Rs.549 crores despite the RWRP being flat and group protection degrowing by 4% during the quarter.

The second one being retail protection growth of 84% also backed by increase in share of higher protection ULIP's & focus on riders.

And the third and the most important being the NBM expansion by almost 4% at a strong 22.1% for the quarter as against 18% reported for the same period last year.

On the back of continued strong renewal premium growth of 29%, BALIC's GWP grew 13% during the quarter. The consistent growth in renewal premium reflects the improvement in persistency over the last five years.

Overall, on an RWRP basis, the mix of business for Quarter 4 stood at : par with 21%, non-PAR savings at 27%, term at a very healthy 6%, annuity 6% and ULIP's at about 40%.

BALIC has been increasingly enhancing focus on protection business and hence retail protection grew by 63% to Rs.393 crores in FY'25 versus Rs.241 crores of premium in FY'24.

BALIC is also building

on the data and analytics for direct sales through upsell and cross-sell initiatives. It has led to BALIC's presence in 407 cities with dedicated verticals for various customer segments.

On the Institutional Business side, the Company continues to expand its network of partners and grow existing partnerships. BALIC now has reasonably a large number of bank assurance tie-ups which should help it reduce any concentration risk.

On the persistency front, we have largely maintained position in line with the previous year.

The profit after tax for Quarter 4 stood at Rs.41 crores versus Rs.106 crores in the same quarter last year. This is lower due to realized gains as we saw for BAGIC as well, and on account of higher tax provisioning.

BALIC ended the quarter with an AUM of Rs.1,23,734 crores.

Overall, a mixed quarter for BALIC, but on the right trajectory of sustainable and profitable growth here on.

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Finally, both insurance companies are financially among the most solvent in the industry ; BALIC with 359% solvency and BAGIC at 325% solvency, and hence both the companies are well poised to weather any external adversity.

I must, however, reiterate that insurance is a long-term business, and we remain steadfast in our commitment to drive profitable growth, create sustainable value and always prioritize interests of the policyholders.

Let me now move to our Lending Businesses , BFL and BHFL :

To start with on BFL – A very good quarter on all metrics including business volumes, AUM, OPEX and credit costs. The number of new loans booked in Quarter 4 was up 36% to over Rs.1 crore as against Rs.80 lakh in the same period last year.

BFL added about 47 lakh new customers during the quarter with customer franchise now standing upwards of Rs.10 crores.

The Company's diversified business model has enabled it to record a strong AUM growth of 26% at Rs.4,16,661 crores as of 31st March '25 as compared to Rs.3,30,615 crores as of 31st March '24.

The net interest income grew by 22% to Rs.9,807 crores as against about Rs.8,013 crores in the same period last year.

The OPEX -to-total income improved to 33.1% as against 34% in the same period last year. Net loan losses and provisions for the quarter were about Rs.2,329 crores. The Company made an additional provision of about Rs.360 crores on account of ECL model redevelopment in Quarter 4. Adjusted for this, the loan losses and provisions for the quarter were about close to Rs.1,970 crores.

In Quarter 4, the net increase in Stage -2 and Stage -3 assets was only about Rs.289 crores. Stage -2 assets increased by Rs.784 crores and Stage -3 assets decreased by Rs.495 crores. The Company has indeed started seeing improvement in early vintages across all portfolios.

The GNPA and NPA stood at 96 bps and 44 bps respectively as of 31st March '25 as against 85 bps and 37 bps as of 31st March '24, which we believe is amongst the lowest in the industry.

Profit after tax grew 17% during the quarter from Rs.3,825 crores to about Rs.4,480 crores. Both the return on assets and return of equity remain steady. The capital adequacy remains strong at 21.93% as of 31st March '25 and Tier-1 capital was at about 21.09%

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Bajaj Finserv App has now 7 crores net users and Fin AI transformation is progressing well for Bajaj Finance .

You would have also heard about the corporate actions declared by Bajaj Finance last evening, which include a share split , bonus shares and a special interim dividend. The bonus issue and special interim dividend reflect the Company's strong financial position, robust reserves and a positive growth outlook.

Moving now to Bajaj Housing Finance , the mortgage subsidiary of Bajaj Finance, a very good quarter on an overall basis ; AUM grew by 26% to Rs.1,14,684 crores in March '25, up from Rs.91,370 crores for the same

period last year.

Growth was very well distributed across all the business segments of Bajaj Housing. The home loans AUM grew by 22% , loan against property grew by 28%, lease rental discounting grew by 24% and developer finance grew by 49% .

The net interest income grew 31% to Rs.823 crores as against Rs.629 crores for the same period last year. Operating efficiencies improved significantly with OPEX to net total income at only 21.7% in the quarter as against 27.1% in the same period last year. The loan provision was Rs.30 crores in the quarter as against Rs.35 crores for the same period last year. Healthy asset quality was maintained with the GNP A and N NPA of 29 bps and 11 bps respectively at March '25 as against 27 bps and 10 bps for the same period last year.

Profit after tax grew by 54% to Rs.587 crores for the quarter as compared to Rs.381 crores for the same period last year.

Both ROE and ROA were steady . Capital adequacy remained strong at 28.24% as of March '25 and Tier-1 capital was at 27.72%.

In summary, another very strong quarter for both our lending companies, Bajaj Finance Limited and Bajaj Housing Finance Limited .

Now , let me give you an update on our platform companies, which is Bajaj Finserv Health Limited, also referred as eBH and Bajaj Finserv Direct referred to as Bajaj Markets and Bajaj Finserv Asset Management Company .

Let me start by Finserv Health :

The numbers for the previous year are not comparable year due to the acquisition of Vidal Healthcare in Quarter 1 '25. Hence , the previous numbers have not been provided in the investor deck. In Quarter

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4, FY25, Bajaj Finserv Health carried out 28 lakh health transactions versus about 23 lakhs in the immediately preceding quarter , which is Quarter 3 of '25.

Bajaj Finserv Health continued expansion of provider network which includes about 87,000 doctors , about 4,500 lab touch points & about 15,000 hospitals. Utilizing this network strength and its tech platform, B FH is able to offer integrated OPD, IPD and wellness experience to both our retail as well as corporate customers.

Moving to Bajaj Markets : During the quarter, Bajaj Markets attracted about 8.6 lakh consumers on

its digital platforms . BFSI lending disbursements, including secured, unsecured and both through BFL and outside partnerships for the quarter stood at 1,865 crores for the quarter as against 1,636 crores for the same period last year . Bajaj Markets have been achieving new milestones regularly. Some of the highlights of which are , six new partnership additions during the quarter, taking the overall unique partnership count to 96 in number. Bajaj Markets also have been achieving cash profits consecutively now for two quarters. There has been no capital infusion in the Company since March '22, showing capital efficiency of the Company .

Now , an "Update on the Bajaj Technology piece": The vertical closed a new GCC deal and two deals in the Middle East during the quarter. It has also published two solutions from the cloud practice in AWS marketplace which demonstrates the AWS expertise the Company has built over a period of time.

Now , moving to the "Asset Management Company ": The asset management Company ended the year with a n AUM of upwards of Rs.20,000 crores which is up 17% from the immediately preceding quarter, which is Q3 of FY'25.

We believe the Bajaj Finserv AMC is the fastest to cross the Rs.20,000 crores mark in less than two full years of operations . The non -group share of AUM stood at a very healthy 84% of the total AUM. This was the update on the performance of all our companies.

Before we open the questions, considering the paucity of time, I would request the audience to kindly keep their questions brief so that we can cover more questions during the call. With this, I invite questions from the audience.

Moderator: Thank you

very much. We will now begin the question -and-answer session. Anyone who wishes to ask the question may press * and 1 on their handset telephone if you wish to remove yourself from question queue you may press * and 2 . Participants are requested to use handsets while asking a question . Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take our first question from the line of Avinash Singh from Emkay Global. Please go ahead.

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Avinash Singh: Yes, good afternoon. Thanks a lot for the opportunity. Two questions. The first one is on BAGIC .

Now , your capital position is very, very strong and also there have been some changes regarding the cross -border insurance regulation and all. Do you see , any changes in your retention strategy from here, because I mean, if I see typically, you have been writing crop as explained earlier but your retention has been lower despite the fact that your capital position is very strong and now, they'll kind of add the margin, are there some changes required to this cross -border reinsurance and all. So, do you see yourself kind of changing your retention strategy or increasing your retention going forward? That's my question on BAGIC. And on BALIC, now, a lot of regulatory changes are already kind of behind in terms of your Surrender regulations or EOM going forward I mean and also that the markets are now more sort of I would say balanced than the buoyancy it had in last year. What kind of product mix and corresponding the trajectory of VN B margin you see from here onwards ? Thanks.

Ramandeep S Sahni : I will request Tapan to take the first one on retention please.

Tapan Singhel : Thank you Raman . So, I think in your question lies the answer. You mentioned that with the CBR rules changing and you also mentioned our strong capital and strong solvency which we have. So, I think that is where the answer lies. Strong capital or strong solvency . It doesn't really matter, if the CBR rule changes none of the fact gets more difficult, we have enough to be able to retain also and we have enough writing competence and which we have demonstrated over so many years to write good risk. On retention if it makes sense , then it's good to retain. If you look at the overall results, I think it is perfectly fine as of now , the balance is pretty good in terms of what we retain, but as you rightfully said, if there is a shortage of capacity because of strong capital base , Bajaj Allianz will still continue doing good and will be able to handle this very well.

Ramandeep S Sahni : Avinash, I will just add to that. On our retention, if you see in the past , it has been on the lower side vis-à-vis the others in the market because of the bulky businesses we've been writing , especially in the last two years, we've written a lot of crop and government health. That is one reason. The second is we write a lot of commercial business also and there you see that the growth we've been registering on commercial lines, which are some of the large risks . There also , because of the risk being very large, our retentions are on the lower side. That's one reason you see some anomaly vis -à-vis others in the market .

S. Sreenivasan : Avinash, just to add to what Raman and Tapan said , basically the aggregate retention for a composite insurance Company is just a summation of the parts. We have multiple lines of business , the product mix changes, and we have always been strong in the larger corporate and the commercial lines.

Therefore, line -by-line if you see I don't think our retention is lower at any time, but the mix of multiple businesses, some with lower higher retention will eventually determine what the net retained premium is. We will move to Tarun for the product mix and the margins question.

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Tarun Chu

gh : Yes. Thanks, Raman. Avinash, you're right. Regulatory changes are largely behind us. In terms of product mix, you'll see more in line with what you saw in Q4 with a higher growth in protection. As far as group protection is concerned, we believe we are all waiting and watching how the interest rate change impact happens and whether we have higher growth in lending, and that is what is going to decide how credit life really grows and that will impact the industry equally. We are now well positioned because we are well diversified, not just dependent as we used to be a couple of years back in any one segment. So, that should help us. In terms of VNB margin project trajectory, we believe that's a good point. You saw the change expansion already in Q4. Beyond what you heard Raman talked about, we have also taken significant calls on cost structures, looking at more productive investments, removing wastage, inefficiency and in some places significant cost cuts. This is helping us leverage to an extent. You saw that operating leverage show up in Q4. We expect VNB margin trajectory to be far steeper and hence a high growth in VNB margin versus what you would see in the revenue side. I hope that answers your question.

S. Sreenivasan: I will just add to what Tarun said, Avinash. While one is obviously structurally doing more term & more group, which is margin positive on an aggregate basis, but we are confident from BFS level that the actions that BALIC has taken, also structurally improved the margins of the other lines of business. Therefore, that may fully play out only in FY'27, but you should start seeing the benefits by second half of next year. So, with more than margins, we continue to concentrate on improvement in VNB and the growth in VNB being better than the growth in the rated premium.

Avinash Singh : Thank you. Thank you.

Moderator: Thank you. We will take our next question from the line of Swarnabh Mukherjee from B & K Securities. Please go ahead.

Swarnabh Mukherjee: Hi, sir. Thank you for the opportunity. For BAGIC, I just wanted to understand the combined ratio outcome. I just wanted to understand the combined ratio outcome because the loss ratio while it has been benign, can see that motor, TP and fire loss ratios are lower. So, if you could give some comments on that? And on the expense side, again, there has been quite a n increase. So is this primarily coming due to the fact that most of the growth this quarter has come from the broker segment and correspondingly outgo has been higher. So, if you could just break down that, that would be very helpful for BAGIC? On BALIC, first of all, Congrats on the outcome, I think very strong numbers which you have reported compared to what we are reporting historically. wanted to understand that right now how much of cost overrun is baked into the margin like if we were to absorb later on, what could be the possibility, if you could give some color on the structural nature of the margin for our product mix? And secondly, if you could call out the reasons for the operating variance and assumption changes in the EV Walk. And then just a small question on Bajaj Health. There is a segment mentioned international where I think a lot of large shares of claims are coming. Just wanted to understand our nature of offerings here, who will be the customers if you could give some color and whether the claims outcome is unfavorable?

Ramandeep Sahni : So, we will start with BAGIC first, I will just try to answer that and hand over to Tapan or Ankur thereafter. I think what's relevant and what I mentioned earlier also, if you look at the underwriting Bajaj Finserv Limited
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loss for the quarter it is very very low at only about Rs.3 crores, almost close to zero. So, what you're seeing as elevated combined ratio is actually an outcome of GWP not being there in the quarter

because of the 1/N regulations and the anomaly in the crop and government health distribution of premium during the year. So, I think that's causing a stress on the expense ratio for the quarter because that's the way the combined ratio is calculated. But I think when you see the underwriting loss, it's a Rs.3 crores. That I thought I will just highlight that before I hand over to Tapan or Ankur.

Tapan Singhel : I think you have covered it very well.

Swarnabh Mukherjee: Just a follow up in terms of commissions, etc., there is nothing very incremental even due to the channel mix change?

Ramandeep Sahni : No. So, I think what has changed and what I highlighted earlier also was that the growth on motor and retail health has been on the higher side for the quarter and there obviously on new sales, the commissions are on the high side. So, the mix of new has moved up and that's where the commission is looking high. So, it's only a mix variant, there's no incremental payouts which we are doing. This should get normalized when you look at the whole year numbers.

S. Sreenivasan : And the overall EOM is well below the regulatory allowance. So BAGIC has the leverage subject to market conditions and the businesses they want to pursue and if things are improving, I think they have the levers available to them to go back into growth into the preferred segments. Okay. We will move to BALIC, Tarun or Vipin?

Vipin Bansal : So, I think the first question on overrun. So, all the overruns are accounted when we report our VNB margin. So, I didn't understand the question, but all that we incur, even if there are overruns, all of them are accounted for and they're reflected in our VNB margin. In terms of operating variance, there

were fewer new segments that we started writing a year and a half back and some of them have produced a little lower persistency than what we had generally experienced while they are still profitable to similar other products, these are new segments that we have been testing. And on ULIP side also beyond 61st month, we have seen some surrenders and all of that coming, maybe that's because of market upside. I think those are the reasons. Purely on mortality, if that was your intent, on the mortality side our experience is in line with expectations. So, there are no variances there.

Swarnabh Mukherjee: Okay. Understood. If you could highlight on the international business?

Devan g Mody: On international side, if you see our stated strategy in India is to have lot of volume, and we handle considerable volume, and our aim will be to convert that transaction volume into capabilities which we can probably offer to international insurers. In that direction, we already have two customers internationally. As we speak, in last quarter, we have serviced those two insurers. Our focus just now is less on business development but more to harden our capabilities which can be utilized by

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international insurers. We do fair bit of transactions there. But because in international markets, OPD is 70% of total value disbursed by insurers and we have obviously over a period of the last six years created lot of capability around OPD. That's why the number of transactions is very high internationally. But we are just scratching the surface. As it is widely known while India is 16% of global population, India is less than 1% of healthcare spend of the world. Now, while these statistics are very colorful, we are very optimistic given that we process a lot of volumes in India, our competency set in technology in AI would create a proposition for international market as we continue to create this capability and service our customers, we will be able to actualize the benefit of these revenue streams. I hope I have explained what you are looking at unless you have any clarification on this.

Swarnabh Mukherj

ee: Yes, sir. Just one small query was that, in terms of profitability, if I had to think about the domestic versus the international piece, how will it stand?

Devan g Mody: So, in terms of profitability, obviously, international is significantly higher, but actually it's not a very apple-to-apple comparison. The investment in creating capabilities is completely absorbed by domestic business. So, it's not an apple-to-apple comparable. It's like international business for us is actually cream part of the overall business architecture and profitability in longer term also will always remain higher in international business. All of us know that India is a very extremely cost conscious as well as competitive market. So going forward also we believe that international will be significantly higher on profit ability. But the market size there is tremendous. So, it's not that we are pricing ourselves too high. It's just that those markets have the ability to pay more. The key for us is how do we create capabilities on what we internally call as sandbox in India, and how we are able to convert that into capability which can be sold internationally. Profitability will always remain higher internationally.

S. Sreenivasan: I think just to add what Devang said, the 2.8 million claims that we serviced, it's a fairly sizable number, that kind of volumes you never get internationally in some of the countries. Therefore, this is the bread-and-butter of our business that is the one which helps us as it grows, we will continue to invest in capability and we want to make a gold standard product in terms of technology service, in terms of integration, digital, AI, all of them linked together with the data science built in for handling abuse management and various other things in terms of understanding the medical field better and better as we do more transactions. I think it's a very long-term business. Over the next 15 - 20 years, we believe this is going to be a very large play in India. Today, we have a lot of fintech's, some hospitals, there are insurance companies, there are people and all of them doing bits and pieces of these. But as we see the next 15 -years, we see the size of the opportunity being very large. And once we build the capabilities over the next few years, we think we should probably be in a better position than many others because we have the brand to match it up as well.

Swarnabh Mukherjee: Understood, sir. Thank you so much for the detailed answer. Thank you and all the best.

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Moderator: Thank you. We will take our next question from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Hi, good afternoon, everyone. Just had a couple of questions. First, on BALIC, the margin improvement has been very good. Congratulations on that. But in terms of growth, I see that growth is slowing down, which is as per what we had discussed earlier as well. But moving on into FY26-27, how do you see AP E growth and VNB growth panning out, some sort of sense over there will help us. Second, on the operating variance and assumption change, I understand all of this is related to persistency or is there any other element of mortality or expenses also? So those are my questions on BALIC. On BAGIC, the underwriting performance has been quite good this year. However, if we look at GWP growth, it's a little bit slower. I am guessing losing out on market share in a few segments. Any comments around how do you look at that? I sense the growth in motor also has been

a little lower than the industry. So, some color around market shares would be helpful. Thanks.
Tarun Chugh : Yeah, to start off. I think the VNB margin I know this is the second time we're getting this response from these questions. Yes, the VNB margin is looking good and honestly that was to be expected.

ected.

We've been saying this as a guidance in our last two calls that we will be making a significant strategic shift, which we did make and we have ensured that our VNB margin is now moving up in the direction, but as Sreeni said, while we look at margins, there is a lot of noise in the margins from the group business, hence the VNB is what we will be focusing and talking about more. In terms of growth, BALIC has been, in the last five years, the fastest growing Company in the country; we've had a CAGR of 30%. And we consciously took a pause, when the entire sector just changed the traditional plans only, we relooked at every plan that we had; ULIPs, Tulip which is a term ULIPs that we have nowadays and traditional plans as well and we looked at redesigning, restructuring our products entirely. So, while 50% of the products changed in the market, we changed 100% of our products. This was to result and I think it was a call which on hindsight has gone correct because we did foresee that with so much of surrender value changes happening and 50% of the products changing, 3 million advisors, all bancassurance branches, having to undergo training, there will be a slowdown in the sector for the second half, which is exactly the way it panned out, hence we timely chose this time to plan more on a far more significant one-time structural change, which we've done. Now, that change, on anything that we had to do on margins, is behind us. Now, we have to work on frugality, ensuring that we are cost-efficient and that will ensure that the direction of VNB margins remain high. So, your second part of the first question is on, will the margins be growing, or will the top line be growing? As far as the top line is concerned, if I just get into a little bit more detail, the bancassurance business has picked up from where it left, and the transition has been a lot smoother. Proprietary sales have signaled a little bit more time, because we changed all the ULIP plans as well, which nobody else changed. And that was a significant part of the product mix, which has of course resulted in them going a little slower, although it remains still the fastest growing business for us.

The agency side has required to have a lot more discussions with advisors because we changed the
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compensation and that I think will be taking a little bit more time to settle in. So, the growth we expect, which has been muted for particularly agency, shall remain slightly muted even in Q1. But having said that, for us, it is unique because we were one of the fastest growing in last year, and H1 as well; we grew by 31% and while our peer set was far, far lower. So that high base effect will also come in. So, we will have to look at it and put in perspective from that. And as Sreeni mentioned, H2 onwards you'll see growth for top line also starting to come up significantly. But you should expect overall for us a higher growth in VNB in this coming year, and I think that's the message I would like to leave you with. Your second question is on variances. Although very clearly Vipin has touched on it, but just to mention because you were specific, there is no impact of mortality or expenses on these variances.

Madhukar Ladha: Okay, great. Thank you for the detailed answer. And on BAGIC?

Tapan Singhel : Yes, on BAGIC, if you look at the overall numbers, we were a bit surprised on your comment that we have lost market share. If we look at the year's numbers and Ramani explained the '1/N' impact, that is why this is, and we have a disproportionate higher share of the market of long-term business. So, I think that is what gives you this perception. IRDA publishes segment wise numbers. If you look at it then I think, be it commercial lines, be it motor, be it retail health, be it government health, the only two lines of business

where our share would be lower than the market; one would be crop insurance which we had mentioned earlier that if you look at this time in crop and I remember a couple of years back, everybody was shying away from crop and to the question we were answering is that crop business, we understand and we do it and we will continue doing it and then when people saw that we did it well, everybody is into the crop business currently and obviously when we see lot of intensity in some business and pricing is not what we feel is appropriate. There we go slow a bit. So, crop insurance I think we would have a lower market share, and, in miscellaneous, it is because the cattle business we have gone slow because lending has gone slow not because we have slow intensity with lending on that business. Barring these two, I think we would have been ahead of market in all lines of business. So, that is where the actual question is. Ankur or Ramani, do you want to add anything?

Ramandeep Sahni : Maybe I can just talk about it; I think one thing which is playing out is the proportion of long-term business for us versus the market has been on the higher side. So, on an average the long-term business which is impacted by the 1/N regulation for us was 7% of our GWP, for the market it has been 3%. That's why the numbers look a little odd, but Madhukar like Tapan highlighted, if you look at the full year numbers, the growth on GWP has been about 5% both for us and the industry. If I exclude the impact of government health and crop, we have grown at about 8%, industry is growing at about 7%, we've grown 1% higher. If I actually negate the impact of '1/N', we have grown at about

12% and the industry has grown at 9%. Now if I break that further into retail segments, which is what you were referring to, on motor, in fact our growth has been in line with the industry; industry has Bajaj Finserv Limited
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grown at 7.9%, we've grown higher at about 8.5%, on retail health industry has grown at 8%, we've grown at about 13%, commercial lines, which is a summation of fire, marine, liabilities, all of that put together - industry is flattish; it's grown only 1%, we've grown at 8.5%. So, what Tapan highlighted actually, the stress is looking only from the 1/N part and also the loss of some business on crop which we mentioned earlier, we will do that business only if it makes commercial sense and we know most of the people are doing it only to get arbitrage on EOM today. So, to answer your question, I think from a top line perspective, we've outperformed the market almost in all segments this year.

Madhukar Ladha: Ok Understood Thanks a lot

Moderator: Thank you. We will take our next question from the line of Manish Dhariwal from Fiducia Capital Advisors. Please go ahead.

Manish Dhariwal: Good afternoon. Am I audible? Yes, please go ahead. Thank you for this opportunity. So my question was at two levels. One, the group has taken this decision of buying the 100% of the two insurance businesses and now your approvals and all, the thing has sunk in, earlier, it was going to happen sometime, now it's happened, now you ensured the execution part is happening, I wanted to understand over a period of, say, about three or four or five years, it's a long term question, how would the flavor of these two businesses undergo a change like you did mention about some international forays, which I am sure earlier there may be some restrictions, Allianz being a partner, already being a global player, so if you could just give us some long-term perspective on both the insurance businesses that you run?

S. Sreenivasan: Sure, I think when we look at the opportunity spectrum in both the insurance businesses, it is very large, while both the businesses continue to remain very competitive, and we expect more competition to come in the future.

In the long run, it is a game of balance sheet size, capital and brand. We have already done the hard work over 20-years and if you see most of the people who are coming in recently are finding it more difficult because of the level of competitive intensity to get to the minimum scale that is required for a viable insurance business. As far as the decision of Allianz to exit is concerned, it is a decision of Allianz to exit, and we have executed the SP A and it does give us the opportunity now to use the Bajaj brand and the capabilities that we have at the Bajaj Group to play the opportunity spectrum in insurance business. Clearly, in a joint venture, there are always restrictions, there are shareholding patterns and there are difficulties in dilution, there may be difficulties in various acts, strategic initiatives that you may want to take, if it is not viable for both the shareholders to go ahead with that. We think there are three or four things that we mentioned. The first is, we now have 100%, a lot more leeway to look at strategic opportunities which may involve dilution, maybe we can look at other business initiatives including for example in the GIFT City, we can look at the pension business, potentially, we can look at international foray as well because this is a sign of a very large amount being put up as domestic capital and we have fair Bajaj Finserv Limited
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confidence that this capital will yield the shareholders a very good return over the years to come. So, there are many levers that will play out and we are not short-term players, and we are a more than 100-year-old group and therefore we have the patience and resilience to be able to play it with the aid of the surplus capital and the power of the brand that we have or we lacked a little bit in flexibility we get that as well now.

Manish Dhariwal: Yes. Yes. Thank you. Thank you. And some bit of favor on the health business, the way like the number of transactions is increasing, Vidal acquisition happened, so steps are happening, like more and more hospitals and the footprints expanding, when are you seeing this to emerge a meaningful business say three years, four years, five years where the numbers actually make an impact on the balance sheet?

S. Sreenivasan: Yes. Let me take that first before I pass it on to Devang. As I said earlier, we believe healthcare services, the entire spectrum of healthcare from tooth-to-tail is going to be a significant industry in India. We have a significant proportion of the population which requires government schemes to be able to support healthcare. We also see that the insured population is much smaller because of the higher price and the fact that insurance today covers only hospitalization and there is a missing middle, and all of these are continuing to grow. Therefore, we believe there's a long-term opportunity. We already have made the most difficult part of building the network for the OPD services. It is easier said than done because it's a significant amount of effort capital and time and then you have to build a model out of it, with the TPA, with our insurance Company in BAGIC and the OPD capability and the initial foray into international business that we already have, we believe we have all the tools available now, but we need the volumes to be able to further sharpen our capabilities. So, we are very

confident as BFS . The value may /may not come from the traditional way of measuring profits in terms of profit and equity, but in the long run value will emerge because of the size of the opportunity and how long we remain invested in the business and our intention is to be remaining invested in the business.

Devan g Mody: I think your question was about relevant for numbers . Of course , we are very proud to have very large companies in the group which contribute a substantial portion of consolidated rev

enue . See, our

view as a group about health businesses, health remains one of the largest spend item for Indian consumers and it will only grow further in percentage spend of Indian households in coming years , point #1. Point #2 , health has right for disruption in our view with injection of new technologies specifically AI, because there are certain nuances of health business which are very suitable for usage of AI . Globally , health thrives on unstructured data because every patient is different. And third point is, India has tremendous population and hence in technology word if I say humongous training data. This can be put to use to service Indian consumers and also to monetize those capabilities globally, but it has longer gestations , so number relevance is a matter of spreadsheet work. What we are focused on is that we add value to Indian ecosystem and take those capabilities globally to add value

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to some of our international customers. So , it's a longer journey, but as a group, in my view we are extremely suitable because we are long -term players in anything we do to solve this problem over a period . So, it's a very contextual question. An answer would require a lot of spreadsheets, and we are not focused on that relevance on spreadsheet .

Manish Dhariwal: Thank you. Thank you . That help s.

Moderator: Thank you. Ladies and Gentlemen before we take the next question would request participants to keep their questions brief as we have other participants waiting for their turn. We will take the next question from the line of Umang Shah from Banyan Tree Advisors. Please go ahead.

Umang Shah: Thank you. Sir, just one question on BALIC . How much of our AP E would be coming from the largest ban ca partner that we work with?

Vipin Bansal : So, the largest one contributes to about 22% of our business.

Umang Shah: Sure, sure. And sir, with that player now looking to acquire an insurance Company that we compete with, would you be looking to reduce your presence there or would that business be coming at a lower profit than other channels?

Tarun Chugh : See, we we're talking of Axis very clearly here, right? The player has had an investment already and they were declared promoters of that Company , which was the intent I guess from them for a long time. And they were very clear when they added us as a partner that they would be going ahead and adding a lot many partners in the bank itself for life insurance. And despite the fact that they already have their own Company , we are still maintaining 25% plus /minus 1% here and there of the market share in the bank . And as far as margins are concerned, we don't talk about margins individually for players. These are bilateral transactions.

Umang Shah: Sure, sir. Thank you so much.

Moderator: Thank you. We will take our next question from the line of Sanket h Godha from Aven dus Spark. Please go ahead.

Sanketh Godha : Yes. Thank you for the opportunity. Sir , I have two, three questions on BAGIC first, Sir, if we look at our tender -based business , is almost 25% of our total GWP. See , honestly , the predictability of the growth of this particular number looks very difficult for us to estimate. S ir, I just wanted to understand how confident you are which is 25% of your business will repeat again next year and suppose if you don't win then you have a game plan probably to substitute that business with some other line of business. Just want to understand the thought process and the continuity on growth given tender -based business is 25% of our total GWP. That's one thing . And second is on reinsurance

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acceptance because the rates are little better , so there are couple of insurance companies which have already alluded that , they might be little aggressive with respect to accepting as a reinsurance business which

could help in GWP growth. So, do you have any thoughts on those lines of the business ? And lastly on data keeping on BAGIC, can you give two, three figures advanced premium number, duration of our bonds and yield -to-maturity on the bonds? Yes, that's from BAGIC

Tapan Singhel : Let's look at w hen we talk of bulky business , tender business, whether it comes , doesn't come . You understand the nature of the insurance business, it comprises of two, three parts and it is an inherent part of business ; one is retail , second would be tender based . Tender -based is not only in terms of when you talk of government or you talk of crop, it's also there in commercial lines of businesses . A lot of large risks also are tender based in the Indian market . And if you look at the segmentation, the tender -based business in the total industry portfolio would also be close to about , if I am not wrong

about 30% or so or more , 30%, 35%. Now, if you're a Company with among the largest number of customers in India, if you are a Company which is top three including government companies in India in terms of top line , if you're a Company which is among the best in India, you will reflect what the market is. If the tender business is close to about 30 % - 35% business and you have 25% tender - based business I think it's perfectly fine. Because you can't be a large Company and say that I will not have t tender -based bu siness at all. Now the second part of the question is that how will it play out? Now, w e have been doing it for so many years. I don't think that something is new , some tenders we win, some tenders, we lose , its inherent part of business . Sometimes if we lose lot of tenders then for that part of business market share may drop for some time, like we did in crop this time and we found the tenders being very aggressive in terms of the pricing, which was about 30 %, 40% lower, we reduced our presence . We never exit any business and we are always there, we are still on a leading crop insurance even today and we will be there and we will keep on participating in that. As a large player , you would be present in all lines of businesses , you would be having a substantial market share in all lines of business. And what makes sense in terms of our under writing principle, that is where we will be disproportionately higher where it does not make sense will be lower in the market and this keeps on changing , it is not like written on stone . It keeps on changing, but this is inherent nature of business . That's something which one does not have to really be surprised about and we look at each line of business separately, each product separately and each we should write well and serve the customers very well. If you look at our grievance ratio and these are publicly available data at IRDA I, we have been among the least grievance ratio in the country for so many like over a decade , every quarter, every time. This is a principle of business . That was your first question. Second question was on BALIC ?

Sanketh Godha: I was asking about a couple of companies are doing more reinsurance acceptance compared to what we've been doing in the past.

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Tapan Singhel : What people are talking about is not reinsurance accept ance, i t was writing commercial lines of the businesses. See , reinsurance companies , make treaties and that is just kind of a plan in way of projecting the balance sheets. There's no question of reaccept ance by the companies. Now they will look at commercial lines of businesses. But as R aman mentioned, if we look at last year , industry was g rowing at about less than 1%, we were doing a t 8%, eight times industry growth in commercial lines of business and we have been doing that. So why would we slow down? I think whenever the pricing is right and where we can serve the customers well, we understand the risk ,

we would have a disproportionate market share there. So, I don't think that any change of stance would happen. Thank you.

Sanketh Godha: Got you. And that data keeping question advanced premium , duration of bonds and YTM ?

Anckur A Kanwar : Advanced premium is closer to Rs.2,500 crores.

Sanketh Godha: And d uration of our bonds?

Anckur A Kanwar: It is around 5.5.

Sanketh Godha: And current YTM?

Anckur A Kanwar: The re alized rate is slightly in excess of 8% it is 8.03%

Sanketh Godha: Okay, Perfect. Thanks. And may be one question on BALIC . See , this strategic shift probably impacted meaningfully the agency channel as you alluded and that's almost till the first half it was more than 40% of our GWP . You are fairly confident that the reset is already done, or it will take some bit of more time and therefore the growth probably in this channel will be little back ended or you believe that in FY26 agency might be a little muted because of the strategic shift what we have done on the BALIC side. So just 1 question and if you can give your contribution of Axis Bank?

That's the second one, ye s.

Tarun Chugh : I will answer the second one first, Axis is 22% of our business and overall, if you notice that most of our peers their largest bank is upwards of 40 % to 50 % to 60% as well, and it was a studied strategy that we shall not be dependent on one ban ca partner and I think that's how the ban ca partner also wants it. So, I think that strategy has played out quite well and we'd like to have all businesses to grow at their healthy pace and not be overdependent on one. Coming back to agency, agency is a 1,50,000 agents' business and we've been looking at changing the product mix for some time and finally we' ve landed up doing it in the second half of the year. It required a lot of reset and that reset is in place. We are seeing positive green shoots come in , in terms of activity , productivity, which are the usual bits of first indicators , engagement from agents has been reasonably on the upt ick. We added about 57,000 agents last year and we opened 60 offices , largely these offices are used by the Bajaj Finserv Limited

April 30, 2025

agency itself. We are continuing to grow in the way we are hiring more agents . So that is only going to be positive as we go ahead in time. In terms of growth rate, I did mention that we did have significant growth in the first half last year. In fact , even agency in H1 , grew by 23%. So that higher

base is going to impact I would say mathematically, the expected growth rate from the agency, which is obviously going to be muted in the first half. And in second half, you should see a significant climb back in, again, because mathematically it was bad for the entire sector, but even otherwise my indicators would be more on number of agents getting active, the segment of agents getting active, how many policies are they doing, whether they're consistent or not, all the usual distribution parameters which you look at and they're all in I would say the green shoots are visible and directionally, we are feeling a lot more confident because don't forget agency has been our mainstay all this while and agency shall remain a very strong part of our growth engines.

Sanketh Godha: Perfect. Perfect. That answers my questions. Thanks.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the call over to Mr. Ajit Kumar from JM Financial for closing comments. Over to you.

Ajit Kumar: Thank you to all the participants for joining the call and special thanks again to the management team of Bajaj Finserv for giving us the opportunity to host the call. Anything else, Sreeni sir, you want to add?

S. Sreenivasan: No, nothing else. I think first half we still believe the geopolitical and external environment will continue to be, we need to watch, it can be volatile

, but we are very cautiously optimistic about H2 of the coming year when we should come back to growth. So, we are using this opportunity on finAI, in BFL and looking at our OPEX cost in BALIC and the margin profiles restructuring the business on the surrender charges and in the case of BAGIC, we are waiting to continue our calibrated growth with the focus on strong underwriting performance. Platform businesses, we want to see them achieve more scale in terms of number of transactions, both Finserv direct and the health business. The mutual fund can be depending on how the market is. The AUM growth can be a bit volatile, but we believe that we continue to differentiate in terms of each of our funds and we will continue to build on distribution and the systems from here. So, this is largely what we are looking at over the next 12 - months.

Moderator: Thank you, sir. On behalf of J M Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

<https://www.aboutbajajfinserv.com/about-us>

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1 August 2025

D

Dear Sir/Madam,

Sub.: Transcript of Conference Call in respect of financial results for the quarter ended

30 June 2025

R

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Para A of Part A of Schedule III to the SEBI Listing Regulations

I

In furtherance to our letter dated 15 July 2025 & 26 July 2025, this is to inform that the transcript of the investors conference call held on Friday, 25 July 2025, has been hosted on the website of the Company and is available at <https://www.aboutbajajfinserv.com/investor-relations-quarterly-earnings-conference-call-recording-and-transcripts>.

P

Please find enclosed the transcript (pdf) for ease of reference.

W

We request you to kindly take the same on record.

T

Thanking you.

FOR BAJAJ FINSERV LIMITED

U

MA SHENDE

COMPANY SECRETARY

Email ID: investors@bajajfinserv.in

Encl.: As above To

C

Corporate Relations Department.

BSE Limited

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Rotunda Building, P J Tower,

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Corporate Listing Department.

National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor

Plot No.C -1, G Block,

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Bandra (East), Mumbai 400 051

BSE Code: 532978 NSE Code: BAJAJFINSV

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Q1 FY '26 Earnings Conference Call"

July 25, 2025

MANAGEMENT : MR. S. SREENIVASAN – PRESIDENT , INSURANCE AND

SPECIAL PROJECTS – BAJAJ FINSERV LIMITED

MR. RAMANDEEP SINGH SAHNI – CHIEF FINANCIAL

OFFICER – BAJAJ FINSERV LIMITED

MR. TAPAN SINGHEL – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – BAJAJ ALLIANZ

GENERAL INSURANCE COMPANY LIMITED

MR. TARUN CHUGH -- MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – BAJAJ ALLIANZ LIFE

INSURANCE COMPANY LIMITED

MR. ANCKUR ANIL KANWAR – CHIEF FINANCIAL

OFFICER – BAJAJ ALLIANZ GENERAL INSURANCE

COMPANY LIMITED

MR. VIPIN BANSAL – CHIEF FINANCIAL OFFICER –

BAJAJ ALLIANZ LIFE INSURANCE COMPANY LIMITED

MR. ASHISH P ANCHAL -- MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BAJAJ FINSERV DIRECT
LIMITED

MR. DEVANG M ODY -- MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BAJAJ FINSERV HEALTH
LIMITED

MODERATOR : MR. AJIT KUMAR -- JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Bajaj Finserv Limited Q1 FY '26 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ajit Kumar from JM Financial. Thank you, and over to you, sir.

Ajit Kumar: Thank you, Muskan. Good evening, everyone, and welcome to Q1 '26 Earnings Conference Call of Bajaj Finserv Limited. First, I would like to thank the management of Bajaj Finserv Limited for giving us the opportunity to host this call. As always, we will have the opening comments from the management team, post which we will open the floor for Q&A.

From the management side today, we have Mr. S. Sreenivasan, President, Insurance and Special Projects, Bajaj Finserv Limited; Mr. Ramandeep Singh Sahni, CFO, Bajaj Finserv Limited; Mr. Tapan Singhel, MD and CEO, Bajaj Allianz General Insurance Company Limited; Mr. Tarun Chugh, MD and CEO, Bajaj Allianz Life Insurance Company Limited; Mr. Anckur Anil Kanwar, CFO, Bajaj Allianz General Insurance Company Limited; Mr. Vipin Bansal, CFO, Bajaj Allianz Life Insurance Company Limited; Mr. Ashish Panchal, MD and CEO, Bajaj Finserv Direct Limited and Mr. Devang Mody, MD and CEO, Bajaj Finserv Health Limited. With that, I would like to hand over the floor to Ramandeep sir, for his opening comments. Thank you, and over to you, sir.

Ramandeep Singh Sahni: Thank you. Good evening, everybody. We welcome everyone to the conference call to discuss the results of Bajaj Finserv Limited (BFS) for quarter 1 FY '26. As before, in this call, we will largely be concentrating on the consolidated results as well as the results of our insurance operations, Bajaj Allianz General Insurance (BAGIC) and Bajaj Allianz Life Insurance (BALIC), and where material the stand-alone results of Bajaj Finserv.

Bajaj Finance (BFL) and Bajaj Housing Finance (BHFL), other major subsidiaries of ours have already had their conference calls, and hence, we would pursue only very high-level questions on both BFL and BHFL. To start with a few hygiene points, as a word of caution, we affirm that any statements that may look forward-looking statements are just estimates and do not constitute any assurance or indication of any future performance results.

Let me also give an update on the basis of accounting.

As required by the regulations, BFS prepares its financials in compliance with Indian accounting standards referred as Ind AS. And the insurance companies are, however, not covered under Ind AS. They have prepared Ind AS financials only for the purpose of consolidation with BFS. Accordingly, for BAGIC and BALIC, the stand-alone numbers reported are based on the non-Ind AS accounting standards referred as Indian GAAP, as applicable to the insurance companies. I also confirm that our results, press release accompanying the results, and our investor deck have been uploaded on our website within half an hour of our results. I would like to draw your
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attention to our enhanced investor deck where additional insights have been added based on feedback from a few investors. We do hope you appreciate this and look forward to your feedback, if any.

Now let me give a brief update on the status of the Allianz's exit from the joint venture agreements with BALIC and BAGIC. Approvals for the acquisition of 26% stake in each of BAGIC and BALIC by BFS and the promoter group companies have been received from both the Competition Commission of India and the Insurance Regulatory and Development

Authority

of India. Approval for name change, however, is in process.

As indicated earlier, the acquisition may be in one or more tranches, of which the initial first

tranche shall be for the minimum of 6.1% stake, which needs to be paid within 6 months of IRDAI approval. The outer timelines for the acquisition of the entire 26% stake stands on 16th October 2026 as per the SPA.

Upon completion of the initial first tranche, the existing joint venture agreements between the company and Allianz SE in respect of both BALIC and BAGIC shall stand terminated, with Allianz having reduced rights until they hold 5% stake, below which their rights will fall away. Let me now give you a high-level update on the consolidated financial results for quarter 1, which have been published in our press release on 25th July 2025.

The consolidated total income for the group grew 13% to INR 35,451 crores as against INR 31,480 crores for the same period last year. Consolidated profit after tax grew at a good 30% to INR 2,789 crores versus INR 2,138 crores for the same period last year. This number is a all-time high quarterly PAT for Bajaj Finserv. It's important to note, however, the PBT growth for Bajaj Finserv on a consolidated basis was at 21%. The delta between 30% PAT growth and PBT growth of 21% is attributable to a higher tax on dividends in Q1 of last year, which was due to higher dividends largely received from BALIC and BAGIC.

In respect of BAGIC, the GWP grew 9% to INR 5,202 crores versus INR 4,761 crores for quarter 1 of last year. Ex-crop and Government Health business, the GWP grew at 10% to INR 5,107 crores versus INR 4,664 crores for the same period last year. PAT grew by 15% to INR 660 crores, compared to INR 576 crores in the same period last year. ROE was up at a healthy 21.4% compared to 21.3% for the same period last year. The combined ratio was down to 103.6% versus 103.7% last year.

In respect of BALIC, the GWP grew 9% to INR 5,479 crores versus INR 5,018 crores for the same period last year. The PAT grew at a very healthy 76% to INR 171 crores versus INR 97 crores for the same period last year. Value of new business registered a 39% increase, moving up to INR 145 crores, up from INR 104 crores for the same period last year.

In respect of BFL, for consolidated net total income, it grew at 21% to INR 12,610 crores versus INR 10,418 crores for the same period last year. Consolidated PAT for BFL grew at 22% to INR 4,765 crores versus INR 3,912 crores. The ROE stood at a healthy 19% versus 19.86% for the same period last year.

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Let me now deep dive into each of the companies to give you a texture on their performance on a stand-alone basis.

With respect to BAGIC, as we have discussed earlier, effective 1st October '24, as was mandated by IRDAI, the premium on long-term products was to be accounted on 1/N basis, where N is the contract duration. And hence, the Q1 numbers for the current year are not comparable with the prior year. The change in the accounting, as we know, however, has no bearing on the underwriting profits and PAT for the company, but impacts the reported GWP and combined ratio for the period.

As highlighted earlier, the GWP for quarter 1 for BAGIC increased by 9% on an overall basis to INR 5,202 crores. However, if you exclude the bulky tender-driven crop and government health business and we eliminate the impact of the 1/N regulations, the growth for BAGIC has been a very healthy 15% for the quarter as against the industry growth of 14%.

The growth was largely attributable to all the core business lines such as commercial lines, which include fire, marine, engineering and liability and motor and retail health. And in all these lines, the growth was higher than the industry. The underwriting loss for the period stood at INR 116 crores versus an underwriting profit of INR 16 crores for the same period last year.

The

combined ratio stood at 103.6% versus 103.7% for the same period last year. Again, excluding the impact of 1/N regulations, the combined ratio is lower at about 102.5% and as compared to last year on a comparable basis, down by a good 1.2% for the same period. Underwriting losses and combined ratio have been impacted by higher acquisition costs with focus on preferred business segments where the commissions are expected to be on the higher side.

While higher than 100%, we believe that the combined ratio for BAGIC will still be amongst the lowest in the multiline market with ROE reasonably above 20%. Profit after tax for quarter for BAGIC stood at INR 660 crores versus INR 576 crores, an increase of 15% attributable to better investment performance. AUM represented by cash and investments as of 30th of June '25 stood at a healthy INR 35,199 crores versus INR 31,651 crores for the same period last year, a healthy increase of 11%.

BAGIC continues to deliver a superior ROE consistently. The annualized ROE for Q1 FY '26, as mentioned earlier, is about 21.4%. However, if we exclude the impact of surplus capital, which is assuming solvency at 200%, the ROE is expected to be upwards of 25%. On the customer front, BAGIC relentlessly drives the theme of Caringly Yours on the foundation of

customer obsession through innovation and customer experience.

Accordingly, BAGIC continues to have the lowest grievance ratios in the industry and the highest Net Promoter Score consistently year-on-year. In a market which is intensely price competitive, this operating result, we believe, displays BAGIC's commitment to a balanced and profitable growth on the back of a deep and broad distribution and prudent underwriting while focusing on best-in-class customer service.

In summary, despite market constraints, a decent result from BAGIC in terms of growing higher than the industry on core business lines and maintaining strong profitability metrics.

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I will now move to BALIC.

BALIC 2.0 was initiated in the second half of last year with focus on sustainable and profitable growth. This was backed by changes in product structures and cost rationalization. Happy to state that the outcomes in Q1 are as expected, while top line growth was muted, in line with our expectations, given the change in strategy. The VNB and NBM growth is on planned trajectory. The results of BALIC 2.0 are visible through 3 outcomes:

Number one, VNB growth of 39% despite a flattish growth on retail weighted received premium for quarter 1 and group protection degrowth of 7%, which is largely attributable to slowdown in lending growth, especially in the MFI space.

The second one being NBM (new business margin) expansion by about 4.2% at strong 11.1% for the quarter as compared to 6.9% for the same period last year.

The third one being retail protection growth of 53% with a 9% contribution to the overall retail weighted received premium.

On the back of continued strong renewal premium growth of 28%, BALIC's GWP grew 9% during the quarter. Persistency dips were, however, observed in the 13-month bucket in line with the industry because of the base effect of higher ticket size in Q1 FY '25, largely because of the business written in Q4 FY '24 due to the income tax changes, which had significantly higher persistency.

Overall, the retail weighted received premium mix for quarter 1 was balanced and stood as follows: participating business at 22%, non-par savings at a healthy 19%, term at a very healthy 9%, annuity at 5% and ULIPs at 45%. BALIC has been increasing its focus on retail protection business, which grew by 53% to INR 110 crores in quarter 1 current year versus INR 72 crores in the quarter 1 for the same period last year.

BALIC continues to focus on use of data and analytics for direct sales through upsell and cross-sell initiatives. It has led to BALIC's prese

nence in 367 cities with dedicated verticals for various

customer segments with an aim to be amongst the largest direct channels in the industry.

On the institutional business side, the company continues to expand its network of partners and grow existing partnerships. BALIC now has a reasonably high number of bank assurance tie-ups, which should help it reduce its concentration risk. Profit after tax for quarter 1 for BALIC stood at INR 171 crores as against INR 97 crores for the same period last year, a growth of 76%, largely attributable to higher investment income, largely supported by gains in equity investments.

BALIC's AUM for the quarter ended at INR 1,31,052 crores. Overall, the quarter for BALIC is in line with the expectation and on the right trajectory of sustainable and profitable growth, a journey which we embarked upon in H2 of last year.

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Finally, both the insurance companies are financially among the most solvent in the industry, BALIC with a solvency of 343% and BAGIC at 334%. And hence, we are well poised to weather any external adversity.

I must, however, reiterate that insurance is a long-term business, and we remain steadfast in our commitment to drive profitable growth, create sustainable value and always prioritize the interest of our policyholders.

Let me now move to our lending businesses, Bajaj Finance and Bajaj Housing Finance Limited. For Bajaj Finance, a good quarter on business volumes, AUM, opex and profitability. The new loans booked were at 13.49 million in quarter 1 as against 10.97 million in quarter 1 last year, recording a growth of 23%. The company expects to disburse over 50 million new loans in the full financial year FY '26. BFL added about 4.69 million customers to its franchise during the quarter. The company expects to add about 14 million to 16 million new customers to its

franchise in the full year FY '26.

The company's diversified business model has enabled it to record a strong AUM growth of 25% at INR 4,41,450 crores as on 30th June '25 as compared to INR 3,54,192 crores for the same period last year. Net interest income grew by 22% to INR 10,227 crores as against INR 8,365 crores for the same period last year. Opex to net total income improved to 32.7% as against 33.3% for the same period last year. Net loan losses and provisions for quarter 1 were at INR 2,120 crores, up by 26% from the same period last year.

GNPA and NNPA stood at 1.03% and 0.86%, respectively, as on 30th June as against 0.86% and 0.38% for the same period last year, which continued to be amongst the lowest in the industry. Profit after tax grew 22% during the quarter, up from INR 3,912 crores to INR 4,765 crores. ROA and ROE remained steady. The capital adequacy ratio remains strong at 21.96% as of 30th June. Tier-1 capital was 21.19%. Bajaj Finserv app now has 7 crore net users and the FINAI transformation is progressing well.

Moving now to Bajaj Housing Finance, a balanced quarter with AUM growth of 24%, driven by moderation in real estate market and intense competition resulting in higher attrition. Growth was very well distributed across business segments; however, home loans AUM grew by 21%, loan against property grew 30%, lease rental discounting grew a healthy 29%, developer finance at a healthy 32%.

Net interest income grew by 33% at INR 887 crores as against INR 665 crores for the same period last year.

Operating efficiencies continued with opex to NIM flat but at a healthy 21.2% as against 21% for the same period last year. Loan losses and provisions were at INR 41 crores. Again, we believe it to be the lowest amongst peers. Healthy asset quality was maintained with GNPA and NPA, which stood at 0.3% and 0.13%, respectively, as on 30th June as against 0.28% and 0.11% as on 30th June last year.

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Profit after tax grew by 21%

to INR 583 crores for the quarter. ROA and ROE were again steady.

Capital adequacy ratio stood at 26.94% as on 30th June, and the Tier-1 capital was 26.43%. In summary, another very strong quarter for both our lending companies, Bajaj Finance Limited and Bajaj Housing Finance Limited.

Now to give an update on our platform companies, Bajaj Finserv Health Limited, also referred as eBH and Bajaj Finserv Direct, referred as Bajaj Markets and Bajaj Finserv AMC.

In quarter 1, Bajaj Finserv Health Limited carried out 5.8 million health transactions, up from 2.05 million in the same period last year, accelerated significantly through a few large government contracts and the commencement of OPD business with several insurers in quarter 1.

Bajaj Finserv Health continued expansion of the provider network, which includes 130,000-plus doctors, about 15,500-plus hospitals and about 4,000 lab touch points. Utilizing this network strength and its tech platform, eBH is able to offer integrated OPD, IPD and wellness experience to both retail as well as to corporate customers.

Moving to Bajaj Markets. During the quarter 1, 4 new partners were added, leading to a total unique partner count moving up to 100 in all. Bajaj Markets lending, which includes secured, unsecured, both from Bajaj Finance and other partnerships, disbursements, for the quarter stood at INR 1,210 crores as against INR 1,789 crores last year. Loan organic visits have increased by 61% during the quarter from the same period last year.

Top line for the company has, however, fallen to INR 92 crores from INR 135 crores for the same period last year, which is attributable to decrease in loans, as I mentioned earlier, and transacting customers during the quarter on account of a scheduled change in Bajaj Markets digital journey for the benefit of the customers. We believe that the growth will get reinstated from quarter 2 onwards.

There has been no capital infusion in the company since March '22, showing capital efficiency of the company. An update now on Bajaj Technology, 7 new logos were won across various markets, and the company achieved AWS advanced tie-up partnership during the quarter. Now moving to the Asset Management business. The AMC ended with an AUM of a very healthy INR 25,011 crores as on 30th June, which was up by 23% from the immediately preceding quarter and 107% up from the same period last year.

We believe Bajaj Finserv AMC is the fastest to cross the INR 25,000 crores mark in less than two full years of operations. The non-group share of AUM for the AMC stood at a healthy 83% of the total AUM.

This was from my side on the performance of the company. Before we open for questions, considering the paucity of time, I would request the audience to kindly keep their questions brief

so that we can cover more queries during this call.
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With this, I invite questions from the audience.

Moderator: Thank you very much. We will now begin the question-and-answer session, anyone who wishes to ask question may press * and 1 on their touchtone telephone. If you wish to remove yourself from question que you may press * and 2. Participants are requested to use handsets for asking the questions. Ladies and gentlemen, we will wait for a moment while the question que assemble. The first question is from the line of Swarnabha Mukherjee from the B&K Securities please go ahead

Swarnabha Mukherjee: Hi sir, Thank you for the opportunity. I have two quick questions on one each on BAGIC and BALIC. So, in BAGIC I wanted to understand that we have seen some strong growth in areas like motor TP and fire where we have been hearing that the competitive intensity remains very strong. So just wanted to know your thoughts on what are you seeing in the market? Are you going after favourable micro markets where you expect the profitability to be better than what we would normal

ly expect in case of a highly competitive intensity. That is what I wanted to ask from you regarding BAGIC. And maybe anything you can talk about motor TP price hike related that will also be very useful.

And in terms of BALIC, I just wanted to understand that I think this is possibly the third consecutive quarter that I think the agency channel seems to be degrowing on a year-on-year basis. So just wanted to understand that given that how you have steadily improved on the margins and VNB, growth is better than the top line growth.

So, I think, definitely this does not hint towards a productivity drop in terms of how VNB is generated. So, if you could give us some colour on how the underlying product mix would be on the agency side, keeping this in perspective. So yes, those would be my two questions.

Ramandeep Singh Sahni: I'll first request Tapan to take the first question.

Tapan Singhel: Thank you, Mr. Mukherjee. If you look at our company, I think competition has always been there. Since the introduction of free pricing in 2007, which is now over 17-18 years ago, the combined ratio for the industry has been hovering between 115% to 120%.

So, this is nothing new. In the general insurance business, there's nothing called winner takes it all because even with the largest market share company we got 14%-15% growth, which means that there'll be enough micro segments at all points of time in which you can still look at good business. So competitive intensity, as I mentioned will always be there. If you look at our portfolio in fire for example, we are one of the dominant players in the market in the large space. On TP, for the past 3 to 4 years, there has been no price hike at all. So, –that is what industry has been asking for it, and there would be in our belief some action happening on that. We believe in some time; some details should be there on the price hike. I hope I've been able to answer your question.

Swarnabha Mukherjee: Yes, yes, sir. Just a quick follow-up, if I may.

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Tapan Singhel: Please go ahead.

Swarnabha Mukherjee: Yes. So, sir, at one point of time, Bajaj General is known for their best-in-class operating profitability, combined ratio has been for many years under 100%. But now we are seeing that this number generally creeps up ahead of 100%, maybe 101%, 102%.

So, should we think this as a steady state given how situations are there? I mean offline, I understand that there is an impact of 1/N. But overall, should we expect that maybe this will continue to remain elevated? Or is there any scope that we can go back to less than 100% scenario over the next 2, 3 years?

Tapan Singhel: See as an endeavour for our company, we always seek to maintain a combined ratio close to 100% is what I've always mentioned over time. And that's what it remains, and that is what our endeavour shall always be, because our belief is even the market may be at whatever combined ratio, the discipline for business must be there because good companies with high discipline are the ones which serve customers very well.

And this you can look at data across also, you'll find that companies with a good discipline of doing business, their grievance ratio is among the lowest in the industry. And if you look at our company and you pick up from the time IRDAI is publishing grievance ratio, you'll find that Bajaj despite having such a large customer franchise, with yearly issues close to 4.83 crore policies and being the largest policy issuer in the Indian market in terms of number of customers.

Our grievance ratio has been among the lowest continuously every quarter, every decade. So, this clearly shows that a good company with good discipline serves customers very well. So that is why our endeavour is not to lose sight of running a company well despite how the market behaves.

Now will it be below 100? Will it be over 100? I think that

as the business and things progress,

which will be there. But will always be close to 100. That has been our endeavour, and that is what we keep on pushing for.

Swarnabha Mukherjee: Sir, very helpful. If you could respond to the question on life insurance.

Tarun Chugh: In the H1 call last year, as Raman also clarified that we have very clearly taken a stand that after the surrender value related changes, we were going to take a pause for some time and focus largely on profitability-driven growth. And that is what we have stuck to. And I must say, with the results which are totally as per plan, and you have seen that the margins have gone up and VNB growth has been substantial.

In terms of a specific point on agency, including this year's agency numbers, agency has a 5-year CAGR of 25%. So, it's a healthy growth despite this year, we have particularly taken a pause for a specific reason. Agency did most of the heavy lifting of the changes that we did in terms of cost reduction, in terms of product shift, in terms of a focus on term, including deferment of commissions and span increase at the agency level as well.

This has hence shown very encouraging results and agency's trajectory on profitability is quite good. In terms of specific product mix, we don't really talk about channel-wise product mix. But

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given the fact that on an APE basis, our term mix is at 11% for the company. The ballpark for agency would be far higher than what it used to be in terms of percentage.

The significant shift, particularly in agency is more focused on term plans, remain focused on mid-market India, remain focused on creating more distributors. We expect for agency another 3 months impact on the growth because of this change. And then we should come back to seeing a healthy growth in agency. I've tried to answer more than your question so that I'm sure there will be residual questions on this line.

Swarnabha Mukherjee: Yes sir, you are very clear and in interest of time, I will take follow-ups offline. Thank you so much and all the best sir.

Moderator: Thank you. The next question is from the line of Supratim from Ambit Capital please go ahead.

Supratim: Thanks for the opportunity so my first question is on BALIC. Now we have seen the product mix shift with the share of protection going up by 300 basis points, but the margin delta corresponding to that product mix shift seems to be 400 basis points. Just wanted to understand, is it only product mix driven or as the product structure themselves changed? And what has been this change that has allowed the product level margins also to expand?

That would be my first question. On the motor TP side, I think you already alluded to some extent on this question, but just wanted to get a bit more clarity on this. So, on motor TP, we have seen previously you were conservative but for 1 year now, there is growth that has come back, and the loss ratios there also seem to be better than what we were expecting.

So, what is happening there? And which are the segments where you are seeing this improved profitability and growth potential? If you could give us some colour on this? And whether this trend can sustain into the future, how do you think about that, that would be very helpful.

Ramandeep Singh Sahni: I'll request Tarun to take the first one on BALIC, please.

Tarun Chugh: I think that's a very good question. And I think you're following up quite well on the performance, Supratim. The margin delta is healthy. And I think we're going to be one of the highest deltas in the industry this year. And I think we should expect that to directionally remain positive as we go forward in our growth journey. If you're saying that it could have been more, let me answer that first.

Very clearly, the first quarter is the least productive quarter, as there's fixed cost that sits on it. From that perspective it is

low. The product mix of course, with term coming in, gets to be a very useful piece from a profitability perspective. 30% of our customers in agency now are added through term. We have changed product structures significantly and I'd like to underline that significantly, whether it's ULIPs, or non-par plans as well.

I think that is what is going to aid the further delta in agency as we grow and for the company as well. So largely, I think it's a mix of these. In addition, we've also looked at cost reductions, which is going to help in the margin delta. I hope I've answered your question.

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Supratim: Just one follow-up. Could you let me know what is the rider attachment rate now in this quarter versus what it was last year?

Tarun Chugh: So, we have largely focused significantly on one, the shift to term. The rider attachment is going to be a phased growth, if I may say so. But it is already quite healthy. We were near zero, but now it is at 17% attachment of riders across all businesses.

Ramandeep Singh Sahni: I request Tapan to take the next one on TP growth.

Tapan Singhel: Yes. when you're a large player in a GI business and you're into all lines of businesses, there will be times in which you will move some business up and some business will slow down. So let me take you back. When you say we were doing crop business, I think at that time everybody is saying that crop is something that they would not be doing at that time. And now, everybody has jumped into crop business. And if you see our crop business, it has reduced compared to what it used to be in earlier times.

So, I think lines of businesses would fluctuate based on how we see markets move and how do we strategize ourselves in terms of where we want our position to be. There's no such hard line that it will continuously be the same year-on-year. That is the orchestra that you must play when you're a large player into every line of business. So that is why you will see the shifts happening. Now to give you a precise answer in terms of what in TP we would be doing, that I don't think I would be talking about on the call. But yes, what you have observed is that you have seen our motor TP market share move up. At the same time, as I mentioned to you, you will see our crop market share over time come down. But is it permanent? No, if things change, again, we'll change our strategy of what business we write.

Supratim: Ok fair enough, Thank you.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak please go ahead.

Nischint Chawathe: Thanks for taking my question. Maybe I can go back to Life and the question on essentially the Term business. I'm not sure whether you've convinced us in terms of what could be the reason for the margin expansion basically driven by Term business. And on the face of it, it appears that your Term business margin is probably 2x, 3x of what maybe some of the other peers are reporting.

So just curious, which channels you are selling this product through? And if you could give some colour on ticket size and sum assured over here. I believe you also said that almost one third of the customers acquired through agency are in Term, which means probably this will be a higher ticket policy. So just some more colour on this will be helpful.

Tarun Chugh: Okay. I'm surprised you're not convinced, but anyways, that's for you to figure out. As far as term details you would like, we moved up our average premium for the face-to-face channels, which is very different from online channels at approximately INR 30,000 to INR35,000 depending upon which channel is selling it.

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In terms of which channels are selling, I'd say it is agency and institutional business. We are significant players on aggregators as well. The proprietary sales channel is relatively focusing

more on non-term, but is now starting off a specific term vertical, which is going to be focussed on selling largely Term.

Nischint Chawathe: And is there any increase in ticket size? I mean, I didn't know what the ticket size...

Tarun Chugh: Yes, there is a 9% increase in ticket size.

Nischint Chawathe: Got it and the direct channel primarily focuses on savings is what you said.

Tarun Chugh: Yes. So, they are by itself quite profitable. They focus on our segments that we want to focus on. Their mix of term is still taking some time to pick up, especially as they're making profit on the other pieces.

Nischint Chawathe: Just moving on to BAGIC, in the health side, if you could give us a breakup of loss ratios between group and individual?

Tapan Singhel: No, we don't do that. And I think this question I've answered many times. And I don't get into micro loss ratio declaration because that will give away our business strategies.

Nischint Chawathe: No problem. Just curious, I mean, your loss ratio has gone up, I believe, even despite the fact that, retail business share has gone up. So, is it something that on a like-to-like basis, retail business has become one having a higher loss ratio this year?

Tapan Singhel: That is asking the same question again. When you understand loss ratios, then what I can tell you is look at retail loss ratios across the industry, look at GMC loss ratios, look at government health loss ratios, look at percentage of businesses and then you can figure out broadly why loss ratios would move up and down.

But when your retail businesses move up, then obviously, loss ratios would decrease. That's a

very natural phenomenon to do so. So, these are obvious answers. But if you ask me to give micro details or exact loss ratios, I never do on a call.

Nischint Chawathe: Sure. No problem. Not on the numbers, but I was just looking at the directional colour.

Tapan Singhel: Directionally, obviously, as I said, our endeavour is always to have the best combined ratio over time that we shall continue doing so.

Ramandeep Singh Sahni: To add to that, if you look at our growth in GMC versus retail over the last 12 months, you'll get the answer because like Tapan is explaining, it's a product mix play, which is causing this ambiguity. And as we all know, the more you do retail health, your loss ratios ought to improve.

Nischint Chawathe: Yeah, got it. But as I see it, your loss ratio has probably inched up a little bit year-on-year basis.

That's where actually my question was.

Ramandeep Singh Sahni: So, you should look at the last year growth numbers also because some of the spillover of earnings comes from last year, right?

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Nischint Chawathe: ok got it. Those were my questions and all the best.

Moderator: Thank you. I remind all the participants to press * and 1 to ask the questions. The next question is from the line of Sanketh Godha from Aventus Spark.

Sanketh Godha: Thank you for the opportunity. First question is on BALIC. Basically, so as you said, the second half reversal should happen in the growth because the base naturally will be favourable for you.

So, if that happens, then given last 3 quarters, we have been in single-digit growth zone to negative zone. So how much growth we can expect to play out for the full year in life insurance even given the second half reversal is expected to happen, that's point number one.

And with respect to the growth only, if you can even give a colour on group protection business, which has been a bit of a struggle, just wanted to understand that, too. And lastly, on Life, the margin delta, what you witnessed is almost 4 percentage in the first quarter compared to the previous first quarter.

So is it fair to say that your 14.5% what you exited for the full year, we can experience a similar number to play out for entire year given growth will come back, your restructuring wi

ll play out

and even the term will be improving. So, is it fair to say that you can fairly exit at a similar delta change for the full year number 2? Those are 2 of my questions on BALIC. Maybe one -- I have one on BAGIC, which I will ask afterwards.

Tarun Chugh: Sure, Sanketh. Insightful questions. Thank you for them. The H2 growth, yes, will be significantly comfortable is what I can say. The industry has slowed down. And while our slight degrowth is visible, it actually comes on the base of a very high growth we had last first half.

We grew upwards of 31% and depending on the quarter, 31% to 34% that you could possibly have seen.

So that growth rate, has been impacting our, so to say, growth trajectory as may be visible, and which is why I'm guiding you to look at the 5-year CAGR. As far as H2 is concerned, I expect our growth to be in full bloom. I cannot give a forward-looking statement, as you are aware, Sanketh. So that's where I'd like to say on the growth part, you asked me three questions. I'll come to the other two.

Group protection has been a struggle, yes, largely because the loan disbursals, particularly in the MFI space, which for us is almost like one third of our credit protection business. That degrowth has been substantial for the industry. Now from one third, it's down to about 20% approximately. We expect all lines to now pick up as we see the second half even for group protection. But of course, I must put fingers cross to that because it's directly linked to a sector which we don't control. And if credit uptake does happen, which is expected given the actions of the regulator, inflation movement, interest rate movement downwards, that should assist and we are betting on that and should, of course, help group protection numbers to go up.

Your third question is on the delta. Again, I can't make a forward-looking statement. But yes, you should expect that all the impact that we've taken, particularly the efforts we've taken on cost reduction, on product structures like I answered a previously on Supratim's question that

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we have done not only product mix changes, but even structure changes significantly, distribution payouts and all of that.

The cost reduction has gone well. It's already set in, if I would say. And I think it's already playing out on a quarterly basis. That should help. Term, you did, of course, say that the term mix would go up in the future. I would not really point you in that direction. I think the changes

we've made already are quite significant. As I explained, 30% of agency customers already are Term customers. I think that's a healthy mix.

Beyond that, we do know that term being a risky business, we are very careful. We do not want to be mindlessly growing there. We're very strong. We take care of the quality of lives that we write and the pricing that we follow there. And hence, I think you should expect Term to largely remain in this ballpark and not go up any further. So, I should not give you more hope there. Sanketh Godha: Perfect and maybe two simple questions on BAGIC. Just wanted to understand your outlook on tender-based businesses, maybe in the current year. I know it's a difficult question to answer whether you win the contracts or not. But given it is INR 5,000-odd crores last year for you, whether a similar number can be expected in government tender-based businesses in the current year. It's more from a growth point of view, I'm asking this question. And second, a data keeping one, if you can quantify your capital gains in the quarter, it will be useful.

Tapan Singhel: Okay. So, thank you for the question. It's an interesting question because see, if you look at general insurance business, and I think I've told this many times in the past also, it's a risk business. There are two things that you would never watch in terms of progressive move on that. First is,

if, let's say, certain catastrophes happen, certain huge losses happen, then those times, the loss ratios move up, for some time as well there is a hard market and a soft market, and the market would move on that basis.

Second is on businesses. So, let's say, if you look at tender business. Now what's our endeavour? Our endeavour is always to be at the right price, if we get a tender, good. If we don't get a tender, so be it. We are not somebody who in desperation would do business just for the sake of pushing up top line. Having said that, consistently, we look for sustainable growth over a long time, we have been organically grown company with no acquisition. And we have reached the top three in terms of top line also. But the pressure just for top line, we would quote any price to bring it will not happen. So, whether it will happen or not, depends on how other players look at it. If you look at the crop business, as I mentioned earlier, I see a huge competitive intensity there. The price at which some of the tenders are going, we are not comfortable with that. So, we're perfectly fine to let it be because we have seen, as I said earlier, cycles. It again comes back at the price that we would want.

So, I cannot give an exact answer in terms of how much tender business we shall be getting going forward, but I'll give you an answer that we shall be prudent in our pricing, and we shall keep our philosophy of trying to see that we run the business well. That doesn't change. If it comes in a price range in which we feel it is comfortable for us to run the business and serve the customer well, we should be getting it. Otherwise, if it is not there, it's perfectly fine to let it go for some time.

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Sanketh Godha: Got it, perfect and on the capital gain part.

Anckur Anil Kanwar: So Sanketh, on capital gains, we have booked a capital gain of around INR450 crores coming from both debt and equity. The larger part of the growth is from the debt book.

Sanketh Godha: Got it and Anckur, if you can quantify unrealized portion in our balance sheet now?

Anckur Anil Kanwar: Those are around INR 1,200 crores.

Sanketh Godha: Sorry, come again...

Anckur Anil Kanwar: INR 1,200 crores.

Moderator: Thank you, the next question is from the line of Shobhit Sharma from HDFC Securities.

Shobhit Sharma: Hi, thanks for the opportunity. I have a few questions on BAGIC, then I will move to BALIC.

So firstly, on BAGIC side. Sir, in the combined ratio, if you can help us understand what has led to a significant increase in the net commission and the expense ratio? Secondly, coming to the motor TP side, there is a significant reduction in the loss ratio.

So, can you help us understand what has led to this lower loss ratio? Was there any one-off this quarter? And how should we think on a full year basis for this? And on the crop side, do we expect loss ratio to revert to our historical levels? These are my questions on BAGIC, then I will ask on BALIC.

Tapan Singhel: Okay. So, let's look at crop. The loss ratio will depend on how the weather performs, that is how it is. If the weather was good, then obviously, the loss ratios are lower. If it doesn't perform well, then it goes up. But if you look at an average and the price point at which it is right now, I think to our view, that's below the average losses. From our perspective, I think the tenders at which we had quoted earlier, those price points were comfortable. So, we don't see on an average basis, much movement from what we have had in the past on the crop business.

On the acquisition cost movement, when you acquire a business which is comfortable and profitable, there would be a strain on acquisition costs. And as retail business moves up, you would see that same happening there. And that's why you see a bit of movement. But that would

obviously be because you're trying to acquire more business,

which has a lower loss ratio. And that's why you see a bit of movement there.

On TP, I think you should look at TP loss ratio in a year, it's a long period, not on a quarterly basis. It depends on how the claims get settled, how the results get released. But overall, you should see on a yearly basis, how it moves and not on a quarterly basis.

Shobhit Sharma: Sir, any colour around your motor book, if you can give the mix of the book, whether it is heavy on commercial vehicles, private car, which would be grateful.

Tapan Singhel: Okay. As I said I don't share micro segmentation. But broadly, if you look at the company strategy, we don't exit any line of business completely, and we don't really go for any single line of business, we move all businesses significantly, some we reduce, some we increase. So, in
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motor also, be it 2-wheeler, 4-wheeler, commercial, we would be in that space in a reasonably well-positioned manner.

There would be some variations which will go up and down, which will happen like 2-wheeler initially, we had some resistance because of the Bajaj brand from some of the 2-wheel manufacturer, but that is not there now. So, you see our 2-wheeler business has moved up from that perspective. But that was not because of the intent, but because of the brand resistance in the market.

But, over time, people realize that on the data, everything is secure, and that resistance comes down and our movement has happened in 2-wheeler also. But that is how it would be. But if you broadly look at it, we'll be into all parts of the motor business also.

Ramandeep Singh Sahni: Just to add there, maybe this can answer both your questions. See, the commissions have gone up, like Tapan rightly said, because of our preferred businesses going up. And there also, the -- as you know, on the new business, the commissions are on the higher side because you're paying upfront for 3 years and 5 years. And if you see our new mix, it's improved on 4-wheeler as against the market share of 7.3% last year, we moved to about 8.7%. And on 2-wheeler from about 8.9%, we moved to closer to 12%. So that maybe answers both your questions in some form.

Shobhit Sharma: Thanks, which was helpful. Coming on to BALIC, sir, overall, we have seen a healthy improvement in margins. But sir, can you help us understand the measures which we have taken on the cost rationalization side? And how should we think about it going forward? And secondly, can you please help us understand why there is a drop in the 13- and 49-months persistency? Is it linked to any product or business segment?

Tarun Chugh: First and foremost, yes, on the cost side, the action actually taken has been a 360-degree action, if I can say so. I've talked of commission deferment and reduction. There has been a reduction in variable spends. There has been reduction in fixed costs, particularly the non-productive, if I can say, so non-producing layers of businesses.

We have relooked at processes in head office and looked at how we can re-engineer our processes, and that process is ongoing now that it's done and how we can replugin some of these processes at low cost. We're going to renegotiate it with our vendors. What else would you want to know? I think pretty much all of it is here. A lot of the span increase has been consistent. I think the direction on being focused on cost remains. While at the same time, I must point out that we are present in a large domain in terms of our business, a lot of our business gets done in beyond 100 cities, beyond 200 cities versus what our cohort of competition in the market is because we remain a mid-market player, and that's where we want to stay.

As a result, their, cost productivities, of course, will relatively be higher when you compare with some bank-owned companies. I think that still gives us a good benefit because a lot of these customers are

more relationship oriented than it maybe sometimes in top cities. But we will remain concentrated on our costs.

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Your next question was on the latter cohorts. Yes, there are a few experiments we run, Shobhit, where we are always trying to expand our presence in mid-markets, customer mid-market segment. And some of these experiments at various points in time, if the second premium did not come, those have moved on.

And good thing is now these cohorts are slowly moving to the latter half, and that should move

out of the 61st soon, the way it's going. That said, our 25th-month persistency is up, our 37th-month persistency is up, and our 61st-month persistency is also improving. And all businesses are focused in looking at auto pay as a significant move. Not only are we focusing on the flow, but even on the stock of customers that we must have to ensure that persistency remains at a healthy level.

Shobhit Sharma: ok thanks for this and very all the best.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for the day. I now hand the conference over to Mr. Ajit Kumar for closing comments. Over to you, sir.

Ajit Kumar: Thank you to all the participants for joining the call. Anything else, Ramandeep, sir, you want to add?

Ramandeep Singh Sahni: No, I just realized we shouldn't keep the call so late in the evening. We have less questions this time. No, nothing further to add. Thank you, everybody, for all the questions and making it at this hour.

Moderator: Thank you. On behalf of JM Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Ramandeep Singh Sahni: Thank you, everybody.

Ajit Kumar: Thank you.

Call: Dec 2025

<https://www.aboutbajajfinserv.com/about-us>

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17 November 2025

Dear Sir/Madam,

Sub.: Transcript of Conference Call in respect of financial results for the quarter and half year ended 30 September 2025

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Para A of Part A of Schedule III to the SEBI Listing Regulations

In furtherance to our letter dated 3 November 2025 & 11 November 2025, this is to inform that the transcript of the investors conference call held on Tuesday, 11 November 2025, has been hosted on the website of the Company and is available at <https://www.aboutbajajfinserv.com/investor-relations-quarterly-earnings-conference-call-recording-and-transcripts>. Please find enclosed the aforesaid transcript (pdf) for ease of reference.

We request you to kindly take the same on record.

Thanking you,
FOR BAJAJ FINSERV LIMITED

UMA SHENDE
COMPANY SECRETARY
Email ID: investors@bajajfinserv.in
Encl.: As above

Page 1 of 1 To
Corporate Relations Department.
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"Bajaj Finserv Limited Q2 FY-26 Earnings Conference
Call"

November 11, 2025

MANAGEMENT : MR. S. SREENIVASAN – PRESIDENT INSURANCE AND SPECIAL PROJECTS , BAJAJ FINSERV LIMITED

MR. RAMANDEEP SAHNI – CHIEF FINANCIAL OFFICER , BAJAJ FINSERV LIMITED

MR. TAPAN SINGHEL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , BAJAJ GENERAL INSURANCE LIMITED

MR. TARUN CHUGH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ LIFE INSURANCE LIMITED

MR. AVAIS KARMALI – CHIEF FINANCIAL OFFICER , BAJAJ GENERAL INSURANCE LIMITED

MR. VIPIN BANSAL – CHIEF FINANCIAL OFFICER , BAJAJ LIFE INSURANCE LIMITED

MR. ASHISH PANCHAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ FINSERV DIRECT LIMITED

MR. DEVANG MODY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ FINSERV HEALTH LIMITED

MR. GANESH MOHAN – MANAGING DIRECTOR, BAJAJ FINSERV ASSET MANAGEMENT LIMITED

MODERATOR : MR. RAGHVESH – JM FINANCIALS

Bajaj Finserv Limited
November 11, 2025

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Moderator : Ladies and gentlemen, good day, and welcome to Bajaj Finserv Limited Q2 FY '26 Analyst Conference Call hosted by JM Financial Limited.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '**' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghvesh from JM Financial. Thank you, and over to you, sir.

Raghvesh : Thank you, Neerav. Good evening, everyone, and welcome to the Q2 FY '26 Earnings Conference Call of Bajaj Finserv Limited.

First, I would like to thank the Management of Bajaj Finserv for giving us the opportunity to host this call. As always, we will have opening comments from the Management Team , post which we will open the floor for Q&A.

From the Management side today, we have Mr. S. Sreenivasan – President Insurance and Special Projects, Bajaj Finserv Limited ; Mr. Ramandeep Sahni – CFO, Bajaj Finserv Limited; Mr. Tapan Singhel – MD and CEO , Bajaj General Insurance Limited ; Mr. Tarun Chugh – MD and CEO, Bajaj Life Insurance Limited, Mr. Avais Karmali – CFO, Bajaj General Insurance Limited ; Mr. Vipin Bansal – CFO, Bajaj Life Insurance Limited ; Mr. Ashish Panchal – MD and CEO, Bajaj Finserv Direct Limited; Mr. Devang Mody – MD and CEO, Bajaj Finserv Health Limited; and Mr. Ganesh Mohan – MD, Bajaj Finserv Asset Management Limited.

With that, I would like to hand over the floor to Ramandeep sir for his opening comments. Thank you, and over to you, sir.

Ramandeep Sahni: Good evening, everybody. We welcome everybody to the conference call to discuss the results of Bajaj Finserv Limited, (BFS) for Quarter 2 FY'26. As before, in this call, we will largely be concentrating on the consolidated results of BFS, the results of our insurance operations through Bajaj General Insurance Limited , Bajaj Life Insurance Limited , our emerging companies, which include Bajaj Finserv Health, Bajaj Finserv Direct and Bajaj Finserv Asset Management Company, and lastly, where material, the stand -alone results of Bajaj Finserv.

Bajaj Finance - BFL, and Bajaj Housing Finance - BHFL, other major subsidiaries of ours have already had their conference calls, and hence, we would pursue only very high -level questions on these 2 entities.

To start with a few hygiene points . As a word of caution, we affirm that any statements that may look forward -looking statements are just estimates and do not constitute an assurance or indication of any future performance result.

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Let me also give you an update on the basis of accounting across our companies :

As required by regulation, BFS prepares its financials in compliance with the Indian Accounting Standards, (IndAS). However, the insurance companies are not covered under IndAS currently. Hence, they have prepared IndAS financials only for the purpose of consolidation with BFS . Accordingly, for Bajaj General and Bajaj Life, stand -alone numbers reported in our deck are based on non -IndAS accounting standards i.e., Indian GAAP as applicable to insurance companies today.

We also confirm that our results, the press release accompanying the results , and our investor deck have been uploaded on our website within half an hour of our results.

Now to just give an update on our joint venture with Allianz :

I am happy to confirm that necessary approvals for the acquisition have been received, namely from CCI, IRDAI . also, the approval for name changes of the 2 companies have been received from ROC. Post these approvals, the names of our 2 insurance companies have now been changed to Bajaj General Insurance Limite

d and Bajaj Life Insurance Limited. We are now preparing to conclude the acquisition of Allianz's stake in our insurance companies in the ne xt few months.

Now , let me give you a high -level update on the consolidated financial results for Quarter 2 , which have been put up in our press release issued earlier today. The consolidated total income grew by 11% to about INR 37,400 crores versus about INR 33,700 crores for the same quarter last year . Our consolidated profit after tax grew by 8% to INR 2,244 crores up from INR 2,087 crores for the same quarter last year .. As we know, this gets a little vitiated by the MTM gains and losses from the insurance subsidiaries, and hence, excluding the MTM movement of the insurance companies, if you look at the profit growth, as compared to the reported growth of 8%, the growth would be a healthy 12%.

Let me now deep dive and give you further texture on the performance of each of our companies :

To start with Bajaj General :

As we know, effective 1st October '24, as was mandated by IRDAI, premium on long -term products was to be accounted on 1/n basis where 'n' is the contract duration. Hence, the Quarter 2 FY '26 numbers are not comparable with prior years.

The change in accounting, however, has no material bearing on the underwriting profits and profit after tax, but impacts the gross written premium and the combined ratio for the period.

The gross written period for Quarter 2 for Bajaj General increased by 9% to INR 6,413 crores versus INR 5,871 crores for the same period last year. However, excluding the 1/n impact, the growth was a healthy 13.6%. In terms of GDPI, the growth was 9.3% and against the market growth of only 1.8%.

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We also disclosed our numbers of GDPI, excluding the bulky tender -driven businesses, and if you look at the growth of our company, excluding these bulky businesses, which is crop and government health, and excluding the impact of 1/n, the growth is healthy 18% as against the industry growth of 13.4%.

This represents a very good ~5% delta above the market in terms of GWP growth. The GWP growth is largely contributed by the profitable commercial lines, which include Fire, Marine, Engineering and Liability and also the Motor and Miscellaneous lines of business.

Moving to the underwriting loss es - The same stood at INR 92 crores for the quarter as against INR 48 crores reported for the same period last year. The reported combined ratio stood at 102.3% as against 101.4% for the same quarter last year. Excluding the impact of 1/n regulation, the combi ned ratio for the quarter stood at 101.4%, flat compared to the same period last year.

Underwriting losses, are a little on the higher side, impacted by higher acquisition costs with a focus on writing preferred lines of business. While higher than 100%, we believe that the combined ratio for Bajaj General will still be amongst the lowest in the multiline market wi th the ROE reasonably above 20%, excluding the surplus capital.

The p rofit after tax for the quarter stood at INR 517 crores as against INR 494 crores last year, an increase of 5%, impacted slightly by the higher acquisition cost during the quarter with the focus on preferred business segments.

The AUM for the period ended 30th September '25 stood at almost INR 35,000 crores versus close to INR 32,000 crores for the same period last year.

In summary :

In a market which is intensely price competitive, Bajaj General has once again been able to outperform the market both on top line and bottom line. This operating result, we believe displa ys Bajaj General's commitment to a balance d and profitable growth on the back of a deep and a broad distribution along with prudent underwriting , while focusing on best -in-class customer service.

I will now move to Bajaj Life :

Bajaj Life 2.0 was initiated in the second half of last year with

focus on sustainable and profitable

growth. We believe that the outcomes in Quarter 2 are as expected, with top-line flattish, and VNB growth and NBM margin expansion in line with our plan, backed by changes in product structures and cost optimization. The impact of change in strategy is now reflected for the third quarter in a row, and Bajaj Life registered highest ever reported VNB and NBM numbers for the quarter and for the half year.

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During the current quarter, the company's profitability was impacted by changes in the GST regulations, applicable to all the Retail Life insurance products, particularly due to the loss of input tax credit.

The VNB for Quarter 2 is reported at INR 367 crores as against INR 245 crores for the same period last year, a significant 50% increase against last year. The new business margins were up at 17.1% for the quarter as against 10.8% reported for the same quarter last year. Retail protection grew at 71% with 8% contribution to the overall retail weighted received premium, and the group protection grew 23%.

On the back of continued strong renewal premium growth of 30%, Bajaj Life's GWP grew 28% during the quarter. There was some persistency dips observed across some cohorts, which is in line with the industry and is being worked upon by Bajaj Life.

On overall retail weighted received premium, while the growth was flattish in line with our plan, the product mix for Quarter 2 was well balanced and stood at par with 21%, non-par savings at 20%, term at 8%, annuity at 9% and ULIPs at 43%. Bajaj Life has been increasing its focus on retail protection, which I indicated earlier, has grown at 71% to INR 144 crores for the quarter versus INR 84 crores of premium for the same quarter last year.

The profit after tax for the quarter stood at INR 13 crores as against INR 148 crores for the same period last year. It was largely on account of GST impact to the tune of INR 112 crores. Bajaj Life ended the quarter with an AUM of INR 1,32,060 crores.

Overall, the quarter for Bajaj Life is in line with the expectation and on the right trajectory of sustainable and profitable growth.

Finally, both the insurance companies are financially amongst the most solvent in the industry, Bajaj Life at 346% solvency, Bajaj General at 339%. Hence, we are well poised to weather any external adversity.

With respect to the two insurance companies, we welcome the government's landmark GST reform, aimed at making life and health insurance affordable and accessible. We have ensured that the full benefit of the GST exemptions is passed on to the customers. While the withdrawal of input tax credit may create short-term pressure, we are confident of managing this in the next couple of quarters.

We also believe that the GST exemption on retail life and health insurance premium is a tailwind for the industry in the medium to long term, as it makes insurance more affordable and accessible to all.

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We would also like to reiterate that insurance is a long-term business, and we remain steadfast in our commitment to drive profitable growth, create sustainable value, and always prioritize our interest of the policyholders.

Let me now move to the Lending businesses, BFL and BHFL :

For Bajaj Finance, a good quarter on volumes, AUM, OPEX and profitability. Number of new loans booked in the quarter was at about 1.2 crores as against 0.97 crores for the same period last year, showing a growth of 26%. The company's diversified business model has enabled it to record a strong AUM growth of 24% at INR 4,62,000 crores as against INR 3,74,000 crores for same period last year.

Net total income grew by 20% to about INR 13,170 crores as against INR 10,946 crores for the same period last year. Profit after tax grew at a healthy 23% during the quarter,

up to INR 4,948

crores from INR 4,014 crores. OPEX to net total income improved to 32.6% as against 33.2% in the previous year, with green shoots of AI initiatives now visible.

The net losses and provisions for the quarter were up 19%, and the credit costs remained elevated, largely due to the 2 & 3-wheeler segment and the MSME business. However, the company has cut about 25% of its unsecured MSME volumes, and thus the AUM growth for

MSME lending will be close to about only 12% to 13% for the full year '26.

In terms of our gross and net NPAs, they stood at 1.24% and 0.6%, respectively, for the quarter ended 30th September as against 1.06% and 0.46% for the same period last year. The capital adequacy remained strong at 21.22%.

Moving to Bajaj Housing Finance :

A stable quarter with AUM growth of 24% despite heightened competitive intensity and higher portfolio attrition. Growth was very well distributed across all the business segments. Home loans AUM grew by 19%, loan against property by 29%, lease rental discounting by 35% and developer finance by 25%. Net interest income grew 22% to about INR 1,097 crores as against INR 897 crores for the same period last year.

Operating efficiencies continued in terms of OPEX to net total income improvement at healthy 19.6% as against 20.5% for the same period last year. Healthy asset quality was maintained with gross and net NPA standing at 0.26% and 0.12% for quarter ended 30th September as against 0.29% and 0.12% for the same period last year. Profit after tax grew at a healthy 18% to INR 643 crores. Capital adequacy was at a healthy 26.12% for the period ended 30th September.

In summary, another very strong quarter for both our lending companies, Bajaj Finance and Bajaj Housing Finance Limited.

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Now, let me give you an update on our emerging companies :

Bajaj Finserv Health Limited - In Quarter 2, Bajaj Finserv Health did about 6.2 million health transactions versus about 2.4 million transactions for the same period last year, which were accelerated significantly through a few large government contracts and commencement of OPD business with few insurers.

Bajaj Finserv Health continued its expansion of provider network, which includes about 133,000 doctors, about 5,700 lab touch points and about 16,000 hospital tie-ups. Utilizing this network strength and its tech platform, Bajaj Health is able to offer integrated OPD, IPD and wellness experience to both retail as well as corporate customers, which is a unique proposition in the market today. During the quarter, the revenue from operations have grown at a healthy 22%.

Bajaj Markets - During the quarter, the BFSI lending disbursements by Bajaj Markets stood at about INR 1,549 crores as against INR 1,210 crores in Quarter 1 of FY '26. The company ended the quarter with a total unique partner count of 101.

The top line for the company, however, has registered a planned de-growth from INR 164 crores last year same period to about INR 90 crores for the quarter this year, which is attributable to decrease in loans and transacting customers during the quarter. The de-growth was planned for, due to a system migration for frontline sales and the company is now migrating to SFDC as a tool for managing CRM for the frontline sales.

There has been no capital infusion in the company since March '22, showing capital efficiency of the company.

On Bajaj Finserv Asset Management Company Limited, the Company continued its good run recording an AUM of INR 28,815 crores as of 30th September 25 moving to the 25th position amongst the 47 mutual fund companies in India, in terms of AUM.

And as of date, the company has already crossed an AUM of INR 30,000 crores. The AUM grew by 15% from the immediately preceding quarter and 77% from the same period last year. We believe that Bajaj Finserv AMC is the fastest

to cross the INR 30,000 crore mark in less than 2

full years of operations. The equity mix for the AMC companies stood at a healthy 52% and the non-group share of AUM constitutes about 86% of the total AUM.

That's from my side on the performance updates. Before we open for questions, considering the paucity of time, I would request the audience to keep their questions brief, so that we can cover more queries during the call.

With this, I invite questions from the audience.

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Moderator: Thank you very much. We will now begin with the question-and-answer session. Anyone who wishes to ask the question may press * and 1 on touchtone telephone, if you wish to remove from the question queue you may press * and 2. Participants are requested to use handset while asking the question. Ladies and gentlemen, we will wait for the moment till the question queue assembles.

First question is from the line of Mahek from Emkay Global. Please go ahead.

Mahek: Thank you for the opportunity. My 1st question is on Bajaj Life. So, just wanted to understand

the breakup of this 140-bps impact on the NBM margin, which is on account of the GST. So, if you could just help us with the breakup between the renewal and the business done after 22nd September.

And secondly, how do you look to mitigate the impact of GST ITC losses? Will you kind of revise these distributor commissions or how do you plan to mitigate this impact? These are the 2 questions.

Tarun Chugh: So, I will transfer the quantitative bit for Vipin to handle, and then maybe I will come with a qualitative one.

Vipin Bansal: Yes, on H1 basis, the impact on NBM is 140 bps on account of GST. 50 bps of this impact is from the back book. That is for the business that was written from April ,25 to 21st of September ,25 because on the renewal commissions that we will pay in future, we will not get ITC credit. So, that's 50 bps out of 140 bps, rest 90 bps is for the business that was written from 22nd September to 30th September ,25

Now while I call this out, it is important to note that the business mix that was issued from 22nd September to 30th September was skewed towards non -ULIP, because we had given an option to the customer that you could decide to have your policy issued immediately or wait for GST exemption to kick in.

And in the case of most non -ULIP customers, we chose to get it issued after 22nd September, 25 which was logical , because it was becoming GST exempt. So, hence, the 90 bps that we are talking about is only reflected for that 9-day period, and that has a skew of, like I said, non-ULIP mix. If I was to annualize this, that's the mix that we typically operate. And if we were to do nothing on ITC or the GST as you were saying, the impact should be about 450 bps.

Mahek Shah: Yes. Perfect. And secondly, on how would you look to mitigate this volume impact ?

Tarun Chugh: Yes. So, Mahek, some actions we have already taken , and I must say that quite successfully. A lot of this has been in terms of product structures and product mixes. And that is something we shall keep working on for the next 2 quarters. We are also in discussion with distribution on how

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to take this burden of GST, which overall, I think, other than the ITC part, the rest of the GST has already helped in growth.

The tailwinds are sitting, and it's quite obvious that customers are seeing prices are down. So, we are now working with distribution and not just us , but the sector together on how we can share this ITC burden with our distributors, our vendors , and of course, how we can ourselves bury it down. We expect another 2 quarters for settling this entire process and taking all measures that we are intending to take.

I guess by the end of that, we should be firmly placed.

Mahek Shah: Got it. sir. Thank you so m

uch. That's it from my side.

Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Sir, if I negate the impact of, say, 140 bps of the NBM, then you almost reported maybe closer to more than 16% margin for 1H FY '26 compared to 9.2% what you reported last year. So, in the presentation, you mentioned that it is product mix, cost rationalization, and better product margins.

So, if I want to break down this 7 % delta improvement in the margin, if you can give a bit of color how much was led by product mix, cost optimization, and maybe better margin profile of the products basically. Just to understand a bit more whether this is sustainable or not? That's my first question.

And second, on Bajaj Life , you will enter into a favorable base now in second half. So, can we expect growth to come back in te ens for you in second half or the disruptions with respect to GST, renegotiating commissions will have its own bearing and therefore growth for the full year can be still pretty muted or might be a little difficult even in the second half. So, these are the 2 questions I have on Bajaj Life .

Vipin Bansal : Yes. So, Sanketh, let me pick up broadly the walk of the margin that you spoke about. So, look, we have mentioned in the past, the cost optimization that we were doing is giving us anything between 100 and 125 bps of margin expansion. So, that's with respect to costs.

If I had to give you a broad breakup on the mix, I think anything about 400 bps is coming out of the mix, rest is coming out of product repricing , and then there will be obviously some compensating items , because like everybody else, our credit protection business continues to see intensive competitive pricing pressure, and there we are seeing some margin compressions.

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So, our volumes are little low. So, cost absorption is making an impact there. But broadly if cost would be about 100 bps-125 bps, product mix would be about 400 bps. That's broadly I could talk to you about 500 - 525 bps. I think the rest will be multiple line items there.

Sanketh Godha: Understood. And from the full year point of view, you think we will have this delta of 500 to 700 basis points net of earnings, not factoring the GST negative impact, will we hold up? Or if I take an annualized impact of 450 basis points on the margin. Is it fair to say that we will end up at a high teen-teen margin for the full year?

Vipin Bansal:

So, let me break that into 2 parts. First, like Raman said, look, we started this journey in second half of last year and March was the first full quarter that this entire change of Bajaj Life 2.0 became visible. Now March quarter was 4% margin expansion. June was 4.2%. This quarter, depending on whether you look gross or net of GST, we are upwards of 5.5%. Having run that for 3 quarters, it does give us confidence that the journey that we took on margin expansion, we are on track.

Now I think at this point of time, I would not want to hazard a guess whether it will be 4%, 6% or 7% margin expansion. But I think we are looking at a significant consistent margin expansion. And I think that strategy is working well for us. And I mean, to call out, it is not only margin, absolute VNB rupee value is also growing. So, that gives us a lot of confidence that our strategy is working.

Now having said that, like Tarun also mentioned, I think probably 2 quarters, we will have this noise or impact of GST. It's a transient impact. We do believe that over the next 2 quarters, we should be able to mitigate most of it.

So, I don't know if I could answer your question on a full year basis for this year, because there will be noise around H2, but had that not been there, I think our confidence level in terms of margins that we have been saying would

have definitely happened and we could have seen a margin expansion in the range of 4% to 6%

Sanketh Godha: Understood. second question, which I asked, is on the growth.

Tarun Chugh: Yes. So, I will just step in on that Sanketh. Yes, you have got it right. The studied strategy that we had on a flatish 4 quarters is over, and that ended September '25. And here on, you should see a trajectory on growth. I would, at this point, not hazard a guess, that it would be above the industry, but I wouldn't be surprised if it is.

And I think this is supported by the fact that the GST impact in terms of the tailwind that it's giving, will also be a significant part. We have already seen growth coming in the proprietary

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sales channel, in the bancassurance side. Agency, of course, some legs are still not steady, but bulk is under control.

And we expect that, this is unfolding and more will be visible now in this coming quarter. Base effect, notwithstanding. It will still be a favorably good quarter I assume in terms of the top line.

So, no worries on that count.

Sanketh Godha: Understood. Thanks for the answer. Now just on Bajaj General, a couple of small questions.

See, when I look at Motor business, there seems to be a significant divergence when it comes to OD growth and the TP growth. Maybe just wanted to understand this divergence will continue or how it will play out?

And related to that, given the TP growth is very strong, low-price hike, and this loss ratio, what you are reporting around 59% in TP is really sustainable or not is the question I had on Motor.

And second thing is that the Group Health PA and Retail Health growth being muted in first half with 1/n accounting settling in second half, can we expect the growth to grow back to nine teens to 20s in 2H?

Tapan Singhel: Thank you for the question. I think first and foremost, if you have seen our philosophy for a long period of time, it's very simple. We try to maintain our market share in all lines of businesses and pick up good risk and serve the customer very well. I think it's a very simple philosophy that we follow, which we have been doing for so many years.

So, the question on TP, if you look at our TP market share it had become lower than what our OD market share was. So, if you currently see and that's why you see this difference, we are trying to get that to be where it should be, so that in a way, brings us to a place where it is.

On the price hike of TP, for quite many years it did not happen, which means that our belief is that it should happen very soon. Now how soon will that be, that we can't tell because the government decides that. But because that has been overdue for quite some time, it should happen soon. And that is why our belief is that this would play out well.

On the Group Health and the PA perspective, if the market does not give an opportunity to pick up risk at our price, which we feel is right, so that it will serve the customer well, then we don't do that and which is how it is. When we see that opportunity, we do that.

So, to tell that whether in the next half, we will pick it up or not pick it up. It will all depend on the market and the pricing that we are comfortable with. The moment it reaches a range, where we are comfortable with, then you see that we pick up the business which is there. So, that has been a consistent philosophy for many years, and we continue doing so. Thank you for the question.

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Ramandeep Sahni: Sanketh, I will just add to Tapan's point. I will just give an indication on where is the TP growth coming from, and that also takes us to the point which I am sure somebody will ask in the due course, on the higher acquisition cost.

So, if you look at our 2-wheeler new market share, as you recall, few years back, it used to be

ed to be

3% levels, we had moved it up to about 8% to 9% levels. For the quarter, it's hovering around 13.5% to 14% levels. And because we end up paying commissions upfront for 5 years, that's why the acquisition cost has moved up. And this also leads to your point on TP growth being higher.

As we know in 2-wheeler, the proportion of TP is much higher, and that's why you are seeing TP growth also higher. So, there are some segments which will know deliver profits and hence, the focus is there. But like Tapan said, while our endeavor is to grow TP market share, where we were lagging, but we will also have to see how we manage the profitability on that front.

Also, on the point you made on health, see, there are 2 elements. One is you spoke about the group health, Tapan answered the GMC piece. The other point which you said is true that from the base now, the 1/n impact will get neutralized to some extent, so that we should start seeing some benefit of that in the reported numbers. However, anyways, we have been reporting growth, excluding 1/n. So, anyways, we have been transparent on that.

To the other point on Retail Health also if you see, while our growth is looking muted, but that's also because of long-term business, while I think we reported muted growth of less than 1% for the quarter in Retail Health business. But if I exclude the impact of 1/n, the growth is actually 11% for the quarter. And in fact, if I see the growth for the month of October, it's about 15%.

So, that's how the numbers are shaping up.

Sanketh Godha: Thank you, everyone. This is very useful. It clarifies my questions. Thank you very much.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Thank you for taking my question. First, congratulations on a very strong result in Bajaj Life, so we are seeing a very sharp increase in margins and GNP. And also, my question was more related towards the product mix. So, I think you have been able to change the product mix very successfully towards a higher protection. Even on a quarter-on-quarter basis, retail protection has grown very strongly, and along with non-par and annuity also, which operate at a higher margin, there also we are seeing a good pickup.

So, I wanted to understand what is driving it? And how sustainable in your opinion is this growth in protection? I am guessing there is also a tailwind on GST, some comments around whether this has continued in October? And how would you see this in the second half, will this be helpful

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for us to sort of judge what the margins can be for FY '26, given the hit of ITCs?. So, yes, some comments around that would be helpful. Thanks.

Tarun Chugh: So, Madhukar, I will attempt to answer that. If you feel that I haven't answered perfectly, please append it. Thanks for acknowledging the fact that we have been able to get the desired product mix. This is exactly what we told you a year back that the results have been a little better than what we expected, honestly, exactly as you are also kind of commenting. But more and more, we have seen that we have still got significant room to move on the protection side.

And well, the story is still consistently there. For example, I will just throw some data points. 33% of our customers are getting onboarded as protection customers. 17% of our customers in addition to this are getting added on some rider or the other. So, very clearly, 50% of the customer base has some element of protection easily in it. We did see an opportunity, and we did find an innovation opportunity on the annuity side, which was vacant, and we were the first ones to make the move.

In fact, if I might so claim that on annuities too, we were the first one with the deferred annuities a few years back. And now we will be moving

ng on the maybe short-term pay annuities, which has worked well, particularly in the 50 to 70 age band. Additionally, high sum assured ULIPs

account for about 8 –10% of our overall product mix . So, the ULIP part has also moved. All of this was kind promised to all our stakeholders last year. There is more innovation in term as well, which we have done, which may be as it succeed s, we shall disclose. This is already showing the good green shoots, and we consistently got th e experiment s working on term, which is a different approach.

I think we have been presently surprised and are more bullish about direction in which term plans can go. And as you work on Excel sheet, your second leg of your question, yes, we will be holding this product mix broadly in the medium term. So, again, we don't have any worries on this.

As last year, we had moved to BALIC 2.0, there were significant steps we took, not just in product mix and product structures , but also on cost optimization. So, finally, over cost optimization there is still room in that direction also. And you will see that in the next 18 months, more and more of that happening. So, yes, the direction is positive.

Have I answered your question, Madhukar, you believe?

Madhukar Ladha: Yes, most of it. Just on protection , in the first half, I think the growth is like almost 70% year -over-year. Some sense on what is driving it. Do you think it is initial GST reduction, and it would sort of come off after some time? Or is there something more to it?

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Tarun Chugh: In terms of growth , Madhukar year -on-year is a difficult one , because the base has already gone up. I think it's more to do with every channel basically picking it up significantly.

On the GST impact, if any, the whole sector will still get the benefit of that for the future. We have been working on our underwriting, analytics. I had talked about our analytics a few times earlier, a profiling of customers, pre -profiling, democratizing it more in business channels, and I do see some headroom even more available there.

The way we work our term strategy, like we do any other strategy is ground -up, segmented and not just one fit all. I think that's been working.

Our processes with AI at the back end and digitization has worked out quite well. And like I said, we will talk about more of this as the experiments go ahead. I think Vipin wants to say something.

Vipin Bansal: So, Madhukar, I think 2 things here. If you look at the 70% outgrowth that you are talking about, I will just draw your attention to looking at this data for last 18 to 24 months. And this retail protection growth has been largely consistent. I think that's point number one. So, it's not that it's just came this quarter or this H1. It's been consistent for last 18 to 24 months, Point number 2, to what Tarun alluded, I think when we came in and talked about Bajaj Life 2.0 last year similar time, I think these were all conscious efforts thought through with set out actions that we had in our mind. And as we called out earlier, and as I did mention earlier, I think as we were executing this, it was all about what we had planned for and how do we execute them. And I think we have been pretty successful in executing what we had planned for. So, we have said that in medium term, that's in about 2 to 3 years, our term protection share should be 10% odd. And I think we are rightly headed in that direction.

Madhukar Ladha: Great. Congratulations. And all the best. Thanks.

S. Sreenivasan : Madhukar, just to add, I think when you look at the Life business , a very long -term business. And if you look at the history of Bajaj Life , at least over the last 7 to 8 years when we started the transformation, I think 2018 without any external regulatory change or anything, we took a call that we want to reduce ULIP from 72% by taking a

big jump on to the traditional business.

It did result in 1 year of lower growth , because ticket sizes for traditional business were much lower. But I thi nk the team executed very well.

Last 3 years, we have seen several headwinds , we had first the tax on ULIP, then tax on traditional, the surrender charges and now the GST. Now each of these really requires the company to review where it stands. And we have started BALIC 2.0 with a very clear intention that we want to focus on consolidating the growth that we achieved in BALIC 1.0 with a greater focus on profitability.

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And I think at least the results so far this year indicate that Bajaj Life is on the right track. The number of customers is growing. The percentage of customers who are going to be profitable and total mix are growing. We have cut out businesses, which we believe will not give us a profit , at least a small segment of customers who disproportionately contribute to the losses have been avoided. And all this has come through a mix of product and distribution strategies.

As we go forward, I think this will remain the principle of Bajaj Life , and we will continue to

focus on this. There are other headwinds as well. For example, the yields coming off has taken a bit of a hit on the Non par Guaranteed business, because they are no more attractive as they were till about 1.5 years back. So, these things cyclically will play out.

The key question is how nimble we are in adapting to change. Group protection is another area showing strong growth of 23%. Over the past two years, performance was volatile and patchy due to its dependence on bank and NBFC lending. However, it has now started picking up steadily.

Our smaller banks, which we tied over the last few years are growing significantly well, which is also adding to margins. So, I think overall, when I look at it in long term, the company is positioning itself in the right manner in terms of product mix and the distribution mix.

Madhukar Ladha: Great, sir. Thank you, all the best.

Moderator: Thank you. Next question is from the line of Nidhesh Jain from Investec India. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. First question is on listing of Life Insurance and General Insurance business. Any plans to list these companies separately, given that in the past, we have heard that there is a regulatory push also to list larger life insurance and general insurance companies. And in the last deal also, your promoter group has taken a stake in these companies. So, any plans to simplify the structure or list these companies in the medium term?

S. Sreenivasan: I will take that. I think at the moment, our focus is on completing the acquisition, while we have changed the brand and effectively are in control now, the transaction is not complete yet. It will get done over the next few months, at least a substantial portion of that will get concluded. That is the first step.

We are also with a new brand in place over the next 1 year. We have to be very watchful in both the companies, in terms of retaining the business and ensuring that we continue to grow and establish the Bajaj brand in a more formal way, not that it is not known, but it is a change of brand for the company.

After that, we will have to review. It is something I don't think in the next 2, 3 years, we are seeing anything. We have other developments in the industry. We have IndAS coming up. We Bajaj Finserv Limited

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have RBC coming up, and then IRDAI is making progress on that with successive interactions with the companies.

I think for the next 2 to 3 years, they will all play out. They have a big impact on the way numbers are reported, how the profitability is measured. And it could have some tailwinds as well, at least our preliminary look at it, seems to indicate

there are some positives, especially for companies, which have significant solvency.

Therefore, we are positioning ourselves. But once that plays out, we will review it. We do have excess capital in both the companies. In the case of Life, we are consuming it. And hopefully, we are consuming it very well for the right products and the right growth.

In the case of non-life, we are generating capital. And so, we will review that. I think the Boards of the company will review at the appropriate time. But if you ask me next 2 to 3 years because of all these external developments, we also have the insurance bill, which may come up any time, which has the changes in the Insurance Act with 100% FDI, potentially composite licenses, ecosystems, many things.

So, all these have an impact on how you look at your long-term strategy. And therefore, we will wait for all these to play out before we take a view on what to do with this.

Nidhesh Jain: Sure. Sir, second question is on Bajaj General Insurance, in the past, we have been operating at below 100% combined. But in the last couple of years, the combined ratio has been consistently above 100%. So, what are the reasons for that? And how do you see possibility of combined ratio below 100% over medium term?

Tapan Singhel: So, the point to be seen here is if you look at the industry combined ratio, it has been over 115% between 115% and 120%. So, Bajaj General has been beating the industry combined ratio by full 15 percentage points, and consistently for so many years. So, even now when you see the delta in combined ratio, and Raman mentioned that in his opening speech, 1/n also pushes it up by at least a 1% point, which is up there.

And secondly, when you acquire businesses, which has acquisition costs being paid upfront, the accounting puts it like that. And that's why Sreeni was alluding to, if you look at the accounting system, which is internationally followed, the combined would be much below 100%, it is there.

So, when you are growing those lines of businesses, the expense moves up, because you are paying it upfront, and you account for it upfront. And also 1/n is also playing a bit of role in that.

But broadly, if you see, I think, ambition has been to be close to 100% at all points in time, which we are doing. But what you should be appreciative about is that this is one company which consistently for decades now, has been outperforming industry by full 15% to 20%, full points in combined ratio and still growing the number of customer base, still being like last year also

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pick it up. We have issued the largest number of policies in the industry; nobody has been close to us.

Growing the customer base, capturing market share, moving up the ladder, and maintaining this delta in combined ratio. And I would be very surprised to find more companies which can deliver these kinds of results consistently for such a long period of time. So, that is why it is. So, it's not a question in which you should feel alarmed or something. It is just the way to structure.

And if the new accounting system, which is followed internationally if we look at it, then the combined comes way below 100%, when that comes into play. That's what Sreeni was alluding to when he spoke about what the regulator is looking at, in terms of bringing those accounting system, which is being followed internationally.

S. Sreenivasan: I think, Nidhesh, one more thing you have to notice is that in the long run, any P&L business like General Insurance is an ROE business.

Moderator: Nidhesh, do you have any follow-up question.

Tapan Singhel: What Sreeni is alluding to is that even if we assume a capital requirement of 200 % for solvency (against the actual 150%), and Raman, please correct me if I'm wrong, the ROE for Bajaj General (BAGIC) is currently over 20%. In fact, for the second qu

arter, we are delivering an

ROE of around 24%. This demonstrates the kind of return on equity we are achieving, especially when the industry average ROE is just 3%. The outperformance of Bajaj General compared to the industry is by these significant margins.

Nidhesh Jain: Sure.

Ramandeep Sahni: Nidhesh, one more reason why this is happening, as we indicated earlier that we are writing more and more of longer-term business. So, for example, what I indicated earlier on the 2-wheeler side, years back, my market share on 2-wheeler was only 3%, this quarter, it was 13% .

And having to pay upfront for 5 years of commission, that causes new business strain in the life sense, what we call it. So, that is one reason why the combined ratio is looking elevated

And similarly, even on 4-wheelers, our market share is now hovering above 9%, which used to be close to 7.5% is what I remember 3 years back. So, overall, our long-term businesses are much higher than the industry. That's why in the last few years you have seen this delta.

Nidhesh Jain: Sure, sir. And in the Motor business, I have noticed that motor OD loss ratios have increased to 71%, which is on the higher side versus the historical trend. So, any trend reversal in this business, or just a quarterly blip?

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Ramandeep Sahni: It's just a quarterly blip. This will come down by the year-end is what we believe. With all the actions we are taking, we will come down to normal levels for full year is what I believe.

S. Sreenivasan: I think Nidhesh you know, historically, whenever there is an increase in loss ratios, Bajaj General always puts in place a risk reduction mechanism. We have very 20-year history of being able to come back by looking at segments where we should slow down, where we should get more aggressive and that process will continue. Every time there is a blip, there will be action taken by the company and eventually, but it takes a bit of time because it's a 1-year contract. It may take 3, 6 months for it to play out, but we will continue the journey, and we will continue doing the right thing what we have done in the past.

Tapan Singhel: Let me explain the blip also. See what happens is in the beginning of the year, the OEMs increase their charges for our labor, spare parts. So, this happens like in most of the years, you will see this blip initially happening. And then like Sreeni said, the company keeps on taking corrective actions and then it gets it there.

So, it will be a phenomenon that you will see in our business because, obviously, our claims depend a lot on where it's getting service. If the OEMs increase their labor charges, it increases the spare part price, the claim ratio would move up immediately.

If the hospital increases the charges, that would move up. But then how does the company react to it, and is able to bring it down, while ensuring the customer service is at the highest of order is what the game is. And that is what Sreeni was saying that over decades, we do this. So, this is not, again, to me, a cause of worry.

Nidhesh Jain: Last question is how do you see the GST impact on Motor business loss ratios as well as in the Retail Health Insurance business?

Tapan Singhel: So if you look at now GST has 2 components. One was input tax rate for distribution, which would be there. Second was because of reduction of GST, you saw increase of car sales happen, where obviously the Motor business goes up. Also due to the Retail Health business, that also

moves up. But at same time hospitals also and OEMs also have other benefits in spare parts and all.

Now if they pass it on to customers, as was the expectation by the government, then that would also bring it down. But there, we have to see proof, in terms of how much they really pass on to customers.

So, you will see increase in these lines of

businesses, you would see the impact in losses, if they pass on the benefits they have in terms of, be the spare part cost or be it in terms of the medical equipment cost. So, this is how this is all going to play out overall.

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S. Sreenivasan: But in terms of the impact on like the Life, the impact is only on the Health and PA business on the output tax side. So, proportionate disallowance, because of the variety of product lines, many of which continue to be under GST, the company has enough flexibility to be able to manage it in the long run, temporarily, there may be a bit of blip as these things play out, but we will wait and see.

Nidhesh Jain: Sure, sir. Thank you. That's it from my side.

Moderator: Thank you. Next question is from the line of Mayur from Wealth Managers. Please go ahead.

Mayur Parkeria: Good evening, sir. Thank you for taking my questions. So, again, congratulations to the entire team of Life Insurance. I don't want to sound very poetic, but clearly, within the Bajaj Group, a new star is getting born. We had 2 stars and now the third star also coming up. So, that's a great and heartening thing. And it's not one quarter, it is consistently. We have been watching it over a couple of quarters now. So, a great execution of the strategy, which has been there.

Just on the question side, actually there was a question on this listing and our response to that was also about the regulatory changes, and it will help companies with higher capital adequacy which we have. But in the light that now the profitability engine of the Life Insurance is firmly in place, and the fact that at Bajaj Finserv level, we may have requirements of capital, does it make sense to have a dividend policy and will that lead to some correction in the capital adequacy, how do we see that aspect from a parent perspective? And is there any thought process on that?

S. Sreenivasan: In perspective, I think the 2 insurance companies have been paying dividends since last 2018, if I am not mistaken. And in fact, both of them have more or less paid back more than the capital that the BFS and our ex-partner, Allianz, had invested in these businesses. So, that was already on.

Now as we go forward, this year, obviously, we could not take any dividends, because we are in the midst of a change in shareholding. And obviously, you cannot pay a dividend, because that's not part of the arrangement with Allianz that we will share dividends with them.

But once that is completed, we will review that. There are multiple things in relation, as I mentioned earlier, in terms of RBC, in terms of IndAS, in terms of composite licenses, and the surplus capital and the utilization of those capital.

And for Finserv itself, BFL is a dividend paying company. Bajaj General, Bajaj Life are paying dividends, currently our capital consumers are only our Health business and our AMC. And therefore, it is not significant capital that we need at the moment. So, we are quite comfortable at this stage. We will see once Allianz transaction is over what to do with that capital.

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Mayur Parkeria: Yes. And actually, second question was also in line of the health. We have almost infused more than INR 1,200 crores if I see it right on that number on the health and this side. We are seeing almost INR 30 crores quarterly run roughly losses which are there. When do we see that part turning around? And what would be our milestone in benchmarks over the next 3 years for that business, in terms of profitability or something which we can monitor quantitatively and qualitatively both on that side.

Ramandeep Sahni: Devang, do you want to take that?

Devang Mody: Sure. See, the way we look at the health businesses, our objective is to build a differentiated platform, which takes care of the

requirements of all stakeholders. So, this ecosystem has quite a few stakeholders. Obviously, the consumer who consumes the healthcare is an important stakeholder, but there are insurers, there are providers or hospitals or doctors, which have slightly conflicting priorities.

But there is a value creation possible, globally it's seen and hence it can be done. But our priority at this point of time is to create digital interface and put health data to use for users as well as

payers or insurers and providers.

So, I think 2 things we are focused on as far as profit trajectory is concerned. One, how do we launch more services which balances requirements of all stakeholders? And second, how do we drive volume, which will eventually lead to operating leverage. We are seeing operating leverage play out quarter -on-quarter, but it needs to steepen up, but it will happen with more and more new services getting launched. That is our broad view on the business. Unless if I have not clarified your question, you can ask again.

Mayur Parkeria: So, since I am not asking a quarterly or a yearly but from a milestone over 3 years, do we have anything to look after from a more quantitative aspects, while qualitatively you have highlighted what is at play and how to look at it. Anything quantitative benchmarks which we would have internally in terms of the numbers or over a 3 -year, 4 -year period?

Devang Mody: So, I think we watch 2 North Star metrics, point number one. How many health transactions are we processing? That is the most important North Star metric for us. Second, are we able to create use cases from those transactions insight? Now that is slightly qualitative. But I think that is the 2 most important monitorable for us as a business. And as far as quantitative financial output is concerned, we are very clear in next -to-next financial year, we should break even. So, we will moderate our investment appropriately.

Mayur Parkeria: That is FY '27.

Devang Mody: No, FY '28.

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S. Sreenivasan : We are also now started dealing with Life companies, Sahi companies, and other GI companies selling riders, products, services. So, that's a start we have made, and we want to scale that.

Mayur Parkeria: Okay, great. Sir, I have a slightly short term, just numbers understanding. My financial understanding on insurance is not very great, so pardon me with that. But I just wanted to understand, we have INR 120 crores impact of the GST, which we have taken in the quarter. Is it going to be recurring for 2 quarters, is my understanding right, the number? Or is it because all the impact has been taken. That is one.

And that is the impact which we see on VNB, but will there be an impact on embedded value or anything on the other side? Will there be an impact of that as we go ahead?

Vipin Bansal : Sure. Let me answer both the questions. I think the INR 112 crore number that you are referring to, it is GST impact on PAT. Now you are right, there are 2 elements to it. Like I mentioned in case of NBM, there is an impact of all the policies that were issued until 21st September, because as we keep paying commission on renewals, we would not get the GST credit, right? So, out of INR 112 crores, INR 73 crores is back book as we call, and this is a one -time impact. This is not going to recur.

INR 39 crores is for the business that was written in the last 8, 9 days, and that is recurring. But I will make the same point that I made for NBM, there was a significant product skew in those 8 days towards non-ULIP. So, on an annualized basis, this impact will not be as proportionate. But I think it is important to understand that the number that you are looking at is without taking any action.

And as Tarun mentioned earlier, it's been more than 2 months. So, it's close to 70 days since the GST changes were announced. And

we have already taken a number of steps to mitigate the impact on PAT, VNB and margin.

Coming to EV, we have already reported, there is an impact that has been reported on the EV. It comes to 44 bps of EV. Because our NAV is very high, because we have high net worth as a percentage of this, it is 102 bps. I think that will be more rightful measure if you want to compare our back book impact on EV, compared to anybody else.

Mayur, I think those are 2 questions you were looking for.

Mayur Parkeria: Yes. I think I got the answer. Can I squeeze in one more question with your permission.

Vipin Bansal : Go ahead.

Mayur Parkeria: It's on BALIC itself. So, definitely, we are in the first year of a very significant leg up in our NBMs from closer to 10%, to 12% kind of range to now, even if we exclude the 17%, 18%, 19%

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kind of ranges, and we had these targets of reaching around 20% we could have. So, the question is, yes, it's the early journey. We understand it. It is in sight of us, and we are almost there.

The question was, will we stay in this band for some more time, consolidate and grow the scale and profitability both? Or do we think we will be looking at the further next journey from here on over the next 3 years, more moving in line with where the Tier 1 margins for players are. Will that be the trajectory? Or will we consolidate here first for a couple of quarters a year and then

move up the next leg?

Tarun Chugh: So, Mayur, there is a lot of things you have asked on that. But just to be clear, I think we will take it a step at a time. And yes, there has been a leg up . And I am happy that all of you are acknowledging the significant change. I would not jump ahead of my time, and I would not make too many forward -looking statements yet. And we take it step by step.

And the entire sector is looking at the GST impact. We are working on it. And I guess that sector first has to gobble up that and then maybe talk of times beyond that. And I guess there is going to be another quarter when we will meet , and another quarter after that as well. And we will then be in a better position to respond to this.

Mayur Parkeria: Great. Thank you and wish everybody all the best for the next quarter. Thank you so much.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to Mr. Raghvesh for closing comments.

Raghvesh: Thanks to all the participants for joining the call , and a special thanks to the Management of Bajaj Finserv for giving us the opportunity to host the call. Thank you , everyone .

Ramandeep Sahni : Thank you everybody.

Moderator: Thank you very much. On behalf of JM Financial Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

<https://www.aboutbajajfinserv.com/about-us>

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11 February 2026

Dear Sir/Madam,

Sub.: Transcript of Conference Call in respect of financial results for the quarter and nine months ended 31 December 2025

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Para A of Part A of Schedule III to the SEBI Listing Regulations

In furtherance to our letter dated 23 January 2026, this is to inform that the transcript of the investors conference call held on Thursday, 5 February 2026 at 10: 00 a.m. IST, has been hosted on the website of the Company and is available at <https://www.aboutbajajfinserv.com/investor-relations-quarterly-earnings-conference-call-recording-and-transcripts>. Please find enclosed the aforesaid transcript (pdf) for ease of reference.

We request you to kindly take the same on record.

Thanking you,
FOR BAJAJ FINSERV LIMITED

UMA SHENDE
COMPANY SECRETARY
Email ID: investors@bajajfinserv.in
Encl.: As above

Page 1 of 1 To
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BSE Code: 532978 NSE Code: BAJAJFINSV

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"Bajaj Finserv Limited Q3 FY '26 Analyst Conference Call"

February 05, 2026

MANAGEMENT : MR. S. SREENIVASAN – PRESIDENT , INSURANCE AND SPECIAL PROJECTS , BAJAJ FINSERV LIMITED
MR. RAMANDEEP SINGH SAHNI – CHIEF FINANCIAL OFFICER , BAJAJ FINSERV LIMITED
MR. TAPAN SINGHEL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , BAJAJ GENERAL INSURANCE LIMITED
MR. TARUN CHUGH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ LIFE INSURANCE LIMITED
MR. AVAIS KARMALI – CHIEF FINANCIAL OFFICER , BAJAJ GENERAL INSURANCE LIMITED
MR. VIPIN BANSAL – CHIEF FINANCIAL OFFICER , BAJAJ LIFE INSURANCE LIMITED
MR. ASHISH PANCHAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , BAJAJ FINSERV DIRECT LIMITED
MR. GANESH MOHAN – MANAGING DIRECTOR , BAJAJ FINSERV ASSET MANAGEMENT LIMITED
MODERATOR : MR. RAGHVESH – JM FINANCIAL

Bajaj Finserv Limited
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Moderator : Ladies and gentlemen , good day, and welcome to Bajaj Finserv Limited Q3 FY '26 Analyst Conference Call hosted by JM Financial.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghvesh. Thank you, and over to you, Mr. Raghvesh.

Raghvesh: Thank you, Renju. Good morning, everyone, and welcome to the Q3 FY '26 Earnings Conference Call of Bajaj Finserv Limited.

First, I would like to thank the management of Bajaj Finserv for giving us the opportunity to host this call. As always, we will have opening comments from the management team, post which we will open the floor for Q&A.

From the Management side today, we have Mr. S. Sreenivasan – President Insurance and Special Projects, Bajaj Finserv Limited; Mr. Ramandeep Singh Sahni – CFO, Bajaj Finserv Limited; Mr. Tapan Singhel – MD and CEO, Bajaj General Insurance Limited; Mr. Tarun Chugh – MD and CEO, Bajaj Life Insurance Limited , Mr. Avais Karmali – CFO, Bajaj General Insurance Limited; Mr. Vipin Bansal – CFO, Bajaj Life Insurance Limited ; Mr. Ashish Panchal – MD and CEO, Bajaj Finserv Direct Limited ; Mr. Devang Mody – MD and CEO, Bajaj Finserv Health Limited ; and Mr. Ganesh Mohan – MD, Bajaj Finserv Asset Management Limited.

With this, I would hand over the floor to Ramandeep sir for his opening comments. Thanks, and over to you, sir.

Ramandeep Singh Sahni: Thank you. Good morning, everybody. We welcome you to the conference call to discuss the results of Bajaj Finserv Limited, BFS, for Quarter 3 FY '26.

As before, in this call, we will largely be concentrating on the consolidated results of BFS, the results of our insurance operations through Bajaj General Insurance Limited and Bajaj Life Insurance Limited, our emerging companies which include Bajaj Finserv Health Limited , Bajaj Finserv Direct Limited , and Bajaj Finserv Asset Management Limited . And lastly, where material, the standalone results of BFS.

Bajaj Finance Limited , BFL, and Bajaj Housing Finance Limited , BHFL, other major subsidiaries of ours, have already had their conference calls, and hence we would pursue only very high-level questions on BFL and BHFL.

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To start with a few hygiene points as a word of caution, we affirm that any statements that may look forward-looking statements are just estimates and do not constitute an assurance or indication of any future performance result.

Let me also give you an update on the basis of accounting which we follow across the group : As required by the regulations, Bajaj Finserv prepares its financials in compliance with Indian Accounting Standards, (Ind AS). However, the insurance companies, are not covered under Ind AS currently . Hence, they prepare Ind AS financials only for the purpose of consolidation with BFS. Accordingly, for Bajaj General and Bajaj Life, standalone numbers reported are based on non-Ind AS accounting standard, referred to as Indian GAAP, as applicable to insurance companies.

I will start by giving you an update on our joint venture with Allianz :

I am happy to confirm that on 8th January '26, Bajaj Finserv Limited, along with its promoter group companies, namely Bajaj Holdings and Investment Limited, and Jamnalal Sons Private Limited, successfully completed the acquisition of 23% equity stake held by Allianz SE in the two insurance subsidiaries namely Bajaj General Insurance Limited and Bajaj Life Insurance Limited

Consequent to this transaction, Bajaj Group collectively holds 97

% equity stake in each of the

two insurance subsidiaries, and the JV between us and Allianz SE stands terminated.

As regards the remaining 3% equity stake held by Allianz SE in each of the insurance companies, the Boards of the respective companies have approved to offer a buyback to its shareholders, subject to applicable law and necessary approvals.

The buyback, on one hand, will conclude the buyout of Allianz stake, and on the other hand, will also strengthen the ROE and ROEV of both the insurance subsidiaries going forward.

Post the buyback, the holding of the insurance subsidiaries by the Bajaj Group is expected to be as follows:

77.33% by Bajaj Finserv, 18.1% by Bajaj Holdings, and the remaining 4.57% by Jamnalal Sons Private Limited.

I will now jump into the high-level update on the consolidated results for the quarter . The same has also been put in a press release dated 4th February '26.

Before we get into the results, we would like to call out on two exceptional items , which color the results for the quarter. The first one being the one -time impact of the new Labor Code , which

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impacts the bottom line by close to about INR 380 crore s at a gross level across all our companies. However, this has a net consolidated PAT impact for BFS of about INR 167 crore s. The second one -off is the accelerated ECL provision made by Bajaj Finance during the quarter to enhance its balance sheet resilience by implementing a minimum LGD floor across all its businesses. This has an impact of about INR 1,406 crores on BFL 's results on gross basis, with a net consolidated PAT impact of about INR 540 crores for Bajaj Finserv.

As for the results now,

The consolidated total income grew 24% to about INR 39,708 crores versus INR 32,042 crores for the same quarter last year. The consolidated profit after tax before accelerated ECL provision of BFL and the one -time charge of new Labor Code grew by 32% to about INR 2,936 crores versus INR 2,231 crores for the same quarter last year.

The consolidated profit after tax before the accelerated ECL provision, the one -time charge of the new Labor Code , excluding the MTM gains and losses and including the realized equity gain booked under OCI by the insurance companies, the PAT grew by 13%.

Let me now deep dive and give you further texture on the performance of each of our subsidiaries :

To start with Bajaj General :

For the quarter, Bajaj General ranked first amongst private players on GDPI basis while maintaining its market share. The GWP for the Quarter 3 increased by 11.5% to about INR 7,389 crore versus INR 6,626 crore s for the same quarter last year. Excluding the bulky tender - driven crop and government health business, the GWP increased by 17.2%. In terms of GDPI growth, it was a healthy 17.7%, largely in line with the industry growth.

The growth is largely attributable to the motor and health segments, partially offset by de -growth in crop insurance, largely arising from pricing pressures, which we have discussed in the past.

The underwriting loss for the quarter was at about INR 137 crore s versus a loss of INR 43 crore s for the same period last year, largely impacted by the one -off impact of Labor Wage Code of INR 42 crore s and higher acquisition costs during the period attributable to focus on preferred business segments being written by the company.

The combined ratio stood at a very healthy 97.9% for the quarter as against 101.1% for the same quarter last year. We believe that this combined ratio for Bajaj General will be among the lowest in the multi -line market, with the ROE reasonably above 22%, excluding the surplus capital at

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The adjusted PAT before the impact of new Labor Code for the quarter stood at INR 430 crore s versus INR 400 crore s for the

same period last year, a growth of about 8%.

AUM for Bajaj General stood at about INR 36,417 crore s versus INR 32,633 crore s for the same period last year, an increase of almost 12%.

In summary :

These operating results, including combined ratio and ROE, underscore Bajaj General 's disciplined focus on delivering balanced and profitable growth, supported by strong risk selection, robust distribution capabilities, prudent underwriting, and a continued emphasis on exceptional customer service.

I will now move to Bajaj Life :

Bajaj Life 2.0 was initiated in the second half of last year with a focus on "sustainable and profitable growth "- happy to confirm that the financial outcomes are as planned in the course of Bajaj Life 2.0.

The impact of change in strategy is now reflected in the 3rd Quarter results, wherein Bajaj Life registered ' Highest -ever value of new business and the new business margins on YTD basis over the last decade '.

The retail weighted received premium growth has now been reinstated with a growth of 19.9% from INR 1,549 crore s last year for the quarter to about INR 1,856 crore s, largely in line with the industry growth. This was backed by retail protection contributing 9% of the overall retail business, with a growth of 47% for the quarter.

Group protection has also registered a healthy growth of about 29%. The VNB for the quarter grew at a healthy 59%, up from INR 254 crore s for the same quarter last year to about INR 405 crore s during the quarter. The new business margin, NBM, is up at 19% for the quarter as against 15.1% for the same quarter last year.

On the back of continued strong renewal premium growth of 20.9%, Bajaj Life 's GWP grew 23.5% during the quarter. Persistency dips were , however, observed across a few cohorts in line with the industry, which are being worked upon by the company.

On overall retail weighted received premium basis, the product mix for the quarter was well balanced and stood as follows:

Par was at 23%, non -par savings at 14%, term at 9%, annuities at 11%, and ULIPs at 44%.

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The profit after tax was impacted during the quarter largely by the new Labor Code to the tune of INR 43 crore s and the loss of input tax credit from the GST change, which we saw come in during the last quarter.

Bajaj Life ended the quarter with an AUM of INR 1,38,027 crore s, up at about 13 .1% from the same period last year.

The company is also in the process of setting up a Pension Fund Management business and a branch in GIFT City for which process of regulatory approvals has been initiated.

Overall, the quarter for Bajaj Life is in line with the expectations and on the right trajectory of 'Sustainable and Profitable Growth .'.

Finally, both the insurance companies are financially amongst the most solvent in the industry, Bajaj Life with 333% solvency and Bajaj General with 344%, and hence are well -poised to weather any external adversity.

We must, however, reiterate that insurance is a long -term business, and we remain steadfast in our commitment to drive profitable growth, create sustainable value, and always prioritize the interests of our policyholders.

I will now move to our lending businesses, Bajaj Finance and Bajaj Housing Finance :

To start with Bajaj Finance, the core performance remained robust across business volumes, AUM, Opex , credit cost, and profitability.

Number of new loans booked during the quarter was at about INR 1.39 crores as against INR 1.21 crores in the same period last year, a growth of 15%.

The company 's diversified business model has enabled its AUM to grow at a strong 22.1% at about INR 4 ,85,883 crores. The net total income grew by about 19% to INR 13,875 crores as

against INR 11,673 crores for the same quarter last year.

The profit after tax before the impact of the new labor codes and the accelerate

d ECL provision

grew at a very healthy 23.3% during the quarter, from about INR 4,246 crores to INR 5,227 crores.

The Opex -to-Net total income improved to 32.8% as against 33.1% for the same period last year.

Net loan losses and provisions for the quarter before the accelerated ECL provision of INR 1,406 crore s was at about INR 2,219 crore s in the quarter as against INR 2,043 crore s for the same quarter last year, an increase of only about 9%.

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In Quarter 3 , net decrease in Stage 2 and 3 assets were at about INR 93 crore s, reflecting a significant improvement in portfolio quality and a positive outlook on credit cost .

The GNPA and NNPA stood at 1.2% and 0. 5% respectively as of 31 December 2025 , as against 1.1% and about 0.48% for the same period last year.

Capital adequacy remained strong at 21.4% as at 31st December 2025 , with a Tier 1 capital of about 20.6%.

Moving now to Bajaj Housing Finance Limited, the mortgage subsidiary of BFL :

It was a stable quarter with AUM growth of 23.2%, driven by good momentum and disbursement amidst higher portfolio attrition. Growth was very well -distributed across all the business segments. The home loans AUM grew 18%, loan against property grew 32%, lease rental discounting grew 39% and developer finance by 18%.

Net interest income grew 19% to INR 1,153 crores as against INR 933 crores for the same quarter last year.

Operating efficiencies continued with Opex -to-Net total income at healthy 19 .0% as against 19.8% for the same quarter last year.

Healthy asset quality was maintained with the GNPA and NNPA at about 0.27 % and 0.11 % as of 31 December 2025 .

PAT before impact of new labor codes grew by 23.2% to a healthy INR 675 crores for the quarter.

Capital adequacy ratio stood at 23.15% as at 31 December 2025 , with a Tier 1 capital of 22.69%.

In summary , another very strong quarter for both our lending companies, BFL and BHFL.

Now , I will quickly give you an update on our emerging companies :

To start with, Bajaj Finserv Health in Quarter 3 carried out about 6.2 million healthcare transactions as against 2.1 million transactions for the same quarter last year. Bajaj Finserv Health continued to expand its provider network, which includes about 1 ,34,000 doctors, about 16,000 hospitals, and upwards of 6,300 lab touchpoints. Utilizing this network strength and its tech platform, Bajaj Health is able to offer integrated OPD, IPD, and wellness experience to both retail as well as corporate customers.

During the quarter, the revenue from operations of Bajaj Finserv Health grew at a healthy 22%.

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Moving to Bajaj Markets :

During the quarter, the lending in the BFSI space in the form of disbursements stood at about INR 1,800 crore s for the quarter as against INR 1,549 crore s for the preceding quarter, which was Quarter 2 of FY '26.

The company ended with a total unique partner s count of 101.

Top line for the company was impacted during the last few quarters and was down from about INR 156 crore s for the same quarter last year to about INR 94 crore s in the current quarter. This was due to a planned transition of software where we are moving to SFDC for frontline sales.

Now, with the migration likely behind us during the Quarter 3 , we are likely to see the growth resume here on. And f rom Quarter 4 onwards, we are hopeful that the revenue growth should get reinstated. There has been no capital infusion in the company since March of '22, showing capital efficiency of the company.

Moving to Bajaj Finserv Asset Management Company Limited :

The AMC company continued its good run, recording an AUM of upwards of INR 30,000 crore s

as of 31st December 2025 and moving to the 26th spot amongst all the mutual fund companies in India in terms of AUM. We believe that Bajaj Finserv AMC is the fastest to cross the INR

30,000 crore s mark in about 2.5 years of operations. The equity mix of the AUM stands at about 56%, and the non -group share of the AUM constitutes about 87% of the total AUM.

This summarizes the performance on all our companies. That is all from my side on the performance.

Before we open for the questions, considering the paucity of time, I would request the audience to keep their questions brief so that we can cover more queries during this call.

With this, I invite questions from the audience.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Nischint Chawathe with Kotak Securities. Please go ahead.

Nischint Chawathe: First on the life side, there has been a fairly strong and impressive growth in the institutional business. If you could give some color and texture in terms of which are these partners, whether it is addition of some new partners or is it faster growth with the existing ones, what has contributed to this growth?

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Secondly, I think on the agency side, after multiple quarters, we are able to see some positive growth there. So, is it fair to say that now we have bottomed out? I have some more questions, but this is on the life side.

Tarun Chugh : Thanks, Nischint. I would say that the growth in institutional business is widespread. It is not necessarily coming from the big partners. We were possibly the first ones to experiment with a bevy of smaller partners. And that strategy is paying off, works well for them and us.

And I must say that the couple of new partnerships that we have got from a medium to significant size, are largely AU and Federal. And yes, I think there is a lot more yet to be seen. So, those should give much more than the median that you will see in terms of growth for various partnerships.

For agency, yes, while the growth has been good, I think one thing I would like to point out to all the analysts on this call is that we have seen something even better in agency. We have seen a doubling of their VNB in this nine -month period.

As you all know, we took some significant calls on agency in terms of commissions, efficiencies, tweaking our models, hierarchy cost and much more. We have been doing a lot of things there in terms of how we manage our branches. We are encouraged; however, we may not necessarily focus just on growth in agency. And this strategy is being developed as we go.

As you know, agency operates in a highly demanding environment that is both training-intensive and relationship-intensive. We will continue to work on the bottom line more than the top line.

Hence, the growth on agency is not necessarily something that will just buckle up and start increasing from the next quarter.

It can take some more quarters as we continue to work on some more parameters on agency to set it in right direction of on VNB, once and for all. We don't want to do this too often with our agency channel. Hence, top line growth is not going to be the key thing. The bottom -line growth is going to be the key thing in agency. I hope I have answered you, Nischint.

Nischint Chawathe: That is perfect. And just extending from here in terms of product mix, is it fair to say that agency will probably be more traditional and protection -heavy, and the institutions will be ULIP heavy?

I think that is a trend we have seen in some of your other peers.

Tarun Chugh : No, not necessarily. Our agency is unique. I have said this earlier as well, when we moved from a mass to a mass -affluent base of customers in the last 6-7 years, we used ULIP products significantly. The ULIPs we used to sell earlier weren't necessarily very profitable. Now our ULIPs themselves are looking quite healthy. And that is what the agency team has

done

brilliantly.

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The pickup of term has been wholesome and systematic which gives us more confidence for term in the future. Par remains a healthy mix for agency as well.

As far as institutional is concerned, it differs from bank to bank and every bank is uniquely

positioned. We are possibly the only truly diversified company among the top 5-6 companies on Bancassurance. This diversification continues to be the core of our strategy. It has been our consistent method over the last three years. We drive business based on what is good for our partner and for us. And hence, that may still, be in line with what you see for other Bancassurance businesses. Only thing, please account for the fact that we don't have one bank which would take 50% of our business. And that ratio would hence not be akin to the ratio you see with other Bancassurance-led companies.

Nischint Chawathe: I got it. And just quickly on VNB margins, if you would want to kind of re-highlight your guidance because I think mathematically, as I see it here, VNB margin would have been closer to around 21% but for the GST hit. And then, how do we see this going forward? And probably the GST hit continues or neutralizes, and hence, where did the margin settle?

Tarun Chugh: So, I guess you are asking for more details, but I will give you the top line message and ask Vipin to continue with a little bit more details so that we can be transparent to everybody because I know the GST bit is something that everybody worries about.

This is a reset of the VNB and the NBM margin from earlier which were lower. But I think now you see the trajectory is positive, and this quarter has seen a significant increase in the margins. I don't think this kind of an increase is going to continue in the future. But yes, the trajectory will be positive.

Because as a company, we moved on this journey of efficiencies, cost corrections, tailor-making products, tailor-making our commission rates before anybody else because as a multi-distribution company, we are more sensitive to these matters. And we have to get more and more efficient far sooner than others.

On the GST bit, I will just pass it on to Vipin so that he can transparently answer.

Vipin Bansal: Hi, Nischint. So, you would recall that last quarter when we spoke, our estimation was that we will have about 4.5%, i.e., 450 basis points impact of GST. I

What we know today and based on what we have executed, I think as we exit next quarter, we would have mitigated close to about 325 bps against 450 bps that we had communicated earlier.

We believe that delta of 125 is a reset impact from 1st April. I think that will be part of our base, and we will continue to work on that.

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In terms of guidance, while we don't give guidance, but Tarun called it out and I will reiterate that over the last 4 quarters, we have consistently seen margin expansion of 4% to 6%-6.5% and VNB growth close to an average of about 50%.

However, the base effect does start kicking in. So, the margin expansion and VNB growth will definitely taper down from here on. I think that is the correct way to look at it.

Having said that, our strategy of 2.0 is still under execution. GST just moved us back by about two to three quarters. Had the GST change not been there, yes, the numbers would have been a bit different. But I think that is a reality. So, I think it is just a pushback of two to three quarters, and we are confident that we will be on track to execute in line with the strategy that we had called out earlier.

Nischint Chawathe: Just one tiny question on the general insurance business. If I look at motor OD loss ratio, it remains elevated this quarter as well. Now, in this backdrop, why do we really need to grow at 21%?

Ramandeep Singh Sahni: Avais, you want to take it?

Avais Karmali: So, overall, if you look at the situation, the elevated loss ratio is not something that is just experienced by our organization. It is something that is experienced across the industry. Now, this can be broken down into multiple paths. But one of the leading indicators is the pricing pressure. And of course, due to GST, there has been a certain impact on the IDVs as well. Out of this, the pricing pressure is something that is being corrected, and we continue to do so as a daily operation. Within this backdrop, we continue to grow with our long-term view, which is sustainable growth, and we would continue to do so going forward as well.

Nischint Chawathe: But fair to say that in this environment, you might just mellow down a bit given the way the loss ratios are trending? I mean, for the industry, not for you, I am saying.

Tapan Singhel: If you look at how the loss ratio trends, you will notice that it always corrects on its own in the long run. The industry reacts to increasing loss ratios, and corrective actions bring it down cyclically. So, in a general insurance business, it is always cyclic. Even if you look back for a longer period, like 25 years, you will never find that loss ratios have ever remained the same, they keep increasing cyclically for the whole industry and gradually they correct.

Even in our case, we will continue to take corrective actions for Motor OD loss ratio, as we have been doing earlier as well, and we should see the loss ratio balancing out as we progress. And

then I think correction happens. It comes on its own. These are part of a business model. This is something that we have been doing for so many years. And we will do that. You will see how it balances out as it progresses.

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Moderator: Next question comes from the line of Satvik with Jefferies. Please go ahead.

Satvik: Just on Bajaj General, wanted to get a sense on how competition is actually playing out in motor and both the group and retail health segments. And second, could you please help us with your retail health loss ratios for 3Q versus 3Q last year? And the last one, how has motor TP release been this year versus last year? And how has the experience been?

Tapan Singhel : We prefer to not talk about our competition. We respect all our competitors, and I believe they are all doing very good . So, we don 't get into the specifics of our competitors , but we can talk of the industry as a whole.

Competitiveness in the industry as a whole is intense right now. The combined ratio for the industry has moved up. If you look at combined ratio of the multi -line insurance companies, both public and private, for the third quarter, it will be close to 128%.

Compared to that, Bajaj General, has a combined ratio close to 100 %. So, it is a phenomenal performance in terms of delta to the industry. And as Raman mentioned in the call in the beginning, we are the largest private player in terms of total volume business for this quarter. I think that is what the industry perspective is.

And that is why I was so confident on the Motor OD loss ratio earlier, since the Combined Ratio for the industry is not at sustainable level. The industry would move to a correction mechanism to bring it down. But Bajaj General, in that context, continues its philosophy of maintaining a better combined ratio than industry. And for this quarter , Bajaj General's combined ratio is 20%+ better while also not losing market share.

Second, on the retail health perspective, we don 't give exact loss ratios, but we can tell you that it is better compared to what it was in the same period last year . So, it has improved on year-on-year basis.

On the TP release, I think we give the triangle, and it is in line with the way it has progressed further. Avais ,

you want to add something to this?

Avais Karmali: No. I think you have covered it primarily structurally. If there are any other detailed questions, I am happy to take it.

Satvik: No, no. That covers it.

Moderator: Next question comes from the line of Uday Pai with Investec. Please go ahead.

Uday Pai: A couple of questions on the general insurance side. First, if I look at your motor TP loss ratios, for the first three quarters, it is comparatively very low compared to the same 3 quarters , last

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year. So, is there any impact of reserve releases, or this is the normalized loss ratio for motor TP going forward? That is the first question.

The second question is on the underwriting profit. While our combined ratio has improved both on a Y -o-Y and a Q -o-Q basis, but our underwriting losses have actually increased. And I believe that is because our NEP growth is slower. Is that the correct understanding, first of all? And how do we think about the absolute underwriting losses going forward? So , these are the two questions from me.

Tapan Singhel: Now, if you look at TP and I think this question keeps on coming, the way to look at TP business is, what is the release per claim settlement . So, let us say when you do reserving, it is based on present estimation and past known records . But when the claims get settled, if the settlement is lower than the reserve created , there is a release which happens . So, it is a continuous process. Hence, the TP release would not happen overnight, it would happen according to claim trends and settlement quantum's because Motor TP is a long book .

If you start seeing strengthening of reserves, then there is a worry because that means that the claim reserves made earlier were lower and the settlements happened at a higher amount than estimates. Hence, as long as a release is happening, it is a good sign. That means the company had been adequately reserved in terms of the expected claims, which eventually did not materialize.

Also, let us say if there is sudden judgment which comes which changes the way the court

decide s TP claim s. And we have had this in the Sarla Verma case and a lot of such judgments in past; then strengthening can also happen based on all the past records and based on the new criteria introduced by such judgements. So, this is how TP would move going forward.

Regarding NEP, it is lower because we have a whole account reinsurance treaty. It is not a structural issue.

And for the combined ratio, we always maintain that we would be close to 100 % and that is our ambition. And that is what we have been doing for so many years while maintaining or growing our market share. And that is how we have organically grown.

And at this point, I always mention that Bajaj General, compared to some of our peers, is a complete ly organic grown company, built brick by brick over time. And we continue to do that structurally. Avais , you want to add something to this?

Avais Karmali: No, I think you got it as well. The point on the underwriting profit, I could just add one point, is that the company has experienced quite a bit of market share increase on motor side, specifically on the two -wheeler side. And therefore, as you know, that bus iness comes with a certain amount of acquisition costs. And therefore, you would see the underwriting profit at the level that it is.

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Overall, we still believe, and we continue to believe, as you mentioned earlier, that this business is good from a long -term perspective. Hence, we do it. That is the only thing I would like to add.

Ramandeep Singh Sahni: Also, the underwriting loss for the quarter will have an impact of the labor wage code one -time hit of about INR 42 crore s. That is also adding to the loss. So, in all, if yo

u actually see the

underwriting loss moving up, I will just summarize from what Tapan and Avais said. One is the impact of the new Labor Code, INR 42 crore s hit coming from there. The other is also we are writing more and more of fresh two -wheeler and four -wheeler business . And t here, if you see , our market share both for the quarter and nine months has moved up significa ntly in new motor sales. And I like Avais said, the commissions are upfronted for three -year and five -year policies . And h ence, it gives a big hit on the underwriting result. But on Combined Ratio basis, it evens out. So, that is the way we look at it.

The other issue also is that for the quarter, the NEP is looking a little depressed , because there was a change in the ceding percentage on the government health business, which we did last year for the same period versus this year. If we actually exclude the impact of that, the NEP growth actually improves for the quarter to about 5% -6% is what I recall .

So, there are a few of these elements which are leading to an optically higher underwriting loss, but the combined ratio is operating at a very healthy level.

Uday Pai: That's helpful.

Moderator: Next question comes from the line of Shobhit Sharma with HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Congrats to the Life team on a phenomenal set of numbers . So, my first question is on your product mix. This quarter, we have seen a very sudden spike on the annuity mix . So, what has led to this? Have we done some product interventions on this side?

And I like your peers have seen a significant growth on the retail protection side, but for you have seen this growth has been kind of muted, I would say, 18% -19% for you for this quarter . So, what has led to that moderation?

And lastly, on the channel and product mix, if you can help us understand, what is our product and channel -specific strategy to understand on that? And I will have one question on Bajaj General side. I will ask later.

Vipin Bansal : Thanks for that question . So, on the product mix, if you look at our mix for last 5 to 6 quarters, it is largely stable. Obviously, there will be some noise depending on the quarter that you are looking at, but it is largely stable. And that is something we also called out as part of our 2.0

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strategy. And I think we are directionally heading there. So, yes, you would see annuity going up. That was the case even last quarter as well.

I think what we need to understand is , we were the ones who started deferred annuities about 4-5 years back. This market tends to be intensely competitive. And when the pricing was not right, we actually retreated back. Hence, our annuity would hover around 4% to 5% earlier .

Last quarter, we actually changed our product proposition on annuity, brought in newer products.

And that increased the annuity mix to about 9% to 10% which you are seeing now . So, on your question on annuity , this increase reflected in last quarter as well and the trend continues this quarter and is as per our strategy .

In respect of retail protection, I think there is a small difference. Look, GST has helped everybody. It helps us also because retail protection does become cheaper. But in our case, as part of our strategy, we had actually been focusing on retail protection for almost last two years . So, if you go back last two years, for every quarter, our growth on retail protection has been significantly high. Now, obviously, once the base effect kicks in, the growth will obviously come down. And I think that is being reflected in this quarter . Hope that answer s your question

Shobhit Sharma: Sure. And Vipin on channel and product -specific strategy if you want to highlight anything on that?

Tarun Chugh : So, I mentioned in the first answer , Shobh it, that agency has got a fair l

y good mix now. They

have got term in focus . ULIPs, which are profitable, help us with the very high net worth individuals and wealth customers. In agency channel, we are present in the mid -segment and Tier 2 , Tier 3 cities a lot more than our peers, having 600 branches . Despite that, our top 10 cities would not be the same top 10 cities of the top five companies in the Life sector, largely because of our agency spread. That makes it more pertinent for having p ar plans. There are some states where our agency is particularly big . So, it is a lot more strategy driven .

If you get the whiff of the direction I am giving, for agency, it is largely driven by the market in which we operate as well as the customer segments . Proprietary sales largely remain ULIP -heavy. It is ULIP -heavy but a profitable ULIP -heavy now and selling a far higher premium paying term now, which is exceedingly helpful . Going forward, Proprietary sales, will transition more to term and riders.

Overall, as a company, our enhanced risk cover, i.e., term and riders put together, contributes to between 44% -47% of our customer base depending on which month you look at . This used to be 19% the same time last year. So, that is a huge transition that we have made .

As far as the institutional business is concerned, I answered the first one that Nischint had asked, where we are largely tailor -made to the partnership because we want it to be mutually beneficial

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to both players. And t he customer segment for each of these partners is extremely different. Hence, it become s very difficult to make any prediction s.

But largely, as you see where we are today, you should consider this on an aggregate level as a settled product mix because we have got everybody to the right percentage of contribution, which we wanted. And t he diversification is now kind of stabilized . And t hat is how it will remain in institutional business. Hope it answer s.

Shobhit Sharma: Sure, sir. Now, coming to Bajaj General , sir, on motor OD loss issue now, if I see you mentioned that for the peers also, motor OD loss ratio has been rising . So, is there an industry -wide phenomenon, or is there something which has changed all across the industry which has contributed to this spike? And should we expect this to be a new normal now? And is it primarily because of the pricing environment which is there on the OD side?

Tapan Singhel : Yes, I think Avais mentioned it earlier. If you look at IDV, due to the GST change , IDV dropped. And motor OD is calculated as a percentage to IDV. Due to this drop, it eventually leads to lower premium collection for the same vehicle, compared to what would have been earlier. Also, with inflation, the cost of repairs goes up.

So, the only difference this year compared to previous year has been the drop in IDV because of the GST . So, the value of the car comes down. And because the premium carries a percentage to the value of the car, we see lesser realization coming in for the same vehicles . And as I mentioned earlier , the industry would look at correcting it as it progresses.

Shobhit Sharma: So, if pricing is the only metrics because of which we will be able to correct this, sir?

Tapan Singhel : See, let us look at a loss ratio. What exactly defines a loss ratio? You have premium collection, and you have claim outgo. That is loss ratio. It is that simple as that. If the premium collection goes low, your loss ratio will go up. Second, if your claim outgo is more, your loss ratio will go up.

On claim outgo, as I mentioned earlier , due to inflation, the repair cost, the spare part cost, moves up. When that moves up, then the loss ratio will go up. Or if the premium drops , even then, loss ratio will go up. When both happen simultaneously, then the loss ratio moves up. That is where it moves up for the e

ntire industry , which is the current scenario .

Now, if you have to correct loss ratio, what do you do? There are only three steps. One, either

increase premium. Two, negotiate better on claim outgo. And three, start making your underwriting mix stronger to get in that range, which is what companies would be doing. So, it is this process which corrects the loss ratio going forward. It is not very complicated. But the reason that you asked me why the industry moved up, it is because of this reason.

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Moderator: Next question comes from the line of Divij Punjabi with Banyan Tree Advisors. Please go ahead.

Divij Punjabi: I had one question on the general insurance side. What does the pricing intensity look like on the fire and the other commercial lines of business? And how is it expected to be going ahead?

Just wanted to get a better understanding on that.

Tapan Singhel: So, India is a free market except for motor third-party price, which is regulated by the government. Every other pricing is dependent on the company's underwriting understanding, and they would calculate the price basis that. Hence, in a free-price market, we will always see movement in pricing. Sometimes the price gets stiffer. Loss ratio goes up, then the price again starts correcting itself. But as I said, this is the nature of the general insurance business, the P&C business globally. You will hear this word, market softens, market hardens. It is cyclical in nature. So, this is, as I said earlier also, this is part of our business.

So, right now, to answer your question specifically, on the Fire portfolio, the price has softened.

This is because, if you look at the results for the past few quarters, the commercial line of businesses had a better loss ratio. And if you look at this year, there has not been a major NATCAT event. There has been nothing which has led to huge losses for the industries.

So, when the loss ratio comes down, the prices come down. As I explained to you on motor earlier, as the loss ratio goes up, prices start moving up. It moves in sync with how the industry is moving. So, because of good loss ratios and no major catastrophe even this year, the prices are moving down right now. But as they move down, the loss ratio is expected to start moving up, and then the prices would also correct accordingly. So, right now, the loss ratios have been good for fire. So, the price has come down to answer your question specifically.

Moderator: Next question comes from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: I had a couple of questions. First, on the general insurance side, so our Opex to NWP has materially cooled off as compared to all the peers who have actually made our estimates on, I mean, mine and street estimates. So, do we think of it as maybe you are going slow on the new business and focusing more on the older business? Because we have also seen our, at least on the motor side, the OD loss ratio go up. So, how do we see this trend? The Opex, they are getting controlled, but the claims ratio is pretty primitive.

Tapan Singhel: Now, if you look at the issue for the industry broadly, has been that most companies are not complying with the regulations in terms of the 30% cap. But Bajaj General has been complying with it very well. It has managed its cost. I think it has consistently been one of the low cost multi line insurer amongst companies in the private space for quite some time.

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So, growth, business, and cost are the two, three levers that are there, and we have been managing that very well. And we have been in compliance with the regulations comfortably compared to most of the players in the private space.

Ramandeep Singh Sahni: Also, just to answer the question you indicated,

on new versus existing business, we have been

growing heavily on the new sales, both on retail health and motor. Motor, I already articulated that on two-wheeler and four-wheeler, we have indeed gained market share for the quarter and nine months both.

Even on retail health, our new sales growth has been very healthy compared to last year. So, that is not the reason. I think the real reason is what Tapan articulated. We have been conscious on controlling costs. And that is why our Opex ratios look better than the others in the market.

Raghvesh: So, the commissions have gone up for us as well in line with the peers?

Tapan Singhel: No, again, if you look at it, why do we look at commission? The regulation is very progressive, in which it said that we don't worry on commission. Our expenses put together; it should be below 30%.

Why is it progressive? Because earlier, the model of doing business was one which was agency-dependent, focused on opening branches. So, everybody had the same model. So, fixed commission made sense.

In today 's time, you can decide whether you want to be high variable, or you want to do businesses also with low cost, or you want to go direct. And this fungibility allows people to experiment with the business models . So, what should be seen is the total number, not standalone that as commission moved up or come down, expenses come down. This fungibility allows business models to be created. And that 's why I always mentioned that it has been a very progressive regulation.

And globally, the expense number is around this 30%, expense and commission put together. If you Google search and just put that for U.S. market, how much does it come to, you will be surprised to see it close to 30% . But the point is that you have to put the two together , commissions and expenses, to see where it stands , and then to see globally where it stands . And if it is close to the global benchmarks, then I think the industry and the regulations have been in the right place.

Raghvesh: Thanks for this, sir. And j ust a final question on the AMC piece . So, now that we are at a scale of around INR 30,000 crore AUM, are we still looking to be focused on the mutual fund space, or are we looking at alternates SIF and all of other asset classes to grow incrementally?

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Ganesh Mohan : Yes. So, for us, in the last couple of years, we have actually been focused on building out the mutual fund product suite. And w e still have a little bit more work to do over there in terms of additional products that we have launched . So, we will be certainly continuing that path. But there are also additional opportunities that have come up, particularly with regard to SI F, PMS, as well as GIFT City . So, these are on our plan for this coming financial year. And you will see us active on these fronts as well.

S. Sreenivasan: If I can add to that, we have also now set up Bajaj Alts as a separate company. And that company now has been staffed. Subject to regulatory approvals, we will be looking, to start off a set of one or two alternative funds and possibly a PMS operation targeting that segment of the market, where the minimum investment required for an AIF is INR 1 crore and above.

So, this is currently on the plan. And we hope that it will com mence by end of FY '27. That is separate from the mutual fund because the mutual fund will handle the retail market and the higher end of the retail market through their distribution channels. This will be a separate alternative.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Ramandeep Singh Sahni: Thank you for your time, everybody.

Moderator: Thank you. On beh

alf of Bajaj Finserv Limited, that concludes this conference. Thank you for joining us. You may now disconnect your line s.

Call: May 2026

<https://www.aboutbajajfinserv.com/about-us>

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7 May 2026

To

Corporate Relations Department.

BSE Limited

1st Floor, New Trading Ring,

Rotunda Building, P J Tower,

Dalal Street, Fort,

Mumbai 400 001 To

Corporate Listing Department.

National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor

Plot No.C-1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051

BSE Code: 532978 NSE Code: BAJAJFINSV

Dear Sir/Madam,

Sub.: Transcript of Conference Call in respect of financial results for the quarter and financial year ended 31 March 2026

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'SEBI Listing Regulations') r/w Clause 15 of Para A of Part A of Schedule III to the SEBI Listing Regulations

In furtherance of our letter dated 20 April 2026, this is to inform that the transcript of the investors conference call held on Thursday, 30 April 2026 at 4:30 p.m. IST, has been hosted on the website of the Company and is available at <https://www.aboutbajajfinserv.com/investor-relations-quarterly-earnings-conference-call-recording-and-transcripts>.

Please find enclosed the aforesaid transcript (pdf) for ease of reference.

We request you to kindly take the same on record.

Thanking you.

FOR BAJAJ FINSERV LIMITED

UMA SHENDE

COMPANY SECRETARY

Email ID: investors@bajajfinserv.in

Encl.: As above

April 30, 2026

MANAGEMENT : MR. S. SREENIVASAN – PRESIDENT , INSURANCE AND SPECIAL PROJECTS – BAJAJ FINSERV LIMITED
MR. RAMANDEEP SINGH SAHNI – CHIEF FINANCIAL OFFICER – BAJAJ FINSERV LIMITED
MR. TAPAN SINGHEL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ GENERAL INSURANCE LIMITED
MR. TARUN CHUGH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ LIFE INSURANCE LIMITED
MR. AVAIS KARMALI – CHIEF FINANCIAL OFFICER – BAJAJ GENERAL INSURANCE LIMITED
MR. VIPIN BANSAL – CHIEF FINANCIAL OFFICER – BAJAJ LIFE INSURANCE LIMITED
MR. ASHISH PANCHAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BAJAJ FINSERV DIRECT LIMITED
MR. GANESH MOHAN – MANAGING DIRECTOR – BAJAJ FINSERV ASSET MANAGEMENT LIMITED

MODERATOR : MR. RAGHVESH – JM FINANCIAL

Moderator: Ladies and gentlemen, good day and welcome to Bajaj Finserv Limited Q4 FY '26 Analyst Conference Call.

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As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghvesh from JM Financial. Thank you and over to you, Mr. Raghvesh.

Raghvesh: Thank you, Renjo . Good evening, everyone, and welcome to the Q4 FY '26 earnings conference call of Bajaj Finserv Limited.

First, I would like to thank the management of Bajaj Finserv for giving us the opportunity to host this call. As always, we will have opening comments from the management team, post which we will open the floor for Q&A.

From the management side today, we have Mr. S. Sreenivasan, President, Insurance and Special Projects, Bajaj Finserv Limited; Mr. Ramandeep Singh Sahni, CFO, Bajaj Finserv Limited; Mr. Tapan Singhel, MD and CEO, Bajaj General Insurance Limited; Mr. Tarun Chugh, MD and CEO, Bajaj Life Insurance Limited; Mr. Avais Karmali, CFO, Bajaj General Insurance Limited; Mr. Vipin Bansal, CFO, Bajaj Life Insurance Limited; Mr. Ashish Panchal, MD and CEO, Bajaj Finserv Direct Limited; and Mr. Ganesh Mohan, MD, Bajaj Finserv AMC.

With this, I would hand over the floor to Ramandeep sir for his opening comments. Thanks and over to you, sir.

Ramandeep Sahni: Thank you for the introduction. Good evening, everybody. We welcome you to this conference call to discuss the results of Bajaj Finserv Limited, BFS, for Q4, FY '26.

As before, in this call, we will largely be concentrating on the consolidated results of BFS, the results of our insurance operations through Bajaj General Insurance Limited and Bajaj Life Insurance Limited , our emerging companies which include Bajaj Finserv Health Limited , Bajaj Finserv Direct Limited , Bajaj Finserv Asset Management Limited , and lastly, where material, the standalone results of Bajaj Finserv ..

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Our two other subsidiaries, Bajaj Finance Limited and Bajaj Housing Finance Limited, have already had their conference calls, and hence we would pursue only very high-level questions on these companies.

To start with a few hygiene points, as a word of caution, we affirm that any statements that may look forward-looking statements are just estimates and do not constitute an assurance or indication of any future performance result. Let me also give you an update on the basis of accounting which we use at a Group level.

As required by the regulations, Bajaj Finserv prepares its financials in compliance with Indian Accounting Standards, referred as Ind AS. The insurance companies are, however, currently not covered under Ind AS. Hence, they have prepared their Ind AS financials only for the purpose of consolidation with BFS.

Accordingly, for Bajaj General and Bajaj Life, standalone numbers reported are based on non-Ind AS accounting standards, which is referred as Indian GAAP, as applicable to the insurance companies currently.

However, on this subject, as per the recent regulations from IRDAI, insurers are now required to transition to Ind AS from FY '27. However, the said regulation also allows insurers to seek a forbearance for a year, keeping in mind the level of readiness of each one of those.

Accordingly, both our insurance companies plan to seek

forbearance for a year

and would transition to Ind AS from 1st of April 2027.

Now moving to an update on our joint venture with Allianz. I am happy to confirm that in March, our insurance subsidiaries, that is Bajaj General and Bajaj Life, have completed the buyback of the balance 3% Allianz stake, making our insurance businesses now 100% Bajaj - Made in India, Made for India, and Made by India.

The buyback not only concludes the buyout of Allianz stake, but it also is expected to strengthen the ROE and ROEV of both the insurance subsidiaries going forward. Post the buyback, the 100.00% holding of the insurance subsidiaries by the Bajaj Group is split as follows: 77.33% is held by Bajaj Bajaj Finserv Limited

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Finserv, 18.10% by Bajaj Holdings, and about 4.60% by Jamnalal Sons Private Limited.

I will now jump into the high-level results for the quarter on a consolidated basis, which have been put out in our press release dated 30th April, 2026.

The consolidated total income grew by 6% to about INR38,508 crores versus INR36,434 crores for the same quarter last year. However, you may please note that the income for the quarter looks a little depleted because of the high impact coming from the MTM on the fair value through P&L portfolio held by our insurance companies.

As the total income includes investment income and some of the investments by the insurance companies are held at FVTPL basis, due to the geopolitical tensions, there is a temporary MTM impact on revenue. And if we gross up the MTM impact on the revenue, the revenue growth will actually be 14% as compared to the 6% reported by us. Similarly, the consolidated profit after tax also grew at about 5% to INR2,539 crores as against INR2,417 crores for the same period last year. Again, excluding the temporary MTM losses of the insurance companies, the consolidated profit after tax actually grew at a large 24% as compared to the 5% being reported by us.

So just to summarize, both the revenue and the bottom line for the quarter being reported are largely impacted by the MTM impact, which we believe is temporary in nature due to the geopolitical risk. And if we gross it up, excluding these MTM implications, the revenue growth and the PAT growth are very healthy at 14% and 24% respectively.

Now I will just deep dive into each of the respective companies to give a texture on their performance.

Let's start with Bajaj General:

On GWP growth basis for the quarter, the growth was muted at INR4,322

crores as against INR4,326 crores for the same quarter last year. This is largely on account of tactical decisions made by the company on reducing its exposure to crop and motor amid the elevated pricing pressures which we've seen in the market in the last quarter.

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However, if we exclude the bulky crop and government health businesses, the GWP has in fact increased by 8.3% as against the market growth of 11% for the multiline industry. And here we know that the multi-line growth was backed by some of the players seeing EOM stress, and hence they may not be comparable at this point.

Underwriting losses stood at INR 96 crores for the quarter versus about INR 3 crores for the same quarter similar quarter last year, impacted largely by elevated claims arising from our government health business. This essentially arises from the fact that the loss ratios on these schemes are higher in the initial months and then they taper down, so it is kind of a timing variance. And also, the lower crop business which we've done in the last quarter, given

the

stress we saw from a pricing perspective.

The combined ratio for the quarter was elevated at about 113.6% for the quarter as against 104.8% for the same quarter last year. Now this essentially came from a fact that we did a treaty within the last quarter on government health business, but it was done on retro basis from the Q3 FY26, which meant that the NWP for the period was depressed because of back-dating of this treaty and hence the elevated combined ratio.

However, if you look at the combined ratios excluding the bulky businesses, which is government health and crop, the combined ratios actually improved for the quarter versus the same quarter last year. On a full-year basis, however, if you see the combined ratio, which nullifies the impact of these timing variances, the combined ratio on old basis, which is the non-1/n basis, is reported at a very healthy 101.90%, which we believe will continue to be amongst the best in the market.

The ROE excluding surplus capital, which is at about 200% solvency, stands close to 18.5% for the period. PAT growth also remained flat for the quarter for the same reasons which I mentioned earlier, the fact that there was a timing variance on government health claims being booked, and we did lower crop business which last year same quarter was very profitable.

On AUM, we ended the year at about INR35,529 crores as against INR33,122 crores for the same period last year, a growth of 7.3%. However, it's important to note that both AUM and solvency for the period have been impacted due to

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the one-time impact of the buy-back of the 3% Allianz stake which we've done, which for the general insurance company was close to INR1,590 crores.

To summarize, these operating results, including the combined ratio and ROE, underscore Bajaj General's disciplined focus on delivering balanced and profitable growth, supported by strong risk selection, robust distribution, prudent underwriting, and continued emphasis on exceptional customer service in the most difficult and highly competitive market.

We will now move to Bajaj Life:

Bajaj Life's financial outcomes have been in line with the plan for transition to 'sustainable and profitable growth', as was highlighted in the mid of last year. The impact of change in strategy continues to be reflected in the fourth quarter results as well. The retail weighted received premium for the quarter grew at about 9.7% from INR 2,328 crores to about INR 2,550 crores, largely in line with the industry growth.

However, what's important to note is our retail protection contribution in the overall retail business has grown to 8.4% with an overall growth of 67% for the period. Similarly, the group protection business has registered a very healthy growth of 42% for the quarter. Moving to the bottom-line parameters, our VNB

for the quarter grew at a very healthy 29% up from INR 549 crores to about INR 709 crores for the quarter.

The NBM is for the quarter up to 24.5% as against 22.1% reported for the same period last year, an expansion of about absolute 2.4%. These outcomes are despite the gross GST impact of about 5.00% on NBM for the quarter and about 2.9% on a YTD basis. The GST impact on VNB has been largely mitigated on exit basis in March '26. We can now clearly see that the benefits of our revamped strategy, Bajaj Life 2.0, are clearly visible in the financial outcomes as has been depicted earlier.

On the back of continued strong renewal premium growth of about 18%, Bajaj Life's GWP grew at 21% for the quarter. However, it's important to note

that

persistence dips were observed against certain cohorts in line with the market . The management is working on it to bring it at the similar levels we've seen in the past.

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On an overall basis, the retail weighted received premium product mix for the quarter was very well balanced at PAR with 25%, , non-par savings and annuity at 24%, term at a very healthy 8% and ULIPs at 42%.

The profit after tax also registered a very healthy growth of 78% up from INR 41 crores for the last quarter last year to about INR 73 crores for the quarter being reported now. Bajaj Life ended the quarter with an AUM of INR 1,33, 563 crores, up about 8%. Again, this was along with the solvency impacted by the buyback of 3% of Allianz's stake, which for Bajaj Life was close to INR 1,200 crores.

Overall, the quarter for Bajaj Life is in line with the expectations and on the right trajectory of 'sustainable and profitable growth' .

Finally, both the insurance companies continue to be financially strong with solvency for Bajaj Life at 266% and Bajaj General at 302% and hence are very well poised to weather any external adversity.

We will now move to the lending businesses , Bajaj Finance Limited and Bajaj Housing Finance Limited .

To start with Bajaj Finance , a very strong quarter across all key metrics including Volume , AUM, new customer addition, credit costs, and profitability. The number of new loans booked for the quarter was at about 1.29 crores as against 1.07 crores for the same quarter last year, a growth of about 20%. The company's diversified business model has enabled it to cross the record milestone of AUM of INR 5 lakh crores and a strong AUM growth of about 22% at INR 5,09,975 crores.

The net total income grew by about 21% to INR14,209 crores, up from about INR11, 755 crores or the same period last year. PAT was close to INR 5,464 crores for the Q4 FY26 .

If you look at the Opex to net total income ratio, after adjusting for the loan losses and provision reclassification which the company has done, the ratios are flattish at about 33.20%. There is a slight increase which is visible sequentially due to the cascading impact of the New Labour Code which we had seen in quarter three and accelerated gold loan branch expansion. We

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have also been investing in AI implementation and that also impacts the ratios to some level.

However, we are seeing acceleration in both growth and improvement in operating efficiencies due to the AI investments we've been making. Loan losses and provisions for the quarter were at about INR 2,008 crores as against INR 2,167 crores for the same quarter last year. Before the additional ECL provision, it increased by about 8% to INR 2,125 crores, up from INR 1,970 crores for the same period last year. In quarter four, we saw a net decrease in stage two and stage three assets at about INR 430 crores, reflecting a continued improvement in portfolio quality and the outlook on credit costs going

forward.

The GNPA and NNPA stood at a healthy 1.01% and 0.4% respectively, as against 0.96% and 0.44% for the same period last year. The capital adequacy remains strong at 21.55% and the tier one capital was 20.67%.

I'll now move to the mortgage subsidiary of BFL, Bajaj Housing Finance Limited :

Again, a very good quarter on disbursements, AUM, operating efficiency, asset quality, and profitability. A stable quarter with AUM growth of 22.7% driven by good momentum in disbursements amidst higher portfolio attrition.

Growth was very well distributed across all

the business segments . Home

loans for the company grew at about 18%, loan against property grew 24%, lease rental discounting grew 44%, and developer finance grew 13%. The net interest income grew 15% to about INR 945 crores as against INR 823 crores for the same period last year. The operating efficiencies continued with Opex to net total income at a healthy 19.2% as against 21.8% for the same period last year.

Healthy asset quality continued to be maintained with GNPA and NNPA at a very small 0.27% and 0.11% respectively. PAT grew by about 14% to INR 669 crores for the quarter. However, this excluded the one-time impact of tax credit which the company had taken last year of INR 34 crores, the PAT growth would have indeed been 20%.

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The capital adequacy ratio stood at 22.46% as of 31st March, with tier-1 capital at 22.01%. In summary, another very strong quarter for both our lending companies, Bajaj Finance Limited and Bajaj Housing Finance Limited.

Now let me give you update on our emerging companies.

I'll start with Bajaj Finserv Health :

For the quarter, Bajaj Finserv Health logged in about 6.5 million healthcare transactions as against about 5.3 million transactions done for the same quarter last year. Bajaj Finserv Health continued its expansion of the provider network which includes about 1,30,000 +doctors, about 15,000 + hospitals, and about 6,500 + lab touchpoints. Utilizing this network strength and its tech platform, Bajaj Health is able to offer an integrated OPD, IPD, and wellness experience to both retail as well as corporate customers.

During the quarter, the revenue for the company grew at a very healthy 41.6%. So, in all, overall, a good quarter for Bajaj Finserv Health.

Moving to Bajaj Markets :

During the quarter, the disbursements for the quarter were at about INR 2,047 crores as against INR 1,800 crores for the trailing quarter, which is quarter three of FY '26. The company ended with a total unique partner count, which are the partners available on the platform, of about 103 in number.

The operating revenue for the company, however, for the period has indeed de-grown to about INR 95 crores, down from about INR 129 crores for the same period last year, which is attributable to decrease in loans and transacting customers during the quarter. And as has been indicated in the past quarter, this essentially was a planned de-growth because we had planned a migration of our new system which is being used by the frontline sales, and the migration is now complete, so we believe that the de-growth hereon should be behind us.

Further, we have also changed the revenue structures within the company where some of the revenues move on a trail basis, which now provide stability and predictability and a non-linear future revenue. The business model also has been aligned with the RBI Digital Lending Directions for LSPs, which came into effect from 1st of November 2025.

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Now moving to Bajaj Finserv Asset Management Limited: .

The AMC continued its good run, recording an AUM of about INR 26,819

crores at the quarter end, and it retained the 26th spot amongst all the mutual fund companies in India in terms of AUM. The closing AUM was heavily impacted, as we know, due to the geopolitical tensions.

However, if you look at the average AUM for the quarter, it was a healthy INR 30,627 crores as against INR 20,133 crores average for the same quarter last year, a growth of 52%. The equity mix in the AUM stands at about 59% and the non-group share

of AUM constitutes about 93.3% of the total AUM.

This is just to sum up the performance on all our companies.

Before we open for questions, considering the paucity of time, I would request the audience to kindly keep their questions brief so that we can cover more queries during the call.

With this, I invite questions from the audience.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Shreya Shivani with Nomura. Please go ahead.

Shreya Shivani: Yeah, thank you for the opportunity. I have two questions. First is on the life insurance entity. Non-par savings mix has reduced. Just trying to understand if you can give us a flavour of how were the markets for the non-par product in the year that has gone by? Was there any pricing pressure that you'd like to highlight? What is your strategy for FY27?

My second question is on the general insurance piece, the motor TP piece over there. So the reserving triangles look like the release in TP in FY26 has been higher. It's coming to about INR 800 crores versus usually the INR 600 to INR 700 crores you've done in the last couple of years. So any colour you can give around what has happened here? And sorry, I'll squeeze in one more question. This is on Bajaj Direct. So good to hear that the migration etc. is completed. I just want to understand as we enter into this year and there are a lot of concerns around some of the business loans and what can happen etc., are there any measures we are taking to tightening anything from our end? Yeah, those are my three questions. Thank you.

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Ramandeep Sahni: Vipin you want to take the first one on non-par savings? Vipin or Tarun whoever.

Tarun Chugh : Let me just step in. So Shreya, thanks for your question. See, non-par, the way we see it as a bucket of non-par plus annuities, because annuities are the same cast, structured differently. Our annuity actually mix doubled from 5% to 10% in the financial year. And yeah, overall non-par did come down from 21% to 16%, but overall if you look at it, broadly we are at 26% if you add non -par plus annuities .

The market has actually looked at higher -age customers coming in, and which is where, I mean the way we look at the market is when the higher -age customers would rather have more annuities than have medical based products. And we are seeing a consistent shift in the market towards annuity, and I think this is a very healthy sign because usually the customers above the age of 50 have more money in their pockets and hence are able to take more such products, more health and life products.

Our ticket size in annuities is actually doubled in the last year, so that is the healthy one. You should expect that when we talk, we will fundamentally look at these two buckets together because they're intertwined. But actually, if I might just say on the non-par market as to what's been happening, as you're aware, policies amounting to INR5 lakhs and below, there is a tax benefit available.

And whenever our post-tax returns gap between fixed deposits and non-par savings actually comes to about approximately 2%, the industry gets a lot more tailwinds in the non-par saving plans. If there is liquidity in the banking sector and post-tax FD returns are compared with returns to policies of below INR5 lakh ticket size, we will expect the non-par savings run to continue.

So it's really an impact on the market, there's nothing to do with the pricing etc. as of now from our side. There's fundamentally a shift to higher -age brackets. I hope that answers your question.

Shreya Shiv

ani: Yeah, yes, that was useful. Thank you.

Ramandeep Sahn: Tapan you want to take the question on TP releases?

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Tapan Singhel: Yeah, so if you look at, TP release is a factor of how the book develops, and TP is a long-tail book. So as the claims development happens and compared to reserving, how is it developing that's what has to be seen. So, on the numbers you mentioned, I don't see that there's a huge shift in terms of the release happening, which means that the company has adequately reserved over time, and as the book keeps on developing and claims are getting paid. It's a natural phenomenon; I don't see any change in the philosophy of how it's progressing.

Moderator: Next question comes from the line of Prayesh Jain with Motilal Oswal. Please go ahead.

Prayesh Jain: Yeah, hi. So just wanted to understand on the general insurance front, how do you see the product mix evolving and the overall profitability of the entity going ahead into FY'27 as to how you see this kind of moving?

Tapan Singhel: That's a really interesting question, let's look at last year. The industry combined ratio actually moved up by about 6% to 7%. While if you look at Bajaj General combined ratio, it moved up by only 0.5% in the last year. So even though the industry deteriorated by about 6% to 7% combined ratio, Bajaj General still was where it normally remains close to 100% COR where it used to be and the industry is around 120%

So if you see the gap, it has been huge. And that's why even in the fourth quarter, as Raman was mentioning, as we saw the combined ratio deteriorate, I think where we feel the pricing is not appropriate, as we have been doing all these years, we go slow; however, where we see the price is appropriate from a customer perspective to be served well, those are the ones we write.

So next year it again depends on how the industry moves, but if you look at in fact one of the quarters of last year, the industry combined ratio touched 128% also, I think. So, fundamentally as a company, our philosophy remains the same. We are a company which would be there for 100s of years, it is not a company which we are looking at a short term in terms of making it up. So it will always be prudent underwriting, it will always be our customer offsets, it will always find opening in the market, where to grow and keep on growing. And that's what we have been doing, and for the next year also the philosophy remains the same.

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Prayesh Jain: And then to your product mix, you know, the government-led businesses on health insurance, or either the crop business, is there an approach towards either reducing?

Tapan Singhel: I think I've mentioned this on a lot of previous calls also. The approach is simple, wherever the pricing will be appropriate in which we can serve the customers well is what we write. Now if you tell me that I make an approach right now and say this is what I will write and the price is not appropriate for that, why would I write that?

Bajaj General is one of the largest insurance companies in India, which means that we write all product lines, and we have a decent market in each one of them. The variation just happens depending on how the market behaves in which product line where we get more aggressive or the pricing goes below what we feel comfortable, there we reduce, where the pricing is appropriate, we increase.

So we can never tell you that next year this is exactly what we shall do, we'll move crop up or move this up, but in all lines of businesses, you will see that we are

among the top companies in where we position ourselves. So that is how it should continue and depending on the pricing of the particular product line in the years to come, or we shall move on that basis.

Prayesh Jain: Got that. Thanks. And on life insurance, you know, just trying to understand VNB margin trajectory from here on, you know, what kind of VNB margin

should we think and what kind of product mix that you would be targeting for FY27? Given the market uncertainty right now continuing in April, do you think that a product mix kind of which has moved slightly away from ULIPs, not a big one, but for the full year, but do you think that trajectory will continue, and the margins can kind of continue to improve on a full-year basis?

Tarun Chugh: Okay, so let me just give you a little bit of a strategy part and then Vipin can jump in to give you specifics. The way I'm seeing this is that directionally all our product segments are, now profitable. So the fact that if there is ULIP, our ULIP is now profitable. So this is a discussion we had, about 18 months back, and now our ULIP growth is actually not a bad sign, it's a good sign.

But fundamentally as the product mix evolves, we've had an entire culture shift in all our businesses including agency channel, which I would say has picked Bajaj Finserv Limited
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up term plans very well. I think that has been the significant needle mover in terms of product mix. We expect the trajectory of term to only increase from here on, and that should impact our VNB margins only positively, as you know, while term plans may have a lower ticket size, if you are able to sell more of core term, then it is only helpful to the VNB margins. So directionally that's what is moving. Vipin, if you'd like to add anything, do so.

Vipin Bansal: No, I think Tarun, that sums up. Prayesh, to be more specific, the margin expansion that we are talking about, and this is, you know, after accounting for the GST impact that we had called out, I think as we had said earlier, it's a combination of our channel product mix, the way we are able to manage the kind of payouts we are offering..

Obviously, the cost efforts that we have taken, that is contributing about 150 bps to the margin. So while all of that is there, in terms of product mix, we have always maintained that we would want to have, you know, a PAR at about 25% plus-minus, annuity plus non-par savings again in the 25% to 30% range, term we would aspire to be 10% plus, and ULIP will be about 40%.

So I think that's the stable mix, we would want to be operating at. I hope that answers your question.

Prayesh Jain: Yeah, definitely. And just last one question on AMC. At what scale of AUM do you think that this business will break even and what tenure what should be the target for us in our model from a break-even perspective? And what are the new segments that you are kind of investing in, PMS, AIF, SIFs, all these products something which you are developing as well?

Ganesh Mohan: Yeah. So on the AMC side, what I would say is, the break-even AUM for us would be close to about INR1 lakh crores, with the continued mix on equity versus debt versus passives. At this point, we are actively considering both the PMS as well as the SIF, so within the next one, one and a half years, we will be launching both of these business lines.

Prayesh Jain: And yeah, got that. Thanks.

Moderator: Mr. Jain, are you done with your questions?

Prayesh Jain: Yeah, thanks, thanks.

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Ramandeep Sahni: Raghvesh, I think we missed one question from Shreya. Maybe Ashish, if you

can answer that. The question was on the concerns on quality of loans. If you can just take that, please.

Ashish Panchal: Sure. So as a marketplace, we get a ringside view of the prevailing risk and resultant countermeasures by various manufacturers, and therefore they adjust the share of business that they take, from our marketplace from time to time. As a distributor, however, from the total throughput point of view, while our mix across manufacturers changes depending upon their risk measures, this doesn't affect us being a distributor.

Having said that, we've seen that two years ago, the risk was much higher in the market as you can see from bureau report, and therefore the resultant manufacturer actions, especially in business loans, were high. Even last year,

they were significant. Over a period of time, we have seen portfolios behaving better.

But anyways, we are insulated from any balance sheet and P&L impact of such risk behaving adversely in the manufacturer's portfolio. Having said that, we choose our manufacturer partners very, carefully and therefore our volumes are not affected and hence revenue is not affected. I hope that answers the question .

Moderator: Thank you. Next question comes from the line of Sanket Godha with Avendus Spark. Please go ahead.

Sanket Godha: Yeah, thank you for the opportunity. My first question is on life insurance. So if I exclude GST impact, the margin for the year was at 22%, and you said that most of the mitigations have been done with respect to GST negative impact by end of the year. So is it safe to say that in next year, if the product mix remains broadly the same, we will end up reporting a 22% kind of a margin for the next year? That's my first question.

Vipin Bansal: Okay, so Sanket, let me answer that. So when we say we have mitigated, what that really means for us, as we exited March, and I am seeing for the month of March we have mitigated almost 90% to 92% the GST impact. A residual impact of 30-40 bps does exist. But I think now that's part of our cost structure. Now, the question on what do we mean by mitigation? What we mean by mitigation is we have changed some of our products that we sell in the market.

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There has been a change in the kind of products or the product mix, if I could say. Cost optimization continues for us, and we have renegotiated some of our commercials with our partners.

Now, if that continues, then that 4.5%, annualized impact of GST that we talked about, that has been mitigated. I'm not sure of 22% that you were referring to.

So, if you can just help me understand that?

Sanket Godha: No, in the VNB walk, the margin what we mentioned before GST impact is 22%. So, if I am assuming given, we will work with the same, no GST impact broadly. I mean then with the same product mix, are we going to report closer to 22% margin in the next year?

Vipin Bansal: Okay, so let me clarify. So, that's not the way to read it. When we looked at the walk, we actually showed the gross GST impact. All the mitigants of that are part of our walk in terms of the new business mix and the profile that we are talking about. So, the dent of INR 242 crores that you see is the gross dent. The mitigation of it, and let's assume that it's 100% mitigated as a margin, that benefit is sitting in the 636 bar, if that's what you're referring to.

Sanket Godha: Yeah, so Vipin, because that benefit will be there for the entire year next year, so then we will be probably, assuming same business gets repeated in FY27, then the margin what we are looking at is 22%? That's the point I'm

asking for

FY27.

Tarun Chugh: That's Sanket, let me step in on that. We will, not provide any affirmation or otherwise from us on margins if you're going to indicate like this, please.

Sanket Godha: Okay it's alright I understood your point.

Tarun Chugh: Directionally, we can tell you we are in the positive trajectory, and all those changes are resulting in the positive margin, but we're not going to indicate any margin. But yeah, it's positive.

Sanket Godha: Understood, . Thanks, thanks for that answer. And the second question probably is on the growth, because second half we probably operated on Balic 2.0, basically comparing with the previous base. So our growth came back to around mid-teens. So is it safe to say that this is the kind of growth we will end up, and if that is the case, that heavy lifting will be done by agency channel because that's the channel which took the maximum hit last year?

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So is it safe to say that second half growth is more like growth going ahead and will be done by agency channel?

Tarun Chugh: You should see a better growth than what you saw in our second half. That much I can say. And all our businesses are in now a growth trajectory .. On the bulk partners, the bancassurance side, we've added three significant partners in the last 18 months: Federal, AU, and Yes Bank.

Now they should start kicking in. We already have a very significant base of small and medium partners which have been doing quite well. So that trajectory is positive, and I can say that the bancassurance team is adding a lot more value to its partners by selling risk products as well now. That is working for both parties.

On the agency side of the business, yes, we did reconfigure, we actually stretched our reconfiguration if you would remember in December when I told you, because we felt that there was more and more buy-in for our term plan and that the ticket size of term is obviously lower. So we recorded an 8% growth Q-on-Q for the last two quarters for agency.

This I would say is a little understated, you should expect it to be better. Also, because the fact that the product mix is now largely set and the input parameters that we are seeing in agency, like the number of partners we're adding, number of distributors that is, plus the number of policies we're adding in agency, the trajectory is only positive.

Then we come to our proprietary sales and direct channel. I think that has been a healthy contributor and we continue to innovate with data and technology there and see how we can work with customers and the data we already have , to provide more and more targeted products. And that trajectory was also undergoing a change given the fact that we did not grow as expected in proprietary sales last year, but all that growth will be back. So you should expect a higher growth.

Sanket Godha: Understood. And lastly, one data-keeping question. On the EV side, the assumption change of INR51 crores is predominantly related to which operating parameter, whether it's mortality or persistency?

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Vipin Bansal: So Sanket, for the portfolio basis, I think assumptions are holding good. You would see there has been a dip in our persistency and that's what largely is reflected in assumption change.

Sanket Godha: Understood. And lastly, one question on general insurance. So broadly, I just want to understand this reinsurance strategy. I know that we did lot of government businesses and our retentions are closer to 42% to 43%.

However, even if I exclude that, we typically are a little higher

on ceding
business now.

So whether, we will revisit this strategy or rethink this or will continue even going ahead, even in other line of businesses, given, I understand that government businesses are lumpy, and we need to rely on reinsurance in that sense.

Tapan Singhel: , I didn't get your question. See, reinsurance is not a strategy. It is how you build your book and wherever you see volatility or large risks, on those you reinsure. So it depends on the book composition you have, and if you look at retail, most of it you would keep on your books. So if you look at, be it government health, be it crop, or be it commercial lines of business, they would be reinsured and then accordingly you decide how to do.

So your balance sheet has to be protected in terms of any volatility, in terms of large risks. So that is how all good companies write their reinsurance and also, they look at the ratings of reinsurance.

So, they have to be well-rated reinsurers. In times of any big losses, the reinsurers are able to support that, which in the past also we have seen even be it Jammu and Srinagar floods or be it Bombay floods, we were always adequately protected. In fact, our reinsurance CAT is also double that of what the industry looks for in terms of the year-to-return perspective which should be there.

So fundamentally, it's a very well-arranged reinsurance to take care of any eventuality. So, it depends on the lines of business mix that you write and how you put it together. So, what is your apprehension on that?

Sanket Godha: No, it's not an apprehension, sir. My only question was that even in the retail

usage. So, whether that approach would be revisited, or we think that's still a good thing to do in that sense?

Tapan Singhel: It depends on how the market moves and what lines of business you write.

That's why I said the approach does not change. The approach remains the same. Depending on how the market moves, what lines of business you're writing, is how the reinsurance operates. It's a combination of that. You don't create a strategy in terms of how you reinsure your book.

You would always reinsure your book in the strategy I've mentioned to you in terms of wherever there's high volatility, you'll have high reinsurance coming in. When you'll have more stability, then the reinsurance evens out. When you have large risks, then the reinsurance is again high. Where the PMLs move high, then you have reinsurance high. When it comes down, the reinsurance evens out.

When you have CAT losses happening, then the reinsurance for that moves up. When they come down and your chances of CAT losses are lower, then accordingly you adjust your books on that basis. So, I think the basics of insurance or basics of writing business is the same.

It's a combination of various things: how does the market move, what is volatility, what lines of business, decides how much reinsurance do you buy in what lines of business, reinsurance is you put all that together.

Sanketh Godha: Understood, sir. That's useful. Thanks, for your answer.

Tapan Singhel: Yes, Thank you.

Ramandeep Sahni: Sanketh, your answer actually lies in the commercial outcomes if you look at it. So you know, at what price do we really get the reinsurance, what am I reinsuring. Like Tapan said, see essentially our exposure looks higher on the ceding side because we write a lot of bulky business which is crop and government health, as you rightly highlighted.

On the other side, we also write a lot of larg

e risk, and that essentially because

of our banca tie-ups, we get a lot of these large accounts. So, a combination of all of these actually translates into what our reinsurance strategy is. Now in the end, whether I'm making money out of it, or no is that finally really matters,

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right? And our combined ratio vis-a-vis industry will answer that question. So that's where we stand today.

Moderator: Thank you. A reminder to all the participants that you may press star and one to ask a question. Next question comes from the line of Divij Punjabi with Banyan Tree Advisors. Please go ahead.

Divij Punjabi: Yeah, hi. Thanks for the opportunity. I had three questions. One was on the general insurance side. So just wanted to understand how are we seeing the competitive intensity playing out in motor and group health lines of business? Second is on the life insurance side. What is or how are we looking at the expected impact of the change in the commission structure that is expected to come in the next few months? And lastly, what is our strategy on the alternatives business? So, there was some news around Bajaj Alternatives wherein we're looking to raise about \$1 billion? So, if we can talk about that, it would be helpful. Thanks.

Ramandeep Sahni : Yes Tapan. The question was motor and GMC competitive intensity .

Tapan Singhel: If you look at the market, and I mentioned just previously, the combined ratio industry has moved up by about 7% percentage point s, and in one quarter it moved to 128% and then moved to 121%. Now that always happens when the competitive intensity is high in the market. I think that is where the combined ratio starts moving up.

So, the point that you have mentioned, yes, there is competitive intensity in some businesses like motor, GMC, even in fire also. And I think for the last quarter it was more because of the EOM guidelines. I think a lot of companies

which were above 30%, they wanted to ramp up their numbers so that they can come within 30% as per the EOM guidelines.

So, if you look at it and pick up companies which had an EOM over 30% and look at last quarter their aggression, you will be able to understand how it moves. And then companies which had good EOM, you would watch that they would be positioned in terms of where they are. So, a lot of things depend on how the companies decide to play the turn.

In such environment, the competitive intensity does move up, and that is why if you'll see from a company's perspective that we would slow down, as I

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mentioned earlier, in places where we see competitive intensity moving up, and then when we see the pricing is right, then we move up.

Because we have no pressure of EOM, I think we are one of those companies which have a comfortable expense of management, and we are well within it in terms of where we put together. So, we just don't write business to get our EOM right, we write business where it makes sense to write.

Tarun Chugh: Okay, on the life insurance side, the question was on commission. We haven't yet received any message from the IRDA I, there is no draft circular yet, so a lot of this will be discussing hypothetically. But what I do understand is that the mood seems to be more on back -ending commission from front-ending.

I don't know about the reduction of commission if there's any plan, nobody's really got any whiff on this till we get something from them. In either case, if this is executed to the T, it should only benefit the sector.

It should bring down the EOM pressures, it should help the persis

tency ratios,

it should help customers getting a better proposition, and that is the whole intent of IRDA I to be able to pass this benefit to the customer. So, we just wait for that until that comes in. It's really very difficult to say anything beyond this at this point.

Ramandeep Sahni: Okay, on the Alts one, I'll just try to summarize. See, this was one of the white spaces we had identified. See, being a financial services powerhouse, we realized that Alt's business is something which is growing pretty healthily globally also and not only in India, and we identified that as a white space last year and we had called it out in the investor day that, this is an area we will venture into.

So, in the last six to eight months, we've actually built up the team, and as we speak, we are planning to start the PMS part. We've already got approval from SEBI. We should launch the listed equity in PMS very soon. On the other side, we are trying to launch some CAT II and CAT III AIFs, for which we have filed for approval with the regulator for a private equity AIF and a real estate AIF. And hopefully, you know, in the next quarter or so, we should get approval for that as well.

So that's currently what we've done. The idea is also to get into some bit of listed equity for which we will soon be filing for approvals. So this is where we

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stand today. I think in the next two quarters, we will actually start rolling out our new products. That's the strategy as of now.

And also the idea is that we get into a GIFT City structure to attract some NRI and foreign investors to take arbitrage of the tax benefit structure as well. So that's where we are currently. Beyond this, I think in the next few quarters, we will start talking about it as and when the business is launched.

Divij Punjabi: Thanks, that was very helpful.

Moderator: Thank you. A reminder to all the participants that you may press star and one to ask a question. Next question comes from the line of Nidhesh Jain with Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. So, my first question is on life insurance. So, on persistency, what is happening in your view on at the industry level and for you also, that persistency after improving post-COVID for four-five years, this year

we are seeing decline across the companies on persistency? And how do you see persistency trends going forward?

Tarun Chugh: That's a very good question and that's something that worries all of us and is a focus segment of the sector. Overall if you look at it, there was a set of products which were introduced by a few market leaders about 12 to 18 months back. These products were early gratification products for the customer, and we did see people then not continuing once they did get benefits already available.

Now that we were all expecting lower persistency in the sector, and we have just seen a result of that, the swing has been more than the expectation. But largely it is just one bucket that has impacted the entire sector. So,, we've degrown by about 1.8%, we expect that the sector has actually degrown even further.

We had this product with us earlier, but we did not launch until it became necessary because distribution was just simply lapping it up in the market . I think we've hopefully and the entire sector has learned its lessons, and we don't do something like this again.

As far as we're concerned, we've stopped selling this product and since October have anyways been bringing it down. At the same time, has it
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impacted profitability? No, becau

se the persistency was already baked in, in the entire process. But these kind of things should largely be avoided in the sector is the way I would answer that question.

Nidhesh Jain: Sure, sure. Secondly, sir, if you look at the data in terms of household preferences, so protection annuity I think they are growing at a very healthy pace. But on the savings side, what we are seeing that the preference towards mutual funds and equities has been increasing and it's not just a one-year trend, it has been a quite secular trend for last four-five years?

So in that context, FD's and life insurance deposits are losing share in the household savings. So in that context, how as an industry or as a large life insurance company, how do we plan for next let's say five years because I think every year the share of household savings towards insurance is gradually, which at a very gradual pace, but it is declining for sure. So how we stay relevant from a savings to capture the savings pie of a household?

Tarun Chugh: Okay. No, that's a very good question and I'm sure it keeps most people awake. The way we have already looked at it, although, is very different. We have ridded the SIP market in Bajaj Life as well. We today sell a lot of our ULIP plans in what we call as SISO. It's a trademark that we've taken.

It's a systematic in, systematic out plan where you put in money every month into ULIPs and over a period of time take the benefit of staying in the market for longer and take the benefit of then getting equivalent to monthly benefits over a period of your lifetime. For under INR 2,50,000 ticket size, this product also has all tax benefits available. It's actually a very sweet spot and it's something that is growing for us.

We've looked at the entire market and nobody's been able to run this distribution within the annual mode products. We expect that to bring in a lot more of the benefits that SIPs in market do bring in. As for the rest of the product architecture, a lot of that is on structured benefits available to customers and we are largely linked to life goals, whether they are on child saving, long-term savings, or addressing the risk of mortality and longevity. These risks are real and while in a lot of our spaces the mutual fund market is also pretty much playing, and which is why Bajaj Group has both mutual fund
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and a life insurance company, we play in the same space sometimes of course, but with a product that has a different cast and a different benefit.

So, an annuity product, for example, is something that others cannot easily provide but life insurance companies offers them long-term guarantees. As you

can see, this trend has been going up. And that's a very healthy trend,, because nobody else can offer that.

So there are some unique spaces we have and largely in structured products, and we expect those to just keep growing as there is more wealth in the hands of Indians, which is usually is a positive trend in that case. The rest, of course, is also linked to the distribution we keep creating, and there is still so much more scope. If you notice, the life insurance sector is possibly invested most in terms of number of branches, frontline sales, and the number of advisors that we have. I think that should only just keep growing in the future. So that would always remain a positive for the sector.

Nidhesh Jain: Sure, sir. Thank you. And my two questions is on the other businesses, which is Finserv Markets. So if I look at Finserv Markets, that revenue has been quite flattish for a long time. It's a digital business, ideally

it should grow at a pretty

healthy pace. But I think last 15-16 quarters the revenue has been flattish. So what is the strategy here and what is going on here?

Ashish Panchal: I'll break this into two parts. The company has two divisions, what we call as Bajaj Markets as customer-facing name is our marketplace in BFSI. And there, we have 100 plus manufacturers as our partners across lending, insurance, AMCs, credit card offered by banks and so and so forth. There the revenues grew healthily up until FY'26, wherein as Raman said in his presentation, owing to our migration of platform and owing to the need to be compliant to RBI's new DLD guidelines, we had decreased revenues for one year.

But the revenues are coming back onto track in FY'27 as per our plan. Also, the nature of the revenues is changing. Now we have a few partnerships which have trail revenue, which provides it stability and non-linearity which will play out as the quarters pass by, and you shall see that our stated aim of break-even very soon, probably by the end of this year, is a possibility as the quarters pass by within this year.

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The second reason is that over the last four years, we have invested in building a technology services business. It is a business that leverages the group's technology capabilities, across all group companies. We offered these technology solutions to companies within the group, then we went outside of the group to rest of the companies in India and offered it to some of the companies, then we went to Middle East, and now we have established a subsidiary in US.

And therefore, this phase of investment in technology services as a parallel business as per the long-range strategy that we have for the company has also meant that outwardly looking, the revenues look flattish, but both the businesses are poised to deliver and you shall see it in the coming quarters.

Nidhesh Jain: Sure And lastly, if you can share the number of paying users in Bajaj Finserv Health? I think Bajaj Finserv Health is showing decent growth now, but what is the count of paying users there?

Ramandeep Sahni: We are just looking at the data. Maybe we can take just give it to you offline.

Nidhesh, we'll give it to you offline, we don't have it handy.

Nidhesh Jain: Sure, sir. Thank you. That's it from my side.

Moderator: Thank you. The last question comes from the line of Nischint Chawathe with Kotak. Please go ahead.

Nischint Chawathe: Hi, just thanks for the opportunity. Just continuing with Bajaj Finserv Health, based on the current business trajectory, when do you really, expect a break-even?

Ramandeep Sahni: I think we are about two years from that is what we have envisaged. See, if you look at the business model the way we've built it over a period of time, and I think we called it out during our Investor Day also, from the scale perspective, I think we've achieved a significant part of it. We are seeing that the growth is healthy, 40% to 50% quarter-on-quarter, number of transactions are just moving up.

I think it is the point at which the operating efficiency starts kicking in. And what we did in our LRS was that, you know, I think 24 months from now we should start seeing an operating break-even. That's where we stand today. Now this

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is basis current estimate. After we do the next year's LRS, maybe we'll give you a more finer number in which quarter of which year will be break -even. Nischint Chawathe: Sure. And in Finserv Markets, , are you also looking at a sort of an aggregator model like proba

bly what a Paisabazaar is doing?

Ashish Panchal: As a marketplace, both Paisabazaar, , and our platform are not too different online. They have various manufacturers signed up with them, just as we have our own set of manufacturers who've signed up with us. Regarding the offline , I'm not sure what you mean by aggregators, that is generally the term used for DSAs in the offline world.

We have our own omnichannel methods, but those are mostly to complete the customer journey and to assist the customers who've come online. So, if you mean doing a DSA business purely offline, then no, that's not the plan.

Nischint Chawathe: Got it, You know, just talking about IFRS, As you mention ed that you work ed out your numbers under IFRS 17. So I was curious why would you sort of not declare those numbers or not follow the IFRS 17 guidelines from June?

Ramandeep Sahni: See, Nischint, as you know that there is a lot of ambiguity around certain assumptions which one has to take while drawing the IFRS numbers. For example , level of aggregation, currently also, different companies who are reporting to IRDA I are following different methodologies. And so, given the quantum of lack of clarity which is there today in terms of standardizing things across various constituents, I think it's too early to start publishing these numbers.

See, if we were a mono -line player, then it was fairly easy, we could have done it. But for a multi -line player like ours, taking a call without having any clarity from the regulator or the industry as such, even the council can decide, may not be the right thing because you'll end up reporting something and then you have to tweak it a little later.

So as an industry , at a council level, we've been working jointly with the other insurers to bring some kind of uniformity in terms of various decisions one has to take. Now either the regulator can decide and let us know, for which I'm told that a committee has been formed and soon we should get some clarity on some of these matters, or as an industry we will have to take a call. So, this is just one example.

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Then there are many more things, like for example, what are the tax repercussions on whatever calls we will take on the opening adjustments? So there are multiple such things on which clarity is still awaited, and hence we don't believe it's wise to go live before clarity emerges either from the regulator or from the council and there's uniformity across players.

So this is where we stand today, and hence you would have seen in most of the companies who've announced their results have anyway said that they are seeking forbearance for a year. Barring some of the mono -line ones because they are relatively in a easier position, but amongst the multi -line players in GI and even the larger players on the life side, I think everybody is in a similar situation and awaiting clarity. And hopefully from 1st of April, '27, you will see most of us start publishing the numbers.

Nischint Chawathe: Okay. Just one small one on health side, right, on the retail health side. We've seen a fair amount of growth in retail health business post the GST cut. How has been the trend with you because we just get to see the overall growth numbers, we don't get to see the split between new and renewal. So if you could give some color on that?

Tapan Singhel : If you look at the retail health, initially after GST, it did give business and then it move started getting back to normalization as to market. Overall if you look at the movement happened in health, if you look at our own company, I think qu

arter four, Avais , our growth of health was how much total?

Avais Karmali : Quarter four, the total health growth for the company was standing at 30% versus the industry at 18.1%.

Nischint Chawathe: Retail was 17%, right?

Tapan Singhel : Yes, if you observe, the industry grew at 17% in quarter four , but our growth was over the industry in terms of overall growth for the segment. But health is an important piece from a company perspective also and industry perspective also. While there was an initial upside due to GST , but overall I feel slowly coming back to normalcy as it progresses.

Nishint Chawathe: Got it, got it. And just one last one, the wealth business comes under which company or which vertical?

Ramandeep Sahni: So, the wealth company is being set up under Bajaj Finance.

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Nishint Chawathe: Got it. Thanks, those were my questions and all the best.

Ramandeep Sahni: Thank you, Nishint .

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I now hand the conference over to the management for closing comments.

Ramandeep Sahni: Thank you for all the nice questions and I think there was one question which is lying unanswered, and Nidhesh, we'll just reply to that offline. Thank you, everybody, and have a good evening.

Moderator: Thank you. On behalf of Bajaj Finserv Limited, that concludes this conference. Thank you for joining us. You may now disconnect.